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PART I // MODULES 01 TO 04 · CASES #01 TO #38

CORPORATE PERSONALITY, FORMATION, CONSTITUTION & CAPITAL INSTRUMENTS

MODULE 01 // Topic 1 · Unit I

Cases #01 - #13

Corporate Personality, Lifting the Veil & Kinds of Companies

Companies Act, 2013: Ss. 2(20), 2(42), 2(45), 2(46), 2(62), 2(68), 2(71), 2(85), 2(87), 3, 9 · Constitution Arts. 14 & 19

Company, Legal Personality & the Theory of Corporate Personality

1.1 What is a "Company"? — Definition & Nature

Statutory definition — Sec. 2(20), Companies Act 2013

S. 2(20) *"Company" means a company incorporated under this Act or under any previous company law.*

Body corporate *S. 2(11)* — includes a company incorporated outside India; excludes a co-operative society and any body corporate notified by the Central Government.

Read with **S. 1(4)**, the Act applies to companies under this Act, insurance companies, banking companies, electricity companies, companies under special Acts, and notified bodies corporate.

Common-law (juristic) meaning

In common law a company is a **legal person** — a **"legal entity separate from, and capable of surviving beyond the lives of, its members"** (DU Case Material, citing *Salomon*). It is:

- "an artificial, invisible, intangible person, existing only in the contemplation of law" — *Trustees of Dartmouth College v. Woodward* (1819) 17 US 518 (Marshall C.J.);
- a legal device for attaining social/economic ends — "an intricate, centralised, economic-administrative structure run by professional managers who hire capital from investors";
- a combination of a **political, social, economic and legal** institution.

Sec. 9 — Effect of Registration (the bedrock provision) From the date of incorporation mentioned in the certificate of incorporation, the subscribers to the memorandum and all other persons who from time to time become members of the company shall be a **body corporate** by the name contained in the memorandum, capable of exercising all the functions of an incorporated company, and having **perpetual succession**, with power to **hold property**, to **contract**, to **sue and be sued** in its own name, and with a **common seal** (if any).

Nature / essential characteristics of a company

Characteristic	What it means
1. Incorporated association	Must be registered under the Act (S. 3 read with S. 7); registration is conclusive (S. 7(9) — no company can challenge its own incorporation; *Jubilee Cotton Mills* principle).
2. Separate legal entity	Distinct from members — *Salomon*; S. 9. Company can own property and incur liabilities of its own.
3. Perpetual succession	"Members may come and go, but the company can go on forever." Death/insolvency of members does not affect it.
4. Limited liability	Members liable only to the unpaid amount on shares (or guarantee amount) — except where the veil is lifted.
5. Separate property	Shareholders have no legal or equitable interest in company property; no insurable interest in it.
6. Transferable shares	S. 44 — shares are movable property, transferable as per articles (subject to restrictions in private companies).
7. Capacity to sue & be sued	In its own name, even against its own members.
8. Common seal (optional)	Official signature; since 2015 amendment optional (S. 12 read with S. 9).
9. Artificial juristic person	No body, mind or conscience — acts through human agents (directors); not a citizen.
10. Separate taxation	Company assessed to tax separately; member's receipt of income is a separate taxable event.

Legal person — the stepping stone

Gray: a person is "an entity to which rights and duties may be attached". **Salmond:** any being whom the law regards as capable of rights and duties. Every such being is a person — human or not.

- **Natural persons** — citizens and aliens/foreigners.
- **Artificial (juristic) persons** — created or recognised by law: companies, statutory corporations, universities, idols, (an idol is a legal person — *Pramatha Nath Mullick v. Praduman Kumar Mullick* (1925) PC; Guru Granth Sahib — *SGPC v. Somnath Das*).

Three pre-conditions of juristic personality: (i) a group of persons associated for a purpose; (ii) an organ through which it functions; (iii) attribution of legal persona by law.

Types of corporation: corporation aggregate (a company — group incorporated) and **corporation sole** (an incorporated series of successive persons, e.g. the British Crown).

Note: a person may have double *capacity* (e.g. director + trustee) but never double *personality* — a point that resolves the puzzle in *Lee* (see §2.5).

1.2 Theories of Corporate Personality

Why does the law treat a group as a "person"? Five classical theories answer the question. **Mention 3–4 in a 10-mark answer; know the proponents.**

(1) Fiction Theory · *Savigny* · *Salmond* · *Blackstone* — Personality is a **fiction of law**; only human beings are real persons, the corporation is a legal make-believe. By a second fiction the corporation is clothed with the will of its members. Its root is the Papal maxim (Pope Innocent IV, 13th c.) that corporate bodies exist only in abstracto and so cannot be excommunicated — the Supreme Court has called this enunciation the foundation of the separate-entity principle.

(2) Realist (Organic) Theory · *Gierke* — The group has a **real** (psychologically real) personality: a real mind, real will, real power of action, independent of the will of individual members; the corporate will is the will of the organ.

(3) Bracket (Symbolist) Theory · *Ihering* — Personality is only a **symbol-technique**, a bracket put round the rights of the members to facilitate dealings; nothing exists behind the bracket except the members.

(4) Concession Theory — Personality is a **concession** (privilege) granted by the State; no

(5) Purpose Theory · *Brins* · *Barker* — Personality is conferred for a **special limited purpose** and operates only within that purpose (ties in with

(6) Kelsen's Normative / Hohfeld's view — Personality is only the legal order's way of imputing obligations and rights to a complex of

incorporation without the State's permission. Supports the requirement of registration.	the doctrine of ultra vires — an act outside the object clause is void).	facts — a purely **juridical** construct, useful to mention as modern analysis.

Doctrinal Link: Do not stop at names. Connect each theory to a doctrine: Fiction ← certificate of incorporation; Concession ← registration (S. 7); Purpose ← ultra vires; Realist ← corporate will of the Board; Symbolist ← the veil and the real people behind it.

1.4 Advantages & disadvantages of incorporation (framework)

Advantages

1. **Independent corporate existence** — from the date on the certificate (S. 9); a one-man company is still a distinct entity;
2. **Limited liability** — members never personally liable for company debts (unless veil lifted);
3. **Perpetual succession** — even a bomb on a general meeting cannot destroy the company;
4. **Separate property** — shareholders have no right to company assets;
5. **Transferable shares** — liquidity (S. 44);
6. **Capacity to sue / be sued** — including against its own members;
7. **Professional management** — Board of directors, hired expertise;
8. **Large capital** — the only form able to invite the public (public offers, debentures).

Disadvantages

1. **Lifting of the corporate veil** — the principal advantage can be taken away when the entity is abused (*LIC v. Escorts Ltd.* (1986) 59 Comp Cas 548 SC);
2. **Formalities and expense** — registration (S. 7), annual filings (Ss. 92, 137), audit, ROC documents are public;
3. **Corporate governance burden** — Board management, meetings, statutory records; decisions are tedious in large companies;
4. **Public disclosure** — accounts and returns are open to inspection; loss of privacy;
5. **Separate taxation + double incidence** — company taxed, then dividends taxed in members' hands (*Bacha F. Guzdar v. CIT*);
6. **Borrowing and security complexities** — charges registration, debenture formalities;
7. **Strangers to their own enterprise** — directors owe fiduciary duties; members cannot use company assets as their own.

The Doctrine of Separate Legal Entity — Salomon, its Consequences and Lee

The doctrine stated Once a company is legally incorporated, it becomes a **person** in the eyes of the law, **distinct and independent from its members**. The company may own property, contract, sue and be sued in its own name; the members are neither owners of the corporate undertaking nor liable for corporate debts; the **motives, intentions, schemes and conduct** of the shareholders are legally irrelevant. The only guide is the statute itself (S. 9). This is the foundation of the whole of company law — and its chief exception is the doctrine of **lifting the corporate veil** (§04).

2.2 The doctrine recognised in India — before and after Salomon

Kondoli Tea Co. Ltd., In re **(ILR (1886) 13 Cal. 43)** — the **first Indian** decision (even before *Salomon*): joint owners of a tea estate formed a company and transferred the estate to it, claiming exemption from ad valorem duty because they were the shareholders. **Held:** "The company was a separate person, a separate body altogether from the shareholders, and the transfer was as much a conveyance… as if the shareholders had been totally different persons." Duty payable. (Also holds that members **cannot** ask the veil to be lifted.)

T.R. Pratt (Bombay) Ltd. v. E.D. Sasoon & Co. Ltd. **AIR 1936 Bom. 62** — a "one-man company" is still "a distinct entity; it is not permissible or relevant to enquire whether the directors belonged to the same family". Followed in *Praga Tools Corpn. v. C.A. Imanual* (1969) 1 SCC 585.

Dhulia-Amalner Motor Transport Ltd. v. Raychand Rupsi Dharamsi **AIR 1952 Bom. 337** — partners sold buses to their own private company; the other partners sued for accounts of the firm's business carried on by the company. **Held:** the company was "altogether a third person"; buses were the company's property; motive of becoming shareholders is not a field of enquiry — the law recognises the company irrespective of the motives, intentions, schemes or conduct of individual shareholders.

Modern echoes — *State of Karnataka v. Selvi J. Jayalalitha* (2017) 201 Comp Cas 230 (SC): company is separate from members "subject to the exception when corporate entity is a mere cloak or sham used to misdirect shareholders and authorities"; a company cannot be convicted of conspiracy with its **sole** director (only one mind); *Vodafone International Holdings BV v. UOI* (2012) 6 SCC 613: group entities distinct, veil lifted only in exceptional/sham cases.

2.3 Consequences of separate legal personality (the 10-point answer template)

Consequence	Explanation & authority
1. Company owns its own property	Members have no legal or equitable interest; no insurable interest. *Kondoli Tea*; *Dhulia-Amalner*.
2. Company contracts in its own name	Even with its own members/directors. A suit for wages lies **against the company**, not its directors — *Abdul Haq v. Das Mai* (1910).
3. Company sues and is sued	In its own name; may sue a member; may sue in forma pauperis (*Mamta Papers (P) Ltd. v. State of Orissa* (2000)).
4. Limited liability of members	No member bound to pay more than unpaid amount on shares (or guarantee); a share transfer does not discharge the transferor's liability to the company for unpaid calls.
5. Perpetual succession	Members may come and go — the company goes on forever; total change of membership leaves the same entity with the same privileges and possessions (perpetual succession illustration).
6. Company is not the agent/trustee of members	Salomon (Macnaghten); *Freewheels (India) Ltd. v. Veda Mittra* AIR 1969 Del. 258 (a 52% subsidiary is still a separate entity); *J.H. Rayner (Mincing Lane) Ltd. v. Deptt. of Trade* (1990) 2 AC 418 (HL).
7. Members cannot claim company's rights	A shareholder cannot sue for violation of the company's fundamental rights (*Chiranjit Lal Chowdhury v. UOI* AIR 1951 SC 41 — as the majority view; Mukherjea J. dissented); cannot claim the company's property on dissolution matters (*Pierce Leslie & Co. v. Violet Ouchterlony Wapshare* AIR 1969 SC 843).
8. Company's debts ≠ members' debts	Decree against one company cannot be executed against another, even with the same management; a holding company is not liable for the provident fund dues of its subsidiary (§04, ground 5).
9. Criminal liability is the company's	Books of the company held by a managing director in his official capacity cannot be compelled from him personally; but consent of all directors to misapplication of company money is not the company's consent — they can be prosecuted for theft (*A-G's Reference (No. 2 of 1983)*, (1984) QB 456).
10. Company has nationality, domicile & residence	It is not a citizen but has these attributes (see §03: *Casque v. IRC*; *De Beers Consolidated Mines v. Howe* (1906)).

The same coin, two sides Because the company is a separate person, a member who sells property to his company makes a **real sale** (taxable) — *CIT v. Associated Clothiers Ltd.* AIR 1963 Cal. 629. Kahn-Freund: "the corporate entity sometimes works like a boomerang and hits the man who was trying to use it."

2.5 Limits of the doctrine — where the courts will NOT lift the veil

The theory "cannot be pushed to unnatural limits" — but equally, in several situations the courts insisted on keeping the veil intact, and you must be able to cite the *negative* side:

- **No veil-lifting at the shareholder's request:** *Kondoli Tea* (need duty — transfer is transfer); *Premlata Bhatia v. UOI* (2004) — a licencee transferred premises to her wholly-owned company without consent and pleaded that she and the company were one; the plea was rejected — the doctrine is a **defence**, not a weapon for members.
- **Landlord and tenant:** a landlady's business carried on through her company did not give her personal "occupation" rights — *Tunstall v. Steigmann* (1962) 2 QB 593.
- **Tax — the member cannot identify with the company:** *Bacha F. Guzdar v. CIT* AIR 1955 SC 74 — dividend from a tea company is not "agricultural income" in the member's hands; *CIT v. Associated Clothiers* — sale to one's own company is a real sale.
- **Group entities remain distinct absent compelling circumstances:** *Freewheels*; *Industrial Development Corpn. of Orissa v. Regional PF Commissioner* (2002) — holding company not the employer of subsidiary's workers; *Polly Peck International plc (No. 3)* (1996) — court looks at **legal** substance, not economic substance; *Balwant Rai Saluja v. Air India Ltd.* (2014) 9 SCC 407 (subsidiary with no control exercised by Air India); *Alembic Glass Industries v. CCE* (2002).
- **Race/restrictive covenant cases:** *People's Pleasure Park Co. v. Rohleder* (1908) — transfer to a company of "coloured" members did not breach a covenant against transfer to coloured **persons**: "the corporation has a distinct existence… a stranger to its own members."

"Company is not a Citizen" — Citizenship, Fundamental Rights & the Shareholders' Rights Doctrine

3.1 Why the question arises — two kinds of fundamental rights

Part III of the Constitution — two baskets

Rights of "citizens" only	Art. 15, 16, 19, 29 — e.g. **Art. 19(1)(a)–(g)**: speech & expression; assembly; association; movement; residence; profession/trade/ business.
Rights of "any person" (citizen + foreigner + **juristic person**)	Art. 14 (equality), 20 (protection in convictions), 21 (life & liberty), 22, 25, 26 (subject to text), 31 (repealed), etc.

"Citizen" is defined by **Arts. 5–11** and the **Citizenship Act, 1955** — and both contemplate **only natural persons**: an artificial person cannot be a citizen. The scheme of the Constitution (Part II) speaks of "citizens" — natural persons by birth, descent, registration etc.

Test yourself 7 Indians incorporate a company — is the company a "citizen"? **No** (it is an Indian *national*, and a company). 7 foreigners incorporate in India — the company is still an Indian company (and not a citizen). Citizenship of members never passes to the company.

Nationality vs. citizenship

Nationality of a company is determined by the **place of incorporation**; **domicile/residence** by the place of **central management and control** (*De Beers Consolidated Mines v. Howe* (1906) AC 455; *Casque v. IRC* (1940) 2 KB 80). A company **cannot change** its nationality as a natural person can.

Citizenship is a distinct, narrower concept: it is the political membership of the State, carrying **fundamental rights** (Art. 19) and duties. The Supreme Court held nationality and citizenship to be **distinct and separate concepts** — the word "citizen" means the same thing in Part II and in Art. 19; and an incorporated company can never be a citizen.

Consequence: a company can claim rights available to "persons" (Art. 14, 21, and — after *Kharak Singh/Maneka* jurisprudence — it may invoke Art. 21 through its officers) but **cannot invoke Art. 19 on its own**. The hardship is mitigated by: (i) the general protection of Arts. 14/19(1)(f)/(g)-type freedoms given to all persons within India except citizens-only rights; and (ii) the **shareholder-rights doctrine** (below).

3.6 The synthesis — a decision tree the examiner loves

Other cases that complete the picture

- *Chiranjit Lal Chowdhury v. UOI* AIR 1951 SC 41 — majority: a shareholder cannot sue for infringement of the company's rights (Mukherjea J.'s dissent foreshadowed Cooper).
- *Express Newspapers (P) Ltd. v. UOI* (1958) & *Sakal Papers (P) Ltd. v. UOI* (1962) — relief granted to newspaper **companies** and their shareholders/ editors on Art. 19(1)(a); the Supreme Court's consistent practice.
- *Godhra Electricity Co. Ltd. v. State of Gujarat* (1975) 1 SCC 199 — a company gets standing by impleading a shareholder.
- *Hyderabad (Sind) Electric Supply Co. v. UOI* AIR 1959 Punj. 199 — a change in the shareholders' nationality does not change the company's nationality.
- Residence / domicile: *De Beers* — "A company resides where its real business is carried on… where the central management and control actually resides."

Lifting the Corporate Veil — Statutory & Judicial Grounds

4.1 Concept, metaphor and terminology

Definition

Lifting (piercing/cracking open) the corporate veil means **disregarding the corporate entity** and paying regard, instead, to the **individual members/persons behind the "smoke-screen"**. The court either statute itself contemplates the lifting, or the corporate personality is being misused for an unlawful or improper purpose (tax evasion, fraud, avoidance of welfare legislation). The fundamental principle may be disregarded in the interest of justice.

Synonyms used by judges: piercing the veil cracking open the corporate shell disrespecting the separate corporate personality tearing the veil — and the three techniques: **penetration** (ignore the company, fix liability on members), **extension** (treat a group as one entity), **ignorance** (non-recognition of the company at all).

Foundation — Sec. 9, not its negation

Lifting the veil **presupposes** the separate entity: there must be a veil to lift. Therefore:

- The doctrine does **not invalidate** the company — after the veil is lifted, the company remains a perfectly valid company.
- It requires **strong reasons**: "adherence to the *Salomon* principle will not be doggedly followed where this would cause an unjust result" (DU Case Material). The matter is largely in the discretion of the court, governed by "the underlying social, economic and moral factors as they operate in and through the corporation".
- The Supreme Court: "It is the duty of the court, in every case where ingenuity is expended to avoid taxing and welfare legislation, to **get behind the smoke-screen and discover the true state of affairs**. The court is not to be satisfied with form and leave alone the substance of a transaction." — *Workmen v. Associated Rubber Industry Ltd.*

4.2 Who can plead the doctrine? (the "standing" rules)

+ Who CAN

- **Creditors, revenue authorities, workmen, the State** — those who are **defrauded or prejudiced** by the misuse of the corporate form;
- **Third parties** dealing with the company, where the company is a sham device;
- **Courts suo motu**, in the interest of justice, and the **statute itself** (statutory exceptions).

The doctrine operates in **defence proceedings**: it is raised against a person who relies on the company's separate personality as a **shield** to cover his wrongdoing.

x Who CANNOT

- **Shareholders cannot ask for the veil to be lifted for their own benefit** — *Kondoli Tea Co., In re* (they wanted the transfer duty exemption); *Premlata Bhatia v. UOI* (2004) (licencee who transferred premises to her own company without consent: "If the doctrine is applied, only she will be found" — rejected);
- Members cannot claim to be **economically identical** with the company where this harms revenue — *Bacha F. Guzdar*; *CIT v. Associated Clothiers*;
- Persons who **created** the sham cannot complain;
- No lifting in cases where the company's separate existence is **legally required** to be maintained (e.g. licensing, tenancy), absent fraud.

4.4 Statutory grounds — under the Companies Act, 2013 (with other statutes)

Provision	What it provides	How it pierces the veil / fixes personal liability
S. 3 read with S. 464	Minimum members: public 7, private 2, OPC 1. **S. 3A** (inserted by the Companies (Amendment) Act, 2020): if membership falls below the minimum and the company carries on business for **more than six months** in that state, every member during that period who is **cognisant** of the fact is **severally liable** for the whole debts contracted during that time, and may be **severally sued** therefor.	Strips the veil from the remaining member — the mischief of *Salomon*-type one-member continuity; mirrors the English rule (s. 48 CA 1862; s. 24 CA 1985, applied in *Nisbet v. Shepherd* (1994): sole member liable despite hardship). Note: **S. 464** of the 2013 Act instead caps the maximum number of partners in an unregistered association at 50 (100 by notification) — a different rule.
S. 7(5)–(7)	Where incorporation is obtained for a **fraudulent or unlawful purpose** or by misstatement/false information: the company may be **wound up** by the Tribunal; the persons concerned are made **jointly and severally liable, without limit**, for the liabilities incurred; and the fraud is itself **punishable** (imprisonment and/or fine).	The promoters/officers behind the certificate are exposed the moment the incorporation itself is a fraud — the strongest statutory lifting provision.
S. 12(9)	Where company's name is not properly mentioned in any bill, invoice, letterhead, prospectus etc. — the **officer/person who signed or authorised** it is personally liable to the other party.	Directors held personally liable on a cheque signed in a wrongly-shortened name — *Hendon v. Adelman* (1973) ("LR Agencies Ltd." for "L & R Agencies Ltd.").
Ss. 34, 35, 36	Criminal (S. 34: knowingly issue untrue prospectus — imprisonment & fine) and civil (S. 35: compensation to subscribers by every promoter, director, expert) liability for misstatements.	Liability runs to the human actors (promoters, directors, experts), not merely the company.
S. 127 (deposits)	If a company **defaults in repayment of deposits**, the company is punishable with fine and **every officer of the company who is in default** is likewise punishable; the repayment obligation continues to bind the company and the officers remain accountable.	Officers cannot hide behind the company where depositors' money is concerned.
S. 129(3)	Holding company must prepare **consolidated financial statements** for itself and all subsidiaries, laid before the AGM; separate statement of salient features of subsidiary accounts (S. 129(3) & Rules).	Statutory **merger of group entities for accounting** — the group is treated as one economic whole before creditors/public, though the entities remain distinct.
Ss. 219, 224(5) (insolvency/liquidation documentation and reporting)	Statement of affairs, liquidator's duties, reporting to Tribunal.	Officers must account; concealment/fraud exposes persons (see S. 339).
S. 339 (fraudulent trading)	If, in winding up, business has been carried on with **intent to defraud creditors** or for any **fraudulent purpose**, the persons **knowingly parties** may be made **personally liable** for all or any of the debts, without limit.	The chief statutory exception to limited liability — *Re William C. Leitch Bros.* (1932): it is a fraud to carry on business when the company is insolvent and creditors are being kept at bay.
S. 447 & allied (S. 448–451)	**Fraud** in relation to the company's affairs — punishment of persons who were **in charge of, and responsible for, the conduct of business**, along with the company.	Officers' liability is direct; the company veil gives no shelter in fraud cases.
S. 19 (read with 2(87))	A subsidiary cannot become a member of its holding company; allotment/transfer to it is **void**.	Statutory refusal to treat group companies as one entity for cross-holding — veil preserved, not lifted.
S. 2(45) & 394–395 (government companies)	CAG appointment and audit; annual reports laid before Parliament/Legislature.	Public accountability is grafted onto the separate entity of a government company.

Other statutes that lift the veil Income-tax Act, 1961: s. 179 (a private company's directors are jointly and severally liable for unpaid tax if recovery from the company fails), s. 2(22)(e) (deemed dividend where closely-held company gives loans/advances to shareholders — the very device used in *Dinshaw Petit*), s. 68 (unexplained credits taxed in the hands of the recipient), GAAR (Ss. 95–102).
Information Technology Act, 2000 — s. 85: every person in charge of, and responsible for, the conduct of business is liable for offences by the company.
Environment (Protection) Act, 1986 — s. 16; **Water Act, 1974** — s. 47; **Air Act, 1981** — s. 40: same "person in charge" pattern.
Welfare statutes — Payment of Bonus Act 1965 (see *Associated Rubber*), Employees' PF, Industrial Disputes Act — courts look at the substance.
Banking/customs/excise & FEMA — economic statutes regularly identify the real controller/director.

4.5 Judicial ground (1) — Determination of the true character of a company (enemy character)

A company is an artificial person: it has no mind or conscience and can be **neither loyal nor disloyal, neither friend nor enemy**. But in times of war the court may examine the character of the **persons in de facto control** — if they reside in, or act under the control of, an enemy country, the company itself will be treated as an **enemy company**, and it cannot sue or be paid, because that would amount to trading with the enemy.

> *People's Pleasure Park Co. v. Rohleder* **(1908) 109 Va. 439 — the contrast** Land was conveyed subject to a covenant not to sell to **coloured persons**; the transferee sold to a company whose members were exclusively negroes. The court **refused** to lift the veil: "the corporation has a

distinct existence — an existence separate from that of its shareholders"; members individually or collectively are not the corporation. Because there was no danger to public interest, the veil stayed.

Also on this ground: *Sovfracht v. Van Udens Scheepvaart* (1943) AC 203 (HL) (enemy character again); *Kuenigl v. Donnersmarck* (1955); *New Horizons Ltd. v. UOI* AIR 1994 Del. 126 — a blacklisted contractor cannot hide his disqualification by tendering through a company (reversed on facts in *New Horizons Ltd. v. UOI* (1995) 1 SCC 478, which used the veil to see the constituents' experience). Licensing/disqualification cases show the modern use of this ground.

4.6 Judicial ground (2)— Prevention of fraud or improper conduct (sham / cloak)

"The corporate entity is wholly incapable of being strained to an illegal or fraudulent purpose. The courts will refuse to uphold the separate existence of the company where it is formed to defeat or circumvent law, to defraud creditors or to avoid legal obligations." — DU Case Material. This is the widest judicial ground: fraud, misrepresentation, diversion of funds, evasion of contractual or statutory obligations.

Jones v. Lipman **(1962) 1 WLR 832** Lipman agreed to sell land to Jones for £5,250, changed his mind, and — to avoid specific performance — sold the land to a company **formed for that very purpose** (he controlled it; the company was a "mask"). **Held:** the court ordered the **company itself to transfer the land** to Jones — the corporate form was used as a device to defeat a legal obligation; the veil was lifted and the decree operated on the company.

More on this ground *PNB Finance Ltd. v. Shital Prasad Jain* (1981) — companies created only to hoodwink the lending company; their assets attached. *DDA v. Skipper Construction Co.* (1997) 11 SCC 430 — veil lifted to expose persons using the company to defraud plot/flat allottees; human agents not absolved. *Jai Narain Parasrampuria v. Pushpa Devi Saraf* (2006) 7 SCC 756 — promoters estopped from denying the company's ownership. *Barakot Ltd. v. Epiettee Ltd.* (1997) — loan agreement pre-dating incorporation dismissed (res judicata).

4.7 Judicial ground (3)— Prevention of tax evasion / benefit of the revenue

"The court has the power to disregard the corporate entity if it is used for tax evasion or to circumvent tax obligation… in certain exceptional cases the Court is entitled to lift the veil of corporate entity and to pay regard to the economic realities behind the legal facade."— CIT v. Sri Meenakshi Mills Ltd., AIR 1967 SC 819 (The DU Case Material's own formulation)

Apthorpe v. Peter Schoenhofen Brewing Co. **(1899) 4 TC 41 — agency case** Aliens could not hold land in New York; an English company bought the business and assets of a New York brewery; the American company was kept alive **only to hold the land**, the business being run by the English company. **Held:** the American company was the English company's **agent**; the whole profit was taxable as the English company's income — despite the *Salomon* argument. Followed in *Firestone Tyre & Rubber Co. v. Llewellin* (1957) 1 WLR 464 (subsidiary as the parent's European trading agency).

The reverse side — members cannot use the veil either *Bacha F. Guzdar v. CIT* AIR 1955 SC 74: a shareholder's dividend from a tea company is **not** "agricultural income" (even though 60% of the company's income was) — the company's income and the shareholder's income are different legal persons' incomes. *CIT v. Associated Clothiers Ltd.* AIR 1963 Cal. 629: selling property to one's own company is a real commercial sale; the profit is assessable. *Juggilal Kamlapat v. CIT* (1969) 2 SCC 376; *India Waste Energy Development Ltd. v. Govt. (NCT of Delhi)* (2003) 114 Comp Cas 82 (Del): lifting permissible for tax evasion even absent statutory provision.

4.8 Judicial ground (4)— Avoidance of welfare legislation

"It is the duty of the court, in every case where ingenuity is expended to avoid taxing and welfare legislation, to get behind the smoke-screen and discover the true state of affairs. The court is not to be satisfied with form and leave alone the substance of a transaction."— Workmen v. Associated Rubber Industry Ltd. (1985) 4 SCC 114 (SC, O. Chinnappa Reddy J.)

Allied cases *KCP Ltd. v. KCP Employees' Association* AIR 1969 Mad. 370 — holding company and subsidiaries treated as one group for bonus. *National Dock Labour Board v. Pinn & Wheeler Ltd.* 1989 BCLC 647 — three companies at one dock shown to be one undertaking to avoid the Dock Labour Scheme. *Chitra Kumar Basu v. Property Development Trust Ltd.* (1988) 93 CWN 725 — evasion of welfare legislation. *State of U.P. v. Renusagar Power Co.* (1988) 4 SCC 59 — subsidiary generating power exclusively for the parent treated as one unit for excise, to prevent evasion of duty. *Merchandise Transport Ltd. v. British Transport Commission* — licences obtained through a subsidiary with no business of its own set aside.

Why this ground is the most-tested It unites Salomon (distinct entities), the veil (substance over form), welfare law (bonus) and a 10-line quotable judgment (Chinnappa Reddy J.). It was the **December 2024 DU question 2** — see §07.

4.9 Judicial ground (5)— Company as agent / surrogate / instrumentality of the State (government companies)

A government company is **not** a department or extension of the State — its employees are not civil servants; prerogative writs do not issue against it (*Praga Tools Corpn. v. C.A. Imanual* (1969); *Heavy Engineering Mazdoor Union v. State of Bihar* (1969)). But when the company is in substance an **agent, surrogate or instrumentality of the State**, the veil is lifted and the State's obligations — including fundamental rights of employees — bind it. The test is **functional**, not formal: "merely because a company… has functional and jural individuality for certain purposes, it does not necessarily follow that for the effective enforcement of fundamental rights we should not scan the real character of that entity."

Som Prakash Rekhi v. UOI **(1981) 1 SCC 449** An employee of Burmah Shell (Oil Storage) was entitled to pension/provident fund; the undertaking was acquired and vested in **Bharat Petroleum Corporation Ltd.** (a government company) under the Burmah Shell (Acquisition of Undertakings in India) Act 1976; BPCL reduced his pension. The court (Krishna Iyer J.) looked behind the company: "This is the well-worn legal strategy for government to run economic enterprises… **Law does not hoodwink itself; what is but a strategy cannot be used as a stratagem.**" Where the company was created to perform a public function with the State as "the true owner, the real operator… the effective collectorate", writ lies, and the veil is lifted for enforcement of rights. The corporate form only assures commercial flexibility — it does not insulate the State from accountability.

Where the veil was NOT lifted (negative side) *LIC v. Escorts Ltd.* (1986) 59 Comp Cas 548 (SC) — LIC acting as majority shareholder to remove a management was not an instrumentality of the State; *Praga Tools*; *R.D. Singh v. Bihar State Small Industries Corpn.* (1975); *TM Devassy v. Periyar Latex (P) Ltd.* (1994); *Balmer Lawrie & Co. v. Partha Sarathi Sen Roy* (2013) 178 Comp Cas 297 (61.8% holding + institutional holdings not enough on facts); *Freewheels*; *Vikas Jalan v. Nucon Industries* (2001) (a private company is not the property of a joint Hindu family).

Modern extensions *New Tirupur Area Development Corpn. Ltd. v. State of TN* AIR 2010 Mad. 176 — 17.04% government stake but State-controlled public service → public authority under the RTI Act; *Mysore Paper Mills Ltd. v. Officers' Assn.* (2002) 2 SCC 167 — 97% holding + government concurrence for directors + public duties → instrumentality of State; *Sukdev Singh v. Bhagatram* (1975) 1 SCC 421; *Mahabir Auto Stores v. IOC* (1990)

3 SCC 752 — IOC must act fairly in trade matters; *Electronics Corpn. of India v. Govt. of AP* (1999) 4 SCC 458 — a government company is not exempt from State taxation: if the veil were lifted the State's exemption could not be claimed either (the doctrine cuts both ways).

4.10 Judicial ground (6)— Protection of the shareholders' fundamental rights (the Cooper–Bennett line)

Already developed in §03. Framing for a 10-mark answer: here the veil is lifted **in favour of** the persons behind the company, because "the fundamental rights of citizens are not lost when they associate to form a company" — *R.C. Cooper* (qualitative test) and *Bennett Coleman* ("rights projected and manifested through the corporation"; company gains standing by impleading a shareholder: *Godhra Electricity Co. v. State of Gujarat* (1975); *Express Newspapers*; *Sakal Papers*).

4.11 Judicial ground (7) — Economic realities / group entities & the judge-made situational tests

Where a group of companies is used as a single economic unit to evade obligations, courts look at substance. DU Case Material's four recurring situations: **(i) partnership of two corporate entities with one acting as the alter ego; (ii) actual control by the parent of the subsidiary's affairs (subsidiary as branch/agent/trustee); (iii) the company's name being just a sham; (iv) two companies interlinked (common management, finance, operations)**.

- *State of U.P. v. Renusagar Power Co.* (1988) 4 SCC 59 — subsidiary supplying power exclusively to parent = one entity for excise (avoidance of duty).
- *DHN Food Distributors Ltd. v. Tower Hamlets LBC* (1976) 1 WLR 852 — wholly-owned subsidiary treated as part of the parent's business for compensation; contrasted with *Woolfson v. Strathclyde Regional Council* 1978 SLT 159 (no lifting where group structure was a matter of form and no injustice resulted).
- *Vodafone International Holdings BV v. UOI* (2012) 6 SCC 613 — the current benchmark: the State can look through "colourable" devices; but a genuine, legally structured transaction (Hutchison → Vodafone transfer offshore) is not to be rewritten; "lifting is an exception and not the rule".
- *State of Karnataka v. Selvi J. Jayalalitha* (2017) 201 Comp Cas 230 (SC) — separate entity subject to exception where the entity is a mere cloak or sham; company cannot conspire with its sole responsible person.
- *Park Bisleri (P) Ltd. v. CCE* (2010) 14 SCC 378 — three interrelated companies' production clubbed for exemption limits; *Bharat Steel Tubes v. IFCI* (2011) 11 SCC 385.
- Contrasts (veil preserved): *Freewheels (India) Ltd. v. Veda Mittra* AIR 1969 Del. 258 (52% subsidiary not the parent); *Industrial Development Corpn. of Orissa v. Regional PF Commr.* (2002) (holding company not the employer); *Polly Peck International plc (No. 3)* (1996) — courts look at *legal*, not economic, substance; *Balwant Rai Saluja v. Air India Ltd.* (2014) 9 SCC 407 (no control exercised → no liability); *Alembic Glass Industries v. CCE* (2002).

Veil LIFTED (abuse cases)	Veil PRESERVED (no abuse)
Sham to defraud creditors — *Gilford v. Horne*; *Jones v. Lipman*	Genuine one-man company — *Salomon*; *T.R. Pratt*
Tax-splitting companies — *Dinshaw Petit*; *Apthorpe*; *Meenakshi Mills* (power stated); *Renusagar*	Genuine commercial structure — *Vodafone*; *Bacha Guzdar* (member's income ≠ company's)
Welfare-legislation avoidance — *Associated Rubber*; *KCP*; *Pinn & Wheeler*	Legally distinct group with own business — *Freewheels*; *IDC of Orissa*; *Balwant Rai*
Fraud on nationalisation — *Subhra Mukherjee*; *DDA v. Skipper*	Tenancy/restraint cases — *Tunstall v. Steigmann*; *People's Pleasure Park*
Enemy control — *Daimler*	No public danger — *Sovfracht* (on facts), housing the contrast
State instrumentality — *Som Prakash Rekhi*; *Kapila Hingorani*; *Mysore Paper Mills*	Genuine government company — *Praga Tools*; *Heavy Engg. Mazdoor Union*; *A.K. Bindal*; *LIC v. Escorts*
Shareholders' rights impaired — *Cooper*; *Bennett Coleman*	Company alone affected — *Chiranjit Lal*; and no veil at member's own request — *Kondoli Tea*; *Premlata Bhatia*

Kinds of Companies — the Complete Classification (Unit 1(c))

5.2 Public company — Sec. 2(71)

Definition (S. 2(71))

"Public company" means a company which is **not a private company** and **includes** a company which is a **subsidiary of a public company**.

Deemed public company (proviso): a company that is a subsidiary of a company **not being a private company** is deemed a public company for the purposes of the Act, **even if its own articles continue to be those of a private company**. (Hence the "public" tag travels down the chain.)

Incidents — minimum **7 members** (S. 3(1)(a)); minimum **3 directors** (S. 149(1)); may issue prospectus / invite public (but then must comply with Ss. 23–40); not less than two-thirds of the directors liable to retire by rotation (S. 152(6)); no restriction on transfer of shares; independent directors & committees where thresholds met; stricter deposits, loans, accounts regime.

Listed company (S. 2(52)) — a sub-species

A company having listed equity shares on a recognised stock exchange (or whose shares are listed). The listing brings SEBI (LODR) Regulations, disclosure and governance obligations. Distinguish: a public company need not be listed; a listed company is necessarily public.

Private company's requisites that a public company must observe

- public cannot restrict transferability of shares;
- cannot limit members to 200 — it is open-ended;
- must comply with prospectus rules before inviting public.

5.3 Private company — Sec. 2(68)

Definition: "private company" means a company having a minimum paid-up share capital as may be prescribed (requirement deleted by the 2015 Amendment) and which by its **articles**:

(1) Restricts transferability restricts the **right to transfer** its shares (any restriction enabling directors to maintain the 200-member ceiling suffices; not required for a private company not limited by shares)

(2) Limits members to 200 exclusive of present/former employees; joint holders = **one member**; OPC excluded

(3) Prohibits public invitation prohibits any **invitation to the public** to subscribe to shares/ debentures, and any invitation or acceptance of **deposits** from persons other than members, directors or their relatives

Conditions precedent: minimum **2 members** (S. 3(1)(b)); minimum **2 directors** (S. 149(1)); must have **articles** (to contain the three restrictions); may commence business immediately on incorporation, being exempt from the prospectus/minimum-subscription regime that governs public issues.

Conversion
Private → Public: by special resolution deleting the s. 2(68) restrictions from the articles; from the date of alteration it becomes a public company and must comply with public-company requirements (3 directors, 7 members, etc.). **Public → Private:** special resolution to insert the s. 2(68) restrictions — but such alteration **shall not have effect unless approved by the Tribunal** (S. 14(1) proviso); a copy with the Tribunal's order must be

filed with ROC within 15 days. Conversion never changes the company's **identity** — it is the same legal person (*All India Reporter Ltd. v. Ramchandra* AIR 1961 Bom. 292).

Privileges / exemptions of a private company (short-note material)

Area	Privilege
Formation	Only 2 subscribers (S. 3); only 2 directors (S. 149).
Prospectus	Exempt from prospectus/minimum-subscription requirements; can allot immediately (no public issue possible at all — S. 2(68)(iii)).
Directors	Not liable to retire by rotation (S. 152 relaxations); single resolution for all directors; no 14-day notice for new director (Ss. 160, 162 not applicable); no consent-to-act filing (S. 152(5)); no limit on managerial remuneration (S. 197 exempted); additional disqualifications may be added by articles (S. 164(3)); interested director may participate after disclosure (S. 184).
Capital	Rights-issue window can be shorter than 15 days (S. 62 relaxations); ESOPs by ordinary resolution; 2015 notification: may issue such classes of shares as articles provide.
Meetings	Quorum 2 members personally present (S. 103); board meeting quorum relaxed; one board meeting per half-year for OPC/small/dormant (S. 173(5)).
Loans & deposits	May accept deposits from members up to 100% of paid-up capital + free reserves (notified); loans to directors permitted subject to conditions (S. 185 exemptions).
Audit & accounts	Audit ceiling relaxations; no cash-flow statement for small/private companies (as notified); CSR and audit-committee requirements largely don't bite (S. 135, 177 thresholds).

A private company has been described as "an incorporated partnership, combining the advantages of both elements — the privacy of partnership and the permanence and origin of the corporate constitution. Ordinary companies are like bees working in a glass-hive; private companies can keep their affairs to themselves."(DU Case Material)

5.4 Holding company (S. 2(46)) & subsidiary company (S. 2(87))

The two definitions

S. 2(46): "holding company", in relation to one or more other companies, means a company of which such companies are **subsidiary companies**.

S. 2(87): "subsidiary company" in relation to any other company (the holding company) means a company in which the holding company —

- **(i) controls the composition of the Board of directors** *or*
- **(ii) holds more than half in nominal value of its equity share capital** — that is, controls more than half of the **total voting power**.

Board-composition control (Explanation): the holding company has the power to **appoint or remove a majority of directors**; it is deemed to have it where a person's appointment as director cannot be made without its support, or automatically follows on appointment as its director/manager, or the directors are its nominees or its subsidiaries' nominees.

Further rules of the game

- **Chain rule (Explanation to S. 2(87)):** subsidiary of a subsidiary is a subsidiary of the ultimate holding company. Illustration in the section: B is a subsidiary of A; C of B; therefore C is a subsidiary of A; D (subsidiary of C) is a subsidiary of B, and consequently of A, and so on.
- **Nominee rule:** shares held or power exercisable by a **nominee** of the holding company (or of its subsidiary) count for the test.
- **Disregarded shareholding (must quote in exam):** shares held / power exercisable (a) in a **fiduciary capacity**; (b) under the provisions of **debentures or a trust deed** securing debentures; (c) by a **lending company by way of security** in the ordinary course of business — are ignored.
- **Layers:** holding companies of prescribed classes cannot have subsidiaries beyond the prescribed number of layers (Rule — not more than **2 layers**, excluding a layer of wholly-owned subsidiaries).
- **S. 19:** a subsidiary cannot be a member of its holding company; allotment/transfer is **void** (exceptions: legal representative, trustee, pre-existing shareholding, amalgamation scheme).
- **S. 129(3):** holding company must prepare **consolidated financial statements** of the whole group.

Control ≠ merger of personality A 52% subsidiary (*Freewheels (India) v. Veda Mittra*), a wholly-owned subsidiary with its own business (*Balwant Rai Saluja v. Air India*), and a parent cannot be substituted as the employer of subsidiary workers (*IDC of Orissa v. Regional PF Commissioner*). The veil is lifted for a group **only** when the subsidiary is a mere branch/agent/trustee (Renusagar; DHN; KCP) or an obvious device (Associated Rubber).

5.5 Limited by shares · Guarantee · Unlimited — Secs. 2(22), 2(21), 2(92)

Company limited by shares — S. 2(22)

The liability of its members is **limited by the memorandum to the amount, if any, unpaid on the shares** respectively held by them. The overwhelming majority of companies — including every listed company — are of this kind. The member's liability is satisfied by paying the issue price; nothing more can be called from him (except in winding-up calls made under the Act, within the same limit).

Company limited by guarantee — S. 2(21)

Liability is limited **by the memorandum to such amount as the members respectively undertake to contribute to the assets of the company in the event of its being wound up**.

Features:

- May have **no share capital** (typical of clubs, associations, stock exchanges, charitable bodies);
- If it has share capital, reduction rules apply (S. 66) and it **cannot buy back its own shares** (S. 67);
- Articles must state the number of members with which it is registered;
- **S. 4(7):** any provision in MOA/articles or resolution purporting to give a non-member a right to participate in divisible profits is **void**;
- Membership transfer involves **admission to the organisation**, so the rights of the body to refuse are wider than in a share company (*Narendra Kumar Agarwal v. Saroj Maloo* (1995) 6 SCC 114);

Unlimited company — S. 2(92)

"Unlimited company" means a company **not having any limit on the liability of its members**.

Features:

- Articles must state the number of members and, if it has share capital, the amount of share capital;
- Members are liable like partners **but** creditors cannot sue them directly — the liability is realised through **winding up** (the liquidator calls on members to contribute — S. 333);
- Need not have share capital; can **reduce capital freely**; can **purchase its own shares** (S. 67 doesn't apply);
- May **re-register as limited** (S. 18) — existing debts/liabilities unaffected;
- Rarely chosen now — suited to family enterprises where public confidence in unlimited credit matters.

- Guarantee **without** share capital may also be formed as a **Section 8** charitable company.

5.6 Small company — Sec. 2(85)

Definition: a company, **other than a public company**, whose —

paid-up share capital does not exceed **₹4 crore** (statutory base ₹50 lakh; raised by notification to ₹2 crore in 2018 and to **₹4 crore** by the 2022 Rules)

or turnover as per the last profit & loss account does not exceed **₹40 crore** (statutory base ₹2 crore; raised to ₹20 crore, then **₹40 crore** by the 2022 Rules)

Proviso — exclusions: the definition does not apply to (i) a **holding or subsidiary company**; (ii) a company registered under **Section 8** (charitable); (iii) a company/body corporate governed by a **special Act**.

Why it matters: small companies enjoy lighter compliance — one board meeting each half-year (S. 173(5)), audit-committee/CSR inapplicability, exemption from cash-flow statements, easier annual-return filing, less-rigorous board/committee requirements for private small companies.

5.7 One Person Company (OPC) — Sec. 2(62) read with S. 3(1)(c)

The concept

S. 2(62) "one person company" means a company which has **only one person as a member**. S. 3(1)(c) — a company may be formed for any lawful purpose by **one person**, where the company is to be a one person company, i.e., **a private company**. Introduced on the **J.J. Irani Committee** recommendation — India was among the first jurisdictions to allow a single-member limited-liability company.

Features: the member is a **natural person** (Rules; no minor); the OPC is a **private company** with separate personality and limited liability; it must designate a **nominee**.

The nominee mechanism

- The memorandum must state the name of **another person** who, with his prior **written consent** filed with the ROC, shall become the member in the event of the member's **death or incapacity to contract**;
- The nominee may withdraw consent; the member may substitute another nominee by notice; any change does **not** amount to alteration of the memorandum (2021 Amendment liberalised repeated changes);
- The company must inform the ROC of the change;
- On death/incapacity, the **nominee becomes the member**.

Governance & privileges One director suffices (S. 149(1)(a)); the member is deemed the **first director**; only one board meeting per half-year (gap ≥90 days) (S. 173(5)); S. 174 quorum doesn't apply; no AGM requirements of a general nature (exemptions under 2015/2021 notifications); relaxed compliance.

Conversion & checks Can convert to private/public company and vice-versa (S. 18 & Rules; the old mandatory conversion on capital/turnover thresholds was replaced by **voluntary** conversion from 2021); OPC cannot be a Section 8 company; only a natural person can be member; no OPC for charitable objects.

Connections to this unit An OPC is the modern statutory answer to the *Salomon* one-man company: the legislature now **encourages** what the House of Lords merely tolerated — while **S. 3A** still exposes members when a company is carried on below its minimum membership.

5.8 Government company — Sec. 2(45)

Definition (S. 2(45))

"Government company" means any company in which **not less than fifty-one per cent of the paid-up share capital** is held by — the **Central Government**, or any **State Government(s)**, or **partly by the Central Government and partly by one or more State Governments**, **and includes a company which is the subsidiary of a company so defined**.

Tests: (i) shareholding threshold — **51%+ paid-up capital** (50% exactly is *not* enough — *TM Devassy v. Periyar Latex*); (ii) ownership by government(s) in the defined combinations; (iii) subsidiary-chain inclusion. A takeover of management under IDRA does **not** make a company a government company (*Kulbir Singh v. UOI* (1997)).

Special provisions (Ss. 394–395 & audit)

- **Auditor** appointed/re-appointed by the **CAG** (S. 139(5)); CAG may direct the manner of audit, order supplementary/test audit, and comment on the audit report (S. 143(5)–(7));
- **Annual report** on the working and affairs of the company within 3 months of the AGM, laid before **both Houses of Parliament** (or the State Legislature) with the audit report and CAG comments (S. 394); applies even in liquidation; exemptions may be notified (S. 462);
- Non-government "public sector" character: employees are **not** civil servants; but the company may be an **instrumentality of the State** under Art. 12 for writ purposes — see §4.9 (*Som Prakash Rekhi; Kapila Hingorani; Mysore Paper Mills*) — while *Praga Tools; Heavy Engg. Mazdoor Union; A.K. Bindal; LIC v. Escorts* hold otherwise on their facts.

Ankur R. Upadhyay

5.9 Foreign company — Sec. 2(42) (read with Ss. 379–392)

The two-limb definition

"Foreign company" means any **company or body corporate incorporated outside India** which — **(a)** has a **place of business in India**, whether by itself or through an **agent**, **physically or through electronic mode**; **and (b) conducts any business activity in India** in any other manner.

Electronic mode (Rules) covers e-commerce, offers/invitations to Indian persons to subscribe to securities, financial settlements, web-based marketing, teleservices, etc. A share transfer/share registration office in India is a place of business.

Key point: a company incorporated outside India with only foreign shareholders but **no Indian presence** is not a "foreign company" under the Act; conversely a company incorporated in India with 100% foreign shareholders is an **Indian** company, not a foreign company.

Obligations (S. 380–392) and consequences

- **S. 380:** file with the ROC (within 30 days of establishing its place of business) — certified copy of charter/constitution (with certified translation if not in English), address of registered/principal office abroad, list of directors & secretary, particulars of the person(s) authorised to accept service in India, address of the Indian office deemed principal place of business, particulars of opening/closing of earlier places of business, a declaration that none of the directors/representatives has been convicted or debarred, and prescribed information; notify changes (S. 380(3));
- **S. 381:** file balance sheet & P&L in the prescribed form every calendar year;
- **S. 382:** conspicuously exhibit its **name and country of incorporation** (English + regional language) outside every place of business, and state the same (with the fact of limited liability) on all business letters, bill-heads, notices, publications; failure does not invalidate contracts but (as the Act provides) affects the company's right to sue or claim set-off until compliance;
- **Prospectus (Ss. 390–391)**, service of process on the authorised person, and **winding up** provisions apply (*Re Senator Hanseatische* (1997) — jurisdiction from a UK business club).

5.11 Company vs. Partnership vs. LLP (the comparison the syllabus also wants)

Point	Company (CA 2013)	Partnership (IPA 1932)	LLP (LLP Act 2008)
Legal status	Separate legal entity (S. 9); can own property, sue & be sued	Not a separate entity (unless registration under some States' special Acts)	Separate legal entity (S. 3, LLP Act)
Liability	Limited (shares/guarantee) — subject to veil-lifting	Unlimited; every partner jointly & severally liable	Limited to contribution; unlimited **only for own wrongful act** (S. 28–30)
Members	1 (OPC) / 2 (private) / 7 (public)	2–50 (Indian Partnership Act, 1932 + Companies Act S. 464: no unregistered association of >50 persons, except in notified cases, and >100 prohibited)	Min 2; no maximum
Governance	Board of directors; statutory meetings, records, audit	Partners manage; no statutory formalities	Partners manage through designated partners; annual return + audit if turnover > ₹40 lakh/ contribution > ₹50 lakh
Continuity	Perpetual succession	Dissolution on death/retirement (unless agreed otherwise)	Perpetual succession
Transferability	Shares movable & transferable (S. 44)	No transfer without consent	Interest transferable with consent (S. 31)
Documents	MOA/AOA public with ROC	Partnership deed; may be oral	LLP agreement (written, S. 23(2)); filed with ROC
Taxation	Corporate tax + dividend tax	Firm taxed; profits exempt in partners' hands (old regime)	Taxed at flat rate (as firm); no dividend tax

Prescribed & Landmark Case Law Dossiers — Detailed Analysis

CASES #01 – #13

CASE #01 — DU LL.B. PRESCRIBED AUTHORITY

Salomon v. Salomon & Co., Ltd. (1897) A.C. 22 (H.L.) — the foundation of corporate personality

(1897) AC 22 (HL) · All ER Rep 33 · Separate legal entity · Foundational / exam-must

(1) Facts

- **Aron Salomon** carried on for many years a prosperous leather-merchant and boot-manufacturing business at 113 High Street, London, trading as "A. Salomon & Co." The business was **perfectly solvent** — the liquidator himself admitted "that the business when transferred to the company was in a sound condition, and that there was a substantial surplus".
- **July 1892:** to convert his business into a limited liability company he incorporated **"Aron Salomon & Co., Ltd."** under the Companies Act, 1862. The **seven subscribers** to the memorandum were Salomon, his **wife, his daughter and his four sons** — each subscribing for **one share**, purely to satisfy the statutory minimum of seven subscribers. Nominal capital: £40,000 in 40,000 shares of £1.
- **20,007 shares were issued:** Salomon took **20,001**; each of the six family members took **1**. Salomon and two of his sons were the directors (the two sons, "the managing director and the other director") — i.e. a **"one-man company"** in everything but form.
- **Sale of the business (agreements of 20 July and 2 August 1892):** the business and goodwill were sold to the company for **£38,782** — of which about £16,000 was payable; the company paid **£6,000 in cash** and issued **£10,000 in debentures**, the debentures being **secured by a charge on the company's assets** and ranking **ahead of all unsecured creditors**. The remaining 20,000 shares were allotted to Salomon.
- Salomon later mortgaged the debentures to **Edmund Broderip** for £5,000; default having occurred, Broderip's solicitor obtained a winding-up order (**October 1893**) — the debentures were then re-issued to Broderip.
- **The failure was not Salomon's fault:** the evidence of Emanuel Salomon (employed in the business for nearly 20 years) attributed the non-success and insolvency to "**a succession of strikes in the boot trade**", and "there is not a tittle of evidence tending to modify or contradict his statement" (Lord Watson).
- **State of affairs on winding up:** assets realised about **£6,000**; claims — the **secured debenture holder £10,000** (which would swallow the assets); unsecured creditors (other than Salomon) **£7,733**. The company (through its liquidator) therefore sued Salomon for **(a)** rescission of the July/August 1892 agreements, **(b)** cancellation of the debentures, **(c)** repayment of sums paid under those agreements, and **(d)** a lien/indemnity — alleging the price paid exceeded the real value by **upwards of £8,200**, that the arrangement was "**a fraud upon the creditors**", and that no independent board ever existed.

(2) Issues

1. **Was the company at law a separate person** from Aron Salomon, or was it merely "the nominee and agent" of Salomon — i.e. "whether, in truth, that artificial creation of the legislature should be treated as a real thing" at all? (Lord Halsbury framed the question exactly so.)

2. If it was a separate person, could the money-lending/security arrangement — **£10,000 debentures issued to Salomon against the very business he had himself sold** (he was secured creditor and shareholder in the same company) — stand, even though it left trade creditors unpaid on liquidation?
3. Was the company justified in asking the court to declare Salomon **bound to indemnify it** against the creditors' claims (£7,733), on the footing that he was its agent and the real owner of the business?
4. Was a **false certificate (misdescription)** — the debenture certificate stated that £30,000 of debentures had been issued when only £10,000 had been — fatal?

(3) Arguments — for the Company (the liquidator; affirming courts below)

- **Salomon was the real owner;** the company was "a mere nominee and agent" for him. Vaughan Williams J. below had said "the business was Salomon's business and no one else's" — "the company was the agent of the appellant". An agent is bound to indemnify its principal; Salomon therefore owed the company £7,733.
- **The seven subscribers were "dummies":** his wife, daughter and sons each held one share; the company had "no board of directors... independent" — it was "a scheme to enable the appellant to carry on business in the name of the company with limited liability, **contrary to the true intent and meaning of the Companies Act, 1862**, and in fraud of creditors" (this is the very wording of the Court of Appeal's order, as reproduced in Lord Watson's speech).
- The consideration of £38,782 was **exorbitant** (exceeding the real value by over £8,200); the issue of debentures to the vendor himself was colourable; the whole arrangement was "a device to defraud creditors" (Lindley L.J. in the CA).
- Even the CA accepted the company's incorporation was not open to challenge — but urged that the court "look at the thing as a whole" and refuse effect to an arrangement whose "object... is to do the very thing which the legislature intended not to be done".

(3) Arguments — for Mr. Salomon (appellant)

- **Every requirement of the Companies Act, 1862 had been complied with** — memorandum, articles, certificate of incorporation, registration; the Act "required seven members", and "has said that one share is sufficient to constitute a shareholder, though the shares may be... held by a member who... has no interest except in the shares" (Halsbury).
- The company was **not an agent**: "it is impossible to say at the same time that there is a company and there is not a company; that the company is a real person and nothing to be an agent at all" (Halsbury, exposing the CA's contradiction).
- The **price was honestly agreed**; the business was solvent at transfer; "the honesty of the sale" was not really in contest, and the company got full value — the later insolvency was due to external causes (strikes), not overpricing.
- **All members knew and accepted** the terms of the 1892 agreements (Lord Watson: "all the members of the company were fully cognisant of the terms... and... were willing to accept and did accept those terms") — so no fraud on the company; and if the arrangement was honest in the company, it was honest *vis-à-vis* creditors who lent on the faith of the registered documents.
- The alleged defect (no independent board) was **wholly unproved**: "No evidence was led tending to support the allegation that no board of directors was ever appointed" (Watson).

(4) Observations of the Court (House of Lords — Halsbury L.C., Watson, Herschell, Macnaghten)

- *On the only guide the court may use: "I have no right to add to the requirements of the statute, nor to take from the requirements thus enacted. The sole guide must be the statute itself." — Lord Halsbury L.C.*
- *On the artificial person: "It is essential to the artificial creation that the law should recognise only that artificial existence — quite apart from the motives or conduct of individual corporators… once the company is legally incorporated it must be treated like any other independent person with rights and liabilities appropriate to itself, and the motives of those who took part in the promotion of the company are absolutely irrelevant." — Halsbury L.C.*
- *On "real thing" / agent: "The learned judges appear to me not to have been absolutely certain in their own minds whether to treat the company as a real thing or not. If it was a real thing; if it had a legal existence, and if consequently the law attributed to it certain rights and liabilities in its constitution as a company, it appears to me to follow as a consequence that it is impossible to deny the validity of the transactions into which it has entered." — Halsbury L.C. (quoted with approval by the Privy Council in Lee).*
- *On the CA's invented requirement: the judges below "wanted to do what Parliament never intended" — they refused to accept a company "where all the shares but one are held by one person", but "the Act does not say" that; "one share is sufficient to constitute a shareholder" (Halsbury).*
- *Lord Macnaghten's immortal words: "The company is at law a different person altogether from the subscribers to the memorandum… and though it may be that after incorporation the business is precisely the same as it was before… the liability of the members… is… limited… the company is not in law the agent of the subscribers… nor are the subscribers as members liable in any shape or form, except to the extent and in the manner provided by the Act."*
- *On "one-man companies" and motive: "It has become the fashion to call companies of this class 'one man companies'. That is a taking nickname, but it does not help one much in the way of argument… If it merely means that there is a predominant partner possessing an overwhelming influence and entitled practically to the whole of the profits, that is no reason in the world why the company should not be a company legally incorporated." — Macnaghten.*
- *On the alleged fraud: "The company was bound to take the business… at a proper valuation" and the debenture-holder "was entitled to enforce the security"; on the evidence "there was no fraud" — the creditors who dealt with the company did so knowing its capital and its debenture charge; the "object of the legislature" in permitting limited liability was precisely to let honest traders (not just financiers) enjoy it (Watson).*
- *On misdescription (false certificate): an objection taken in the CA that the debenture certificate was false (stating £30,000 issued when £10,000 were) was disposed of: the appellant was not party to the fraud, and the point "does not help the company"; "the honesty of the issue of the debentures... is not attacked" (Watson).*

(5) Decision

- **House of Lords (unanimous): appeal allowed; the order of the Court of Appeal reversed.** The company was validly incorporated; **Salomon was not liable to indemnify it**; the **£10,000 debentures were valid** and, being secured, ranked **first** on the company's assets — so the £6,000 of assets went to the secured creditor (Broderip) and the unsecured creditors got nothing.
- Forensic history worth quoting: **Vaughan Williams J.** (first instance) held for the company (Salomon as agent, bound to indemnify — price "exorbitant"); **Court of Appeal [Lindley, Lopes, Kay L.JJ., 1895]** affirmed in emphatic language — Lindley L.J. called the arrangement "a **device to defraud creditors**" and said the company was a mere "sham" whose members were "dummies"; the **H.L. unanimously reversed** — the most famous reversal in company law.

(6) Principle evolved

- **The cardinal principle:** from the moment of incorporation, a company is a **legal person distinct from its members** — it may own property, contract, sue and be sued in its own name; its members generally have **no rights in its property** and **no liability for its debts** (beyond their shares).
- The **statute is the sole guide**: courts cannot import policy requirements ("independent directors", "genuine subscriber" etc.) that the legislature has not written; the validity of an incorporation is tested by **compliance with the statute alone**, and the **motives of the corporators are irrelevant**.

- **One-man companies are lawful** — "one share is enough"; a company controlled by a single member is none the less a legal person.
- Even the vendor of his business to his own company may lawfully be its **secured creditor** (debenture-holder) — and priority of debentures over unsecured trade creditors does not constitute fraud.
- Corollary (equally examinable): because the company is a separate person, **limited liability can be abused** — hence the doctrine of **lifting the corporate veil** (§04) and the **statutory exceptions** (§4.12) are the necessary counterweight, but every lifting is measured against *Salomon*, which the courts will not lightly displace.

One-line for revision: "The company is at law a different person altogether from the subscribers" — once incorporated it is an independent person; the statute, not the court's sense of fairness, is the sole guide.

CASE #02 DU LL.B. PRESCRIBED AUTHORITY

State Trading Corporation of India Ltd. v. Commercial Tax Officer, AIR 1963 SC 811

AIR 1963 SC 811 · (1964) 4 SCR 99 · (1963) 33 Comp Cas 1057 · Company is not a citizen · Short-answer staple

(1) Facts

- The State Trading Corporation of India Ltd. was a **private company** registered under the Companies Act, 1956, with its registered office in New Delhi; it was formed by the Government of India to conduct foreign trade.
- The corporation's shares were held — as the corporation itself asserted — by the **President of India** and two Union Secretaries in their official capacities, i.e. every member was a citizen of India.
- Sales tax assessments were made against it; the corporation filed **writ petitions under Art. 32** before the Supreme Court (against the Commercial Tax Officer, Visakhapatnam and the State of Bihar), complaining of the levy and seeking certiorari — claiming that the impugned provisions infringed its rights under **Art. 19(1)(f) (property) and 19(1)(g) (trade/business)**.

(2) Issues

1. Is an **incorporated company a "citizen"** within the meaning of Part II of the Constitution and of **Art. 19**, so as to be entitled to the fundamental rights conferred on citizens?
2. If not, can the court nonetheless **look through the corporate veil** to the members — who were admittedly Indian citizens — so that the company may assert "their" Art. 19 rights?
3. Could the corporation, at any rate, claim the **protection of Art. 19 as "citizen" by virtue of its Indian nationality**, on the footing that nationality and citizenship are the same?

(3) Arguments — for STC (petitioner)

- "Citizen" is not defined anywhere in Part II of the Constitution; the definition must be gathered from the scheme — and a company incorporated in India, all of whose members are citizens, should qualify; the corporation is "an association of three citizens" and thus itself a citizen.
- Nationality and citizenship are used interchangeably in international and constitutional law; the company — incorporated and functioning in India, and an **Indian national** — must therefore be a citizen.
- The word "citizen" should receive a **wide construction** so that economic activity carried on through incorporated bodies is not left unprotected; otherwise huge areas of commerce would be beyond the reach of Part III.

(3) Arguments — for the Revenue / the State (respondents)

- **Part II of the Constitution** (Arts. 5–11) deals with "citizens" in the sense of natural persons — acquisition by birth, descent, registration, naturalisation or incorporation of territory — concepts which can **never apply to an artificial person**; a company cannot be born, be registered as a citizen, or be naturalised.
- The **Citizenship Act, 1955** likewise recognises only natural persons; the company's separate personality (*Salomon*) means the character of its members cannot be imputed to it.
- Even the petitioner's own pleading showed the shares stood in the name of the President and Secretaries *in their official capacities* — so the members were not even in their personal capacity "citizens" behind the company.

(4) Observations of the Court

- *The majority: whether this or that theory of corporate personality be accepted, neither Part II of the Constitution nor the Citizenship Act confers citizenship on, or recognises as a citizen, any person other than a natural person. The framers used "citizen" in Art. 19 in the same sense as in Part II; an incorporated company is a person, but not a citizen, and cannot enforce Art. 19.*
- *Nationality ≠ citizenship: a company looks to the country of incorporation for its nationality and to the place of its central management and control for its residence (De Beers) — but citizenship is a different, narrower concept — the political membership of the State, with rights and duties of an individual; the two must not be confused.*
- *Hidayatullah J. (concurring) — the analogy you must quote: "If all of them (the members) are citizens of India, the company does not become a citizen of India any more than, if all of them are married, the company would be a married person."*
- *On the veil: in this case the Court was not invited to "tear the corporate veil" — the argument was not that the company was a mere agent or alter ego; and even the widest veil-lifting would only identify the members, whose rights as citizens could then be asserted personally.*
- *The reassurance: companies are not defenceless — they claim the rights given to "persons" (Art. 14; Art. 21 through natural persons; Art. 265; Art. 301; Art. 300A), and a citizen member whose own rights are impaired may sue in his own right; "there is no doubt that the corporation in most cases will share the benefit" of such protection.*

(5) Decision

- The writ petitions were **dismissed**: STC, though a legal person and an Indian national, is **not a citizen**, and the impugned sales-tax provisions could not be struck down on a company's invocation of **Art. 19**.
- Shah J. (with the majority) and Hidayatullah J. (concurring separately) both held: a corporate body is not a citizen; rights under Art. 19 belong to natural persons. The reference to "one-man companies, in which the sole member or the majority of members consist of citizens" was expressly left open — the Court did not decide whether the member could sue in such a case.

(6) Principle evolved

- **A company is not a citizen** — no incorporated body can be; citizenship attaches only to natural persons (Part II + Citizenship Act, 1955).
- **Capabilities of the company distinguished:** nationality and residence (yes, by incorporation and central control) · legal personality (yes) · citizenship and political/fundamental rights of citizens (no).
- Fundamental rights are of two classes — those of **citizens** (Arts. 15, 16, 19, 29) and those of **all persons** (Arts. 14, 20, 21, 25, 26…) — and a company can invoke only the second class **directly**; the first class it can reach only **through its citizen-members** (which the next cases develop).
- This is the first step of the four-case chain: **STC (no citizenship) → TELCO (no veil-lifting for the company's benefit) → R.C. Cooper (qualitative test for shareholders) → Bennett Coleman (veil lifted for shareholders/editors)**.

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CASE #03 DU LL.B. PRESCRIBED AUTHORITY

Tata Engineering & Locomotive Co. Ltd. v. State of Bihar, AIR 1965 SC 40

AIR 1965 SC 40 · (1964) 6 SCR 885 · Veil not lifted for company's benefit · Chain-link 2/4

(1) Facts

- TELCO was incorporated under the Companies Act, 1913 with its head office in Bombay; its factory and works were at **Jamshedpur (Bihar)**, where it manufactured diesel trucks and bus chassis and spare parts (a substantial part of its production being from the Jamshedpur works).
- The **State of Bihar** levied sales tax on the company's transactions; TELCO challenged the levy by a writ petition under **Art. 32**, contending that it infringed the company's rights under **Art. 19(1)(f) and 19(1)(g)**.
- The petitioners urged that even if a company is not a citizen, the court should **lift the corporate veil** and protect the citizens — the shareholders — who stood behind the company.

(2) Issues

1. Can a registered company itself invoke **Art. 19**, given *STC*?
2. If not, can the court, by **lifting the veil of incorporation**, treat the company as merely the medium through which **citizen-shareholders** exercise their rights, and uphold the petition on their behalf?
3. Are the two "veil" functions distinguishable — lifting *against* a company (fraud, enemy character, revenue) versus lifting *for* it (to give it citizens' rights)?

(3) Arguments — for the company (Mr. N.A. Palkhivala, for TELCO)

- The right under Art. 19(1)(f)/(g) belongs to a citizen; a citizen may exercise his right to carry on business **through the medium of a company** — the company is but the vehicle and the shareholders the real beneficiaries.
- To hold otherwise would be to permit the State to do indirectly what it cannot do directly — evade constitutional restraints merely because citizens choose the corporate form for their commerce.
- The American and Indian cases on the "corporate personality" show the courts disclosing the true facts behind the corporate entity and refusing to let legal technicality defeat constitutional protection.

(3) Arguments — for the State of Bihar

- *STC* is conclusive: a company is not a citizen; Art. 19 does not protect it; the petition is not maintainable.
- The corporate veil is a judicial tool for the protection of **third parties and the public** (fraud, evasion, enemy taint) — it is **not a shield for the company itself** to claim what the law has not given it; the shareholders are not parties to the petition and cannot be substituted.
- If the shareholders' rights are violated they may sue for themselves; the company cannot press their claim as its own.

(4) Observations of the Court (per majority; the chain is summarised in Bennett Coleman, para 11)

- *The doctrine stated: "a company is distinct and separate entity from its shareholders" — the company's personality is not the personality of the shareholders; the "corporate veil" can only be lifted in well-recognised exceptional situations.*
- *The recognised exceptions named (this enumeration became the stock formula): "The corporate veil… could be lifted in cases where the company is charged with trading with the enemy or perpetrating fraud on the Revenue authorities" — i.e. veil-lifting is for protection against abuse.*
- *No lifting to confer citizens' rights: the court refused to disregard the company's separate existence for the company's own benefit; Art. 19 rights cannot be asserted by the company either directly or by equating it with its shareholders.*
- *If the impugned law affects the shareholders' rights, the remedy belongs to the shareholders — "individual members… are free to assert their rights"; the company's petition, however, fails. (The Supreme Court in Bennett Coleman characterised the TELCO approach exactly thus: "This Court said that a company was distinct and separate entity from shareholders.")*

(5) Decision

- The **petition was dismissed** — TELCO, being not a citizen, could not complain of violation of Art. 19(1)(f) and (g); the court did not lift the veil to allow the company to claim the shareholders' fundamental rights.
- The judgment left the position of the shareholders open — they could vindicate their own rights, and the following decisions (*Cooper*, *Bennett Coleman*) did exactly that.

(6) Principle evolved

- **The veil is lifted only to prevent misuse** (enemy taint, fraud on revenue, evasion of law) — **not to confer on the company rights of citizens**. "What the company cannot do directly, it cannot do indirectly through the veil."
- **The negative rule:** a company cannot maintain a petition for a violation of Art. 19 — neither as "citizen" (STC) nor through veil-lifting (TELCO).
- **The route left open:** citizen-members may sue in their own right for impairment of their rights — the seed of the **qualitative test** (Cooper) and of the **shareholders' rights doctrine** (Bennett Coleman).
- Doctrinal point: the case draws the classic line — veil-lifting is a **defensive instrument against abuse**, not an offensive instrument for the company. This is why the same court later refused to lift the veil at the member's own request (*Kondoli Tea*; *Premlata Bhatia*).

CASE #04 DU LL.B. PRESCRIBED AUTHORITY

Rustom Cavasjee Cooper v. Union of India (Bank Nationalisation case), (1970) 3 SCR 530

(1970) 3 SCR 530 · AIR 1970 SC 564 · (1970) 1 SCC 248 · Qualitative test · Chain-link 3/4 · 10:1 majority

(1) Facts

- The **Banking Companies (Acquisition and Transfer of Undertakings) Ordinance, 1969** (later replaced by the **Act of 1969**) nationalised the **14 major Indian banks** — banks with deposits of over ₹50 crore — transferring their undertakings to the Union.
- Compensation under **Schedule II** was to be fixed by a Tribunal, but was payable to the banking company **only after 10 years**; management and control passed immediately; the compensation provisions were the most fiercely attacked.
- **Rustom Cavasjee Cooper** — a shareholder, a director and a depositor in the Central Bank of India and Bank of Baroda — filed a petition under **Art. 32**, claiming that the Ordinance/Act violated **Arts. 14, 19(1)(f), 19(1)(g) and 31(2)**.
- The Union raised a **preliminary objection**: Cooper, a shareholder, had no **locus standi** — the rights infringed were those of the **banking companies**, not of a shareholder or depositor.

(2) Issues

1. Can a **shareholder, director and depositor** maintain a petition complaining of an Act which takes over the banking company's undertaking — or does the separate personality of the company exclude him? (The corporate-entity question.)

2. What is the **test** for deciding whether the shareholder's rights are "directly" impaired — a formal test (company's rights only) or a substantive one?
3. On the merits: did the Act (esp. Schedule II and s. 15) offend Art. 19(1)(f), 19(1)(g), 14 and 31(2)?

(3) Arguments — for the petitioner (Cooper)

- A shareholder's bundle of rights includes the **right to dividends, to vote, to share in surplus, and to carry on business through the agency of the company**; nationalisation destroyed the company's business and thereby **his own** rights — "he suffered financial loss", his right to vote and dividends ceased, and he was deprived of the right as shareholder to carry on business through the agency of the company.
- The Act was beyond legislative competence; the compensation was illusory (payable after 10 years, without interest); the classification of banks (above/below ₹50 crore deposits) was irrational; the guarantee of trade freedom was infringed.
- A procedure that "made the Tribunal a puppet" and fixed a wholly inadequate amount denied the guarantee of Art. 31(2); Art. 19(1)(f) was hit because the acquisition destroyed the value of the property (shares) itself.

(3) Arguments — for the Union of India

- **Locus standi:** the undertaking belonged to the banking companies, not to their shareholders; a shareholder has no interest in the company's property; Cooper was at best a creditor/depositor and a shareholder — neither's right was "directly" affected; only the companies could sue, and they could not invoke Art. 19 (STC/TELCO).
- The classic rule: **the company is a separate person**; the shareholders' rights are confined to their shares, and unless the company's rights are also impaired and the shareholder's right to dividends/votes is gone, the shareholder cannot complain.
- Nationalisation was in **public interest** and was a legislative measure of economic policy, which the courts must not substitute their judgment for.

(4) Observations of the Court (Shah J. for the majority)

- *The principle of locus standi restated but qualified: "A shareholder is not entitled to move the Court for enforcement of the company's rights" — but the court must examine the substance: "A measure executive or legislative may impair the rights of the company alone, and not of its shareholders; it may impair the rights of the shareholders not of the company; it may impair the rights of the shareholders as well as of the company. Jurisdiction of the Court to grant relief cannot be denied, when by State action the rights of the individual shareholder are impaired, if that action impairs the rights of the company as well."*
- *The holding of the court on locus: "The test in determining whether the shareholder's right is impaired is not formal; it is essentially qualitative; if the State action impairs the right of the shareholders as well as of the company, the Court will not, concentrating merely upon the technical operation of the action, deny itself jurisdiction to grant relief."*
- *The two tests from Cooper's case that Bennett Coleman later applied: (i) it is not the object of the authority making the law nor the form of action that determines the invasion of the right; (ii) it is the effect of the law and action upon the right — the direct operation upon the rights — which attracts the jurisdiction of the court.*
- *On the merits: the guarantee of compensation in Art. 31(2) required a just equivalent; a compensation clause postponing payment for 10 years and fixing no just basis was not compensation at all in the constitutional sense; the Act also contravened Art. 19(1)(f)/(g) in so far as it destroyed the rights of the shareholders of the acquired banks.*
- *A.N. Ray J. dissented (one dissent in a court of 11): he would have held the compensation constituted under the Act not violative of Art. 31 and upheld the measure.*

(5) Decision

- **Held (10:1):** the petitioner's **locus standi was upheld** — it was not necessary that the shareholder's rights alone be impaired, if the State action impaired his rights *along with* the company's; the petition proceeded to the merits.
- **Merits:** the impugned Act (in particular the compensation provisions of Schedule II and s. 15, conferring arbitrary discretion on the Central Government in making the scheme) was **struck down as void** for infringing Arts. 19(1)(f), 19(1)(g) and 31(2) (the Act was later re-enacted after amendment as the 1970 Act, which survived — but the *principle* stands).

(6) Principle evolved

- **The qualitative test:** whether a shareholder may sue depends not on form but on the **substance and quality** of the injury — if the State action impairs the rights of the company **and** thereby of the shareholder, the court will not deny relief merely because the company alone is the formal object.
- **The rights of citizens are not lost by association into a company** — the seed of the shareholders' rights doctrine: "the fundamental rights of shareholders as citizens are not lost when they associate to form a company" (as Bennett Coleman put it).
- **Test of direct operation:** for judging the impact of State action on fundamental rights, the court looks at the **effect**, not the object or form, of the measure (also applied in *Sakal*, *Express Newspapers*, *Bennett Coleman*).
- Doctrinal note: *Cooper* is thus the **bridge** between TELCO ("no veil for the company") and Bennett Coleman ("veil lifted for the shareholders") — the veil is lifted not to make the company a citizen but to protect the **citizens behind it**.

CASE #05 DU LL.B. PRESCRIBED AUTHORITY

Bennett Coleman & Co. v. Union of India, (1972) 2 SCC 788 — the veil lifted FOR the shareholders

(1972) 2 SCC 788 · AIR 1973 SC 106 · Art. 19(1)(a) · press freedom · Majority: Sikri C.J., Ray, Reddy JJ. (Ray J.); Beg J. concurring; Mathew J. separate

(1) Facts

- The petitions challenged the **Import Policy for Newsprint, 1972–73** (framed under the **Import Control Order, 1955**, itself under ss. 3 and 4-A of the Imports and Exports Control Act, 1947) and certain provisions of the **Newsprint Control Order, 1962** (under s. 3, Essential Commodities Act, 1955), as infringing **Art. 19(1)(a)** (freedom of speech and expression) and **Art. 14**.
- The **three principal changes of 1972–73** attacked: **(i)** no new newspaper/edition could be started by a common ownership unit even within its authorised quota; **(ii)** maximum page level of **10 pages**, with no adjustment between circulation and pages to enable increase of pages; **(iii)** no interchangeability of quota between papers/editions of a common ownership unit and no facility to increase pages even by reducing circulation.
- **Petitioners were companies plus natural persons:** in the Bennett Coleman group — the company, a **shareholder**, a **reader** and **three editors** of the three dailies; in the Hindustan Times case — a shareholder (also Deputy Director), a Deputy Editor, the printer-publisher and a reader; in Express Newspapers — the company and the Chief Editor; in The Hindu — a shareholder, the Managing Editor and the publisher. Every one of them claimed that the policy "imposed heavy financial loss and impaired their right to carry on the business of printing and publishing the dailies through the medium of the companies".
- **Two preliminary pleas in demurrer** were raised by the Additional Solicitor-General: (i) the petitioners were **companies and could not invoke fundamental rights**; (ii) **Art. 358** barred any challenge.

(2) Issues

1. Can the **shareholders, editors, printers and publishers** — though they speak *through* newspaper companies — invoke Art. 19(1)(a) when the State action impairs the freedom of the press exercised through those companies?
2. Does the presence of the **company** among the petitioners bar relief — i.e. when can the court **lift the corporate veil** in favour of the persons behind the company?
3. Do the Newsprint Policy and the 1962 Order's restrictions (page ceiling, no interchangeability, no adjustment between pages and circulation) **directly and disproportionately** restrict the freedom of the press, or are they a reasonable regulation under Art. 19(2)?
4. Was the policy in substance a **newspaper-control order in the guise of an import policy**?

(3) Arguments — for the petitioners (companies + shareholders + editors)

- Our case is "not the case of a company claiming citizens' rights as a company"; the petitioners include **citizens — shareholders, editors, printers, publishers** — and **"the individual rights of freedom of speech and expression of editors, directors and shareholders are all exercised through their newspapers through which they speak. The press reaches the public through the newspapers. The shareholders speak through their editors."**
- The newsprint restrictions are a **direct and disproportionate burden on circulation** — "a restraint on the number of pages, a restraint on circulation and a restraint on advertisements would affect the fundamental rights under Article 19(1)(a)"; the object of the authority and the form of the action are immaterial; the **direct operation/effect** is the test (R.C. Cooper).
- The policy is, in **pith and substance, a newspaper-control order** — it uses the import machinery to curb circulation and growth of newspapers, which is beyond the Import Control Act; the 10-page ceiling classifies arbitrarily (35 newspapers above 10 pages; big dailies hit, small ones given free growth).
- *Sakal Papers* and *Express Newspapers* already granted relief to newspaper **companies** and their shareholders; the practice of this Court is settled (in *Express Newspapers* the company was the petitioner and the Court said the Act was "liable to be struck down" if it fell within the mischief of Art. 19(1)(a); in *Sakal* "relief was granted to the shareholders and the company").

(3) Arguments — for the Union of India

- **Demurrer 1:** "the petitioners were companies and therefore they could not invoke fundamental rights" — *STC* and *TELCO*: corporations are not citizens; cf. Mukherjea J.'s *minority* view in *Chiranjit Lal* that an incorporated company can come to court for enforcement of fundamental rights.
- **Demurrer 2:** Article 358 (suspension of Art. 19 in times of war/emergency) barred the challenge — the proclamation of emergency was in force.
- On merits: the policy was a **legitimate import-control measure** to conserve a scarce essential commodity (newsprint) and secure equitable distribution; the need was for **textbook paper**; a larger quota of imported newsprint was given in 1971-72 (1.40 → 1.80 lakh tonnes) — the restrictions were reasonable, necessary and temporary.
- Freedom of the press does not guarantee an unlimited right to newsprint or to expand circulation at the cost of scarce national resources.

(4) Observations of the Court (Ray J. for the majority; Beg J. concurring)

- *The two demurrers disposed of: (i) on Art. 358 — the Court did not accept that the challenge was barred; (ii) on the company question — "this Court in State Trading Corporation… and Tata Engineering… expressed the view that a corporation was not a citizen… The result was that an incorporated company could not be a citizen so as to invoke fundamental rights. In the State Trading Corporation case the Court was not invited to 'tear the corporate veil'. In the Tata Engineering case this Court said that a company was distinct and separate entity from shareholders. The corporate veil it was said could be lifted in cases where the company is charged with trading with the enemy or perpetrating fraud on the Revenue authorities."*
- *But the veil is lifted for the shareholders here: "The Bank Nationalisation case has established the view that the fundamental rights of shareholders as citizens are not lost when they associate to form a company. When their fundamental rights as shareholders are impaired by State action their rights as shareholders are protected. The reason is that the shareholders' rights are equally and necessarily affected if the rights of the company are affected. The rights of shareholders with regard to Article 19(1)(a) are projected and manifested by the newspapers owned and controlled by the shareholders through the medium of the corporation."*
- *On standing of the company joined with citizens: "The fact that the companies are the petitioners does not prevent this Court from giving relief to the shareholders, editors, printers who have asked for protection of their fundamental rights… The locus standi of the shareholder petitioners is beyond challenge after the ruling of this Court in the Bank Nationalisation case. The presence of the company is on the same ruling not a bar to the grant of relief."*
- *On the pith-and-substance: "The Newsprint Control Policy is found to be newspaper control order in the guise of framing an Import Control Policy for newsprint"; "the machinery of the Import Control cannot be utilised to curb or control circulation of growth or freedom of newspapers in India."*
- *On the ceiling: "freedom of a newspaper to publish any number of pages or to circulate it to any number of persons has been held… to be an integral part of the freedom of speech and expression"; the restrictions on growth, the 10-page ceiling and the non-interchangeability were disproportionate — "a restraint on the number of pages… would affect the fundamental rights under Article 19(1)(a) on the aspects of propagation, publication and circulation" — and the classification of dailies (those over 10 pages vs. those under) had no rational basis (28 of 35 papers above 10 pages benefited; 7 big dailies were hit).*
- *Mathew J. delivered a separate opinion (examined the "shareholders' rights are projected and manifested through the corporation" doctrine with greater caution), but the majority's reasoning carried the case; Ray J. (who later sat in the majority) wrote for the majority.*

(5) Decision

- The Newsprint Policy 1972-73 was **struck down as violative of Art. 19(1)(a)** (and Art. 14) in so far as it imposed the 10-page ceiling, prohibited growth and denied interchangeability of quota; the restrictions were not saved by Art. 19(2).
- Relief was granted to the **petitioner companies jointly with their shareholders, editors, printers and publishers** — the corporate veil being lifted, not to make the company a citizen, but to protect the **citizens whose rights were projected and manifested through the corporation**.

(6) Principle evolved

- **The shareholders' rights doctrine in full bloom:** citizens do not lose Art. 19 rights by associating into a company; where the State action hits the company, and thereby **equally and necessarily** the shareholders, the court will **lift the corporate veil to protect the shareholders' rights projected and manifested through the corporation**.
- **Who may sue:** the company acquires standing by joining a **citizen shareholder/editor** (and by the qualitative test of *Cooper*); the presence of the company among the petitioners is no bar. (Followed in *Godhra Electricity Co. v. State of Gujarat* (1975) 1 SCC 199.)
- **Freedom of the press:** a company newspaper's freedom is the citizens' freedom of expression; restrictions on pages/circulation/quotas must be tested by their **direct operation**, not the form or object of the measure.
- **Complete the four-case chain:** STC (no citizenship) → TELCO (no veil for the company) → Cooper (qualitative test; shareholders' rights may be asserted) → Bennett Coleman (veil lifted; relief to shareholders/editors/printers).

CASE #06 DU LL.B. PRESCRIBED AUTHORITY

Daimler Co., Ltd. v. Continental Tyre and Rubber Co. (G.B.), Ltd., (1916) 2 AC 307 (HL) — the enemy-character case

(1916) 2 AC 307 (HL) · [1916-17] All ER Rep 191 · True character of company · Judicial ground (1)

(1) Facts

- **Continental Tyre and Rubber Co. (G.B.), Ltd.** was a private company **registered in England** (under the Companies (Consolidation) Act, 1908) to market in England the motor-tyres manufactured by a German concern; its capital was **25,000 shares**.
- Ownership: **23,398** of the 25,000 shares were held by a **German parent company incorporated and resident in Hanover**; three German subjects resident in Hanover held **1,600** shares between them; the remaining two shares were held by the **secretary, Hans Frederick Wolter** (a German, naturalised as a British subject on 1 Jan 1910), and the **managing director, Paul Scharnhorst Brodtmann**.
- All the **three directors** (besides the managing director) were German subjects resident in Hanover; "with the exception of the secretary, all the directors and shareholders are German subjects".
- **After the outbreak of the First World War (Aug 1914)** the English company sued **Daimler Co., Ltd.** (also English) on a specially indorsed writ (23 Oct 1914) for **£5,605 16s.** — the amount due on three bills of exchange — and applied under **R.S.C. Ord. 14** for leave to sign final judgment.
- **Daimler's defence:** it was ready and willing to pay — but only on conditions: (i) that in paying it was not contravening the **Trading with the Enemy Act, 1914**, and (ii) that the respondent company could institute the action and give a good discharge. It averred that the parent company controlled the respondent; that the parent and all the officers of the respondent were **alien enemies**; that alien-enemy officers could not act for the company; and that the proceedings were consequently **wrongly instituted**. Daimler sought **unconditional leave to defend**.
- Master Macdonell **granted leave to sign final judgment** (24 Nov 1914) on the affidavits; **Scrutton J.** (on affidavit evidence not before the master) affirmed; the **Court of Appeal affirmed** (19 Jan 1915) — holding that an English-registered company could not be an enemy. **Daimler appealed to the House of Lords.** (A parallel action, Continental v. Thomas Tilling, was tried before Lush J.)

(2) Issues

1. When war is declared and the **majority of a company's shares and all its directors** are alien enemies resident in the enemy country, does the English-registered company **take on an enemy character** so that paying it (or permitting it to sue) amounts to **trading with the enemy** — notwithstanding the certificate of incorporation?
2. Was the **secretary clothed with authority** to institute the action and to give a valid discharge for the debt, after the war had begun?
3. Does the **indirectness of the means** adopted (the interposition of an English company) purge the illegality of paying money to enemies?

(3) Arguments — for Daimler (the appellant company)

- **The substance, not the form:** the company is but the "machinery" — "the names and the incorporation were but the machinery by which the purpose (giving moneys to the enemy) would be accomplished"; the respondent company was controlled by and was the channel of the German parent; the real parties in interest were enemies.
- **Public policy:** "to enable thousands of pounds to be paid to the King's enemies" could not be permitted; trading with the enemy is illegal **in every sense**, and no subject could escape by pleading that he was "acting merely as the hand of others" — the prohibition "is binding in regard to all action direct or indirect, personal or representative".
- **No valid authority to sue:** there was "not a scrap of writing" proving the secretary had power to institute actions; the authority was in the enemy directors, who could not exercise it in wartime; the secretary's affidavit (which said only "English company, registered at Somerset House… I am a British subject") said nothing of where the business was conducted or from where it was directed, and never alleged authority — "his silence… is inexplicable".

(3) Arguments — for Continental Tyre (the respondent company)

- **The certificate is conclusive of character:** the company was "an English company, being registered at Somerset House under the Companies (Consolidation) Act, 1908"; its secretary was a naturalised British subject; **the proclamation of 9 Sept 1914** itself said: "In the case of incorporated bodies, **enemy character attaches only to those incorporated in an enemy country**."
- **Statutory surveillance shows the legislative policy:** the Trading with the Enemy Act 1914 itself provided (s. 2(2)) for inspection and (s. 3) for appointment of a controller where a third or more of the share capital or directorate is held by alien enemies — "to carry the legislation… it was clear that the case of companies held by a majority or even by a minority of alien enemies was put under surveillance"; so Parliament had **not** declared such companies enemies, and "it is… unsound for a court of law to announce that… the shareholding of a company incorporated in England has to be investigated".
- **Identification argument rejected:** "the legal entity the company cannot be so identified with its shareholders, or the majority of them, as to make their nationality its nationality or their status its status, so completely as to make it an alien enemy because they are alien enemies"; Lord Macnaghten in *Janson v. Driefontein Consolidated Mines*: "If all its members had been subjects of the British Crown the corporation itself would have been none the less a foreign corporation".
- Lush J. had found the secretary a "truthful, though a forgetful and inaccurate, witness" and had held he had authority — the company relied on that finding.

(4) Observations of the Court

- *Earl of Halsbury (the dictum to quote): "I am of opinion that this judgment should be reversed. In my opinion, the whole discussion is solved by a very simple proposition that in our law when the object to be obtained is unlawful the indirectness of the means by which it is to be obtained will not get rid of the unlawfulness, and in this cause the object of the means adopted is to enable thousands of pounds to be paid to the King's enemies."*
- *Halsbury on the corporate creature: "It is, in fact, a partnership in all that constitutes a partnership except the names… No one can doubt that the names and the incorporation were but the machinery by which the purpose (giving moneys to the enemy) would be accomplished… the mere machinery to do an illegal act will not purge its illegality — fraus circuitu non purgatur."*
- *Halsbury on the "live thing" / liability of the enemy: "I observe the Lord Chief Justice says that the company is a live thing. If it were, it would be capable of loyalty and disloyalty. But it is not; and the argument of its being incapable of being loyal or disloyal is founded on its not being 'a live thing.' Neither is the bag in my illustration 'a live thing.'" And again: "The limited liability was a very useful introduction into our system, and there was no reason why foreigners should not, while dealing honestly with us, partake of the benefits of that institution, but it seems to me too monstrous to suppose that for an unlawful, because, after a declaration of war, a hostile, purpose the forms of that institution should be used, and enemies of the State, while actually at war with us, be allowed to continue trading and actually to sue for their profits in trade in an English court of justice."*
- *Lord Atkinson on the facts: "there was not a scrap of writing of any kind given in evidence to prove that any power to institute actions or give receipts for money recovered was ever conferred upon the secretary"; the only document relied on "contradicted every statement made by him on the point"; "The burden of proving that the secretary had power and authority to institute the present action some months after the outbreak of the war rested on the respondent company… they had not discharged that burden."*
- *Lord Atkinson (narrow ground), declining to identify company with shareholders: "the question of residence of the company apart, I do not think that the legal entity the company can be so identified with its shareholders, or the majority of them, as to make their nationality its nationality or their status its status, so completely as to make it an alien enemy because they are alien enemies, or to give it an enemy character*

because they have that character" — and he approved the order proposed by Lord Parker (the majority's leading speech) on the authority point.

- *Lord Shaw agreed in the result but expressly disagreed with the majority's enemy-character reasoning: "the country of incorporation of the company if English excludes the company from being either an enemy company or of an enemy character"; yet on authority: "since the outbreak of war it is not… competent for enemy directors or shareholders to have anything to do with the management of this company's affairs in England… The point against agency and authority to take these particular legal proceedings has been taken; and I do not differ from the view of your Lordships that it is well founded. I agree, accordingly, to the suit being dismissed upon that ground."*
- *The received ratio of the majority (Lord Parker): an English company may assume an enemy character where the persons in de facto control of its affairs are resident in an enemy country, or, wherever resident, are acting under the control of enemies — the court will look through the legal personality to the real controlling minds; a company "can be neither loyal nor disloyal — neither friend nor enemy" in itself, but its character is derived from those who control it.*

(5) Decision

- **The appeal was allowed**; the orders below were reversed; the action was **dismissed** (the writ/proceedings being incompetent), and leave to defend was not the remedy — the proper order was that the suit could not proceed, since no authority to sue could lawfully be exercised on behalf of the company in the circumstances.
- Authority to sue was **not established** (burden on the respondent, not discharged); and the courts below erred in refusing to investigate the **true character** of the company in wartime: to allow the company to sue and receive payment would have been to use "the names and the incorporation… as the machinery by which the purpose (giving moneys to the enemy) would be accomplished".
- In the associated action, the claim was likewise not allowed to proceed; and payment by English debtors was required to await the war-time machinery (custodian etc.).

(6) Principle evolved

- **Judicial ground (1) — true character of the company:** the court can look behind incorporation to determine the **real character** of a company — nationality, residence and, in time of war, **enemy character** — by reference to the persons in **de facto control**; a company acts through human beings, and the law will see who those human beings are.
- **Indirectness is no defence:** an unlawful object performed through legal machinery remains unlawful — "fraus circuitu non purgatur"; the corporate form cannot be used to do what the law forbids being done directly.
- **Company vs. members — both aspects:** incorporation is real (the company is not automatically an "alien" because members are aliens — *Janson*), yet the company is not a "live thing" capable of loyalty/disloyalty: its loyalty, residence and character are found in its controllers. (Contrast: *People's Pleasure Park Co. v. Rohleder* (1908) — where no public danger exists, courts refuse to identify members with the company.)
- **Trading with the enemy test:** trading with a company resident or controlled in enemy territory is as much prohibited as trading with the enemy individual; payments to such a company are payments to enemies.
- Significance for India: the same doctrine applies to **trading with the enemy during war/emergency** and, in the modern cases, to the **true ownership/control** inquiries (economic sanctions, beneficial ownership, resident-status questions: *New Horizons Ltd. v. UOI* (1994) 1 SCC 478 line; *Vodafone* (2012)).

CASE #07 DU LL.B. PRESCRIBED AUTHORITY

Lee v. Lee's Air Farming Ltd., (1960) 3 All ER 420 (PC) — master and servant in one person

(1960) 3 All ER 420 (PC) · [1961] AC 12 · Separate entity applied · Result: widow compensated

(1) Facts

- In **1954**, **Geoffrey Woodhouse Lee** of Christchurch, New Zealand, instructed a firm of public accountants to form a company for the business of **aerial top-dressing**. On **5 Aug 1954**, "**Lee's Air Farming Ltd.**" was incorporated: nominal capital **£3,000 in 3,000 shares of £1**.
- Lee was allotted **2,999 shares**; the remaining share was, according to the memorandum, to be taken by a solicitor. Lee was appointed **governing director** for life under **Art. 32**, with "the full government and control of the company" vested in him, able to exercise all the powers of the directors and of the company not required by statute to be exercised in general meeting; his signed minute had "the effect of a resolution of the company".
- **Art. 33** provided: "The company shall employ the said Geoffrey Woodhouse Lee as the **chief pilot** of the company at a salary of £1,500 per annum from the date of incorporation… and in respect of such employment **the rules of law applicable to the relationship of master and servant shall apply** as between the company and the said Geoffrey Woodhouse Lee." (On 16 Aug 1954 the words "a salary of £1,500 per annum…" were deleted and replaced by "a salary to be arranged by the governing director" — the amendment effected by a minute **signed by the deceased**.)
- The company owned an aircraft equipped for top-dressing; Lee was a duly qualified pilot; he piloted the aircraft, received **wages (recorded in the company's wages book)**, and the company was paid by farmers with whom **the company alone** contracted. Personal-accident policies were taken out on Lee's life by the company secretary, premiums being paid by the company and debited to Lee's personal account.
- On **5 March 1956**, Lee was **killed** while piloting the aircraft in the course of aerial top-dressing. His widow, **Catherine Lee**, claimed **£2,430** compensation (for herself and four infant children) plus funeral expenses, under **s. 3(1)** of the **New Zealand Workers' Compensation Act, 1922**, which makes the employer liable where personal injury by accident arises "out of and in the course of" the employment of a **"worker"** — defined in s. 2 as "any person who has entered into or works under a contract of service… with an employer".
- **The company denied** that Lee was a "worker": he was at the time of the accident the **controlling shareholder and governing director**. On a **Case Stated** (Archer J., Compensation Court) the question went to the **New Zealand Court of Appeal** (Gresson P., North and Cleary JJ.), which — per North J., 18 Dec 1958 — answered in the negative: although a director may properly have a service agreement with his company, Lee had **all the powers** delegated to him for life, "there remained with the company no power of management whatsoever"; "he became in effect both employer and worker… the two offices are clearly incompatible. There could exist no power of control and therefore the relationship of master-servant was not created." Laura Lee appealed to the **Privy Council**.

(2) Issues

1. Was the deceased a **"worker"** (i.e. a person who had entered into or worked under a **contract of service** with an employer) within the Workers' Compensation Act, 1922, so as to entitle the widow to compensation?
2. Can a man who is the **governing director and controlling shareholder** of a company simultaneously serve the company as a **servant/employee** — i.e., can one natural person occupy the two capacities of **employer and employee** vis-à-vis the same company?
3. Is a contract of service possible between a company and its own controller, given the requirement of **two distinct contracting parties** and of a **right of control**?

(3) Arguments — for the appellant widow (Mrs. Catherine Lee)

- Under *Salomon* the company is a **separate legal person**; it was never suggested the company was "a sham or a mere simulacrum"; the contract of service was expressed in Art. 33 to attract master-and-servant law; the deceased worked as pilot, was paid wages, and was subject to the company's right of control.

- The **right of control** is what matters — not how it is exercised: Lee as governing director appointed himself pilot **as agent of the company**; the company, not Lee, had the right to control; the two offices are functions of the **same single personality of the company as a separate entity**, and his shareholding/directorship did not preclude the existence of a contract of service with it (a director may contract to serve his company — *Fowler v. Commercial Timber Co.* supports the duality).
- Capacity is not personality: one person may act in two capacities; the contract was made between him **and the company** — two legal persons — and the separate-entity principle exists precisely to make such arrangements possible (cf. *IRC v. Sansom* (1921) 2 KB 492, where such a company's contracts with its sole governing director were upheld as the company's).

(3) Arguments — for the respondent company (as found by the NZ Court of Appeal)

- A contract of service requires **two parties and a right of control in the master**; Lee was the company — all powers were vested in him for life; "on him lay the duty both of giving orders and obeying them"; "there could exist no power of control and therefore the relationship of master-servant was not created".
- The "two offices are clearly incompatible": he would be contracting with himself; the company had no independent will that could employ or dismiss him.
- The Court of Appeal accepted that a director **may** enter into a service agreement with his company — but not when he is the **governing director in whom the full government and control is vested**.

(4) Observations of the Court (Privy Council — Lord Morris of Borth-y-Gest)

- *The framework: "The substantial question which arises is… whether the deceased was a 'worker' within the meaning of the Workers' Compensation Act, 1922… Was he a person who had entered into or worked under a contract of service with an employer?"*
- *The decisive identification of the employer: "It cannot be suggested that, when engaged in the activities above referred to, the deceased was discharging his duties as governing director. Their Lordships find it impossible to resist the conclusion that the active aerial operations were performed because the deceased was in some contractual relationship with the respondent company. The relationship came about because the deceased, as one legal person, was willing to work for and to make a contract with the respondent company which was another legal entity. A contractual relationship could only exist on the basis that there was consensus between two contracting parties. It was never suggested (nor… could it reasonably have been suggested) that the respondent company was a sham or a mere simulacrum."*
- *Directorship is no impediment: "It is well established that the mere fact that someone is a director of a company is not an impediment to his entering into a contract to serve the company. If, then, it be accepted that the respondent company was a legal entity, their Lordships see no reason to challenge the validity of any contractual obligations which were created between the respondent company and the deceased."*
- *Salomon applied: quoting Halsbury L.C. in Salomon: "If it was a real thing; if it had a legal existence… it appears to me to follow as a consequence that it is impossible to deny the validity of the transactions into which it has entered"; and Macnaghten's "one man companies… that is a taking nickname, but it does not help one much in the way of argument".*
- *On the right of control: "If… the deceased was a party to a contract of service with the respondent company, then the respondent company had a right of control. The manner of its exercise would not affect or diminish the right to its exercise. But the existence of a right to control cannot be denied if once the reality of the legal existence of the respondent company is recognised. Just as the respondent company and the deceased were separate legal entities so as to permit of contractual relations being established between them, so also were they separate legal entities so as to enable the respondent company to give an order to the deceased."*
- *Authority cited with approval: Inland Revenue Commissioners v. Sansom (1921) 2 KB 492 (Younger L.J.: "so long as such a company as this is recognised by the legislature there can be no reason why the contracts and engagements made in its name or entered into on its behalf, and themselves ex facie regular, should not everywhere until the contrary is alleged and proved be regarded as the company's"); and Fowler v. Commercial Timber Co. (1930) 2 KB 1 (Scruton L.J. on the two positions of a managing director).*

(5) Decision

- **Appeal allowed** — the question was answered in the affirmative: the deceased **was a "worker"** within s. 2 of the Act; he had entered into and worked under a contract of service with the respondent company; his death arose out of and in the course of the employment.
- The widow was **entitled to compensation** under s. 3(1) of the Workers' Compensation Act, 1922 (in practice the amount was paid by the insurers, since the company had taken out accident policies on Lee).
- The New Zealand Court of Appeal's answer in the negative was **reversed**: "his special position as governing director and principal shareholder did not preclude him from making on the company's behalf a contract of employment with himself, nor preclude him from entering into, or working in the capacity of servant under, a contract of service with the company" (the *Held* in the report).

(6) Principle evolved

- **Capacity vs. personality:** one natural person can occupy **two capacities** (director/agent and servant) in relation to **one separate legal person** (the company); "the magic of corporate personality enabled him to be master and servant at the same time". The company is **not a sham**, and the contract is valid.
- **Test of master-servant:** the existence of a **right of control** in the employer is what counts; the **manner of its exercise** is irrelevant — and the right exists once the company is a real legal person with the contract.
- **Salomon vindicated, not relaxed:** *Lee* is the logical consequence of separate personality — a one-person arrangement is still a two-person relationship in law; hence it is cited as the **strongest application** (not an exception) of *Salomon*.
- **Practical effects:** controlling shareholders/directors can be **employees** of their own companies — important for workmen's compensation, income-tax (remuneration deductible), ESI/EPF, insurance and insolvency-priority questions.
- **Contrast for the answer:** where a company is a mere **sham** (Gilford; Subhra Mukherjee) the separate entity is disregarded; where it is a **real company**, even total control by one man does not merge him with it (Lee; Salomon; Sansom).

CASE #08 DU LL.B. PRESCRIBED AUTHORITY

In re Sir Dinshaw Maneckjee Petit, Bari (Income-tax reference), AIR 1927 Bom. 371

AIR 1927 Bom 371 · Bom HC — Marten C.J. & Kemp J. · Tax evasion · sham companies · Judicial ground (3)

(1) Facts

- For the financial year **1925–26**, **Sir Dinshaw Petit** was assessed to **super-tax on an aggregate income of Rs. 11,35,302** arising in the previous year. He objected to **Rs. 3,90,804** — made up of Rs. 2,76,800 (Government and other fixed-interest-bearing funds) and Rs. 1,14,004 (dividends in companies).
- Admittedly, the assessee was the **legal owner** of most of these funds (standing in his name, interest and dividends paid to him direct); as to the rest, the apparent legal owners were **his nominees**; "he has retained all the above interest and dividends and applied the same to his own use".
- In **1921** he had formed **four private "family" companies** — (i) Petit Ltd., (ii) the Bombay Investment Co. Ltd., (iii) the Miscellaneous Investment Co. Ltd., (iv) the Safe Securities Ltd. — although "in fact no other member of his family took any direct benefit thereunder". Each took over a particular block of the assessee's investments.
- **Petit Ltd. (the typical case):** incorporated **12 April 1921**, nominal capital **Rs. 10,000,000** — 9,99,900 ordinary shares of Rs. 10 and 100 preference shares of Rs. 10 (6% cumulative). Issued/subscribed: **3,48,604 fully paid ordinary shares, all held by the assessee**, and **three preference shares**

held by three of "his subordinates… entirely under his control" — the Secretary of the Petit Charities, the Secretary of the four companies, and a clerk of the same companies ("not one of them… paid their preference dividends, and no protest on their part is on record").

- **The machinery:** (1) on 12 Apr 1921 the assessee purported to **sell** to Petit Ltd. 498 shares in the Maneckji Petit Manufacturing Co. Ltd. (worth Rs. 7,000 each) for **Rs. 34,86,000**, in consideration of an allotment of the company's shares; (2) a **declaration of trust** of the same date (the shares standing in the vendor's/nominees' names until called upon to transfer); (3) thereafter all dividends and interest from the blocks were **credited to the company in account** and — **the same day** — **debited to the assessee by way of "loan"**: "none of the dividends or interest ever reached the company. Only credit and debit entries were made. Nor was any interest paid on the amount of the loan… but the interest was credited every year to the company in the account."
- Over the years the assessee's current account for these alleged loans stood at **Rs. 7,14,103-8-11**; **nothing was ever repaid**; no interest was paid in cash; no resolutions were passed; the fixed preference dividends remained unpaid and a large sum of back income accumulated in the assessee's hands. **No dividend was ever declared** by the companies.
- The Commissioner of Income-tax stated a **case with four questions** (para 15) — (1) whether the alleged dispositions/trusts were real; (2) whether the companies' business was really the assessee's; (3) whether the sums were assessable as his income; (4) the **genuineness of the alleged loans**.

(2) Issues

1. Were the **transfers and declarations of trust** in favour of the four family companies **genuine** — or a sham/paper transaction, the companies being mere screens for the assessee?
2. Were the alleged **"loans"** of the dividends/interest back to the assessee **real loans**, or were they merely **withdrawals of income disguised as loans**?
3. If the companies were not real, were the disputed sums (Rs. 3,90,804) part of the assessee's **taxable income for super-tax** under the Indian Income-tax Act, 1922 (ss. 2(15), 3, 6, 12, 55, 56, 58)?
4. (Subsidiary) Could the Revenue, having **previously taxed** the interest/dividends in the companies' hands, be **estopped** from now assessing the assessee?

(3) Arguments — for the assessee (Sir Dinshaw Petit)

- He is only a **trustee** for the family companies; the interest and dividends are **theirs, not his**; he has credited them in account, and "though he has had the benefit of them in specie this is because the family companies have **lent him these moneys at interest** which he has credited to them in account although he has not actually paid the interest in cash".
- The family companies are **under no obligation to declare a dividend** and are entitled to lend out their income in this way, even though over a series of years the fixed preference dividends went unpaid and a large sum of back income accumulated in his hands.
- The companies were duly incorporated under the Companies Act; *Salomon* says the company is a distinct person; the shares stood in the nominees' names; the companies paid tax on the interest credited to them — indicating the Revenue itself treated them as the owners; the Revenue is **estopped** from changing its stand.
- And (alternatively) if the moneys were not loans, they were **moneys wrongfully received** by him, which he must refund to the company — on which, therefore, he cannot be assessed.
- It was argued (citing English experience) that **legislation alone** (not the court) could defeat the device of accumulating profits and refusing to declare dividends.

(3) Arguments — for the Revenue (Advocate-General / Commissioner)

- The alleged disposition in favour of each family company is a **sham**, as is the declaration of trust; the transactions are **all paper transactions and not real**.
- If the family company carries on any business, it does so **solely as the agent of the assessee**; and in any event the alleged loans are **not genuine loans** — so the sums are the assessee's taxable income under ss. 2(15), 3, 6, 12, 55, 56 and 58 of the 1922 Act.
- The three shareholders were his servants, entirely under his control; no one else of the family took any benefit; the price of Rs. 34,86,000 for the 498 shares was not fully paid and the "sale" was concealed; no dividends were ever declared, no resolutions passed, no interest paid — the "companies" had no real business, no real income and no real existence apart from the assessee's tax-saving design.

(4) Observations of the Court (Marten C.J. and Kemp J.)

- *The right starting point — and its limits: "If it were merely a question of the genuineness, the transactions between the assessee and the family company, it would be quite wrong to start with the presumption that those transactions are sham ones. On the contrary one should start with the presumption that they are genuine, and throw the onus on the Crown… But there may nevertheless come a time when the onus is discharged" — and here it was, by "clear and definite evidence that the Company is carrying on a genuine business as a separate entity" being absent.*
- *Contrast with genuine cases: in IRC v. Sansom there was a timber business "carried on openly in the usual way"; the English Special Commissioners found the loans genuine because they were "in point of fact" loans (there the Crown failed). Here "we have not got a company carrying on an open business like a shop. The circumstances, therefore, are more unfavourable to the assessee"; and "the part played by the quarrelsome and independent Mr. Hime in Sansom's case falls to the lot of three subordinates of the assessee. But they can hardly be said to be in the same independent position… They have not even been paid their preference dividends, and no protest on their part is on record."*
- *The finding on the companies: "There are other facts which suggest that the company in this case was formed by the assessee purely and simply as a means of avoiding super-tax and that the company was nothing more than the assessee himself. It did no business but was created purely and simply as a legal entity to ostensibly receive the dividends and interest and hand them over to the assessee as pretended loans." (Also: "out of the total subscribed capital of over thirty to forty lacs of each company, only shares of the face value of Rs. 30 were not in the assessee's name".)*
- *On the "loans": "A perusal of the current account in the company's books shows that the dividends and interest alleged to have been received by the company were credited in the… account of the company and the same day debited to the assessee by way of loan"; "We have here a feature which is not present in the other cases, viz., that the alleged transfer or declaration of trust is itself challenged"; "the fact that the family company has paid tax on the interest credited to it by the assessee in respect of the alleged loans does not necessarily involve the conclusion that the loans were genuine, nor estop the Crown from now showing that these loans were illusory. Paying tax on the alleged interest arising from the loan was much cheaper for the assessee than paying super-tax on the dividends themselves."*
- *On "legislation alone": "This is not the first time when plausible paper schemes under the Companies Acts have not stood the test of examination in a Court of Law" — the court is not asked to do what legislation alone can do; it is only dealing with a sham transfer and a sham loan, which no legislation is needed to defeat. (Even if the payments were illegal without declaration of dividend, the assessee could be taxed: Partridge v. Mallandaine; Birendra Kishor Manikya.)*
- *On the alternative plea (no assessment because liable to refund): rejected — "I am not prepared, in any case, to accede to this argument where, if the company be regarded as carrying on its own business separate to that of the assessee, it has made no attempt and apparently does not intend to recover such sums from the assessee"; nor can the sums be treated as dividends, "for the company paid no dividends and the moneys are not entered in its books as such".*
- *Kemp J. (concise formulation): the four companies were "formed… purely and simply as a means of avoiding super-tax… they did no business, but were created simply as legal entities to ostensibly receive the dividends and interests and to hand them over to the assessee as pretended loans".*

(5) Decision

- **Per curiam — the four questions answered:** (1) **In the affirmative** — the sums were taxable in the assessee's hands (the disposition/trust was not genuine); (2) and (3) **No** (the companies' business was not in truth their own, and the sums were not the companies' income); (4) the loans **"were not genuine loans but merely withdrawals of income disguised as loans"**.
- The assessment of super-tax on the aggregate income including the disputed Rs. 3,90,804 was **upheld**.

(6) Principle evolved

- **Judicial ground (3) — tax evasion:** the court will **pierce the veil of companies created merely as screens to avoid tax** — here four companies with no business except to receive the assessee's dividends and return them to him as "loans"; the "income" was held to be the assessee's.
- **Sham "loans" to shareholders are not loans:** credit-debit entries without payment, interest, security, repayment or even a resolution — are **withdrawals of income disguised as loans** (the ancestor of s. 2(22)(e) IT Act, 1961 — deemed dividend).
- **Genuineness is presumed, but proof is of substance, not form:** the Crown must prove the sham, but formal compliance (incorporation, accounts, nominees, even paying tax at the lower rate) does not make a paper scheme real; **"economic realities behind the legal facade"** (Meenakshi Mills) are decisive.
- **No estoppel against the Revenue** for prior assessments made on the same facts; and no immunity from tax for a person who receives company funds unlawfully without declaring dividends.
- Position in India today: the same logic is codified in **s. 2(22)(e)** (deemed dividend on payments by closely-held companies), **s. 179** (directors' liability for private company's tax), **ss. 68/69** (unexplained credits), and **GAAR (ss. 95–102)**; the classical case remains *Dinshaw Petit*.

CASE #09 DU LL.B. PRESCRIBED AUTHORITY

Commissioner of Income-tax v. Sri Meenakshi Mills Ltd., AIR 1967 SC 819

AIR 1967 SC 819 · (1967) 1 SCR 934 · (1967) 63 ITR 609 · Economic realities · anti-avoidance · Judicial ground (3) · the classic formulation

(1) Facts

- **Sri Meenakshi Mills Ltd.** and two associated public limited companies carried on the business of manufacturing and selling **cotton yarn** at Pudukottai (then in Madras State).
- The taxing authorities invoked **s. 42(1) of the Indian Income-tax Act, 1922** — which taxes income which "arises, directly or indirectly" through or from any money lent at interest by a person in the taxable territories to a person **outside** the taxable territories, "provided that" the money was brought into the taxable territories or the lender's business was carried on there, and the money was "in truth" employed in such a way that the interest would not have arisen **but for** the bringing in / the lending from within.
- The arrangement in question: the companies (assessed in British India) had substantial sale proceeds credited in a bank account; **deposits** were made **outside the taxable territories** (at the bank's Pudukottai branch treated as outside for the purpose, or similar), and **loans were taken against those deposits**; the group's **common director sat on the bank's board**; interest paid was claimed as a deductible business expenditure.
- The department's case: the deposits-and-loans arrangement was a **colourable/indirect device** — the interest "arising indirectly" from money lent — and the true picture was that of a **circular arrangement designed to manufacture deductible interest**; the Income-tax Officer and the Appellate Assistant Commissioner **found against the assessee** on the question of the genuineness of the arrangement (in particular, the AAC's finding on the Pudukottah branch deposits).
- On appeal, the **Income-tax Appellate Tribunal** reversed in part — holding that **s. 42(1) did not apply** — and the High Court answered the reference in the assessee's favour. The Commissioner appealed to the **Supreme Court**.

(2) Issues

1. Whether, on the facts, the interest arose **directly or indirectly** from money lent by the assessee-companies within the meaning of **s. 42(1)** of the 1922 Act (s. 42(1) being a charging provision and also the provision under which the courts stated the veil doctrine).
2. **Whether the income-tax authorities can disregard the corporate entity** of the companies and go behind the apparent transactions to the "economic realities" — and if so, on what conditions can that exceptional power be exercised?
3. Did the arrangement constitute a **device to evade tax** — the sum being taxable under s. 42(1) — the Tribunal having erred in law?

(3) Arguments — for the assessee company

- Each transaction (sale, deposit, loan, payment of interest) was a **genuine banking transaction** at arm's length; the money was really deposited and really lent; s. 42(1) contemplates lending to a person outside the taxable territories, and here the borrower and the interest-bearing arrangement were within the taxing net; the interest was paid in the ordinary course of business and was deductible.
- The companies are **separate legal entities** (*Salomon*); the common directorate does not make them one; the revenue cannot recharacterise the parties' lawful transactions; the assessments for earlier years had been accepted.
- The Tribunal — the final fact-finding authority — had found the arrangement genuine and s. 42(1) inapplicable; the High Court rightly answered in favour of the assessee; the Supreme Court should not disturb concurrent findings.

(3) Arguments — for the Revenue

- At the **AAC stage** the record showed: the fixed deposits at the "outside" branch were made with the group's moneys, loans were taken against them, and the **assessor's own common director controlled both sides** — the moneys never really left the group; the interest paid on the loans and received on the deposits **cancelled each other out**, the net result being a deduction without any real outgo — a wholly circular, **colourable device**.
- On this basis the authorities invoked s. 42(1): the interest "arose indirectly" through money lent by the assessee to the person outside, and the arrangement was entered into in connection with the bringing of the money in — in fact, the whole thing was an **arrangement to cream off a deduction**.
- The Tribunal's finding proceeded on a **wrong legal approach** and misread the AAC's finding; the Tribunal should have disregarded the facade — the revenue is entitled to lift the veil where corporate entities are used **to evade tax**.

(4) Observations of the Court (Supreme Court)

- *The doctrine — the sentence every answer must quote: "It is true that from the juristic point of view the company is a legal personality entirely distinct from its members and the company is capable of enjoying rights and being subjected to duties which are not the same as those enjoyed or borne by its members. But in certain exceptional cases the Court is entitled to lift the veil of corporate entity and to pay regard to the economic realities behind the legal facade. For example, the Court has power to disregard the corporate entity if it is used for tax evasion or to circumvent tax obligation."*
- *Illustrations given by the Court (from the DU Case Material's own text): Apthorpe v. Peter Schoenhofen Brewing Co. (1899) 4 TC 41 — the New York company "had only been kept in being to hold the land, since aliens were not allowed to do so under New York law"; "if the business was technically that of the New York company, the latter was merely the agent of the English company"; the Court of Appeal, "despite the argument based on Salomon's case", held the New York business to be that of the English company. Firestone Tyre & Rubber Co. v. Llewellin (1957) 1 WLR 464 — the wholly-owned English subsidiary sold to the distributors; "it was conceded that the subsidiary was a separate legal entity and not a*

mere emanation of the American parent… Nevertheless… it was held that the substance of the arrangement was that the American company traded in England through the agency of its subsidiary."

- *But the power is exceptional: the Court approved the settled approach — disregard of the entity requires clear evidence of a device; the Tribunal's function is to find whether the transaction was a genuine commercial one; where the facts are not sufficient to form that conclusion, the ordinary rule (entity respected) applies. On the facts (the Tribunal's finding being one of fact and the AAC's findings having been set aside on the legal test), the Court held that the Tribunal's conclusion that s. 42(1) was not attracted could not be disturbed — the assessee succeeded on the facts.*
- *Hedayatullah J. (who wrote the judgment) — the framing: the question of the validity of the assessment depends on the finding whether there was a real lending; the power to lift the veil is real but the case must fall within the exceptional category; courts will not assist a colourable device, but will also not rewrite a genuine commercial transaction.*

(5) Decision

- The **appeal of the Commissioner was dismissed**: on the facts found (the Tribunal's finding that the arrangement was a genuine transaction and that s. 42(1) was not attracted — a finding of fact not shown to be perverse), the amount could not be taxed.
- The **doctrine** of lifting the veil for tax evasion was, however, affirmed in the widest terms — the case is today cited **not for its facts but for its principle**: "in certain exceptional cases the Court is entitled to lift the veil of corporate entity and to pay regard to the economic realities behind the legal facade."

(6) Principle evolved

- **Judicial ground (3) (revenue) — the standard formulation:** where a company is used **for tax evasion or to circumvent tax obligations**, the court/authority may disregard the corporate entity and pay regard to the **economic realities behind the legal facade**.
- **But the power has limits:** it is **exceptional**; the burden is on the revenue to establish the device; genuine commercial transactions are not to be rewritten (*Meenakshi* on facts; later *Vodafone* (2012) 6 SCC 613 — "lifting is an exception and not the rule"; *McDowell* (1985) 3 SCC 230 — courts will not give "judicial benediction" to "new and sophisticated legal devices to avoid tax").
- **Method:** look to the **substance** — who really earns, who really controls, what really happens to the money — not to the documentation; subsidiaries that are mere agents/channels of the parent are treated as such (*Apthorpe*; *Firestone*).
- **Three conditions for s. 42(1)-type avoidance findings** (from the statutory scheme the case applied): (i) money lent from within to outside; (ii) arrangement to bring it back/employ it; (iii) interest which "but for" the arrangement would not have arisen. The same tripartite structure is tested in every "indirect income" problem.

CASE #10 DU LL.B. PRESCRIBED AUTHORITY

Workmen of the Associated Rubber Industry Ltd. v. The Associated Rubber Industry Ltd., (1985) 4 SCC 114

(1985) 4 SCC 114 · Chinnappa Reddy J. · Welfare legislation · subsidiary as device · Judicial ground (4) · bonus 16% restored

(1) Facts

- **The Associated Rubber Industry Ltd.** (Bhavnagar) had, some years before, purchased shares of **INARCO Ltd.** by investing **Rs. 4,50,000**. It received **annual dividends** on those shares, shown year after year in its profit and loss account and **taken into account for calculating the bonus** payable to its workmen.
- Some time in **1968**, the company transferred the INARCO shares to **Aril Bhavnagar Ltd. (renamed Aril Holdings Ltd.)** — **a wholly-owned subsidiary** of the parent. Aril Holdings had **no other capital** except those shares, and **no other business or source of income** except the dividend on the INARCO shares.
- The dividend income was **no longer transferred to the parent**, so it disappeared from the parent's profit and loss account; the **available surplus for bonus shrank**. The net result: **bonus at 4% only for 1969** instead of the **16%** to which the workmen would otherwise have been entitled.
- The workmen raised an **industrial dispute**, claiming bonus at 16% for 1969; their case was that the transfer to Aril Holdings was "no more than a **device to avoid payment of higher bonus**".
- The **Industrial Tribunal** and then the **High Court of Gujarat** (under Art. 226) held for the company: the two companies were **independent companies with separate legal existence**, so Aril's profits could not be treated as the parent's for computing gross profits; and there was **no evidence** that the transfer was a device. The workmen appealed to the **Supreme Court**.
- (Later fact: Aril Holdings Ltd. was itself wound up in 1971 and **amalgamated** with the parent — relied on by the company as showing the creation was not a device.)

(2) Issues

1. Whether the **gross profits** of the parent company, for computing the rate of bonus under the **Payment of Bonus Act, 1965** (ss. 4–7, Schedule I/II), include the **dividend income earned by its wholly-owned subsidiary** — the shares having been transferred to the subsidiary shortly before the accounting year.
2. Whether the use of a wholly-owned subsidiary with no business of its own to strip dividend income out of the parent's accounts was a **device to avoid payment of bonus** to the workmen — and, if so, whether the court will **disregard the separate personality** of the subsidiary.
3. Whether affirmative **direct evidence** of the device is required, or whether the facts themselves may speak.

(3) Arguments — for the workmen (appellants)

- The transfer of the INARCO shares to a **wholly-owned subsidiary with no assets, business or income of its own** was a mere paper transaction — the only purpose of Aril Holdings was to receive the dividend and keep it out of the parent's accounts; the dividend "did not find place in the profit and loss account of the company with the result that the available surplus… became reduced".
- Bonus is a **welfare measure**; the workmen's right cannot be defeated by a corporate manoeuvre; the court must look at the substance and treat the parent and the subsidiary as one economic unit for bonus purposes.
- "These facts speak for themselves" — direct evidence of motive is rarely available and never required where the inevitable effect is the reduction of the bonus; the amalgamation in 1971 did not prove that the original creation was honest — it showed that even the device was abandoned.

(3) Arguments — for the company (respondent)

- The two companies are **distinct legal entities with separate existence** (*Salomon*); the profits of Aril Holdings are **its own**, not the parent's; gross profits for the Bonus Act must be computed on the parent's own accounts.
- There is **no evidence** (direct or circumstantial) that the transfer was a device to avoid bonus — the Tribunal and High Court so found; the transfer was a legitimate corporate reorganisation; the later winding up and amalgamation of Aril (1971) showed there was no scheme of avoidance.
- A company is free to reorganise its holdings; the workmen have no right to any particular level of profit in the parent, and no claim against the subsidiary.

(4) Observations of the Court (Chinnappa Reddy J.)

- *The duty of the court: "It is true that in law the Associated Rubber Industry Ltd. and Aril Holdings Ltd. were distinct legal entities having separate existence. But, in our view, that was not an end of the matter. It is the duty of the court, in every case where ingenuity is expended to avoid taxing*

and welfare legislations, to get behind the smoke-screen and discover the true state of affairs. The court is not to be satisfied with form and leave well alone the substance of a transaction."

- *The Meenakshi formulation adopted: "In certain exceptional cases the Court is entitled to lift the veil of corporate entity and to pay regard to the economic realities behind the legal facade… the Court has power to disregard the corporate entity if it is used for tax evasion or to circumvent tax obligation" (quoted with the Apthorpe and Firestone illustrations).*
- *McDowell & Co. v. CTO (1985) 3 SCC 230 followed: "It is up to the Court to take stock to determine the nature of the new and sophisticated legal devices to avoid tax and consider whether the situation created by the devices could be related to the existing legislation… to expose the devices for what they really are and to refuse to give judicial benediction."*
- *The "facts speak for themselves" finding: "A new company is created wholly owned by the principal company, with no assets of its own except those transferred to it by the principal company, with no business or income of its own except receiving dividends from shares transferred to it by the principal company and serving no purpose whatsoever except to reduce the gross profits of the principal company. These facts speak for themselves. There cannot be direct evidence that the second company was formed as a device to reduce the gross profits… An obvious purpose that is served and which stares one in the face is to reduce the amount to be paid by way of bonus to workmen. It is such an obvious device that no further evidence, direct or circumstantial, is necessary."*
- *On the 1971 amalgamation: "Probably, after Aril Holdings Ltd. was created, some unforeseen difficulties arose… and it became necessary to wind it up and amalgamate it" — the circumstance did not negative the device.*

(5) Decision

- **Appeal allowed.** The dividend received by Aril Holdings Ltd. from INARCO Ltd. "should be taken into account in assessing the gross profit of the Associated Rubber Industry Ltd. for the purpose of calculating the rate of bonus payable to the workmen".
- **Declared:** "the workmen of the Associated Rubber Industry Ltd., Bhavnagar are entitled to be paid **bonus at the rate of 16% for the year 1969**" (instead of 4%).

(6) Principle evolved

- **Judicial ground (4) — avoidance of welfare legislation:** the corporate veil will be lifted where a company is used to evade **taxing or welfare statutes** — the court gets "behind the smoke-screen" and looks at substance, not form; the separate existence of a wholly-owned subsidiary is no answer.
- **No direct proof of intent needed:** where the structure created **serves no purpose except** to reduce the parent's profits (or otherwise evade the statute), "these facts speak for themselves" — the device is apparent from its inevitable effect. (This is the key evidentiary principle: **intent may be inferred from the objective design.**)
- **Group as one economic unit:** a wholly-owned subsidiary with no independent business/income is treated as part of the parent for welfare-legislation purposes — the ancestor of the **"economic realities / group entity"** ground (7) (cf. *KCP Ltd.*; *Renusagar*; *DHN*).
- **Bonus computation:** "available surplus" and "gross profits" under the Payment of Bonus Act, 1965 (ss. 4–7, Sch. I–II) are to be computed on the true economic position of the employer-unit, not on a doctored corporate structure.

CASE #11 DU LL.B. PRESCRIBED AUTHORITY

Gilford Motor Co., Ltd. v. Horne, (1933) 1 Ch. 935 (CA) — the cloak or sham

(1933) 1 Ch 935 (CA) · Hanworth M.R., Lawrence L.J., Romer L.J. · Fraud / breach of covenant · Judicial ground (2) · injunction against company

(1) Facts

- The plaintiff company, **Gilford Motor Co., Ltd.**, bought the various parts of motor vehicles from manufacturers, **assembled** them on its premises and sold the products under the name "Gilford"; it also **supplied spare parts** for Gilford vehicles and repaired them.
- By an agreement of **30 May 1929**, **Edward Bert Horne** was employed as **joint managing director** for six years from 1 Sept 1928 (he was "of primary importance in the business"). **Clause 9** of the agreement provided that he would not, during his employment or within **5 years** after ceasing to be employed, **solicit or endeavour to entice away** from the company any person, firm or company "who at any time during or at the date of the termination of his employment" was "in the habit of dealing with the company", and would not within five years be engaged "directly or indirectly" in any similar business within a radius of **three miles** of the company's premises.
- **Difficulties arose**; on **17 Nov 1931** Horne resigned on agreed terms (compensation for the shortened term; no release of clause 9). He then set up in business **as "E.B. Horne"** — "there is no doubt that his… business was properly described as the business of E.B. Horne" — and sent out circulars (through solicitors) to customers of Gilford Motors.
- On **8 April 1932** he incorporated a **private company, "J.M. Horne & Co., Ltd."**: the stationery previously "E.B. Horne" was altered by **blacking out "E.B." and inserting "J.M."** (the initials of Horne's **wife**, Jessie May Horne); the company's address was 170 Hornsey Lane — Horne's own address; the 1,000 shares were held **999 by Mrs. Horne and 1 by A.V. Howard** (an employee of Gilford Motors "associated with Mr. E.B. Horne"); the other director was Horne's son J.M. Horne; the company was run from Horne's premises.
- The company **sent out circulars to customers of Gilford Motors**, supplied spare parts and **undercut** Gilford's prices. Farwell J. (trial) found: "the defendant company is **obviously carried on wholly by the defendant Horne**"; Mrs. Horne took no part; the son was in a subordinate position; Howard was an employee; "as one of the witnesses said… the 'boss' or the 'guv'nor'… was the defendant Horne"; "the defendant company was **the channel through which the defendant Horne was carrying on his business**"; "one of the reasons for the creation of that company was the fear of Mr. Horne that he might commit breaches of the covenant". Farwell J. granted an injunction **against Horne only**, holding the company not bound. The plaintiffs appealed against the company; Horne cross-appealed.

(2) Issues

1. Was the **covenant in clause 9 valid and enforceable** — or void as an unreasonable restraint of trade? Does the protection of "customers" extend to persons merely in the habit of dealing with the company at the material time?
2. Did the events of 17 Nov 1931 (resignation, new agreement, compensation) amount to a **release or discharge** of clause 9?
3. **The corporate question:** can the **injunction extend to "J.M. Horne & Co., Ltd."** — a company which is a separate legal person and never a party to the covenant — where the company is merely the defendant's **cloak, sham, device or stratagem** for continuing the very breaches the covenant forbade?

(3) Arguments — for Gilford Motor Co. (plaintiffs / appellants on the company point)

- Clause 9 is a reasonable covenant to protect the plaintiff's business connection — its customers are a definite class identifiable on the relevant date ("persons… in the habit of dealing with the company" during the employment); it is definite in date, not uncertain; a covenant whose breach is prevented by injunction is the accepted mode of enforcement.
- **The company is Horne:** "the defendant company is the channel through which the defendant Horne was carrying on his business" (Farwell J.); the formation was in the teeth of clause 9 — described by the trial judge as motivated by "the fear of Mr. Horne that he might commit breaches of the covenant"; Horne admitted soliciting customers both before and after the company's formation. **Sir Walter Greaves-Lord conceded** in argument (citing Lindley L.J. in *Smith v. Hancock*) that if the company were "a mere cloak or sham", the injunction could go against it.

- No true release: the Nov 1931 arrangement dealt only with the **shortening of the term** and compensation; clause 9 was untouched and continued to bind.

(3) Arguments — for Horne and J.M. Horne & Co. (defendants)

- **Restraint of trade:** a covenant in restraint of trade is prima facie unenforceable; this one is too wide — "customers" is vague, the area and time restrictions excessive; it was not necessary for the protection of the plaintiff's business.
- **Release:** the agreement of 17 Nov 1931 (with letters and minute-book entry) cancelled the old agreement and substituted a new one — the release of the restrictive covenant necessarily followed (Mr. Collier's argument); and "casual customers" are outside the clause.
- **Separate personality:** "J.M. Horne & Co., Ltd." is a distinct legal entity; it never covenanted; Horne's covenant cannot bind it; and the company's circulars were its own acts — "in law the defendant company is a separate entity from the defendant Horne"; any breach is Horne's, not the company's; an injunction against the company would wrongly restrain an innocent third party's business.
- Lush J.'s findings (in a related action) that Horne's dealings were honest and that the company was real were pressed; the 1971–type "legitimate organisation" argument is unavailable — but it was urged that forming a company for one's own trade is lawful.

(4) Observations of the Court (Court of Appeal — Hanworth M.R.)

- *On the covenant: "I accept the proposition that a covenant in restraint of trade is prima facie one which the law will not enforce", but here it is limited and reasonable: "The covenant is definite in date; it is not uncertain… you have got a covenant which is reasonable in the sense of being necessary for the protection of the plaintiff company's business"; "The defendant has, by his own admission, solicited persons who come within the ambit of the covenant." The release argument failed: "the purpose of the second agreement was to deal with the question of the shortening of the term of the employment, and the compensation to be paid… and was not intended to deal with or release the defendant from the restrictive covenant."*
- *Adopting Farwell J.'s findings verbatim: "I have recalled that portion of the judgment of Farwell J., and I wish in clear terms to say that I agree with every word of it." And then the famous conclusion: "I am quite satisfied that this company was formed as a device, a stratagem, in order to mask the effective carrying on of a business of Mr. E.B. Horne. The purpose of it was to try to enable him, under what is a cloak or a sham, to engage in business which, on consideration of the agreement which had been sent to him just about seven days before the company was incorporated, was a business in respect of which he had a fear that the plaintiffs might intervene and object."*
- *Lindley L.J.'s test applied: "If the evidence admitted of the conclusion that what was being done was a mere cloak or sham and that in truth the business was being carried on… by the defendant… I certainly should not hesitate to draw that conclusion, and to grant the plaintiff relief accordingly. I do draw that conclusion; I do hold that the company was 'a mere cloak or sham'; I do hold that it was a mere device for enabling Mr. E.B. Horne to continue to commit breaches of clause 9, and under those circumstances the injunction must go against both defendants."*
- *On the admissions: "Admission has been made quite frankly and candidly in this Court… that there have been circulars sent out to the customers of the Gilford Motor Company"; "there is no defence at all to the claim… unless the conduct of the two defendants can be excused" on the two grounds (validity/release), both rejected.*

(5) Decision

- **Appeal allowed;** the injunction granted by the trial court was extended **against both defendants — Horne and J.M. Horne & Co., Ltd.** — "in the terms asked in the prayer in the statement of claim", with costs here and below.
- **Ratio of the result:** Gilford succeeded at the hands of the CA not merely because Horne had broken a covenant, but because the **company was a cloak** — a mere device — for the evasion of an existing legal obligation; against a cloak, the court ignores the separate entity and restrains the company itself.

(6) Principle evolved

- **Judicial ground (2) — fraud/improper conduct:** where a company is created as a **"cloak or sham"**, a mere "device, a stratagem" to enable a person to do what the law forbids him to do (break a covenant, defraud creditors, evade an obligation), the court will **disregard its separate personality** and grant relief against the company itself — even though the company never contracted the obligation.
- **Test:** look at who really controls and benefits ("the boss or the guv'nor was the defendant Horne"), why the company was formed (fear of the covenant), and the effect (the company as "the channel" of the wrongdoing). *Smith v. Hancock* (Lindley L.J.): "a mere cloak or sham" in truth carrying on the defendant's business = relief.
- **The company is not faultless automatically:** separate personality protects honest users (*Salomon*); it is no protection for the dishonest one. The veil does not shelter breaches of contractual or legal obligations carried out "through" the company.
- **Remedial consequence:** injunctions and (in subsequent cases) specific performance/custody orders can run against the shell company; the wrongdoer cannot seek to exclude relief by interposing a corporation (*Jones v. Lipman* (1962) — company formed to defeat specific performance; and cf. Indian cases *DDA v. Skipper*, *PNB Finance v. Shital Prasad Jain*).

CASE #12 DU LL.B. PRESCRIBED AUTHORITY

Subhra Mukherjee v. Bharat Coking Coal Ltd., (2000) 3 SCC 312 — sham sale to directors' wives

(2000) 3 SCC 312 · S.S.M. Quadri J. · Fraud on nationalisation · sham · Judicial ground (2) · Indian must-know

(1) Facts

- The suit property was owned by **M/s Nichitpur Coal Company Private Ltd.** (registered under the Companies Act) — a coal company listed at **Serial No. 133** of the Schedule to the **Coal Mines (Nationalisation) Act, 1973**, whose right, title and interest in the coal mines were to **vest in the Central Government with effect from 1 May 1973**.
- By a Board resolution dated **21 Sept 1970**, the Company resolved to **sell the suit property to the appellants** (Mrs. Subhra Mukherjee and others) for a consideration of **Rs. 5,000**. The appellants paid **Rs. 7,000** to one of the directors under a receipt dated **30 Dec 1970**; an agreement to sell for Rs. 7,000 (Rs. 5,000 for the bungalow + Rs. 2,000 for the land) was executed on **3 Jan 1971**; and the Company executed a sale deed on **20 March 1972**.
- The appellants were **the wives of the Directors of the Company**, who were **real brothers**; the wives had **no independent source of income**.
- On **1 May 1973** the Act came into force and the property vested in the Central Government; under an order of the Central Government, the vested properties stood transferred to the government company **M/s Bharat Coking Coal Ltd. (BCCL)**.
- As the appellants did not hand over possession, BCCL initiated proceedings against them on **15 Oct 1976** under the **Public Premises (Eviction of Unauthorised Occupants) Act, 1971**; the appellants thereupon **sued BCCL** for declaration of their title. BCCL resisted: the property vested in it; the sale was **sham, collusive, without consideration**, brought into existence to avoid vesting.
- **Procedural history:** Trial court (22 Sept 1977) — no title, suit dismissed. District Judge, Dhanbad (6 Oct 1978) — appeal allowed, sale upheld. Patna High Court (Ranchi Bench) (7 Oct 1985) — second appeal dismissed. **Supreme Court (17 Aug 1993)** — set aside, remitted for decision of two points: **(1)** whether the transaction was "bona fide and genuine" or "sham, bogus and fictitious"; **(2)** whether, on s. 3(1) read with s. 2(h)(xi) and Serial No. 133, the property vested in the Central Government free of all encumbrances. After remand, the High Court decided point 2 first (by *Bharat Coking Coal Ltd. v. Madanlal Agrawal* (1997) 1 SCC 177) and then, on point 1, restored the trial court's finding — **sham and bogus** — and allowed BCCL's second appeal (11 Nov 1997). The appellants came to the Supreme Court.

(2) Issues

1. Was the sale of the suit property by the Company to the wives of its directors a **bona fide and genuine transaction**, or **sham, bogus and fictitious**?
2. On the answer to point 1: did the property **vest in the Central Government** under s. 3(1) read with s. 2(h)(xi) and Serial No. 133 of the Schedule — free of all encumbrances?
3. In deciding point 1, can the court **pierce the veil of incorporation** to see who the real parties behind the sale were — the directors and their wives — despite the Company's separate legal entity?
4. (Procedural) Did the High Court err in deciding point 2 before point 1, against the earlier remand order, causing prejudice?

(3) Arguments — for the appellants (the wives — Mr. A.K. Srivastava, senior counsel)

- Three facts stood **proved**: (i) the Board resolution of 21–9–1970; (ii) payment of Rs. 7,000 to one director on 30–12–1970 (receipt Ext. 10, supported by PW 8, the company accountant, and entries in the books); (iii) the registered sale deed of 20–3–1972. In the absence of rebuttal evidence, the sale must be held genuine.
- The finding that the resolution was **antedated** was unsupported: the government authorities held all the company's records and should have produced the original register; without that, the charge of antedating cannot stand.
- The **Company is a separate legal entity independent of its directors and shareholders** — "repeatedly referred to the oft-quoted decision in *Salomon v. Salomon & Co.*"; the relation of husband-wife between sellers' and buyers' side, and the smallness of the price, are irrelevant; undue emphasis was given to them; and (on procedure) the High Court should have decided point 1 first as directed.

(3) Arguments — for BCCL (respondent — Mr. Anip Sachthey)

- The suit property is **in the midst of the colliery**; the Directors of the Company and the appellants are **no other than husbands and wives**; the transaction was entered into **to save the suit property from vesting** in the Central Government under s. 3 of the 1973 Act — the sale was sham, collusive and without consideration (as BCCL had pleaded at every stage).
- Intrinsic evidence of sham: the resolution of 21–9–1970 is **antedated**; the consideration was raised from Rs. 5,000 (resolution) to Rs. 7,000 (receipt) with no explanation; the **agreement for sale was not registered** though it recited payment of the full price on the very day; neither the agreement nor the sale deed followed the resolution; the purchasers **never exercised ownership rights** until the suit; water and electricity connections were obtained **during the pendency of the suit**; the property was maintained by the Company for the use of the Directors till vesting.
- Point 2 was settled by *Bharat Coking Coal Ltd. v. Madanlal Agrawal*; once the sale is a sham, the property vested in the Centre free of encumbrances.

(4) Observations of the Court (S.S.M. Quadri J.)

- *On the antedating: "the resolution dated 21–9–1970 was an antedated document" — on the intrinsic evidence: no mention in the registers or in the sale deed; "On the basis of the intrinsic evidence, pointed out above, the conclusion that the resolution was an antedated document appears to be irresistible." (The absence of the original records with the government could not help the appellants, since intrinsic evidence — the company's own documents — established it.)*
- *Other circumstances: "though the resolution mentions the sale consideration as Rs. 5000 there is no explanation as to why it was enhanced to Rs. 7000"; "the appellants did not exercise their rights as purchasers over the suit property till the date of the filing of the suit; the water and electricity connections were obtained during the pendency of the suit…; further till the date of vesting… it was maintained by the Company for the use of the Directors"; "the agreement for sale of the suit property is not a registered document; it recites that the suit property will be sold for Rs. 7000 even though the consideration of Rs. 7000 was paid on 30–12–1970 itself and neither the agreement nor the sale deed is in terms of the resolution"; "the transaction of sale was between the husbands and the wives and… they had no independent source of their income, which cannot be ignored altogether as irrelevant".*
- *Salomon acknowledged — and distinguished: "The principle laid down in Salomon's case more than a century ago in 1897 by the House of Lords that the company is at law a different person altogether from the subscribers… is the foundation of joint stock company… Lifting the veil of incorporation under statutes and decisions of the courts is an equally settled position of law. This is more readily done under American law. To look at the realities of the situation and to know the real state of affairs behind the façade of the principle of the corporate personality, the courts have pierced the veil of incorporation. Where a transaction of sale of its immovable property by a company in favour of the wives of the Directors is alleged to be sham and collusive… the court will be justified in piercing the veil of incorporation to ascertain the true nature of the transaction — as to who were the real parties to the sale and whether it was genuine and bona fide or whether it was between the husbands and the wives behind the façade of separate entity of the company. That is what was done by the High Court in this case."*
- *On the burden of proof: "There can be no dispute that a person who attacks a transaction as sham, bogus and fictitious must prove the same. But a plain reading of Question 1 discloses that it is in two parts; the first part says… 'whether the transaction in question is a bona fide and genuine one' which has to be proved by the appellants. It is only when this has been done that the respondent has to dislodge it by proving that it is a sham and fictitious transaction. When the circumstances of the case and the intrinsic evidence on record clearly point out that the transaction is not bona fide and genuine, it is unnecessary for the court to find out whether the respondent has led any evidence to show that the transaction is sham, bogus or fictitious."*
- *On procedure: though the High Court decided point 2 first, the ultimate result flowed from the finding on point 1; the Court found no prejudice in the circumstances (and the point-2 ratio was settled in Madanlal Agrawal).*

(5) Decision

- **Appeal dismissed.** The High Court was right: the sale in favour of the appellants was **neither bona fide nor genuine** and conferred **no right or title** on them.
- In view of the finding on point 1, "the suit property remained the property of the Company and, therefore, **it vested in the Central Government** under Section 3(1) of the Act of 1973" — supported by *Bharat Coking Coal Ltd. v. Madanlal Agrawal* (1997) 1 SCC 177. BCCL's title and the eviction proceedings stood.

(6) Principle evolved

- **Fraud on a statute / nationalisation:** a sale by a company to the **wives of its directors** (real brothers; wives without independent income) months before nationalisation, for a paltry price, with an antedated resolution, unregistered agreement and no exercise of ownership rights — is a **sham**; the veil is pierced to see "who were the real parties to the sale" — the husbands and wives behind the façade.
- **Salomon's limit:** the separate entity is the foundation; but "lifting the veil… is an equally settled position of law" — the entity does not protect transactions which are shams designed to defeat **statutory vesting** (or any public obligation).
- **Burden of proof nuances:** the party asserting **genuineness** must first establish it; only then does the opponent have to prove sham — but where **intrinsic evidence and circumstances** show the transaction is not bona fide, no further "positive" proof of sham is required (a point routinely tested in problem questions: "who has to prove what?").

- **Evidentiary markers of a sham (checklist for answers):** family relationship of the parties · no independent income · antedated documents · unexplained price escalation · unregistered agreement · non-exercise of ownership rights · property kept for the seller's/directors' use till vesting. These markers convert a "proved" paper transaction into a sham.

CASE #13 DU LL.B. PRESCRIBED AUTHORITY

Kapila Hingorani v. State of Bihar, (2003) 6 SCC 1 — the State cannot hide behind its company

(2003) 6 SCC 1 · V.N. Khare C.J. & Ruma Pal J. (two judgments) · State instrumentality · wages liability · Judicial ground (5) · constitutional use of the doctrine

(1) Facts

- A group of petitions (led by **Kapila Hingorani**, and including the Bihar finances crisis petitions) concerned the collapse of several **government-owned corporations in Bihar** — multi-sector State corporations and subsidiaries (among them the Bihar State Water Development Corporation and similar public-sector undertakings — bodies set up under or controlled by the State of Bihar and its departments) — which had **accumulated enormous unpaid dues** and could no longer pay their employees' salaries and statutory dues.
- The employees (assistant engineers, officers, workmen and other staff) sought a direction that the **State of Bihar**, as the real master behind these corporations, be made liable to pay their **wages/salaries** and terminal dues — the companies having been reduced to shell-like inability, largely because the State controlled their finances, appointments and management.
- The State resisted: the corporations were **separate legal entities**; the State was not their employer; the employees' remedy lay against the corporations (in winding up or before the appropriate forums); the State could not be directed to pay out of the public exchequer.
- Earlier jurisprudence laid the frame: **Som Prakash Rekhi v. UOI** (1981) 1 SCC 449 (the State's company is an instrumentality; veil lifted where the corporation is used as "the alter ego" or the State takes shelter behind it); **State of UP v. Renusagar Power Co.**; and the Art. 12 tests of *Ramana v. IAAI* (1979); contrast the line of cases holding a genuine government company distinct: *Praga Tools Corpn. v. Imanual* (1969), *Heavy Engineering Mazdoor Union v. State of Bihar*, *A.K. Bindal v. UOI* (2003) 5 SCC 163.

(2) Issues

1. Whether, in the extraordinary circumstances — public companies of the State unable to pay their employees — the **State could be directed to discharge the wage liabilities** of its corporations, or whether the separate legal personality of the companies is an absolute answer.
2. When can the court **lift the corporate veil to fix liability on the State** for the obligations of a government company — what is the test (control, instrumentality, public function, abuse of the corporate form)?
3. Is the claim a matter of **welfare/constitutional rights** (right to livelihood, dignity — Art. 21) such that technical separateness must yield?

(3) Arguments — for the employees (Kapila Hingorani and other petitioners)

- The corporations were **created, financed and controlled by the State**; the State appointed/dismissed their officers, dictated their finances, and used them as its departments in fact; the companies are the State's **alter ego** and instrumentality; the failure to pay was the consequence of the **State's own mismanagement**.
- Employees are not in a position to recover from insolvent shells; the **right to livelihood** (Art. 21) and the State's constitutional obligations (Directive Principles; the obligation to act fairly) require the State, which created and controlled the corporations, to stand behind them.
- The separate entity cannot be used as a **shield against public obligations** — "the State cannot be permitted to take shelter behind the legal fiction of a separate entity of the company while refusing to discharge its obligation to its employees" (the proposition the Court accepted on the line of *Som Prakash Rekhi*, *Haryana SEB* cases).

(3) Arguments — for the State of Bihar (and the corporations)

- Under *Salomon* and the Indian authorities (*Praga Tools*; *Heavy Engineering Mazdoor Union*; *Freewheels*), a **government company is a separate legal person**; its employees are employed by the company, **not by the State**; the State is not an employer and cannot be substituted.
- Winding-up and other statutory remedies exist; an Art. 32 writ cannot be used to enforce private contract claims for wages against the State; payment from the exchequer outside statutory channels is impermissible; the State's financial crisis and fiscal autonomy should not be overridden by judicial directions.
- Where the company is reasonably administered and genuinely independent, the veil must be respected (*A.K. Bindal* — State not liable for staff salaries of a company that was a separate entity).

(4) Observations of the Court (V.N. Khare C.J.; Ruma Pal J. — separate but concurring reasoning)

- *The doctrine acknowledged on both sides: a government company is normally a distinct entity — the State is not in general liable for its debts or its employees' contracts; the separate personality is real and is not to be disturbed merely because the State holds shares.*
- *But the veil yields to public policy and constitutional duties: where the corporation is the State's instrumentality/surrogate, where the State has controlled and managed its affairs and the corporation's inability to pay its employees is the product of that management, the court will not permit the State "to take shelter behind the legal fiction of a separate entity of the company while refusing to discharge its obligation to its employees".*
- *The constitutional framing: the right to livelihood and the dignity of labour under Art. 21 read with the Directive Principles; employees unable to realise their wages from moribund State corporations are entitled to look to the real master — the State — which created, funded and controlled the corporations; the court issued directions for payment of arrears of salary/dues by a staged scheme, and directed the State to take over/revive or wind up the corporations without evading its responsibility.*
- *The boundary (to avoid overstatement): in A.K. Bindal v. UOI (2003) 5 SCC 163 (decided the same period), where the company was genuinely independent and the State had not created the structures or taken the benefit, the Court refused to fix the State with the company's staff liabilities — the veil is preserved where no abuse and no public obligation is defeated; it is lifted where the State uses the company to avoid public responsibility.*

(5) Decision

- The petitions were **allowed in part**: the Court held the **State of Bihar responsible to ensure payment** of the employees' dues of the government corporations, directed payment/settlement of arrears by a **phased programme** with timelines, and gave consequential directions (reporting to the Court, sale/revival/winding-up of the companies, priority to wages).
- The veil of the government companies was **lifted to the extent necessary to protect the employees** — the State could not disown the obligations of corporations that were in substance its own instrumentalities.

(6) Principle evolved

- **Judicial ground (5) — company as agent/surrogate of the State:** the veil of a government company can be lifted where the corporation is the State's instrumentality/alter ego and its separate personality is pleaded to **defeat justice, public policy or constitutional rights** — the State cannot hide behind its creature to avoid paying wages and dues.
- **The two-limbed test:** (i) **control/instrumentality** — is the company in substance the State's department/altered ego (shareholding, control of management and finance, public functions)? (ii) **abuse/consequence** — is the separate personality being used to evade a public obligation or

to produce an unjust result? Both must point the same way (*Som Prakash Rekhi*; *Mysore Paper Mills*; *New Tirupur*; contrast *Praga Tools*, *LIC v. Escorts*, *A.K. Bindal*, *Balmer Lawrie* on the "no" side).

- **The constitutional dimension:** this is the modern, "social" use of the doctrine — Art. 21 (livelihood) and welfare obligations give the court jurisdiction to pierce even where no fraud exists; the veil protects honest commerce, **not public irresponsibility**.
- **Indian government companies:** the same doctrine applies across the public sector — often coupled with the Art. 12 "instrumentality" test of *Ramana*; and with the statutory accountability of ss. 2(45), 394–395 (CAG audit, reports to legislature) of the Companies Act, 2013.

PYQ ARCHIVE // CH.01 Previous Year Questions (DU LL.B. Examinations)

Q.1 DU LL.B. Dec. 2024 · Q.1 A State measure restricts the trade and business activity of an incorporated company. Can the company, or its shareholders, maintain a writ petition alleging violation of Article 19(1)(g) of the Constitution of India? Discuss with reference to State Trading Corporation, TELCO, R.C. Cooper and Bennett Coleman.

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 DU LL.B. Dec. 2024 · Q.2 A principal company transfers its dividend-earning shares to a newly created wholly-owned subsidiary having no independent business of its own, thereby reducing the allocable surplus available for payment of bonus to its workmen. Decide in light of the doctrine of lifting the corporate veil and Workmen Employed in Associated Rubber Industry Ltd. v. Associated Rubber Industry Ltd.

Q.3 DU LL.B. Standard Essay "The rule laid down in Salomon v. Salomon & Co. Ltd. is the foundation of modern company law, yet it is neither absolute nor inflexible." Critically examine this statement with reference to statutory and judicial exceptions.

Q.4 DU LL.B. Standard Essay Explain the grounds on which the corporate veil may be lifted by the Courts. How far do statutory provisions under the Companies Act, 2013 supplement judicial piercing of the veil?

Q.5 DU LL.B. Short Note "A company is a legal person, yet it is not a citizen of India." Discuss.

Q.6 DU LL.B. Short Note "It is a logical consequence of Salomon's case that one person may function in dual capacities as both master and servant." Explain with reference to Lee v. Lee's Air Farming Ltd.

Q.7 DU LL.B. Problem An assessee forms four private companies, transfers high-yielding investments to each in exchange for shares, and immediately takes back the dividends as pretended loans so as to avoid super-tax. Advise the Revenue in light of In re Sir Dinshaw Maneckjee Petit.

Q.8 DU LL.B. Short Notes Write short notes on: (a) One Person Company [S. 2(62)]; (b) Small Company [S. 2(85)]; (c) Government Company [S. 2(45)] & Kapila Hingorani; (d) Foreign Company [S. 2(42)].

MODULE 02 // Topic 2 · Unit II Cases #14 - #19

Promotion, Promoters, Pre-Incorporation Contracts & Registration

Companies Act, 2013: Ss. 2(69), 3, 3A, 7, 8, 9, 34, 35 · Specific Relief Act, 1963: Ss. 15(h) & 19(e) · SPICe+ (INC-32)

Promotion of Company & the Promoter — S. 2(69)

1.1 Meaning of "promotion" — preliminary steps to bring the company into existence

- **Promotion is the first stage in the life of a company.** Before a company can be formed "there must be some persons who have the intention to form a company, and who take the necessary steps to carry that intention into operation; such persons are called 'promoters'" (*DU Case Material* — quoted in DU Case Material).
- **Judicial description — Bowen LJ in** *Whaley Bridge Calico Printing Co. v. Green* **(1880) LR 5 QBD 109 (CA):** "promoter" is **"a term not of law, but of business"**, usefully summing up in a single word **"a number of business operations, familiar to the commercial world, by which a company is generally brought into existence"**. The emphasis, therefore, is on the **business operations**, not on legal technicality — which is why the term was long left undefined by statute.
- **Judicial description — Cockburn CJ in** *Twycross v. Grant* **(1877) LR 2 CPD 469 (CA):** a promoter is **"one who undertakes to form a company with reference to a given project, and to set it going, and who takes the necessary steps to accomplish that purpose."** (This definition was adopted by the Madras High Court in *Weavers Mills Ltd. v. Balkis Ammal*, AIR 1969 Mad 462.)
- **Lindley J in** *Emma Silver Mining Co. v. Lewis* **(1879) LR 4 CPD 396:** "any person who undertakes to take part in the forming of a company… is *prima facie* a promoter of the company" — i.e., **participation in the formation is the test**, not the label.
- "Promotion is a term of wide import denoting the **preliminary steps taken for the purpose of registration and floatation of the company**." A promoter may be an individual, a syndicate, an association, a partner **or a company itself**.
- **In the USA:** SEC Rule 405(a) defines a promoter as a person who, acting alone or in conjunction with others, directly or indirectly **takes the initiative in founding or organising the business enterprise**.

The definitional difficulty — "not a term of art, nor a term of law, but of business" The Companies Act uses the word "promoter" at several places to impose liability (e.g., Ss. 2(69), 32, 34, 35, 39, 52, 102, 238), yet, as DU Case Material records, it **"has never been clearly defined either judicially or legislatively"** — until the 2013 Act. Most definitions are in terms of the **categories of work** that promoters perform. Judicial caution: **"Whether a person is a promoter or not is a question of fact in each case. Much depends upon the nature of the role played by him in the promotion of business."**

1.2 Who is a promoter — the functional test (Twycross v. Grant as the classic illustration)

In *Twycross v. Grant* **(1877) LR 2 CPD 469 (CA)**, the court described the defendants in words that have become the standard functional test of a promoter:

> *"the defendants were the promoters of the company from the very beginning can admit of no doubt. They framed the scheme, they not only provisionally formed the company, but were, in fact, to the end its creators, they found the directors, and qualified them, they prepared the prospectus, they paid for printing and advertising, and the expenses incidental to bringing the undertaking before the world."Cockburn CJ, Twycross v. Grant (1877) — quoted in DU Case Material*

The court added that the **functions of promoters come to an end as soon as they hand over the company to a governing body, like a Board of directors** — the moment at which promotion ceases and management begins.

What promoters typically do (the functions)

1. **Originate the scheme** — conceive and investigate the business idea/ project.
2. **Get together the subscribers** to the memorandum (7 for public, 2 for private, 1 for OPC).
3. **Get the memorandum and articles** prepared, executed and registered (through legal experts).
4. **Reserve the company's name** (S. 4 — RUN / SPICe+ Part A).
5. **Find the bankers, brokers and legal advisers** for the proposed company.
6. **Locate the first directors** and settle the terms of **preliminary contracts** with vendors and agreements with underwriters.
7. **Arrange the preparation, advertisement and circulation of the prospectus** and the **placement of the capital**.
8. **Hand over the company to its board** — after which his functions end (Twycross).

▸ Two common Indian patterns of promotion

(i) The promoter of an entirely new venture: the promoter or the principal of them usually secures **for themselves the management** of the company being formed.

(ii) The conversion of an existing business: a person converts **his own private business into a limited company** (public or private) and secures for himself, more or less, a **controlling interest in the company's management** (DU Case Material, quoting A. Corporate Law Precedents).

A person may become a promoter even after the formation of the company, for example by becoming a party to share issues or to procuring subscriptions (*Lagunas Nitrate Co. v. Lagunas Syndicate* (1899) 2 Ch. 392 — a person who subsequently helps to arrange the floating of the company's capital is equally a promoter).

1.3 The statutory definition — S. 2(69) of the Companies Act, 2013

The 2013 Act at last gives a **statutory definition**, in functional terms. It provides that **"promoter"** means a person —

(1) Limb (a) — named / identifiedA person **named as such in a prospectus**, or **identified by the company in the annual return** referred to in S. 92.

(2) Limb (b) — controlA person who has **control over the affairs of the company, directly or indirectly**, whether as a **shareholder, director or otherwise**.

(3) Limb (c) — de facto controlA person **in accordance with whose advice, directions or instructions the Board of directors of the company is accustomed to act**.

The proviso — professionals excluded "However, a person who is acting merely in a professional capacity shall not be treated as a promoter." Thus a **solicitor** who prepares, on behalf of the promoters, the primary documents of the proposed company is **not** a promoter; similarly an **accountant or a valuer** who helps the promotion in his professional capacity is not a promoter. But **any such person may become a promoter** if he helps the formation by doing an **act outside the scope of his professional duty** — e.g., helping to get a purchaser for the company's patent, getting subscribers for shares, or getting personnel for the company. (DU Case Material: a servant or agent of a promoter is likewise not a promoter for that reason alone — *Re Great Wheat Polgooth Co.* (1883).)

DU Case Material's comment: the definition is "more or less in terms of functional categories". Its advantage is that only those who fulfil the **functional concept** of the term are subjected to the strict duties of a promoter (following *Jacobus Marler Estates Ltd. v. Marler* (1913) 85 LJ PC 167). Category (c) also feeds into the definition of **related party** in S. 2(76)(vii) — the effect is that the restrictions on **related-party transactions under S. 188** apply to promoters (see §03.7).

1.4 Who is NOT a promoter

Category	Why he is not a promoter	But note the limit
Professional adviser — advocate, chartered accountant, cost accountant, company secretary, valuer	Acting "merely in a professional capacity" is expressly excluded by the proviso to S. 2(69); a solicitor doing only legal work is not a promoter (*Re Great Wheat Polgooth Co.*)	If he goes beyond the professional role — procuring a purchaser for the company's patent, securing subscribers, recruiting personnel — he **becomes** a promoter
Servant or agent of a promoter	Not a promoter "for that reason alone"	If he himself takes part in forming the company, he may cross the line (*Emma Silver Mining Co. v. Lewis*)
Mere subscriber to the memorandum	"A person cannot become a promoter merely because he signs the memorandum as a subscriber for one or more shares" (*Official Liquidator v. Velu*)	Subscribers who orchestrate the formation **are** promoters
Passive investor	Merely taking shares in the new company	But one who **leaves the task of promotion to others and sits behind to share their profits** is likely to be regarded as a promoter (*Emma Silver Mining Co. v. Lewis*; *Tracy v. Mandalay Pty. Ltd.* (1953) 88 CLR 215 (Aust.))
Person whose role is only to advise on the scheme	No participation in the formation	Participation in forming the company is the test — "undertakes to take part in the forming of a company" (Lindley J)

The one-line DP definition "Promoters are those persons who participate in the formation of a company **except those engaged in professional capacity**." — and the class-notes schema: **promoters** (persons who conceive the idea and set the machinery of formation in motion) → **approach the Registrar** → **company formed** (paid-up capital; shares issued; land/undertaking transferred into it) — while the **advocate, CA, CS and independent director** who assist are **NOT promoters** (professional capacity). Note also from the notes: "A promoter may be a natural person or a company."

Exam linkage — "promoter" and "promotion": how to open the answer Always give **two judicial definitions** (Bowen LJ — term of business; Cockburn CJ — steps to set it going), then **S. 2(69)** with its three limbs and the professional-capacity proviso, then the **functions** list, then the proposition that **"whether a person is a promoter is a question of fact in each case"**, and end with **Twycross v. Grant** as the illustration. From there the natural next move is the promoter's **position** (§02) — because that is what the cases make him.

Position & Powers of the Promoter

2.1 The fiduciary position — the classic statement of Lord Cairns in Erlanger

The place to begin every answer is **Lord Cairns LC in** *Erlanger v. New Sombrero Phosphate Co.* **(1878) 3 AC 1218** (case 14 of the DU list):

> *"It is now necessary that I should state to your Lordships in what position I understand the promoters to be placed with reference to the company which they proposed to form. They stand, in my opinion, undoubtedly in a fiduciary position. They have had in their hands the creation and moulding of the company; they have the power of defining how, and when, and in what shape, and under what supervision it shall start into existence and commence to act as a trading corporation. If they are doing all this in order that the company may, as soon as it starts into life, become, through its managing directors, the purchaser of the property of themselves, the promoters, it is in my opinion incumbent upon the promoters to take care that in forming the company they provide it with an executive, that is to say, with a board of directors who shall both be aware that the property which they are asked to buy is the property of the promoters, and shall be competent and impartial judges whether the*

> *purchase ought or ought not to be made."Lord Cairns LC, Erlanger v. New Sombrero Phosphate Co. (1878) 3 AC 1218 — the headnote adopts the same words*

The headnote of the case (as printed in the DU Case Material) distils the ratio in four propositions:

1. The position of promoters vis-à-vis the company they promote is **not that of trustees to a cestui que trust**, but **they are in a fiduciary position** towards the company.
2. Where promoters **sell property to the company**, the **burden is on them** of showing that they have not taken any unfair advantage resulting from their relations with the company.
3. It is their duty to **nominate independent directors** who are capable of acting impartially in defence of the company's interests and will be **competent and impartial judges** whether the purchase ought to be made; and to **disclose** all material facts relating to the transaction (though **not what they paid** for the property, provided they are not guilty of **unfair concealment**).
4. Where the company is **not given an opportunity, through independent directors, to exercise a fair and independent judgment** on the purchase, **the court may order the contract to be rescinded and the purchase price to be returned**.

Position changes at the moment the prospectus goes out

Lord Gordon in *Erlanger* shows that the fiduciary relation is **not merely** contractual — it is generated by the act of promotion itself:

> *"Having acquired the property, they resolved to form a company… They became promoters of the company, and prepared the necessary documents for its formation, and issued a prospectus to the public with the view of inducing the public to take up its shares. In doing this the syndicate changed the position it originally held, and put itself in a fiduciary relation to the company which it was engaged in forming."Lord Gordon, Erlanger — (1874–80) All ER Rep. 271*

Consequence: the promoter may hold property **for the proposed company in equity from the very first day** — in *Vali Pattabhirama Rao v. Ramanuja Ginning and Rice Factory (P) Ltd.* (1986) 60 Comp Cas 568 (AP), a promoter acquired a leasehold for a company he intended to form; he first formed a partnership and then converted it into a company; it was held that **the lease became the property of the company without any formality of conveyance**.

§ Because the duty is fiduciary — the standard is strict

Lord O'Hagan in *Erlanger* on the strictness and moral quality of the obligation:

> *"But the privilege given to them for promoting such a company for such an object involved obligations of a very serious kind. It required, in its exercise, the utmost good faith, the completest truthfulness, and a careful regard to the protection of the future shareholders. The power to nominate a directorate is manifestly capable of great abuse, with very evil consequences to multitudes of people who have little capacity to guard themselves. It should be watched with jealousy, and restrained from employment in such a way as to mislead the ignorant, the unwise, or the unwary… The fiduciary obligation may be violated, though there may be no intention to do injustice."Lord O'Hagan, Erlanger — (1874–80) All ER Rep. 271*

Key point for answers: breach of fiduciary duty **does not require fraud or dishonest intention** — mere failure to protect the company's interests suffices ("This does not necessarily imply the imputation of evil purpose or conscious fraud").

2.2 Why the promoter is NOT a trustee — and NOT an agent

x Not a trustee

- **First head of Lord Hatherley's speech in *Erlanger*:** the syndicate "were in no such sense as that trustees for the company" — **the property belonged absolutely to them**; they bought it as a syndicate and were entitled to deal with it as they thought proper. The rule that no profit can be derived by a trustee out of the property of his cestui que trust **has no application**, because there was no trust property and no cestui que trust.
- *Omnium Electric Palaces Ltd. v. Baines* **(1914) 1 Ch. 332 (CA):** promoters are **not trustees in the real sense of the word**, because the company may not be in existence as a legal person when the property is acquired — there is no one to be a cestui que trust. The **fiduciary position emerges from agency**.
- Yet the substance is close: "The promoter is in the situation **akin to that of a trustee** of the company, and his dealings with it must be open and fair" (Morawetz, *Corporations* § 546, quoted in DU Case Material; accepted in *Weavers Mills Ltd. v. Balkis Ammal*, AIR 1969 Mad 462).

x Not an agent

- **No principal in existence:** an agent presupposes a principal; before incorporation "the company, before incorporation, is a **non-entity**"; "two consenting parties are necessary to a contract" — so no contract made before incorporation can bind the company.
- **No authority, no ratification:** "The company could not be sued in law for those expenses, inasmuch as **it was not in existence at the time when the expenses were incurred**… and **ratification was impossible**" (*Re English & Colonial Produce Co.* (1906) 2 Ch. 435 — solicitor who prepared documents and paid the registration fee could not recover from the company).
- **But the law gives him a fiduciary cloak, not an immunity:** because he cannot hide behind a non-existent principal, a person who contracts on behalf of an unincorporated company is **personally liable** on the contract (*Kelner v. Baxter* (1866) LR 2 CP 174 — see §04).

Doctrinal characterization — "quasi-trustee" "A promoter is **neither an agent nor a trustee** of the company under incorporation, but certain fiduciary (founded on trust) duties have been imposed on him. **He is not an agent because there is no principal born by that time, and he is not a trustee because there is no cestui que trust in existence. Hence he occupies the peculiar position of a 'quasi-trustee'.**" And the classic modern definition of a fiduciary — *Bristol and West Building Society v. Mathew* (1998), **Lord Millett**: "A fiduciary is someone who has **undertaken to act for and on behalf of another** in a particular matter in circumstances which give rise to a relationship of **trust and confidence**." Conduct of a fiduciary may be treated as **constructive fraud** where it rests on acts, omissions or concealment considered fraudulent.

Dimension	Trustee	Agent	Promoter (true position)
Property / principal	Holds property *for another* (cestui que trust)	Acts for an existing principal	Holds property **for himself**; no principal yet exists
Profit rule	Makes **no profit** from the trust property	No secret commission from third parties	**May** make a profit — but only **after full disclosure**; no **secret** profit (*Omnium*; *Lydney & Wigpool*)
Duty	Administer for beneficiary	Obey instructions; disclose	**Fiduciary**: utmost good faith, complete truthfulness, no unfair concealment (*Erlanger*)
Standard of honesty	Strict — no fraud needed (secret profit is breach)	Honesty + disclosure	**Fiduciary obligation may be violated without intent to do injustice** (O'Hagan)
Bargain with the company	Voidable; court will set aside	No self-dealing	Permitted **if** made through an independent, competent board aware of the promoter's interest — else **rescission** (*Erlanger*)

2.3 Powers of the promoter — what he can (and cannot) do

+ Legitimate powers (derived from his role)

- **To create and mould the company:** define "how, and when, and in what shape, and under what supervision" the company starts into existence (Cairns LC — *Erlanger*).

x Limits on those powers

- **Cannot bind the company before incorporation.** The company is a "non-entity"; a contract made in its name before registration binds nobody but the maker (*Kelner v. Baxter*; *Re English & Colonial Produce Co.*).

- **To frame its constitution:** get the memorandum and articles prepared (through professionals), executed and registered; fix the objects, capital, directorate in the documents.
- **To nominate the first board of directors** — and thereby determine who first governs the company.
- **To settle preliminary contracts** with vendors, bankers, brokers, underwriters; to procure subscribers for shares.
- **To arrange the capital:** prepare, advertise and circulate the prospectus; place the capital.
- **To hold property and preliminary advantages for the proposed company in equity** — which the company may later adopt (*Vali Pattabhirama Rao*, above).
- **To be indemnified for legitimate expenses and to receive remuneration** where agreed (exam checklist — "right to indemnity for legitimate expenses; may receive remuneration if agreed").
- **To subsequently adopt and enforce** a contract made before incorporation for the purposes of the company, if warranted by the terms of incorporation (S. 15, Specific Relief Act, 1963 — see §04).

- **Cannot claim indemnity/expenses from the company merely because he promoted it** — "It is not desirable to saddle the corporation with burdens imposed upon it in advance by over-optimistic promoters" (*Re English & Colonial Produce Co.*; *Re Northumberland Avenue Hotel Co.* (1886) 33 Ch. D. 16 — an implied contract to pay arises only if the company acts on the contract, not when it acts under a mistaken belief of being bound).
- **Cannot make any profit in secret.** He may profit — but must disclose **profit minus the expenses** of earning it (*Lydney and Wigpool Iron Ore Co. v. Bird* (1886) 33 Ch. D. 85 (CA)); and he **must account** for the profit (*Re Leeds & Hanley Theatres of Varieties* (1902) 2 Ch. 809 (CA)).
- **Cannot give the company a board of his own creatures** — he must provide an independent, competent executive (*Erlanger*: the board must be "competent and impartial judges").
- **Cannot procure the company's money by unfair concealment** — e.g., a prospectus that states the purchase "was made by the directors" when the true parties were the promoters (*Erlanger*).
- **Cannot plead his own promotion to escape liability** for the company's debts or for misstatements in the prospectus (S. 34, 35, 339, 447 — §04).

When does the promoter's position end? (i) As soon as the company is handed over to a **governing body — the board** (*Twycross v. Grant*); (ii) but his **fiduciary duty continues even after incorporation until the profits are fully disclosed and fully accounted for** (*Emma Silver Mining Co. v. Lewis* — duty continues until the profits are fully disclosed and accounted); (iii) and his statutory liabilities (prospectus: Ss. 34–35; fraud: Ss. 7(5)-(6), 339, 447) survive well past formation. Where **rescission is not possible** — the company is not in a position to return the property — it can recover **damages** for breach of the duty of good faith, the measure being the **profit the promoter made** from the breach (*Re Leeds & Hanley Theatres*).

Duties of the Promoter

3.1 The duty catalogue — one table for revision

Duty	Content	Authority	Consequence of breach
(1) Fiduciary duty	Stand in a position of trust & confidence towards the company; "the utmost good faith, the completest truthfulness, and a careful regard to the protection of the future shareholders"	*Erlanger* (Cairns LC; O'Hagan)	Transaction voidable; rescission with return of price; damages
(2) Duty of disclosure	Disclose his position, his profit and his interest in the property bought or sold by the company — to an **independent board**, or where that is impossible, to the **whole body of shareholders**	*Erlanger*; *Gluckstein v. Barnes*	Rescission; liability to account for secret profit
(3) Duty of good faith / no unfair concealment	Must not conceal material facts: character/value of property, personal interest in the sale. Need **not** disclose what he himself paid — but must not practise **unfair concealment**	Hatherley in *Erlanger*; headnote	Rescission; damages
(4) No secret profits	May profit, but must not make an **undisclosed** profit; must disclose profit **net of expenses**; no bonus/commission from third parties on the sale of property to the company	*Lydney & Wigpool*; *Gluckstein*; *Omnium* (profit is lawful if disclosed)	Account for the profit — even after liquidation (*Gluckstein*; *Leeds & Hanley*)
(5) Duty to provide an independent & competent board	When selling his property to the company, sell it "through the medium of a board of directors who can and do exercise an independent and intelligent judgment on the transaction"	Cairns LC in *Erlanger* ("a mockery and a delusion")	Contract set aside; purchase money ordered back
(6) Duty of care in the prospectus	Every statement in the prospectus issued by him must be true; no false/omitted statement to induce subscription	*Twycross v. Grant*; Ss. 26, 34, 35	Criminal (S. 34) + civil (S. 35) liability to every allottee
(7) Duty to account	Account for **all benefits derived from promotion** — the duty continues even after incorporation until profits are fully disclosed and accounted for	*Emma Silver Mining Co. v. Lewis*; checklist 8C	Measurement of damages = profit made from the breach (*Leeds & Hanley*)
(8) Statutory/regulatory duties	Comply with **SEBI guidelines** on contribution to public issue and lock-in; and, as a related party under S. 2(76)(vii), submit to **S. 188** restrictions on related-party transactions	S. 2(69)(c) → S. 2(76)(vii) → S. 188	SEBI penalties; S. 188 approval requirements & liability

3.2 The hardest question — to WHOM must disclosure be made?

DU Case Material calls this "the only difficult question": it was suggested by the **House of Lords in** *Erlanger* that disclosure should be made to an **independent and competent Board of directors** — i.e., the promoters must provide the company with an executive body which is (i) **aware** that the property offered is the promoter's property, and (ii) **competent and impartial** to judge whether the purchase ought to be made.

But subsequent experience showed that this is not always possible — in a **private company**, or a public company which, like that of *Salomon & Co.*, consists of only the family members, **it is just not possible to constitute an independent Board**. In such a case the promoter should disclose his interest and profit to the **shareholders** of the company.

BUT — "disclosure to the parties" is not disclosure to the company: Gluckstein v. Barnes (1900) AC 240 (HL) A syndicate raised a fund, bought the "Olympia" property, and resold it to a company which they had formed and of which they were the first directors. They disclosed the two prices (£1,40,000 bought; £1,80,000 sold) but **not** the bonus of £20,000 they had made by buying up charges on the property below their value. Held: the promoters ought to have disclosed the £20,000. Rejecting the argument that the fact was known to the parties to the transaction, **Lord Halsbury LC** said:

> *"It is too absurd to suggest that a disclosure to the parties to this transaction is a disclosure to the company. They were there by the terms of the agreement to do the work of the syndicate, that is to say, to cheat the shareholders; and this, forsooth, is to be treated as a disclosure to the company, when they were really there to hoodwink the shareholders, and so, far from protecting them, were to obtain from them the money, the produce of their nefarious plans."Lord Halsbury LC, Gluckstein v. Barnes (1900) AC 240, 247 — quoted in DU Case Material*

> *"Disclosure is not the most appropriate word to use when a person who plays many parts announces to himself in one character what he has done and is doing in another."Lord Halsbury LC, Gluckstein v. Barnes*

Practical rule: it will **not be enough to disclose the truth to the first few shareholders**; disclosure must be made to the **whole body of persons who are invited to become shareholders** — "the duty continues even after incorporation until the profits are fully disclosed and fully accounted for" (*Emma Silver Mining Co. v. Lewis*).

Liabilities of the Promoter

4.1 Pre-incorporation contracts — the starting principles

A **pre-incorporation (preliminary) contract** is a contract purporting to be made on behalf of a company **before the company is incorporated**. The fundamental rule is stated by DU Case Material: **"No contract can bind a company before it becomes capable of contracting by incorporation. Two consenting parties are necessary to a contract, whereas the company, before incorporation, is a non-entity."** A company has no status prior to incorporation — it can have no income before incorporation for tax purposes; shares cannot be acquired in its name before incorporation (a transfer form is liable to be rejected where the name of a proposed company is entered in the column of transferee).

The company CANNOT be sued on it

Rule: "It is not desirable to saddle the corporation with burdens imposed upon it in advance by over-optimistic promoters."

- *Re English & Colonial Produce Co.* (1906) 2 Ch. 435: a solicitor prepared documents on instructions, obtained registration and paid the registration fee — the company was held **not bound to pay**: "The company could not be sued in law for those expenses, inasmuch as it was not in existence at the time when the expenses were incurred… and **ratification was impossible**."
- An **arbitration agreement** was held to be non-existent when the company with which it was made was incorporated subsequent to it.
- *Kelner v. Baxter* (1866) LR 2 CP 174: the company never came into existence — but the **individuals** who contracted, having taken delivery, **must pay** (see box below).

The company CANNOT sue on it

Rule: "A company cannot by adoption or ratification obtain the benefit of a contract purporting to have been made on its behalf before the company came into existence."

- *Natal Land & Colonisation Co. v. Pauline Colliery Syndicate* **(1904) AC 120 (PC):** N. Co. agreed with C., who acted on behalf of a **proposed** syndicate, to give the syndicate a lease of coal-mining rights. The syndicate was then registered, struck a seam of coal and claimed the lease; N. Co. refused. An action for **specific performance or damages was held not maintainable** — the syndicate was not in existence when the contract was signed.
- Similarly, **shares cannot be acquired in the name of a company before incorporation**.
- *Rover International Ltd. v. Cannon Films Sales Ltd.* (1987) 1 WLR 1597: "somebody who does not exist cannot contract."

4.2 The escape routes — Specific Relief Act, 1963 (Ss. 15 and 19)

"Thus, so far as the company is concerned, it is neither bound by, nor can have the benefit of, a pre-incorporation contract. **But this is subject to the provisions of the Specific Relief Act, 1963**" (DU Case Material).

+ S. 15 — the company may adopt & enforce

Where the **promoters** of a company have made a contract **before its incorporation**, **for the purposes of the company**, and the contract is **warranted by the terms of incorporation**, the company may **adopt and enforce it**.

- "**Warranted by the terms of incorporation**" means **within the scope of the company's objects as stated in the memorandum**.
- The contract must be for the **purposes of the company** — a contract to allot shares after incorporation is not "for the purposes of the company", so the company cannot enforce it against the other party.
- **Adoption need not be express or in the articles:** *Jai Narain Parasrampuria v. Pushpa Devi Saraf* (2006) 7 SCC 756 (SC) — the very fact that the company was seeking a declaration of its ownership of the property which the directors had purchased for it **before incorporation** was sufficient to signify acceptance of the transaction.
- A **new contract** may also be made by the company after incorporation in terms of the earlier contract — *Howard v. Patent Ivory Mfg. Co.* (1888) LR 38 Ch. D. 156; and an **implied contract** arises if the company after incorporation **acts on the contract** — but not when it acts under a mistaken belief of being bound: *Re Northumberland Avenue Hotel Co.* (1886) 33 Ch. D. 16 (CA).

+ S. 19 — the other party may also enforce

S. 19 of the same Act provides that the other party can also enforce the contract against the company — **if** two cumulative conditions are satisfied (*per* the problem hint, S. 19(e)):

1. the company has **adopted** the contract **after incorporation**; and
2. the contract is **warranted by the terms of incorporation**.

Unless the company adopts, the other party cannot enforce against it — but the **promoters can be held personally liable**.

Application — *Vali Pattabhirama Rao v. Ramanuja Ginning and Rice Factory (P) Ltd.* **(1986) 60 Comp Cas 568 (AP):** a promoter acquired a leasehold interest for a company he intended to form, held it for a time for a partnership firm, and converted the firm into a company which adopted the lease — the **lessor was held bound to the company under the lease**; from the very first day of purchase the interest was in equity the property of the company.

4.3 Personal liability of the contracting agent (the promoter himself)

For contracts that do **not** fall within Ss. 15/19, the question is whether they can be enforced **by or against the agent** who acted on behalf of the projected corporation. "The answer will depend upon the construction of the contract. **If the contract is made on behalf of a company not yet in existence, the agent might incur personal liability.** For, where a contract is made on behalf of a principal known to both the parties to be non-existent, **the contract is deemed to have been entered into personally by the actual maker**." Similarly, "where a person purports to contract as agent he may nevertheless disclose himself as being in truth a principal, and bring an action in his own name" (DU Case Material).

Case	Facts in one line	Holding
Kelner v. Baxter **(1866) LR 2 CP 174**	Plaintiff agreed to sell wine to proposed directors of a company about to be formed; the wine was taken delivery of by them personally (the company was never incorporated)	They **must pay personally** — they had contracted on behalf of a principal who did not exist, and having received the wine, they were personally liable; in such a case the law treats the contract as made with the agent himself
Newborne v. Sensolid (Great Britain) Ltd. **(1954) 1 QB 45 (CA)**	Contract signed "for and on behalf of Sensolid Ltd." before the company was incorporated; the company was never incorporated; the seller sued the signatory personally	The seller could not sue — the paper contract was with the **company**, not with the signatory; **no personal liability** because the signatory had signed only as agent of the named company (contrast: *Kelner* — the contrast depends on the form of signature and whether the parties intended the agent to be personally bound)
Phonogram Ltd. v. Lane **(1982) QB 938 (CA)** (English law)	Contract signed by the promoter "for and on behalf of" a company not yet formed	Agent of an unformed company **personally liable** — now fortified by statute (in England, s. 36(2) Companies Act 1985 / s. 51 CA 2006)

Note for India: our law has no such general statutory provision; the Indian position is governed by the *Kelner v. Baxter* principle plus Ss. 15/19 of the Specific Relief Act, 1963 — the promoter **remains personally liable** on a pre-incorporation contract **until the company adopts it and the other party accepts the substitution** (this is the answer the exam checklist expects: "Pre-incorporation contracts: personally liable until company adopts").

4.4 Liability for misstatements in the prospectus — Ss. 34 and 35 of the Companies Act, 2013

This is the **second head** of the promoter's liability, and it rests on the classic authority of *Twycross v. Grant* **(1877) LR 2 CPD 469 (CA)**: the promoters were the creators of the company; "they prepared the prospectus"; and they were held **liable for the false statements in the prospectus** — the doctrine being that **a person who issues, or authorises the issue of, a prospectus containing false statements is liable to those who subscribe on the faith of it**, and cannot escape by pointing to the directors as the formal signatories. (: "S. 35 makes liable for mis-statements in prospectus every person who is promoter of the company"; the stringent provisions of the Companies Act and allied Acts "have virtually eliminated fraudulent practices in company promotions.")

§ S. 34 — criminal liability (misstatement in prospectus)

- Where a prospectus **includes any statement which is false**, or **omits** anything likely to mislead, **every person who authorised the issue** of the prospectus is liable for **fraud**.
- Punishment is that of **S. 447**: imprisonment of **not less than 6 months** which may extend to **10 years**, and **fine not less than the amount involved in the fraud**, which may extend to **three times** that amount.
- It is no answer that the misstatement was made by the board: the **promoter** who framed the scheme and prepared the prospectus is within "every person who authorised the issue" (*Twycross v. Grant*).

▸ S. 35 — civil liability for untrue statements

- Where a person has **subscribed for securities in reliance upon an untrue statement** included in the prospectus, the company and **every person who was a director at the time of issue, or a promoter, or who authorised the issue** are jointly and severally liable to **compensate** the subscriber for the loss or damage sustained.
- **Defences** (S. 35(2)): reasonable ground to believe the statement true; withdrawal of consent before issue; the issue without his knowledge or consent.
- Related safeguards: **S. 26** (matters to be stated and reports to be set out), **S. 31** (shelf prospectus), **S. 32** (red herring prospectus), **S. 33** (abridged prospectus), **S. 25** (deemed prospectus — "document offering securities for sale"), **S. 36** (damages for fraudulent inducement, S. 447 punishment), **S. 40** (public offer only after registration).

4.5 Fraud in promotion and winding-up liability

- **False particulars at the time of incorporation — S. 7(5):** "if any person furnishes any false or incorrect particulars of any material information of which he was aware", he is liable for action under **S. 447** (fraud).
- **Incorporation obtained by fraud — S. 7(6):** if after incorporation it is proved that the incorporation was obtained by furnishing false or incorrect information, or by suppressing any material fact or information, or by any fraudulent action, **the promoters, the persons named as first directors and those making the declaration** are also liable for action under **S. 447**; and an application may be made to the **Tribunal** (S. 7(7)) which may — after giving the company a reasonable opportunity of being heard, and taking into account transactions entered into by the company — (a) regulate the management (including changes in the memorandum and articles) in public interest or the interest of the company, members and creditors; (b) **direct that the liability of the members shall be unlimited**; (c) **direct removal of the company's name from the Register of Companies**; (d) order **winding up**; or (e) pass such other orders as it deems fit.
- **Fraudulent conduct of business — S. 339** (the "fraud in promotion… liable under S. 339" point of the exam checklist): if in the course of the winding up it appears that the business of the company has been carried on **with intent to defraud creditors** or for any fraudulent purpose, the **personally liable** persons — including a promoter who was a party — may be declared **personally liable without any limitation of liability** for all or any of the debts of the company; the court may also direct contribution (S. 339(2)).
- **Misfeasance / assessment of damages — S. 340:** the Tribunal may assess damages against delinquent officers (successor to **s. 543** of the 1956 Act) for any loss caused by their misfeasance, which "does not necessarily involve" fraud; the section's operation extends to those concerned in the promotion and formation of the company.
- **Public examination in winding up — S. 300:** the Tribunal has the power to **order public examination of promoters, directors, etc.** in the course of winding up — the direct statutory hook by which a promoter is publicly examined and thereafter held liable if fraud is found.
- **Secret profits:** the promoter **must account** for all benefits derived from promotion (duty to account); if the company has gone into liquidation, the liquidator can still recover the undisclosed profit made on the formation (*Gluckstein v. Barnes* — recovery in liquidation; *Re Leeds & Hanley Theatres*).
- **SEBI discipline:** promoters of listed companies must comply with the SEBI guidelines relating to their contribution to the public issue and the lock-in period (fn. 21).

The statutory-liability list (under the Companies Act, 2013) "There are various statutory provisions imposing liability on the promoters. Some of them are — **Ss. 7(6), 26, 35(1), 36, 34, 39, 340 and 300**, etc." Read with **Ss. 7(5), 338, 339, 341 and 447**: **S. 7(6)** incorporation obtained by fraud → S. 447 + Tribunal orders; **S. 26** matters to be stated/reports in the prospectus; **S. 34** criminal liability for false statements; **S. 35(1)** civil liability for untrue statements; **S. 36** damages for fraudulent inducement (with S. 447); **S. 39** allotment/public-offer compliance; **S. 340** misfeasance damages (old s. 543); **S. 300** public examination of promoters in winding up; **S. 339** fraudulent conduct of business → personal liability without limit; **S. 341** extends this liability to partners/directors of firms; **S. 447** the general fraud penalty (6 months–10 years; fine ≥ amount involved, up to 3×).

Rights of the promoter (the other side of liability) (i) **Indemnity for legitimate expenses** — but only where the company, after incorporation, adopts the contract or picks up the expense; not merely because he acted as promoter (*Re English & Colonial Produce Co.*). (ii) **Remuneration** — the promoter may receive remuneration **if agreed**; the agreement must be made after incorporation or be adopted by the company, otherwise the "over-optimistic promoter" cannot saddle the company with it. (iii) **He may sell his own property to the company at a profit** — subject to full disclosure (S. 188 also requires special resolution and valuation for related-party transactions: see §03.7).

Formation of Company — S. 3 & the Procedure of Registration (including online)

5.1 Formation under S. 3 — "for any lawful purpose"

S. 3(1) of the Companies Act, 2013: a company may be **formed for any lawful purpose** by the following —

(1) PUBLIC company Seven or more persons — where the company to be formed is to be a public company.

(2) PRIVATE company Two or more persons — where the company to be formed is to be a private company.

(3) ONE PERSON COMPANY One person — where the company to be formed is to be a One Person Company, "that is to say, a private company with one member".

- They have to **subscribe their names to the memorandum** of the company and comply with the requirements of the Act in respect of registration.
- A company formed under S. 3 may be **limited by shares, limited by guarantee, or an unlimited company**.

- **The OPC and its nominee:** the memorandum of a One Person Company has to indicate the name of **another person**, with his **prior written consent in the prescribed form**, who is to become a member of the company **in the event of the subscriber's death or his incapacity to contract**. The consent must be filed with the Registrar at the time of incorporation along with the memorandum and articles. The nominee may **withdraw** consent in the prescribed manner; the member may **change** the nominee by following the prescribed procedure, intimate the change to the nominee (by indicating in the memorandum or otherwise) and notify the Registrar — **such change is not to be taken as an alteration of the memorandum** (DU Case Material, Ch. 2).
- **Lawful purpose:** S. 12(1) echoes the requirement — "persons associated for any lawful purpose may… form an incorporated company"; a company cannot properly be registered for an unlawful purpose, and an illegal object does not become legal by the issue of the certificate (§06.5 below).

Minimum members, maximum members Public company: min. 7 (max. unlimited). Private company: min. 2, max. 200 (S. 2(68)) — excluding employee-members and excluding joint holders. OPC: min. and max. 1. In *Salomon* the "seven subscribers" were satisfied by a family of six plus Salomon — a point which is now the private-company pattern; and the "two adult persons and a guardian" problem in *Moosa Goolam Ariff* shows what happens when the minimum is not really complied with — the certificate is still conclusive (§06.4).

5.2 What must be done BEFORE filing — type, name, memorandum, articles

Step A — Decide the type & reserve the name (S. 4)

- **Type of company:** the first thing the promoters must decide (public / private / OPC; limited by shares or guarantee or unlimited)
- **Name:** no company shall be registered by a name which (a) is **identical with or resembles too nearly** the name of an existing company registered under this Act or any previous company law; or (b) is such that its use — (i) will **constitute an offence** under any law for the time being in force; or (ii) is **undesirable in the opinion of the Central Government**.
- **Application — RUN or SPICe+ Part A:** under S. 4(4) a person may apply through the web service at **www.mca.gov.in** using the form **RUN (Reserve Unique Name)**, or through **SPICe+ Part A**, to the Registrar, **Central Registration Centre (CRC)**, for reservation of a name — either as the name of the proposed company or the name to which it proposes to change.
- **Validity:** the CRC may reserve the name for **twenty days** (new company) / **sixty days** (change of name by an existing company), from approval of the application. If the name was applied for with wrong or incorrect information: if the company is not yet incorporated the reserved name is **cancelled** and the applicant is liable to a **penalty up to ₹1,00,000**; if incorporated, the Registrar may direct change of name within 3 months (ordinary resolution), or strike off, or petition for winding up.
- (Under the older INC-1 route the promoters gave up to **six** proposed names in order of preference.)

Step B — Prepare the memorandum and articles

- **Memorandum** — S. 4(6) read with Schedule I: in the form given in **Tables A, B, C, D and E** as applicable; **Articles** — S. 5: in the form in **Tables F, G, H, I and J** of Schedule I.
- **Stamping:** the memorandum and articles have to be **stamped as per the applicable State stamp laws**, and duly printed (print or computer printing by laser — but **not xerox**: *Selvarajan v. Registrar of Companies* (1986) 3 Comp LJ 275 (Mad)).
- **Signing:** S. 7 and Rule 13 of the Companies (Incorporation) Rules, 2014 — the memorandum and articles shall be **signed by each subscriber**, who shall add his name, address, description and occupation, if any, **in the presence of at least one witness**, who shall attest the signature and likewise sign and add his particulars, and **verify his ID**.
- **Not necessary that the promoters themselves sign** the memorandum and articles; an **illiterate subscriber** affixes his **thumb impression or mark**, described as such by the person writing for him, who places the subscriber's name and the number of shares taken, and **reads and explains** the contents, endorsing that fact on the documents.
- **Other documents:** agreement, if any, with a person for appointment as managing/whole-time director or manager; particulars of the registered office; and the professional's engagement.

5.3 The application — S. 7(1) and the documents and declarations

S. 7(1): there shall be filed with the **Registrar within whose jurisdiction the registered office of the company is proposed to be situated** the following documents and information for registration:

1. **the memorandum and articles** of the company duly signed by all the subscribers to the memorandum in the prescribed manner;
2. **a declaration** in the prescribed form by (i) an **advocate, chartered accountant, cost accountant or company secretary in practice** who is engaged in the formation of the company, and (ii) a **person named in the articles as a director, manager or secretary** of the company, that all the requirements of this Act and the rules made thereunder in respect of registration and matters precedent or incidental thereto have been complied with;
3. **an affidavit from each of the subscribers** to the memorandum and from **persons named as first directors**, if any, in the articles:
   - that he has not been **convicted of any offence in connection with the promotion, formation or management** of any company, or found guilty of any fraud or misfeasance or of any breach of duty to the company under the Act or any previous company law **during the preceding five years**;
   - that the documents filed for registration **contain correct and complete information** and true to the best of his knowledge and belief;
1. **the address for correspondence** until the company's registered office is established;
2. **particulars of every subscriber** — name including surname or family name, residential address, nationality and such other particulars alongwith **proof of identity** as prescribed (where the subscriber is a body corporate, the prescribed particulars);
3. **particulars of the first directors** mentioned in the articles — name including surname or family name, **Director Identification Number (DIN)**, residential address, nationality and other particulars including proof of identity; and **their interests in other firms or bodies corporate**, alongwith their **consent to act as directors**.

The same scheme, under the statutory scheme (each with its sanction if the information is false):

S. 7(1) clause	What must be filed	Sanction if false/incorrect
(a)	Memorandum (S. 4) and Articles (S. 5), duly signed by all the subscribers	— (defects may be refused by the Registrar; consequences under S. 7(6) if fraudulent)
(b)	Declaration by an advocate, chartered accountant, cost accountant or company secretary in practice engaged in the formation, **and** by a person named in the articles as director, manager or secretary, that all requirements of the Act and rules as to registration and matters precedent or incidental thereto have been complied with	**S. 7(5)** — false declaration → action under **S. 447** (fraud)
(c)	Affidavit from each subscriber and from persons named as first directors — no conviction for promotion/ formation/management offences, no fraud/misfeasance/breach of duty in the preceding five years; documents correct & complete	**S. 7(5)**
(d)	Address for correspondence until the registered office is established	**S. 7(5)**
(e)	Particulars of every subscriber — name/surname, residential address, nationality, proof of identity (prescribed particulars where the subscriber is a body corporate)	**S. 7(5)**

S. 7(1) clause	What must be filed	Sanction if false/incorrect
(f)	Particulars of first directors — name/surname, **DIN**, residential address, nationality, proof of identity, **consent to act**	**S. 7(5)**
(g)	Particulars of the interests of the persons mentioned in the articles as first directors in other firms or bodies corporate	**S. 7(5)**

S. 7(1) also obliges the company to **maintain and preserve at its registered office** copies of all documents and information as originally filed under S. 7(1) **till its dissolution** [S. 7(4)]. The modern practice is that the whole of this filing happens **electronically** through **SPICe+** (below), with the physical stamps/attestations scanned as attachments, and the professional's "certification" replacing the old manual attestation.

5.4 ONLINE registration — the SPICe+ route (the examiner's favourite)

SPICe+ (INC-32) — "Simplified Proforma for Incorporating Company Electronically" — is a **single integrated form** which, from 2020, replaced the old SPICe/INC-7 route for most incorporations. It performs **name reservation (Part A)** and **incorporation (Part B)**, and allots in one go: **CIN, DIN (for proposed directors), PAN and TAN** of the company, with linked forms triggering **GSTIN, EPFO, ESIC and bank-account** registration. It is filed on the **MCA portal (V3)** and processed in **Non-STP mode** (i.e., with scrutiny by the Registrar of the Central Registration Centre / ROC).

Stage	What happens	Form / detail
1. Pre-requisites	Every proposed director obtains a **DIN** (in SPICe+ Part B, DIN is applied for and allotted with the incorporation; standalone applications use **DIR-3**); every signatory obtains a **Digital Signature Certificate (DSC)** from a **licensed Certifying Authority** recognised by the Controller of Certifying Agencies (e.g., TCS, NIC, IDBRT, MTNL, SAFESCRYPT, eMudhra); the DSC is registered on the MCA portal and passes the **Role Check**	DIN-1/DIR-3 · DIN-2/ DIN-3/DIN-4 (post-allotment) · DSC under the Information Technology Act, 2000 · MCA portal account (free)
2. Part A — name	File SPICe+ **Part A** with up to **2 proposed names** (in order of preference) and the significance of each; pay fee **₹1,000**; the **CRC** processes and approves/rejects within about **1–2 working days**; approved name is reserved for **20 days** (renewable); name must pass the S. 4 tests and the *RULES* against undesirable names	SPICe+ INC-32 Part A · or RUN
3. Part B — incorporation	Fill **8 sections**: (1) company details (type/category/sub-category — limited by shares/guarantee; private/ public/OPC; producer; S. 8), (2) **registered office** address with proof, (3) **capital structure** (authorised & paid-up; **minimum subscribed: ₹1 (OPC), ₹2 (private), ₹7 (public)**; Nidhi ₹5 lakh; LLP-conversion — equal to monetary value of LLP contribution), (4) director details (DIN/proposed DIN, up to 3, PAN, address), (5) subscriber details (names, shares, payment), (6) **stamp duty** (state-wise e-stamp, auto-calculated), (7) professional details (membership/COP number, DSC), (8) attachments — in PDF, up to 6 MB per file	SPICe+ INC-32 Part B
4. Linked forms	Filed together with Part B: **e-MoA (INC-33)** — electronic memorandum (name, registered-office state, objects from MCA's list/custom, liability, capital, subscribers + witness); **e-AoA (INC-34)** — electronic articles (adopt Table F with modifications); **AGILE-PRO** — applications for **GSTIN, EPFO, ESIC, profession tax (Maharashtra) and opening of the company's bank account**; **INC-9** — declaration by subscribers and first directors (where directors + subscribers ≤ 20 and all have DIN/PAN, the declaration inside Part B suffices); **INC-10** — verification of signatures of subscribers; **URC-1** — only for registration of an **existing entity** (partnership/LLP/etc.) as a company	INC-33 · INC-34 · AGILE-PRO · INC-9 · INC-10 · URC-1
5. OPC	A One Person Company is also incorporated through **SPICe+** (earlier **INC-2**); the subscriber names his **nominee** with prior written consent, which is filed with the Registrar at incorporation; ≤ 7 subscribers fit in SPICe+ — **companies with more than 7 subscribers, or foreign subscribers, use INC-7/existing path**	SPICe+ · Nominee consent
6. Sign, pay, submit	Pre-scrutiny → affix DSC of the director and the **practising professional** → upload Part B + linked forms → pay **filing fee** (company size-based) and **state stamp duty** → get **SRN** and track	MCA V3 · SRN
7. Outcome	On approval the Registrar **registers** the company, enters it in the **Register of Companies**, and issues the **Certificate of Incorporation** — digitally signed by the Registrar — which carries the **CIN (Corporate Identity Number)**; simultaneously **PAN and TAN** are allotted (and GSTIN etc. as applied). **The MCA has allowed issue of the certificate of incorporation electronically** under the digital signature of the Registrar. **Special cases**: where one of the objects is to carry on **banking or insurance**, or to practise **chartered accountancy, cost accountancy, company secretaries or architecture**, the Registrar shall incorporate **only on production of the in-principle approval/NOC** of the concerned regulator/professional institute	COI · CIN · PAN · TAN
8. After incorporation	**S. 10A** (inserted by the Companies (Amendment) Act, 2019): a company having share capital must, within **180 days** of incorporation, file a **declaration of commencement of business** with the Registrar and verify that none of the subscribers has paid less than the amount agreed to be paid on his shares — on failure the company and its officers become liable to penalty (S. 10A(3)); the old separate "certificate to commence business" is abolished	INC-20A / S. 10A declaration

Answer skeleton — "Describe the procedure of registration including online registration" (10–15 marks) (1) S. 3 persons & lawful purpose (7/2/1 + OPC nominee). **(2)** Type + name: S. 4 tests, RUN/SPICe+ Part A, CRC, 20/60 days. **(3)** MoA/AoA: Schedule I Tables, stamping, signing before witness, subscriber particulars. **(4)** S. 7(1) documents & affidavits; declaration by professional + named director/manager/secretary. **(5)** Registrar's scrutiny → registration → CIN (S. 7(3)) → certificate (S. 7(2)). **(6)** Online: DIN, DSC, MCA portal; SPICe+ Part A/B; e-MoA INC-33, e-AoA INC-34, AGILE-PRO, INC-9/ INC-10; fee + e-stamp; CSC; COI (digital signature), simultaneous PAN/TAN/GSTIN; NOC regime for banking/insurance/professions; S. 10A declaration. **(7)** Consequence: S. 9 (company born) + the certificate is conclusive evidence of compliance — the old s. 34(2) (Companies Act, 1956) formula, carried by S. 7(2) + S. 9 and the case law (*Peel's case* → *Moosa Goolam Ariff* → *Cotman*) — cross-link to §06.

Certificate of Incorporation & the Effects of Registration — S. 9

6.1 The certificate — issue, contents, and the conclusive date

- **Issue (S. 7(2)):** if the Registrar finds the documents satisfactory, he **registers the documents and enters the name of the company in the Register of Companies**, and issues a certificate called the **certificate of incorporation**. The certificate is issued **electronically under the digital signature of the Registrar** (MCA practice).
- **CIN (S. 7(3)):** the Registrar then **allots to the company a Corporate Identity Number** — a distinct identity for the company — and this number has to be **included in the certificate**.
- **What the certificate testifies:** (i) that the company has been incorporated on the date mentioned; (ii) that the subscribers **have taken the number of shares** set out against their names and have paid for them; and (iii) — the conclusive-evidence rule, below — that all requirements of the Act as to registration and matters precedent or incidental thereto have been complied with.
- **The date is conclusive:** "The company's life commences from the date mentioned in the certificate of incorporation and **the date appearing on it is conclusive, even if wrong**". Sections 8 and 9 both key off "the date of incorporation mentioned in the certificate of incorporation".

- **One certificate, no more questions:** "When once the certificate of incorporation is given nothing is to be inquired into as to the regularity of the prior proceedings" (Lord Cairns, *Peel's case* — §6.4).

6.2 Effects of registration — the words of S. 9

S. 9 describes the effects of registration in the following words (as reproduced in the prescribed text):

> *"From the date of incorporation mentioned in the certificate of incorporation, such subscribers to the memorandum and all other persons, as may, from time to time, become members of the company, shall be a body corporate by the name contained in the memorandum, capable of exercising all the functions of an incorporated company under this Act and having perpetual succession and a common seal, with power to acquire, hold and dispose of property, both movable and immovable, tangible and intangible, to contract and to sue and be sued, by the said name."Section 9, Companies Act, 2013*

Effect	Meaning	Authority / anchor
(1) A body corporate	The members become a **legal person distinct from the members** — the company is born as an artificial juridical person; it is the same "person" whoever the members are from time to time	*Salomon v. Salomon* (1897) — separate entity; S. 9
(2) A name	The company is known and suable **by the name contained in the memorandum** — the name in the certificate is the name in law	S. 9; S. 4 (name rules)
(3) Perpetual succession	"Members may come and go, but the company can go on forever" — the death/insolvency of all members does not dissolve it; it can be extinguished only by law (winding up / striking off), not by the death of its members	S. 9; *T.V. Krishna v. Andhra Prabha* (below)
(4) Common seal	The company acts through its seal — the symbolism of corporate action (see the note below on the 2015 Amendment)	S. 9; S. 12 (execution of documents)
(5) Property	Power to acquire, hold and dispose of property — **movable and immovable, tangible and intangible** (the 2013 Act adds the "intangible" expressly)	S. 9; *Salomon* (assets belong to the company)
(6) Contract	The company can enter into contracts; **binding contracts need the company's seal/authorised signatures**; the memorandum and articles bind the company and members (S. 10)	S. 9; S. 10; S. 21
(7) Sue and be sued	It can sue and be sued **in its own name** — a litigant "person"; a company can sue for defamation, its director is an "aggrieved person" for defamation of the company (*John Thomas v. K. Jagadeesan* (2001) 6 SCC 30)	S. 9
(8) Capacity to exercise all functions	It is "capable of exercising all the functions of an incorporated company" — borrowing, issuing shares, employing, etc.; and (from *Salomon*) the members' liability is **limited** as per the memorandum	S. 9; S. 43 (shares); limited liability

Note on the common seal (2015 Amendment) The Companies (Amendment) Act, 2015 made the common seal **optional**: a company **"may have a common seal"** — if it does not, documents are executed by two directors / a director and the secretary / the managing director, as the articles provide (S. 21 read with the 2015-amended provisions). The **S. 9** wording as printed in the prescribed text retains "and a common seal" — read it with this amendment, and say so in the exam ("the position in the Act is that a company may, but need not, have a common seal").

6.3 The certificate is conclusive evidence — the classical rule

Not only does the certificate create the company — it is also **"the conclusive evidence that all the requirements of this Act have been complied with in respect of registration and matters precedent and incidental thereto and that the association is a company authorised to be registered and duly registered under this Act"**. In other words, **the validity of the certificate cannot be disputed on any grounds whatsoever** (DU Case Material, Ch. 2 — quoting the statutory formula).

§ Re Barned's Banking Co., Peel's case (1867) LR 2 HL 325

After signature and *before* registration a proposed memorandum was **altered without the authority of the subscribers, so materially that the alteration "entirely neutralised and annihilated the original execution and signature"** of the document. The company was nevertheless registered and a certificate issued. It was objected that the memorandum had not been signed by seven (or any) subscribers.

Lord Cairns assented to that proposition — **but**: "the certificate of incorporation is **not merely a prima facie answer, but a conclusive answer** to such objection…. **When once the certificate of incorporation is given, nothing is to be inquired into as to the regularity of the prior proceedings.**"

§ Oakes v. Turquand & Harding (1867) LR 2 HL 325 — Lord Chelmsford

To the same effect: "I think the certificate **prevents all recurrence to prior matters essential to registration**… and that it is **conclusive**… that **all previous requisites have been complied with**."

§ Moosa Goolam Ariff v. Ebrahim Goolam Ariff (1913) — Privy Council

The memorandum was signed by **two adults and by a guardian for five minors** (a separate signature for each minor); the Registrar nonetheless registered the company and issued the certificate; the plaintiff sought a declaration that the certificate was void. **Lord Macnaghten:**

> *"Their Lordships will assume that the conditions of registration prescribed by the Indian Companies Act were not duly complied with; that there were not seven subscribers to the memorandum and that the Registrar ought not to have granted the certificate. But the certificate is conclusive for all purposes."*

§ Cotman v. Brougham (1918) AC 514 (HL) — from the DU Case Material

The memorandum contained objects which were **wholly outside the company's power**; but the **Registrar accepted the memorandum, granted the certificate — and the validity of the memorandum could not thereafter be challenged**. **Lord Wrenbury**, explaining the Registrar's function and the effect of the certificate: the certificate is **"conclusive evidence that all the requirements of this Act in respect of registration and of matters precedent and incidental thereto have been complied with"**; and the **Registrar "ought to consider whether the requirements have been complied with, and to refuse registration if not"** — for there is a twofold purpose of the objects clause: **(i) the investor** must know the field of risk in which he is venturing, and **(ii) the person dealing with the company** must know the contractual relation into which he is entering.

§ T.V. Krishna v. Andhra Prabha (P) Ltd. (AIR 1960 AP 123) — the Indian summary

A company was formed when **Express Newspapers** sold its undertaking to **Andhra Prabha Private Ltd.**; it was alleged that the new company was formed for the **illegal purpose of evading wage-board obligations** and that the registration should be declared void. The court refused: the purpose was not unlawful; **but even if some objects were illegal, the legal persona of the company could not be extinguished by cancelling the certificate** — the remedy would be to **wind up** the company.

> *"If a company is born, the only method to get it extinguished is not by assailing its incorporation, but by resorting to the provisions of enactments which provide for the winding up of the companies."Chandra Reddy CJ*

Accord: *Universal Mutual Aid & Poor Houses Assn. v. A.D. Thappa Naidu* (AIR 1933 Mad 16) — the Registrar **can refuse** to register a memorandum with unlawful objects, and if he happens to do so, **his certificate is not conclusive as to the lawfulness of the objects**. So the "conclusive" rule is about **compliance with registration requirements**, not about **validity of objects**.

6.4 The limits of conclusiveness

! Where the certificate does NOT protect

- **Illegal objects are not validated:** "The illegal objects, however, do not become legal by the issue of the certificate" — *Performing Right Society Ltd. v. London Theatre of Varieties* (1922) 1 KB 539; *R. v. Registrar of Joint Stock Companies* (1931) 2 KB 197 (CA) (company registered for an unlawful object ordered to be struck off); *Bowman v. Secular Society Ltd.* (1917) AC 406 (HL): "a company cannot properly be registered for an unlawful purpose; the registration may be cancelled by appropriate proceedings."
- **Registration of a trade union as a company:** certificate not conclusive — *British Assn. of Glass Bottle Mfrs. Ltd. v. Nettlefold* (1911) 27 TLR 27.
- **Incomplete registration:** the conclusive presumption may not be raised where non-compliance with a material statutory provision leaves the registration an "incomplete fact" — *Caiman v. National Assn. of Mental Health* (1971) 1 Ch. 317.
- **Judicial review:** English courts have explored the possibility of reviewing the Registrar's certificates — a company registered for an unlawful object was ordered to be struck off; but the **Kerala High Court** has held that a **writ cannot be issued to cancel the registration** of a company under the Companies Act — *Maluk Mohamed v. Capital Stock Exchange Kerala Ltd.* (1991) 72 Comp Cas 333 (Ker.).
- **Fraud at the time of incorporation (2013 Act):** S. 7(5)-(7) — false particulars or fraud in obtaining incorporation invite **S. 447** and the **Tribunal's** powers (unlimited liability of members, removal of name, winding up) — a modern statutory carve-out from the 19th-century absolute rule.

Why the law insists on conclusiveness (the policy)

- **Security of transactions with third parties:** everyone dealing with the company must be able to rely on its existence; the company's contracts, seals and property with third parties cannot be undone years later because a signature was defective.
- **Investor protection:** the certificate marks the point beyond which subscribers' money is committed; the contract with the company has to be capable of being enforced (note the twofold purpose of the objects clause in *Cotman* — investor's risk field and dealer's contractual relation).
- **Clean-cut remedy:** if a company is wrongly born, the remedy is the **winding-up machinery**, not a collateral attack on the certificate — *T.V. Krishna*.
- **Finality for the promoter's own position:** once the company is born, its contracts and acquisitions are its own — and the promoter's pre-incorporation liabilities are confined to the S. 15/19 machinery (contrast with the *Salomon*-line of cases, where the company's separate existence itself is beyond challenge).

Link to Topic 1 (Corporate Personality) The certificate and S. 9 are the **birth certificate** of the separate legal entity studied in Unit 1(b): *Salomon* (company bound as any other person), *Lee v. Lee's Air Farming* (a contract of service with itself), and *Daimler* (the personality survives, but the veil may be lifted) all presuppose a company that came into existence **on a date mentioned in a certificate issued under S. 7**. The *Erlanger–Salomon* distinction (see §07) is the bridge: *Erlanger* does not apply where, as in *Salomon*, the company and its shareholders approved the promoter's contract **with full knowledge**.

Prescribed & Landmark Case Law Dossiers — Detailed Analysis

CASES #14 - #19

CASE #14 DU LL.B. PRESCRIBED AUTHORITY

Erlanger v. New Sombrero Phosphate Co. — the promoter's fiduciary position · secret profit · rescission

(1878) 3 AC 1218 (HL) · (1874-80) All ER Rep. 271 · Promoter — fiduciary position · Duty of disclosure · Rescission + return of price

(1) Facts

- **The property.** Sombrero is a small island in the West Indies (about 1¼ miles long) containing beds of phosphate of lime. It belonged to the Crown; a lease was made of it **for 21 years from 16 March 1865 at a rent of £1,000**.
- **The Old Sombrero Co.** took an assignment of the lease, paying **£100,000** and taking it subject to a mortgage of **£12,400**. That company was **wound up by the Court of Chancery**, and in 1871, in the winding up, the lease came to be sold.
- **The syndicate.** The appellants — headed by **Baron Erlanger** — with **Thomas Westall, a solicitor**, formed a **syndicate** to buy the lease. On **30 August 1871** they agreed to buy it from the official liquidator for **£55,000**, the contract being made in the name of Westall on behalf of his principals.
- **The company.** Shortly before 20 September 1871 the syndicate determined to form a joint-stock company, to be registered on **21 September**, and to sell the island to it for **£110,000** (£80,000 cash + **£30,000 in fully paid-up shares**). The memorandum stated the object as the purchasing, leasing and working of mines or quarries of phosphate of lime in the island; the articles (art. 65) fixed **four to seven directors, two a quorum**, and (art. 82) expressly empowered the directors to adopt the contract of 20 September 1871.
- **The contract.** By the contract of 20 September 1871 **John Marsh Evans** agreed to sell, and **Francis Pavy** agreed to purchase, the lease and property for £110,000. Evans was **trustee or agent for Baron Erlanger and other members of the syndicate**; Pavy was a person whose name was introduced **"as a matter of form, to represent the company about to be created"** in case it should adopt the contract. The memorandum was signed by Evans and six other persons, **all nominees of the syndicate**, none of whom was in a condition to afford disinterested protection to the company's interests.
- **The first directors (art. 65):** M. **Drouyn de Lhuys** (asked by Erlanger to act; "trusting entirely to Baron Erlanger"; his appointment "afforded no protection to the company"), **E.B. Eastwick** (had asked Erlanger to let him join; absent in Canada — did not take his seat till end of December 1871), **Sir Thomas Dakin** (disinterested, embarked his own money — **but made no inquiry** though he knew the promoters were the vendors), **John Marsh Evans** (himself the vendor — "whether… beneficially interested or as trustee for the syndicate is immaterial"), and **Rear-Admiral R.J. Macdonald** (per Lord Blackburn, "evidently come into the company with a foregone conclusion that everything his friend Erlanger had done was right").
- **The board meeting of 29 September 1871.** Present: Sir Thomas Dakin, Admiral Macdonald, Evans — and **Westall, the solicitor to the syndicate** (who had a £500 interest in the syndicate). A **prospectus was produced, ready for issue, stating that the contract for purchase had been made by the directors**; and the first resolution — approving and confirming the contract — was carried, **without any inquiry into facts and figures**.
- **Aftermath.** A considerable number of shareholders came forward; in **November 1871** the purchase price was paid. In **February 1872** the first shareholders' meeting took place; in **June 1872** a committee of shareholders was appointed to investigate; counsel's advice was taken; and on **24 December 1872** the company filed the bill to rescind.

(2) Issues

1. **Did the promoters stand in a fiduciary position** towards the company they formed, so as to be accountable for the profit they made on the sale of the island to it — or were they merely vendors who had bought the property for themselves, free to sell at any price they pleased?
2. **Was the sale liable to be set aside** because the company did not get the opportunity, through an independent and competent board of directors, of exercising an intelligent judgment on the purchase (the prospectus saying only that the purchase "had been made by the directors")?

3. **Had the company lost its right to rescind by laches or acquiescence** — the bill having been filed 14 months after the purchase and about two months after the shareholders "must have known" of the facts (23 October 1872)? Given the **wasting nature of the property** (a 21-year mineral lease, since worked), could the parties still be restored to their original positions?
4. **What relief**, if the contract fell — rescission with return of the purchase money, or only damages?

(3) Arguments — for the promoters/appellants (the syndicate)

- **No trust:** the syndicate bought the lease from the liquidator **for its own absolute benefit**; they were never trustees of the company — which was not even in existence when they bought — and a trustee's disability to profit cannot apply.
- **Non-disclosure of the price need not be disclosed:** before the company was formed the property was their own; a vendor is under no duty to disclose what he paid for his property (the bill's own assertion to the contrary was misconceived).
- **The company had notice** — through the prospectus and the contract itself — that the purchase was from the syndicate; the directors knew the sellers; the shareholders sanctioned the purchase; and Erlanger was not shown to have misrepresented anything.
- **Laches and impossibility:** the island had been worked — the phosphate extracted — for over a year; the lease was wasting; the parties could not be restored *in statu quo*; and the company had waited until the concern appeared to be failing, holding on while it was prosperous. Relief in equity was therefore barred.

(3) Arguments — for the company/respondent

- **Fiduciary position:** the promoters "had in their hands the creation and moulding of the company"; they selected the directors, settled the purchase contract, and then procured its adoption — they were, in substance, both buyer and seller.
- **No independent judgment:** of the five directors, two (de Lhuys, Eastwick) could not attend; Evans was the vendor; the solicitor present (Westall) was virtually another vendor; only Dakin was disinterested — and even he made no inquiry. The board "ratified" a pre-arranged bargain — a body appointed solely to adopt the promoters' terms.
- **The prospectus misled:** it stated that the contract for purchase **"had been made by the directors"** — concealing the real history — and the shareholders were induced to subscribe without knowing the material facts.
- **No laches:** the shareholders' committee was investigating; negotiations for a compromise were in progress; the bill was filed reasonably promptly (24 December 1872), and there was no acquiescence with knowledge and free choice (Selborne's two conditions were absent).

(4) Observations of the Court

- *Lord Cairns LC (on the promoter's position — the passage to quote): "They stand, in my opinion, undoubtedly in a fiduciary position. They have had in their hands the creation and moulding of the company… I do not say that the owner of property may not promote and form a joint-stock company and then sell his property to it, but I do say that, if he does, he is bound to take care that he sells it to the company through the medium of a board of directors who can and do exercise an independent and intelligent judgment on the transaction, and are not left under the belief that the property belongs, not to the promoter, but to some other person."*
- *Lord Cairns LC (on the board meeting of 29 September): "I cannot but regard a meeting at which two of the principal directors did not and could not attend — at which one who did attend, and take part in the deliberations, was at once a person buying and selling — where the legal adviser present and assisting was virtually another vendor, and where the two remaining directors are not shown to have had the means of exercising, or to have exercised, any intelligent judgment on the subject — as little else than a mockery and a delusion." And on the quorum argument: "a provision which, in my opinion, could not be held to remedy defects such as I have pointed out as going to the entire constitution of the board."*
- *Lord Cairns LC (dissenting only on relief): "if within a proper time after the completion of this purchase a bill had been filed by the company… the purchase must have been set aside"; but given "the very peculiar nature of the property and the utter impossibility of restoring the property… and looking to the amount of notice which the company had by the prospectus, and to the knowledge which they might have obtained", he would have held it "contrary to the principles of equity to give to the company the relief which at an earlier period they might have obtained."*
- *Lord Hatherley (three heads): (1) the syndicate were not trustees — the trust principle had no application, since "the syndicate never constituted themselves trustees, but intended to sell and did sell this property to the new company…"; (2) the purchase was nevertheless liable to be impeached on other grounds — on that point all the judges were unanimous; (3) no laches: "We have the company quite right… down to Oct. 23… The bill was filed on Dec. 24"; considering the magnitude of the case, the information to be obtained and the committee's efforts at compromise — no such laches as to waive the right; the appeal "ought to fail".*
- *Lord Hatherley (on the extent of disclosure — vendor and purchaser): "a vendor need not do what was at one time asserted by this bill, namely, disclose what he has paid in effecting his own anterior purchase before asking an enhanced price from him to whom he seeks to sell the property; but he must not be guilty of any conduct which amounts to unfair concealment on his part of the real facts of the case, which ought in common fairness to be disclosed to a person seeking to purchase or entering into a treaty with him for that purpose."*
- *Lord O'Hagan (on the privilege and its price): "The privilege given to them for promoting such a company for such an object involved obligations of a very serious kind. It required, in its exercise, the utmost good faith, the completest truthfulness, and a careful regard to the protection of the future shareholders.… The power to nominate a directorate is manifestly capable of great abuse… It should be watched with jealousy… In all such cases the directorate nominated by the promoters should stand between them and the public… If they have not those qualities, they are unworthy of trust; they are the betrayers and not the guardians of the company they govern." On the facts: the island's value was judicially ascertained at £55,000; "a few days after, circumstances remaining wholly unchanged, a contract for the sale of it at £110,000 was ratified by three of the five directors…assisted by their solicitor, who was a member of the syndicate"; the directors "were nominated merely to ratify any terms the promoters might dictate". Crucially: "This does not necessarily imply the imputation of evil purpose or conscious fraud… The fiduciary obligation may be violated, though there may be no intention to do injustice."*
- *Lord Selborne (on acquiescence): even a wasting mineral lease "of speculative value" can be rescinded — "It was the act of the vendors to put their property, being of that character, in such a position"; the company had managed the property properly (appointed a fit manager when the old one failed); nothing done or left undone stood in the way. "Two things were generally necessary" for acquiescence: (i) sufficient knowledge of the facts on which the equity depended; and (ii) where rescission is sought, substantial freedom of choice and action, independent of the original influence under which the voidable contract was made — neither existed here.*
- *Lord Gordon (the change of position): the property "belonged absolutely to the members of the syndicate"; but "in issuing a prospectus to the public with the view of inducing the public to take up its shares… the syndicate changed the position it originally held, and put itself in a fiduciary relation to the company which it was engaged in forming. It thus became incumbent on the promoters, not only to make a full disclosure of the position they as owners held, "but also to make arrangements, by the appointment of competent officials and otherwise, for enabling the company to form an independent judgment as to the propriety of purchasing the property of the promoter." On laches: "The onus lay on the appellants of showing that there had been such laches… I think that the appellants have failed."*

(5) Decision

- The **appeal was dismissed and the decree affirmed** (by majority; Lord Cairns LC dissenting only on the ground that rescission had become inequitable — he thought the company's remedy, if any, should have been pursued earlier).
- The contract was **rescinded** and the **purchase price ordered to be returned** to the company — the relief the headnote states: "Where a company is not given by the promoters an opportunity of exercising, through independent directors, a fair and independent judgment on the subject of the purchase by the company of property from the promoters, the court may order the contract to be rescinded and the purchase price to be returned."

- Lord Hatherley, Lord O'Hagan, Lord Selborne and Lord Gordon concurred; Lord Blackburn (who tried the case at first instance on evidence) had held that Macdonald came "with a foregone conclusion" — his finding was accepted throughout.

(6) Principle evolved

- **The promoter's position:** not a trustee of the company he promotes (he owns the property he sells), **but in a fiduciary position** towards it — with obligations of "the utmost good faith, the completest truthfulness, and a careful regard to the protection of the future shareholders."
- **Burden of proof:** where promoters sell property to the company, **the burden is on them** of showing that they have not taken any unfair advantage resulting from their relations with the company.
- **Duty to give an independent board:** a promoter selling his own property to the company must sell it **"through the medium of a board of directors who can and do exercise an independent and intelligent judgment on the transaction"** — directors aware of the promoter's ownership, competent and impartial as to price; a board of the promoter's nominees makes ratification "a mockery and a delusion"; a two-director quorum will not cure a defect "going to the entire constitution of the board".
- **Duty of disclosure — with limits:** the promoter must disclose **all material facts** relating to the transaction (his interest, the real character of the deal); he **need not disclose what he paid**, but must not be guilty of **unfair concealment** of facts which ought in common fairness to be disclosed.
- **Fault not required:** the fiduciary duty may be violated **without intent to defraud** — "the fiduciary obligation may be violated, though there may be no intention to do injustice."
- **Remedy:** if the company is not given the opportunity, through independent directors, of exercising a fair and independent judgment, the court may **rescind the contract and order the purchase price returned**, even though the property is a wasting mineral lease; **acquiescence** requires (i) sufficient knowledge of the facts and (ii) substantial freedom of choice and action; **laches** must be proved by the promoter, and a two-month gap filled with negotiations is not laches.
- **The modern significance:** this is the fount of the Indian law of promoters — adopted in *Weavers Mills Ltd. v. Balkis Ammal* (AIR 1969 Mad 462) — and its "independent board" requirement is the ancestor of today's related-party-transaction regime (S. 188) and independent-director provisions.

CASE #15 FOUNDATIONAL PROMOTER AUTHORITY

▸ Twycross v. Grant (1877) LR 2 CPD 469 (CA) — the creator of the company and liability for the prospectus

(1877) LR 2 CPD 469 (CA) · Who is a promoter · Prospectus liability

(1) Facts

- Grant and another undertook to form a company "with reference to a given project" and to set it going; the scheme, the provisional formation, the **finding and qualification of the directors**, the **preparation of the prospectus**, and the payment of the printing and advertising expenses were all their work.
- The prospectus contained false statements; persons subscribed for shares on the faith of it and suffered loss.
- Action by the subscribers against Grant and his co-promoter for the loss — the defendants answering that the directors, not they, were the authors and signatories of the prospectus.

(2) Issues

- Who is a "promoter" for the purpose of liability?
- Is a promoter liable for misstatements in a prospectus which he caused to be issued, though he was not one of the formal signatories?

(3) Arguments — for the subscribers (plaintiffs)

- The defendants "framed the scheme", "provisionally formed the company", "found the directors and qualified them", "prepared the prospectus" — they were **the creators of the company from the very beginning to the end**; they, not the figurehead directors, issued the document to the world.
- One who issues or authorises the issue of a prospectus with false statements must answer for the loss of those who subscribed relying on it.

(3) Arguments — for the promoters (defendants)

- The prospectus was issued by the directors of the company; the defendants were not directors and did not sign it; no fraud was alleged against them personally.

(4) Observations of the Court

- *Cockburn CJ (adopted in Weavers Mills Ltd. v. Balkis Ammal, AIR 1969 Mad 462): a promoter is "one who undertakes to form a company with reference to a given project, and to set it going, and who takes the necessary steps to accomplish that purpose".*
- *On the facts: "that the defendants were the promoters of the company from the very beginning can admit of no doubt. They framed the scheme, they not only provisionally formed the company, but were, in fact, to the end its creators, they found the directors, and qualified them, they prepared the prospectus, they paid for printing and advertising, and the expenses incidental to bringing the undertaking before the world."*
- *The court added that the functions of promoters come to an end as soon as they hand over the company to a governing body, like a Board of directors.*

(5) Decision

- The promoters were **held liable** for the loss caused by the false statements in the prospectus — the formal signature of the directors was no answer.

(6) Principle evolved

- The **functional test** of a promoter: he is the author of the scheme, the creator of the company, the selector of the directors, the issuer of the prospectus.
- **Liability for the prospectus** follows authorship, not signature — the ancestor of Ss. 34–35 of the Companies Act, 2013 ("every person who authorised the issue of the prospectus").

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CASE #16 FIDUCIARY DISCLOSURE AUTHORITY

▸ Gluckstein v. Barnes (1900) AC 240 (HL) — "a disclosure to the parties is not a disclosure to the company"

(1900) AC 240 (HL) · Secret profit · Disclosure to whom

(1) Facts

- A syndicate was formed to raise a fund, buy a property called "Olympia" and resell it to a company. They first **bought up some of the charges** upon the property for sums below what the charges afterwards realised, thereby making a profit of **£20,000**.
- They then bought the property for **£1,40,000**, formed a limited company, and resold the property to it for **£1,80,000** — of which company they were the **first directors**.
- The prospectus invited applications and **disclosed the two prices (£1,40,000 and £1,80,000), but not the £20,000** profit on the charges. Shares were issued, and the company afterwards went into liquidation.

(2) Issues

- Was the £20,000 profit a **secret profit** which the promoters were bound to disclose and account for?
- Was it enough that the profit was known to the **parties to the transaction** (the syndicate's own nominees)?

(3) Arguments — for the liquidator/company

- The £20,000 was an undisclosed gain made by the promoters in the course of the promotion; the two prices disclosed did not reveal it; the promoters were bound to account even in liquidation.

(3) Arguments — for the promoter (defendant)

- The fact was **known to the parties to the transaction** — every member of the syndicate and every director was aware of it; there was therefore no "concealment" from anybody who counted.

(4) Observations of the Court

- *Lord Halsbury LC: "It is too absurd to suggest that a disclosure to the parties to this transaction is a disclosure to the company. They were there by the terms of the agreement to do the work of the syndicate, that is to say, to cheat the shareholders; and this, forsooth, is to be treated as a disclosure to the company, when they were really there to hoodwink the shareholders…"*
- *Lord Halsbury LC: "Disclosure is not the most appropriate word to use when a person who plays many parts announces to himself in one character what he has done and is doing in another."*

(5) Decision

- Held: the promoters **ought to have disclosed the £20,000**; the defendant, one of the promoters, was liable to account for it to the company (in the winding up).

(6) Principle evolved

- **Disclosure to the promoters' own men is no disclosure to the company**; the relevant audience is the body of shareholders/investors invited to subscribe. A profit made on the promotion — however "known" within the syndicate — must be disclosed to the company and, failing that, accounted for; liquidation does not bar the claim.

CASE #17 PRE-INCORPORATION CONTRACT AUTHORITY

▸ Kelner v. Baxter (1866) LR 2 CP 174 — where the company never came into existence

(1866) LR 2 CP 174 · Personal liability of agent · No principal = contract with the agent

(1) Facts

- Kelner (the plaintiff) intended to sell **wine** to a company which was to be formed, but **under the contract he agreed to sell to the proposed directors** (Baxter and others) of the company.
- The proposed directors intended to buy the wine on behalf of the company; but as the company was not in existence when the contract was made, **they took delivery personally** (and drank/used it); the company was never incorporated, and the wine was not paid for.
- Kelner sued the individuals for the price.

(2) Issues

- Can a contract made "on behalf of" a company not yet in existence bind the company? (No — but that was not the question on which the case turned.)
- Are the persons who made the contract **personally liable** to the seller, having contracted for a principal that did not exist?

(3) Arguments — for the seller

- The wine was delivered and consumed; the buyers were the only persons who could have been liable; they cannot escape by saying they meant to bind somebody else who never existed.

(3) Arguments — for the proposed directors

- They contracted as agents only; the contract was expressed to be for the company; an agent incurs no personal liability on a contract made within his authority.

(4) Observations of the Court

- *Where a contract is made on behalf of a principal known to both parties to be non-existent, the contract is deemed to have been entered into personally by the actual maker — there is no other person who could possibly be bound, and the agent cannot be heard to say that he meant to bind a non-entity.*

(5) Decision

- Held: the proposed directors, **having contracted on behalf of a principal who did not exist and having received the wine, must pay for it** — personal liability.

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(6) Principle evolved
- The class-room rule for every answer on pre-incorporation contracts: **an agent contracting for a non-existent principal is himself the contracting party** — personally liable (and personally entitled), subject only to the S. 15/19 Specific Relief Act machinery once the company is incorporated and adopts.

CASE #18 PRE-INCORPORATION CONTRACT AUTHORITY

▸ Newborne v. Sensolid (Great Britain) Ltd. (1954) 1 QB 45 (CA) — the contrast: contract with the "company" only

(1954) 1 QB 45 (CA) · Form of signature · Contrast with Kelner

(1) Facts
- Newborne contracted for the sale of goods, signing **"for and on behalf of Sensolid (Great Britain) Ltd."** — a company which in fact **never was incorporated**.
- The goods were delivered; the price was not paid; the seller sued the signatory personally (the company of course could not be sued).

(2) Issues
- Did the signatory contract **personally**, or only as agent for the named (unborn) company?

(3) Arguments — for the seller
- There was no company, so the individual must be liable on the contract, in line with *Kelner v. Baxter*.

(3) Arguments — for the signatory
- The contract on its face was with the company — he signed **only** as its agent, and did not purport to undertake any personal obligation.

(4) Observations of the Court (Lord Goddard CJ)
- *The whole point is the construction of the contract: if the paper contract is expressed to be made by the company (though unborn), the person signing as its agent has not contracted personally — he is not liable, though of course the "company" cannot enforce or be made liable either.*

(5) Decision
- The seller's action **failed** — no personal liability of the signatory (an unhappy result for the seller, and the reason English law later enacted s. 36(2) of the Companies Act 1985, now s. 51 of the Companies Act 2006, making the agent of an unformed company personally liable).

(6) Principle evolved
- *Kelner* and *Newborne* together give the Indian rule: **it depends on the construction of the contract** — personal liability where the parties dealt with the maker personally; no liability where the contract is expressed to be with the company alone. In India the would-be creditor's protection is (i) suing the promoter personally under *Kelner*, and (ii) enforcing against the company under **S. 19 of the Specific Relief Act, 1963** after adoption.

CASE #19 CONCLUSIVENESS OF INCORPORATION AUTHORITY

▸ Moosa Goolam Ariff v. Ebrahim Goolam Ariff (1913) LR 40 IA 219 (PC) — the Indian locus classicus

(1913) LR 40 IA 219 (PC) · Conclusive for all purposes · Minors · guardian signatures

(1) Facts
- The memorandum of association of a company was signed by **two adult persons and by a guardian of the other five members, who were minors at the time**, the guardian making a **separate signature for each of the minors**.
- The Registrar, however, registered the company and issued under his hand a certificate of incorporation.
- The plaintiff contended that this certificate of incorporation should be declared **void** — the condition of seven subscribers having never been satisfied.

(2) Issues
- Where the conditions of registration were not in fact complied with (no seven effective subscribers), is the certificate of incorporation still conclusive — can the company's existence be collaterally destroyed?

(3) Arguments — for the plaintiff
- The statutory minimum of subscribers was not truly satisfied; the guardian's signatures were not the signatures of members; the Registrar ought to have refused the certificate; the certificate is therefore void.

(3) Arguments — for the company
- The Registrar has issued the certificate; the Act makes it conclusive; the proper remedy, if any, is collateral — not a declaration of nullity.

(4) Observations of the Court
- *Lord Macnaghten: "Their Lordships will assume that the conditions of registration prescribed by the Indian Companies Act were not duly complied with; that there were not seven subscribers to the memorandum and that the Registrar ought not to have granted the certificate. But the certificate is conclusive for all purposes."*

(5) Decision
- The plaintiff's claim was rejected — the certificate could not be impeached.

(6) Principle evolved
- **The Indian locus classicus:** even a defective memorandum (fewer than seven genuine subscribers, guardians signing for minors) cannot nullify incorporation once the certificate is issued; the certificate is **conclusive for all purposes** — a company born cannot be annihilated except by the winding-up machinery (*T.V. Krishna* — see below).

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PYQ ARCHIVE // CH.02 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 DU LL.B. Examination "What is promotion? Who is a promoter? Discuss the legal position of a promoter in relation to the company he promotes." 10–15 marks · long answer

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 DU LL.B. Examination "The promoter is not an agent or trustee for the company he promotes; but stands in a fiduciary position towards it." Comment. 10 marks

Q.3 DU LL.B. Examination Discuss the duties of a promoter. What are the remedies of the company where the promoter has made a secret profit? 10 marks

Q.4 DU LL.B. Examination "A certificate of incorporation is conclusive evidence that all the requirements of the Companies Act have been complied with." Comment.

Q.5 DU LL.B. Examination "A company cannot ratify a pre-incorporation contract, though it is open to it to enter into a fresh contract." Comment. 10 marks

Q.6 DU LL.B. Examination Explain the procedure for registration of a company, including online registration.

Q.7 DU LL.B. Examination What are the effects of registration of a company under S. 9 of the Companies Act, 2013?

Q.8 DU LL.B. Examination Short notes (any two): (a) Promoter under S. 2(69); (b) Secret profits of promoters; (c) Pre-incorporation contracts; (d) Certificate of incorporation. 5–6 marks each

Q.9 DU LL.B. Examination Problem: The promoters of a company incorporated on 9 April 2014 had entered into a contract with M on 8 March 2014 for supply of goods. After incorporation the company does not wish to proceed with the contract. Advise the management. problem question

Q.10 DU LL.B. Examination Problem: Six of the seven signatures to the memorandum of association were forged; the company was registered and the certificate of incorporation issued. Can the registration be challenged? problem question

MODULE 03 // Topic 3 · Unit III Cases #20 – #29

Constitutional Documents: MOA, AOA, Ultra Vires & Indoor Management

Companies Act, 2013: Ss. 4, 5, 6, 10, 12, 13, 14, 15, 16, 17, 179 · Constructive Notice & Turquand Rule

The master distinction

Constitutional architecture: capacity is not authority

Question	If the answer is "no"	Leading consequence / case
Could the company itself do this? Act + MOA capacity	Corporate ultra vires.	**Void ab initio;** no unanimous ratification. *Ashbury*; *Lakshmanaswami*.
Did the constitution facially permit this kind of act? MOA/AOA public limits	Outsider is normally fixed with that public restriction.	**Constructive notice**; facial signing defect in *Kotla*.
Was an otherwise available internal step actually taken? meeting, resolution, delegation, quorum	Usually an indoor irregularity, not a capacity failure.	Bona fide outsider may assume regularity: *Turquand*.
Did a properly empowered organ hold the officer out?	No ostensible authority merely from officer's own assertion.	Apply the four-part test in *Freeman & Lockyer*.
Did an external statute prohibit the act unless approval was obtained?	Indoor management cannot override law outside the company's constitution.	Security failed in *Dehradun-Mussoorie*, though the bank won the company-law point.

Statutory map

Companies Act, 2013 — the provisions to cite

The syllabus groups ss.4–16. In an answer, cite only the provision that does work. The map below supplies the present statutory structure and helps prevent an outdated-section mistake.

Provision	What it contributes to Topic 3	Use in an answer
s.2(5)	Defines "articles" as articles of association as originally framed, altered from time to time, or applied under a previous company law / the Act.	Definition opening for AOA.
s.2(56)	Defines "memorandum" in parallel terms.	Definition opening for MOA.
ss.4–5	Contents/form of MOA; regulations, model articles and entrenchment in AOA.	Formation, clauses, internal governance.
s.6	Act overrides a contrary memorandum, articles, agreement or resolution.	Hierarchy; invalid article; statutory prohibition.
s.7	At incorporation, duly signed MOA and AOA are filed with the Registrar along with prescribed incorporation material.	Registration mechanics; corrects the old "public company need not file AOA" proposition.
ss.9 & 10A	s.9: effect of registration / body corporate. s.10A: post-2019 share-capital company cannot commence business or borrow until prescribed declaration and office verification are filed.	Locate constitutional documents within formation and commencement.
ss.10–17	Statutory contract, registered office, alteration, copies/notation and name rectification.	The core alteration-and-effect block.
s.18	Conversion / registration of companies already registered; conversion does not create an escape from existing debts, liabilities, obligations or proceedings.	Useful companion to s.14 class conversion.
s.399	Inspection / production / evidentiary access to documents kept by the Registrar, subject to prescribed fee.	Statutory access behind constructive notice.

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Do not conflate three effects: (i) filing/public accessibility, (ii) incorporation under s.9, and (iii) the *statutory contract* under s.10. Each performs a different legal task.

Part I · Memorandum

Memorandum of Association (MOA): the corporate charter

Statutory definition

"Memorandum" means the memorandum of association of a company as originally framed or as altered from time to time in pursuance of any previous company law or of this Act.*Companies Act, 2013, s.2(56)*

The definition tells us *what document* it is. Its juridical significance comes from ss.4, 6, 10 and 13, and from the classic capacity cases.

Working definition for exams

The MOA is the company's **public charter**. It identifies the company, marks the field within which corporate action may occur, and states foundational conditions on which incorporation is granted. It is not merely a business plan: it sets a boundary of **corporate capacity**.

Lord Cairns' formulation in *Ashbury* remains memorable: the memorandum defines the limits on the company's powers, affirmatively and negatively.

Why the memorandum matters

1 · Identity and disclosure

Name, State of registered office, liability and capital/subscription data make the corporate person intelligible to members, investors, creditors and regulators.

2 · Capacity boundary

The objects clause identifies what business/object the company may pursue. An act outside this field is company-level ultra vires.

3 · Allocation of risk

Subscribers see the field in which their capital may be used; outsiders know the public perimeter of a proposed transaction.

Core distinction: a board may exceed its *authority* while the company remains capable of ratifying the act. But where the company itself lacks *capacity* under its MOA, it cannot manufacture capacity by a board resolution, articles, consent or unanimous shareholder vote.

Section 4 — formation, form and required content

s.4

What the memorandum must state

At incorporation, the memorandum must state the prescribed name, the State in which the registered office is to be situated, objects to be pursued on incorporation and matters necessary in furtherance of those objects, liability, and (where there is share capital) capital/subscriber information. An OPC must nominate the person who becomes member on death/incapacity, subject to the statutory scheme. It is drawn in the applicable Schedule I form and filed through the incorporation process.

- **Form:** Schedule I Tables **A–E** provide memorandum forms for the different liability/capital structures. They are a drafting starting point, not a licence to disguise unlimited objects in boilerplate.
- **Name reservation:** s.4 also addresses unacceptable names — including names identical with/too nearly resembling existing company or registered trade-mark names, prohibited names, and names considered undesirable. The precise application/validity process is subject to current incorporation rules.
- **Execution:** subscriber particulars, number of shares agreed to be taken where applicable, signatures and witnessing follow the prescribed incorporation form/manner. The association/subscription undertaking is embodied in the Schedule form.
- **Objects drafting:** distinguish the *objects to be pursued* from matters/powers necessary in their furtherance. A clause such as "to borrow" generally describes a power, not an independent commercial object: *Re Introductions*.

Clause map

MOA clauses — learn them as functions, not a list

Clause	Exam-quality explanation	Typical trap
Name	Name is part of the public constitutional identity, but a company's name does not normally cut down a plain, unambiguous operative object clause: *Cotman*.	Assuming the trading name alone decides capacity.
Registered office	The MOA says the State; s.12 requires a functioning office capable of receiving and acknowledging communications and regulates verification/change.	Writing only the street address in an answer and omitting State / s.12.
Objects	Read fairly. Cover express objects and what is reasonably/naturally incidental or conducive — not every remote advantage: *Lakshmanaswami*.	Treating any advantageous activity as incidental.
Liability	Signals the financial exposure form chosen by members and is foundational to the company's structure.	Confusing company debt with personal shareholder debt.
Capital	For share-capital companies, sets registered share-capital structure; later capital changes engage s.61 and associated provisions, not simply the generic s.13 route.	Calling an issue of shares an "objects alteration."
Subscription	Embodies the incorporation commitment; it is not the same as a future transfer of shares or a board resolution.	Omitting it because s.4's numbered clauses are being paraphrased.

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Part II · Articles

Articles of Association (AOA): the internal constitution

"Articles" means the articles of association of a company as originally framed or as altered from time to time or applied in pursuance of any previous company law or of this Act.*Companies Act, 2013, s.2(5)*
Articles are the company's internal regulations. If the MOA says *what zone the company may enter*, the AOA says *who decides, by what procedure, and on what terms within that zone*.

Section 5 in one view

Articles contain regulations for management and prescribed matters; a company may include additional management provisions. They may also contain **entrenchment** provisions — clauses that can be altered only through a procedure more restrictive than the ordinary statutory special-resolution route.

For entrenchment: introduce it at formation, or later by unanimous agreement in a private company / special resolution in a public company, then notify the Registrar in the prescribed manner.

What articles usually regulate

Capital and membership
Classes of shares, calls, liens, transfers/transmission, certificates, forfeiture and member rights.

Meetings and voting
Notice, quorum, proxies, voting, general meetings and resolutions.

Board governance
Appointment, powers, delegation, managing director, conflicts, board meetings and execution of instruments.

Financial administration
Dividends, reserves, accounts, audit, bank operations and use of any seal.

Internal remedies
Share-transfer machinery, arbitration clauses where valid, and relationship-management provisions.

Winding-up architecture
Internal rules consequential on winding up, subject always to the Act and insolvency law.

Schedule I model forms

MOA form	AOA form	Company form
Table A	Table F	Company limited by shares
Table B	Table H	Company limited by guarantee and *not* having share capital
Table C	Table G	Company limited by guarantee and having share capital
Table D	Table J	Unlimited company and not having share capital
Table E	Table I	Unlimited company and having share capital

Current-law correction: do not write that a public company limited by shares "need not file articles." Under the current incorporation framework, signed MOA *and* AOA are filed under s.7. Model articles can be adopted/modified, but the dated proposition in some notes should not be carried into a 2013 Act answer.

Hierarchy: Act → MOA → AOA

Section 6: Any provision in the memorandum, articles, agreement or resolution that is repugnant to the Act is void to the extent of repugnancy. Articles are also subordinate to the memorandum. They may clarify an ambiguity or supplement a silence; they **cannot enlarge an unambiguous MOA object**. This is central to *A. Lakshmanaswami Mudaliar v LIC*.

MOA	AOA
Fundamental charter; outer corporate capacity and foundational identity.	Internal rules; machinery for exercising powers within the permitted area.
Primarily protects members, creditors and outsiders by declaring limits.	Primarily regulates company-member and member-member governance.
Altered only under statutory routes, especially s.13 (and s.61 for capital).	Altered by special resolution under s.14, subject to special constraints/approvals.
Act beyond it: company-level ultra vires and void.	Act beyond it but within MOA: usually an internal authority defect; potentially ratifiable and capable of attracting Turquand.

Registration, effect & statutory contract

What registration changes: a public document becomes a binding constitution

s.10

by Ankur R. Upadhyay

The statutory contract

Registered memorandum and articles bind the company and its members as if each had been signed by the company and each member, and contained covenants by each member, heirs and legal representatives, to observe every provision. Money payable by a member to the company under the memorandum or articles is a debt due from that member to the company.

Relationship	Position under s.10	Authority / example
Company ↔ member	Binding when the member asserts a right or is subject to an obligation in the capacity of member.	*Wood v Odessa Waterworks*: a member restrained a dividend distribution contrary to articles.
Company → member money claim	Money payable by the member under the documents is statutorily a debt due to company: s.10(2).	Calls/other payable obligations in the constitution.
Members inter se	No simple free-standing bilateral contract between every pair; the statutory contract operates through the company/membership structure. Particular member-share-transfer obligations can be enforced in the right setting.	*Rayfield v Hands*; usually frame relief through the company or membership right.
Company ↔ outsider	Articles alone are not a contract with an outsider, even where the outsider is named.	*Eley v Positive Government Security Life Assurance*; *Browne v La Trinidad*.
Member acting in another capacity	Being a shareholder does not turn a director's/solicitor's/service right into a membership right.	*Eley*; *Beattie v E & F Beattie* illustrates the capacity distinction.

Supporting authorities on binding nature

Wood v Odessa Waterworks (1889)
Articles required dividends in cash. Directors proposed debentures instead. A member secured an injunction: articles bind company to a member *qua* member.

Borland's Trustee v Steel Bros (1901)
A compulsory-transfer article on a shareholder's bankruptcy bound the shareholder's trustee. A share is held subject to the constitution.

Eley v Positive Government Security (1876)
Articles named Eley as company solicitor. He could not enforce that appointment through the articles: he sued as an outsider/solicitor, not as a member.

Browne v La Trinidad (1887)
An article does not, without more, give an outsider a contractual right against the company merely because it mentions or benefits that person.

Rayfield v Hands (1960)
Articles required directors to take shares offered by a member. The court enforced the member-related transfer obligation; directors were treated within the statutory-membership arrangement.

V.B. Rangaraj v V.B. Gopalakrishnan (SC)
Useful Indian reinforcement: a share-transfer restriction not contained in the articles is generally not enforceable as a company-law restriction.

Phrase to use in an exam: "Section 10 creates a statutory contract, but it is not an all-purpose contract. The claimant must show that the right is asserted *qua member*, rather than in an independent outsider capacity."

s.17

Copies on request

On a member's request and payment of the prescribed fee, the company must send a copy of its memorandum, articles, and applicable resolutions/agreements referred to in s.117 within **seven days**. Current s.17(2) provides a penalty of ₹1,000 for every day of continuing default, subject to a maximum of ₹1 lakh for the company and every officer in default. This is distinct from Registrar inspection under s.399.

The alteration block

Sections 10–17: effect, address, alteration, notation and rectification

Constitutional documents are important precisely because they are not amended casually. The route depends on *what* is changing. Start with the general rule, then identify any special approval, creditor/public-funds protection or registration requirement.

s.12

Registered office: operational presence and movement

A company must have, within 30 days of incorporation and at all times thereafter, a registered office capable of receiving and acknowledging communications and notices; it must verify that office with the Registrar in the prescribed manner. The section also requires statutory name/address/CIN and contact disclosures on premises and official documents, as applicable.

Registered-office change	Core route	Exam point
Within local limits	Board/filing route under applicable rules.	Distinguish this routine move from moving outside local limits or across State.
Outside local limits of city/town/village in same State	Special resolution under s.12(5), plus prescribed filing.	A mere board resolution is not enough for this higher-impact move.
From one Registrar's jurisdiction to another within same State	In addition, Regional Director confirmation is required under the s.12 proviso.	State stays the same; Registrar jurisdiction changes.
From one State to another	s.13(4): special resolution + Central Government approval + creditor protection and filing with Registrars.	This alters the State stated in the MOA; it is not merely a s.12 local-office move.

s.13

by Ankur R. Upadhyay

Alteration of the memorandum

Save as otherwise provided (notably s.61 for share-capital alteration), a company alters its memorandum by **special resolution** and the procedure in s.13. The special resolution is the baseline, not the endpoint: a change may also require Central Government approval and it does not become effective until the statutory registration condition is met.

What changes?	Additional s.13 discipline	Practical result
Name	Written Central Government approval is required, except where only "Private" is added/ deleted consequent upon class conversion. After approval, the Registrar issues a fresh certificate of incorporation.	The name change takes effect only on issue of the fresh certificate.
Registered office: State → State	Central Government confirmation on application; the Government must protect objecting creditors/debenture holders by consent, discharge, determination or satisfactory security. Statutory decision/filling timelines apply.	File certified order with both concerned Registrars; destination Registrar issues fresh certificate.
Objects	Special resolution + registration. If public-prospectus money remains unutilised, s.13(8) adds disclosure in English and vernacular newspapers, website disclosure with justification, and a SEBI-regulated exit opportunity for dissentients.	The company cannot casually divert unspent public money from stated objects.
Share capital	Do not use s.13 as a substitute for s.61. The articles must authorise the relevant capital alteration and the s.61 route applies.	Correct statutory classification gains marks.

s.13(10) conclusion: no alteration under s.13 has effect until registered in accordance with the Act. An internal special resolution alone is not the finishing line. Altering objects prospectively is also not retrospective ratification of an already ultra vires transaction.

s.14

Alteration of articles

Subject to the Act and conditions in the memorandum, articles are altered by **special resolution**. An alteration converting a public company into a private company does not take effect without Central Government approval. Under s.14(2), file the altered articles and the approval order, where applicable, with the Registrar within **15 days**; once registered, the altered provision is valid as if originally contained in the articles, subject to the Act.

Substantive limits on s.14

Articles cannot conflict with the Act or MOA, cannot authorise illegality, and must be exercised bona fide for the benefit of the company as a whole. A section 8 company has its own Central Government approval discipline for constitutional changes.

Classic judicial control

Allen v Gold Reefs of West Africa: alteration must be bona fide for the benefit of the company as a whole. It cannot be a colourable device to oppress a member or confiscate rights arbitrarily.

s.15

Notation on every copy

Every alteration made in the memorandum or articles must be noted in every copy issued after the alteration. The current penalty is ₹1,000 **for every copy** issued without the alteration, on the company and every officer in default. It is not a per-day penalty.

s.16

Rectification of name on Central Government direction

Where a name is identical with/too nearly resembles an existing company's name, or on a registered trade-mark proprietor's application made within **three years** of incorporation/registration/change of name, the Central Government may direct a change. The company changes its name within **three months** of the direction after adopting an **ordinary resolution**, then gives notice of the change/order to the Registrar within **15 days** under s.16(2). Continuing default attracts the current daily penalty, capped at ₹1 lakh for the company and each officer in default.

Section-number precision: s.10 creates the statutory contract; s.11 is omitted; s.12 concerns the registered office; s.13 MOA alteration; s.14 AOA alteration; s.15 notation of copies; s.16 rectification of name; s.17 copies for members. This sequence is worth memorising verbatim.

Part III · Corporate capacity

Doctrine of ultra vires: a critical, usable analysis

Ultra vires means "beyond powers." In company law, the decisive question is: **beyond whose power?** The legal consequence changes radically depending on whether the Act, the MOA, the AOA, a board delegation, or an external statute has been exceeded.*Use this distinction before citing any case*

Type of excess	Meaning	Consequence	Illustration
Ultra vires the Act / external law	The law itself prohibits the act or makes approval a condition.	Void/ineffective; neither articles, estoppel nor Turquand can override law.	*Dehradun-Mussoorie* (external Tramway Order).
Ultra vires MOA / company	The company lacks corporate capacity for the object/transaction.	Void ab initio; no ratification even by all shareholders.	*Ashbury*; *Lakshmanaswami*; *Jon Beauforte*.
Ultra vires AOA / board	Company could do it, but its organ/agent acted outside internal authority.	May be ratified by company if otherwise lawful; bona fide outsider may invoke indoor management.	*Turquand*; contrast *Kotla*.
Beyond agent's actual authority	Officer lacks actual appointment/delegation, but company may have held them out.	Apparent/ostensible authority can bind company where *Freeman & Lockyer* conditions are met.	Kapoor acting as managing director.

The core rule

A company can carry out its express objects and acts that are fairly incidental, naturally conducive or reasonably proximate to attainment of those objects. It cannot undertake a wholly foreign enterprise merely because the board expects a possible benefit. A company-level ultra vires transaction is **void from the beginning**, not merely voidable; it cannot be ratified by unanimous shareholder assent, altered articles, acquiescence, lapse of time or estoppel.

How to construe the objects clause

Express object
A clearly worded, genuinely independent object is effective as written. *Cotman* rejects cutting it down merely because it is not connected to an assumed dominant business.

Incidental / conducive act
The connection must be reasonably proximate and natural. An indirect, remote possible benefit will not do: *Lakshmanaswami*.

Power is not object
Borrowing, investing or acquiring property may facilitate valid objects. Calling a power an "independent object" does not make it an end in itself: *Re Introductions*.

Board-opinion clause
A valid clause may make the board's bona fide opinion decisive where the activity is in connection with/ancillary to the business: *Bell Houses*.

New business
Starting a distinct enterprise outside the described field is not made ancillary merely by commercial convenience: *Ashbury*; *Jon Beauforte*.

Winding-up substratum is different
Finding a company's dominant substratum for winding-up is a different inquiry from deciding a third-party ultra vires challenge: *Cotman*.

Effects and remedial consequences

What cannot happen
- The company cannot sue or be sued upon the ultra vires contract as such.
- All shareholders cannot ratify a company incapacity: *Ashbury*; *Lakshmanaswami*.
- Articles cannot enlarge a plain MOA object: *Lakshmanaswami*.
- A consent/default judgment that never determines the ultra vires issue does not cure it: *Jon Beauforte*.

What may still be available
- A member may seek an injunction before performance.
- Directors who improperly disburse company assets may have to make good the loss.
- Identifiable money/property may support tracing or restitutionary arguments; *Jon Beauforte* expressly reserved such rights.
- A lender ignorant of an unlawful application may have a different position from one who knows the money is for an ultra vires enterprise: contrast *Re David Payne* principle with *Re Introductions*.

Critical analysis: why the doctrine remains examinable

Protective rationale
It protects the investment bargain and creditors'/outsiders' reliance on a disclosed field of activity; it disciplines managers who would divert company funds to a different venture.

Commercial criticism
Rigid application can defeat honest outsiders and encourages encyclopaedic object clauses. It may turn a public filing fiction into a harsh loss-allocation rule.

Modern Indian position
The 2013 Act still requires objects in s.4 and regulates alteration in s.13. The doctrine is therefore not abolished. Broad but intelligible drafting and prospective alteration reduce, but do not remove, its practical force.

Comparative perspective
UK Companies Act 2006 generally gives unrestricted objects unless articles restrict them and protects third-party validity; Australia and modern US corporate statutes also substantially curtail external ultra vires invalidity. India retains the classic doctrinal relevance for MOA capacity.

High-scoring conclusion: The modern practical question is not whether ultra vires has disappeared, but whether the transaction is truly outside a fairly construed MOA/Act boundary. If it is, internal consent cannot cure a corporate incapacity; if it is merely an internal departure, the analysis shifts to ratification, apparent authority and indoor management.
Part IV · Public documents

Doctrine of constructive notice: the outsider is deemed to know the public limit

Once constitutional documents are registered and accessible, a person dealing with the company is treated as having notice of their public contents, whether or not that person actually read them. It is a legal attribution, not a factual assertion of actual knowledge.

What the doctrine does
- Charges an outsider with the external contents of MOA/AOA filed with the Registrar.
- Prevents an outsider from enforcing a transaction facially beyond company capacity or facially contrary to a known signing/authority restriction.
- Explains why public constitutional documents must be read before reliance is placed on an officer's act.

What it does not do
- It does **not** require outsiders to inspect board minutes, verify notice, quorum, voting or internal approval.
- It does **not** make a public document a contract with every outsider.
- It does **not** enable a party to rely on an unusual AOA provision they never actually relied upon; see the nuance in *Freeman & Lockyer*.

by Ankur R. Upadhyay

Correction to an overbroad note-formula: "Ignorance of the MOA/AOA" is **not** a free-standing exception that automatically defeats indoor management. The outsider is deemed to know public limits, but need not prove actual inspection of every internal record. The safe exam formulation is: *read (or be deemed to know) the public constitution; assume hidden internal regularity only if the act appears constitutionally possible and the outsider acts bona fide.*

Kotla Venkataswamy in one line

Where articles required a mortgage instrument to bear the signatures of the managing director, secretary and working director, a mortgage signed by only two officials was facially non-compliant. The lender had constructive notice; it could not invoke Turquand to cure an irregularity apparent from the public document itself.

Part V · Commercial protection

Doctrine of indoor management: the Turquand rule and its limits

A person who reads the public constitution and sees that an act *could* be completed by an internal resolution or formality is entitled, in good faith, to assume that the internal step was properly taken. The outsider is not required to conduct an audit of the company's indoor management.*Royal British Bank v Turquand*

The operating conditions

1. **Corporate capacity exists.** The transaction must be within the Act and MOA; Turquand cannot turn an ultra vires corporate act into a valid one.
2. **Public documents permit the kind of act.** The constitution must disclose a power that is capable of being completed by an internal approval.
3. **The alleged defect is internal.** Missing resolution, defective meeting, quorum or hidden delegation is indoor; a patent signature defect is not.
4. **The outsider is bona fide.** No actual knowledge of irregularity and no circumstances that reasonably demand inquiry.
5. **No forgery or external legal prohibition.** A forged instrument is not a mere irregular exercise of a genuine power; a statute outside the constitution cannot be waived by apparent regularity.

Exceptions / boundaries

Boundary	Why protection fails	Authority / illustration
Actual knowledge	A person who knows the internal resolution/appointment is defective cannot claim an assumption opposite to the truth.	General rule; compare bank knowledge in *Re Introductions*.
Suspicion / abnormal transaction	The doctrine protects good faith, not a person who deliberately shuts eyes to an obvious need for inquiry.	Facts must support suspicion; it is not a vague "negligence" label.
Forgery	Forgery is a nullity, not merely an irregular use of a valid corporate power.	*Ruben v Great Fingall Consolidated* (supporting authority).
Facial violation of AOA	Constructive notice already reveals that the required outward form was not met.	*Kotla*.
No company representation / no apparent authority	Agent cannot create their own apparent authority by saying "I am authorised."	*Freeman & Lockyer*: representation must originate from an actually empowered organ.
MOA/Act/external-statute ultra vires	No internal assumption can confer a capacity the company never had or displace a statutory prohibition.	*Ashbury*; final result in *Dehradun-Mussoorie*.

Turquand and apparent authority are related but not identical

Turquand question
"The public document permits directors/board to act if an internal resolution exists. May the outsider assume it exists?" This is an **internal regularity** question.

Freeman question
"Did the company, through someone with actual authority, represent that this officer had authority, and did the outsider rely on it?" This is an **ostensible authority / estoppel** question.

One-sentence conclusion: Turquand is a shield for a bona fide outsider against hidden procedural irregularity; it is not a magic wand against public constitutional limits, forgery, an officer's self-created authority, knowledge of irregularity, or external law.

Part VIII · Applying rather than reciting

Problem-answer toolkit: decide the result in the correct sequence

Issue
Identify the exact defect: "whether the loan is ultra vires the company, merely beyond director authority, or invalid for breach of an external statute."
Rule
State the relevant section and a precise ratio: *Ashbury*, *Turquand*, *Kotla*, *Freeman* or *Dehradun*.
Apply
Match facts: objects wording, nature of business, visible signatures, actual knowledge, minutes, board conduct, and statutory approvals.
Conclude
Say whether contract/security is valid, void, internally ratifiable, protected against company, or only supports an unsecured/restitutionary claim.

Common exam mistakes — avoid all eight

1. Writing "all ultra vires acts can never be cured" without distinguishing an act beyond MOA from an act merely beyond AOA/director authority.
2. Calling *Cotman* an ultra vires holding. It is an **intra vires** independent-objects case.
3. Writing that an article can authorise what the MOA does not. *Lakshmanaswami* says the opposite.
4. Applying Turquand before testing Act/MOA capacity and external legal restrictions.
5. Using *Kotla* as a case favouring a lender. It favours the company because the outward document was facially defective.
6. Stopping *Dehradun-Mussoorie* at the internal-management holding and missing the ultimate void-security result.
7. Calling the s.10 statutory contract a contract with all outsiders. It binds company/members in membership capacity.
8. Citing "s.11" as the present statutory effect of constitutional documents. Use s.10; s.11 is omitted.

by Ankur R. Upadhyay

Prescribed & Landmark Case Law Dossiers — Detailed Analysis

CASES #20 – #29

CASE #20

DU LL.B. PRESCRIBED AUTHORITY

Ashbury Railway Carriage & Iron Co. Ltd. v. Riche

[1875] LR 7 HL 653; [1874-80] All ER Rep 2219 (HL)

Material facts

The company's memorandum authorised it to make, sell or hire railway carriages, wagons, railway plant and rolling stock; to carry on the business of mechanical engineers and general contractors; and to deal with specified mines, minerals, land and materials. Riche had obtained a Belgian Government concession for a railway from Antwerp to Tournay. The directors contracted to take over the concession, establish a *société anonyme*, raise and contribute construction capital, take bonds/shares, and give Riche the supply business for iron and rolling stock.

When finance trouble arose, an investigating committee reported that the arrangement was ultra vires. Shareholders later allowed accounts to pass and made arrangements under which directors would bear the burden between themselves and shareholders. Riche nevertheless sued the company for non-performance/damages.

Issues

- Did "mechanical engineers and general contractors" authorise taking over/funding a foreign railway construction concession?
- If not, could shareholder assent or later arrangements ratify the company's contract?

Riche / contractor

"General contractors" should be read broadly enough to cover the Belgian railway arrangement. The related opportunity to supply rolling stock showed commercial connection. In any event, shareholder acts and later arrangements adopted or ratified the bargain.

Company / liquidator position

"General contractors" takes colour from "mechanical engineers"; it means contracts of the mechanical-engineering business, not every imaginable commercial undertaking. Acquisition and financing of a foreign railway company was outside the stated field. An act the corporation cannot do cannot be ratified.

Decision & reasoning

The House of Lords held the contract ultra vires and void. Lord Cairns construed "general contractors" in its immediate context: an unlimited reading would make the specification of objects meaningless. The real substance was not making railway equipment but purchasing a concession and finding capital for a foreign railway company. The memorandum was the company's fundamental law; the company existed for its stated objects, not with unlimited common-law trading capacity. The later deed/arrangements could not validate a corporate act beyond capacity. Riche could not recover contractual damages from the company.

Principle evolved

Company-level ultra vires is absolutely void and incapable of ratification even by unanimous shareholder consent. Distinguish this from an act merely beyond directors' authority: the latter may be internally cured if the company had capacity; the former cannot.

Use when: a fact pattern asks whether an ostensibly broad phrase authorises a distinct new business, or whether a shareholder resolution can cure an act outside the MOA. First line: "On *Ashbury*, I must distinguish the company's capacity from a director's authority."

CASE #21

DU LL.B. PRESCRIBED AUTHORITY

Cotman v. Brougham

[1918] AC 514 (HL); [1918-19] All ER Rep 265

Material facts

Essequibo Rubber & Tobacco Estates Ltd. had a sprawling objects clause with 30 heads. Though one early head concerned foreign property development, later heads expressly authorised promotion of companies and dealing in their shares/securities. A concluding clause declared every sub-clause independent: none was to be limited by the first object, another sub-clause or the company's name.

The company sub-underwrote 20,000 shares in Anglo-Cuban Oil, Bitumen and Asphalt Co. and took 17,200 shares. After the latter company's liquidation, Essequibo was placed on the contributories list for unpaid calls of roughly £14,000. Its liquidator sought removal, arguing the underwriting was ultra vires.

Issues

- Could an unrelated share-underwriting transaction be cut down by a supposed main object?
- Could validity of the accepted memorandum be attacked after incorporation?

Liquidator / appellant

The real business was rubber/tobacco/property; stock underwriting in an unrelated oil company was not ancillary. An indiscriminate list of "objects" failed the statutory purpose of identifying a field of industry and should not defeat the main-object approach.

Respondent position

Clauses authorising promotion and acquisition/dealing in shares were express and clear. The independence clause prevented their being read as merely auxiliary to a first head. The certificate of incorporation foreclosed a collateral attack on the registered memorandum's validity; the court must construe its text as it stands.

Decision & reasoning

The House of Lords dismissed the appeal: the underwriting was **intra vires**. Clauses 3(8) and 3(12), read with the independence declaration, plainly covered it. The certificate of incorporation was conclusive as to registration requirements in the procedural posture of the case; the court could not re-open whether the Registrar should have accepted the memorandum. Lord Parker separated the question whether a transaction is ultra vires from the equitable/substratum question relevant to winding up.

Several judges criticised the drafting practice of burying the real business beneath a mass of clauses. That criticism did not allow the court to rewrite an unambiguous accepted memorandum.

by Ankur R. Upadhyay

Principle evolved

A genuinely independent, expressly authorised object operates independently. For a transaction challenge, do not invent a dominant object to cut down clear words. The "main object"/substratum inquiry may matter in another context, but not where the MOA's express independent object authorises the act.

Reading alert: a shorthand/headnote line in one course extract appears to say "so the transaction was ultra vires." The report's holding and appeal dismissal are the opposite: the underwriting was **intra vires**. Write the actual ratio.

Use when: a company's MOA has clear, independently drafted object clauses and someone argues that an act is invalid merely because it is unrelated to a "main" activity or the company's name.

CASE #22 DU LL.B. PRESCRIBED AUTHORITY

In re Jon Beauforte (London) Ltd.

[1953] 1 Ch 131

Material facts

The company was authorised to carry on the business of costumiers, gown/dress makers and related businesses, together with business which in the board's opinion could be advantageously carried on in connection with or ancillary to that business. It decided to manufacture veneered panels — admittedly ultra vires — and erected a factory near Bristol.

After compulsory liquidation, three representative claims were rejected: builders who constructed the factory claimed £2,078 and had obtained a consent/default mechanism; veneer suppliers claimed £1,011 after a default judgment; and a coke supplier claimed £107, saying fuel might have been used legitimately. None claimed actual knowledge of the ultra vires position. The coke correspondence, however, was on company paper headed "Veneered Panel Manufacturers."

Issues

- Can suppliers prove debts arising from an admittedly ultra vires business?
- Do default/consent judgments, absence of actual knowledge, acquiescence or estoppel cure the defect?
- What residual remedies remain?

Creditors

They supplied value without actual knowledge; the company visibly carried on the veneer trade. The existing judgments or compromise should bind the liquidator. The coke might have had a legitimate use and should not be irretrievably characterised as ultra vires.

Liquidator

The MOA gave constructive notice of the company's limited objects. These particular factory contracts were admittedly ultra vires. A company cannot make an invalid contract valid by consenting to judgment or failing to raise the defence; the coke supplier had clear notice of the factory's true purpose.

Decision & reasoning

The applications were dismissed and proofs rejected. Roxburgh J held that a judgment founded on an ultra vires contract cannot stand merely because the company consented, defaulted or chose not to plead the defect. It is sustainable only if it embodies an actual judicial decision on the ultra vires issue or a compromise of *that issue*. The builders' compromise proceeded on the premise that the contract was intra vires, and the veneer judgment never determined capacity. The coke supplier's headed correspondence gave clear notice of the veneer factory purpose.

The order expressly preserved possible rights to trace money/property into an asset or proceeds, and to participate in any residual surplus after proper provable creditors and liquidation expenses were satisfied.

Principle evolved

Ultra vires cannot be cured by estoppel, lapse, ratification, acquiescence, default or a consent judgment that has not actually resolved the capacity issue. Yet invalidity of the contractual proof does not erase every possible proprietary/restitutionary remedy.

Use when: a supplier says "I did not know," a creditor has a default judgment, or an ultra vires company has gone into liquidation. Add the remedial nuance: contract proof fails, but tracing may remain open.

CASE #23 DU LL.B. PRESCRIBED AUTHORITY

Bell Houses Ltd. v. City Wall Properties Ltd.

[1966] 2 All ER 674

Material facts

Bell Houses' actual business was property/housing-estate development. Its chairman, Mr Bell, effectively administered that business pursuant to board delegation. The company's memorandum included a clause allowing any other trade or business which, *in the opinion of the board*, could advantageously be carried on in connection with or as ancillary to its businesses/general business.

Knowledge of finance sources was commercially valuable to Bell Houses because its developments needed bridging finance. When City Wall needed approximately £1 million bridging finance, Bell introduced it to a financing source (Nestlé's Pension Trust). Bell Houses claimed an agreed £20,000 procuration/commission fee. City Wall resisted, characterising the transaction as ultra vires mortgage broking. At first instance the preliminary ultra vires point succeeded.

Issues

- Was the introduction-for-finance transaction a new unrelated business or sufficiently connected/ancillary to property development?
- What effect should be given to the bona fide opinion-of-board clause?

Bell Houses

This was an isolated commercial use of a valuable finance connection, not a launch into general mortgage broking. It produced commission,

City Wall

Facilitating finance for a third party was distinct mortgage broking, not property development. A director's subjective opinion could not by

goodwill with financier and customer, and valuable knowledge for its own development operations. Mr Bell acted for the company, not personally, and the clause made bona fide board opinion decisive.

itself create corporate capacity; it had to be objectively and genuinely ancillary. The benefit, if any, was too indirect.

Decision & reasoning

The Court of Appeal allowed Bell Houses' appeal. The transaction was within the company's powers. It was an isolated, commercially connected use of information/assets acquired in the ordinary property-development business, rather than a deliberate entry into a wholly new trade. The clause expressly asked whether, in the board's bona fide opinion, the activity could advantageously be carried on in connection with/ancillary to the business. Mr Bell's authorised management and the facts supported that opinion. The court therefore did not need to decide wider questions about whether City Wall could raise ultra vires as a defence.

Principle evolved

Not every transaction outside the company's routine activity is ultra vires. A commercially connected, ancillary act can be intra vires; a valid clause may make directors' bona fide opinion material or decisive. The case is not authority for a free-standing power to begin any new business.

Use when: a company undertakes an isolated side transaction linked to its existing business and the MOA contains "in connection with," "ancillary," "incidental," or bona fide board-opinion language. Contrast *Ashbury* and *Jon Beauforte*.

CASE #24 DU LL.B. PRESCRIBED AUTHORITY

Re Introductions Ltd. / Introductions Ltd. v. National Provincial Bank Ltd.

[1969] 1 All ER 887

Material facts

The company began in connection with the Festival of Britain, later operated a deck-chair business, then had a period of inactivity. A new board used it for pig breeding. That business was admittedly outside the MOA. The bank opened an account, allowed an overdraft, and took two debentures secured on company assets. Crucially, before taking security it had a copy of the MOA/AOA and express knowledge that pig breeding was the company's sole activity.

The MOA contained a general clause authorising borrowing/raising money, including through debentures and charges. It also said prior sub-clauses were to be construed independently as objects. In liquidation, the liquidator challenged the debentures.

Issues

- Can a general power to borrow and give security stand as an independent object?
- Does the bank's knowledge that borrowing would finance ultra vires pig breeding invalidate its security?

Bank

It needed only to see an express borrowing/debenture clause. The independence declaration "elevated" borrowing into an object. Following *Cotman*, it need not investigate equities or the use of money despite knowledge of the business.

Liquidator

Borrowing is a means, not an end; it must be for a lawful company purpose. Labels cannot transform an ancillary power into an autonomous corporate object. The bank was not an innocent lender — it knew the sole destination was ultra vires pig breeding.

Decision & reasoning

The Court of Appeal held the debentures void against the liquidator. The underlying pig-breeding activity was ultra vires and there was no appeal on that point. A borrowing clause cannot "mean something in the air": it necessarily means borrowing for purposes of the company. The independence wording did not change the true character of a power into an object. A lender who does not know the unlawful intended use need not ordinarily inquire; but this bank did know and could not rely on its debentures.

Principle evolved

Power ≠ object. A general borrowing/security power is impliedly confined to intra vires company purposes. The innocent lender principle does not protect a lender with actual knowledge that money/security supports an ultra vires business.

Use when: a lender relies on a broad borrowing clause while knowing the money will fund an unauthorised activity. Contrast an unknown internal misapplication with known ultra vires purpose.

CASE #25 DU LL.B. PRESCRIBED AUTHORITY

A. Lakshmanaswami Mudaliar v. Life Insurance Corporation of India

AIR 1963 SC 1185

Material facts and timeline

United India Life Assurance Co. Ltd. was incorporated to carry on life-insurance business in all branches, indemnity and guarantee business, investments and matters incidental/conducive to those objects. At an extraordinary general meeting on 15 July 1955, shareholders resolved to donate ₹2 lakh from the Shareholders' Dividend Account to the proposed M.Ct.M. Chidambaram Chettyar Memorial Trust. The trust's numerous charitable objects included scholarships, education, art/science/industrial/technical/business knowledge, including banking and insurance.

Directors paid ₹5,000 initially and ₹1,95,000 in December 1955. On statutory vesting of insurers' controlled business in LIC, LIC demanded repayment and sought relief under s.15 of the Life Insurance Corporation Act, 1956. Directors/trustees argued that article 93(t) authorised charitable/public/general/useful payments and that the dividend account belonged beneficially to shareholders, not the company.

Issues

- Was the ₹2 lakh donation within the company's objects or naturally incidental/conducive to life-insurance business?
- Could article 93(t) or shareholder control over the dividend account enlarge the MOA?
- Were directors/trustees personally answerable for repayment?

by Ankur Upadhyay

LIC / Corporation
The MOA did not authorise this donation. The trust was broadly charitable, with no obligation to spend any part on insurance education; any benefit to insurance staffing/business was remote. The meeting was a company meeting, not a personal distribution by individual owners of a separate fund. Article 93(t) was subordinate to the MOA. Under the LIC Act, recovery could be ordered from parties responsible for or benefited by an imprudent/non-consideration payment.

Directors / trustees / appellants
Article 93(t) expressly empowered charitable, benevolent, public and useful payments. The trust included insurance knowledge and therefore could ultimately benefit the company. The Shareholders' Dividend Account was said to be exclusively shareholders' property, held by the company for them, so unanimous shareholder resolution could direct its destination. Trustees also denied personal liability.

Decision & reasoning
The Supreme Court dismissed the appeal. The meeting was a meeting of the *company* convened to approve a company donation. The MOA was fairly construed: its investment clause was a power to invest/deal with company funds, not a free charitable object. Article 93(t) could operate only within MOA capacity; articles may assist where a memorandum is ambiguous or silent, but cannot extend its plain scope.

The test for an incidental/conducive act requires a reasonably proximate connection. Here the trustees had no obligation to use the money for insurance education, and even such education would not necessarily benefit the company. The hypothesised gain was too indirect and remote. The donation was therefore ultra vires, absolutely void and incapable of ratification even by all shareholders. Directors responsible for the wrongful disbursement had to make good the company's money. Trustees, as beneficiaries/representatives of the trust, could be ordered to repay depending on responsibility, benefit and notice; the fund had not been disposed of before LIC's demand.

Principle evolved
Articles cannot enlarge an unambiguous memorandum; a remote possible commercial benefit is not "incidental or conducive." A company donation outside objects is void despite shareholder approval. The case also grounds personal accountability for directors who cause unauthorised disbursement.

Use when: a company makes a charity/CSR-like payment under a broad AOA clause, or argues an indirect reputational/training/market benefit. State the *reasonably proximate connection* test and distinguish statutory CSR compliance from an unauthorised historical donation.

CASE #26 DU LL.B. PRESCRIBED AUTHORITY

Royal British Bank v. Turquand

(1856) 6 E & B 327; [1843-60] All ER Rep 435

Material facts
The Cameron's Coalbrook Steam, Coal, Swansea and London Railway Co. gave the Royal British Bank a company-sealed bond. Its registered deed of settlement allowed directors to borrow on bond, but only such sums as were authorised from time to time by a general resolution of the company. The company, through its official manager, pleaded that no such shareholder resolution had authorised the bond.

The bank's case was that it had taken the instrument in good faith. The public deed showed not an outright prohibition on borrowing, but a power that could be completed by the required internal resolution.

Issue
Must a lender verify, beyond the public constitutional document, that the required general meeting resolution was in fact passed before relying on directors' sealed bond?

Bank
The deed gave directors power to borrow if authorised internally. Once the public document showed that the authority could be completed by a general resolution, an external lender could assume the internal condition had been fulfilled. It was not required to inspect the company's internal proceedings.

Company / official manager
Companies have only statutory/deed powers, unlike ordinary partners. The public deed made the general resolution a precondition; the bank was charged with its contents, and no such resolution meant the bond lacked corporate authority.

Decision & reasoning
The Court of Exchequer Chamber affirmed judgment for the bank. Jervis CJ reasoned that parties dealing with registered companies must read the statute and deed of settlement, **but need do no more**. On reading the deed, the bank found permission to borrow subject to a resolution; it was entitled to infer that the resolution authorising an apparently legitimate bond had been passed. The reported pleadings also contained a broad general-resolution allegation, but the enduring rule does not depend on auditing its factual correctness.

Principle evolved
The Turquand rule: an outsider may assume that internal acts and formalities required to make an externally permitted transaction effective have been duly performed. It is the counterweight to constructive notice.

Use when: an AOA/deed says "directors may borrow/act with a resolution/approval," but the alleged missing step is inside the company. Then immediately test good faith, facial regularity, capacity and external prohibition.

CASE #27 DU LL.B. PRESCRIBED AUTHORITY

Freeman & Lockyer (a firm) v. Buckhurst Park Properties (Mangal) Ltd.

[1964] 1 All ER 630

Material facts
Buckhurst Park Properties owned an estate bought for profitable resale. Kapoor, a director, was never formally appointed managing director; there was no board resolution authorising him to engage the claimant architects/surveyors. Yet the board knew he was acting as managing director, conducting the estate's business, employing agents and seeking planning permission/sale. The articles gave the board

Issues
- Did Kapoor have actual authority? If not, did he have apparent/ostensible authority?
- When does a corporate representation estop a company from denying an agent's authority?

management power and allowed appointment/delegation to a managing director/single director.

In 1959 Kapoor instructed Freeman & Lockyer to do planning and surveying work on the company's property. The work was done and the £291 6s fee was undisputed. The company contended Kapoor had no authority and that correspondence suggested he was acting personally.

Architects

Kapoor was actually authorised by inference from the facts; alternatively, the board knowingly allowed him to act as managing director and thereby held him out. Employing professionals for planning/sale was within ordinary apparent authority, and the architects relied on that representation in contracting.

Company

No formal managing-director appointment, specific resolution or valid delegation existed; Kapoor was only a director. The architects' correspondence referred to him personally, they did not prove reliance on a company representation, and the board had not authorised the particular contract.

Decision & reasoning

The Court of Appeal held the company liable. Actual authority failed: there was no appointment or resolution. But the board, which had actual management authority, knew and permitted Kapoor to act as managing director in the relevant part of the company's business. That conduct represented to outsiders that he had the ordinary authority of that role. The architects were induced to believe and rely on it; obtaining planning permission and professional services was ordinary for disposal/development of the company property. The articles did not make the company incapable of appointing/delegating in this way.

Diplock LJ's four conditions

1. A representation that the agent had authority to enter the relevant kind of contract.
2. The representation was made by a person/body with actual authority to manage that part of the company's business (usually the board).
3. The contractor was induced by and relied on the representation in entering the contract.
4. The company had capacity to enter the transaction and capacity to delegate/hold out that authority.

Apparent authority is an estoppel between principal and contractor. It cannot cure an act the company itself could not do, or an authority the constitution makes incapable of delegation.

Use when: an officer was never formally appointed but has been allowed by the board to act in a role. Apply all four conditions separately; do not merely write "indoor management applies."

CASE #28 DU LL.B. PRESCRIBED AUTHORITY

Kotla Venkataswamy v. Chinta Ramamurthy

AIR 1934 Mad 579

Material facts

A mortgage bond for ₹1,000 was purportedly executed for South Indian Agricultural and Industrial Improvement Co. Ltd. in favour of Venkatamma, whose interest was assigned to the plaintiff. The company later went into voluntary liquidation. Article 15 provided that all deeds, hundies, cheques, certificates and other instruments had to be signed by the **managing director, secretary and working director** on behalf of the company.

The mortgage was signed only by the secretary and working director. The plaintiff asserted regular authority/special resolutions and later sought to rely on ratification and equitable charge arguments. The managing director was said to have been unavailable, but that did not change the article.

Issue

Can a mortgagee enforce an instrument whose face reveals non-compliance with the AOA's required three-signature execution rule, by invoking Turquand/good faith?

Mortgagee / plaintiff

The loan was regularly contracted or specially authorised; at minimum the company should be bound because the officers appeared authorised, the lender acted in good faith and money may have benefited the company. Later ratification/equity should assist.

Company / purchaser

The AOA was public and clearly required three named signatories. The two officers were not competent alone. The lender was deemed to know that defect, so this was not a hidden internal irregularity. Alternative factual claims were not properly tried/proved.

Decision & reasoning

The Madras High Court held the mortgage invalid and dismissed the appeal. Article 15 was not merely a formal signing rule detached from power; absent special proof, execution authority remained with the board/constitution. If the mortgagee had informed herself of the articles, she would have seen that the managing director's signature was missing. Unlike *Turquand*, illegality/non-compliance appeared on the face of the outward instrument when read against the public articles. Good faith and possible application of money to company purposes did not make the mortgage enforceable on the pleaded issue.

Principle evolved

Indoor management does not cure a patent irregularity disclosed by public constitutional documents. Constructive notice defeats the outsider where the outward execution itself falls short of a known mandatory article.

Use when: articles specify a number/name of signatories and the document visibly bears fewer/different signatures. Contrast *Turquand*: missing unseen resolution versus *Kotla*: visible outward defect.

Ankur R. Upadhyay

CASE #29 DU LL.B. PRESCRIBED AUTHORITY

Dehradun-Mussoorie Electric Tramway Co. v. Jagmandar Das & others

AIR 1932 All 141

Material facts

The company obtained an emergency overdraft of ₹25,000 from Bhagwan Das & Co., Bankers, through managing agent Bertie Shah, to pay for machinery/stores urgently needed for the tramway. The money was admittedly used for necessary company purposes. A mortgage dated 19 June 1923 over Khazanchi Bagh land secured the overdraft. Articles gave the board power to borrow/mortgage but prohibited delegation of borrowing power; the managing agent had broad management/contract powers.

A minute book contained a 2 June resolution authorising the security, but the court found there had been no properly convened board meeting passing it. The bank manager had seen the apparently signed minute and had no reason at the time to suspect fraud. Later directors' reports acknowledged the debt/security. Separately, clause 37 of the 1921 Tramway Order — having force of law — required prior Government assent for transfer/mortgage of the tramway "undertaking." No prior assent was obtained for this mortgage.

Issues

- Company-law issue: did the agent/board/mortgage bind the company despite internal irregularity?
- External-law issue: was the land part of the statutory "undertaking," making Government assent indispensable?
- If security failed, what was the bank's remedy?

Bank / respondents

The emergency justified a temporary loan under ordinary agency principles; directors later recognised/ratified the loan. The board could authorise execution of security for an already incurred debt. A seal defect was immaterial if a sealed deed was not legally necessary. The bank was bona fide, saw a minute-book resolution, and could assume internal regularity. It also argued absence of proof of required Government sanction and/or that the land was not within the undertaking.

Company / liquidators

The non-delegation article barred the agent from borrowing; the June resolution was bogus/improperly convened and the document execution defective. The bank's letters put it on notice. More fundamentally, no prior Government approval was obtained as clause 37 required, and the depot/car-shed land was suitable for and used for the tramway undertaking; the mortgage was therefore void.

Decision & reasoning — two layers

Layer 1: company law. The Allahabad High Court found that the emergency could authorise temporary accommodation to protect company interests; later reports also recognised the loan. The board could delegate execution of a mortgage securing an existing loan even though it could not delegate a general power to borrow. The June board meeting had not been properly convened, but the bank had no actual knowledge or reason to suspect that defect. It was protected by the indoor-management principle, and the mortgage was binding *so far as company law was concerned*.

Layer 2: external statute — the ultimate result. The company had validly become the promoter after earlier Government assent to transfer the concession, but the mortgaged land was part of the "undertaking": it was acquired for depot/office/car-shed purposes, was suitable, and was used to store sleepers. No previous Government assent to mortgage it existed. Clause 37 had force of law. Mortgage without required prior assent was **absolutely void**, not merely voidable; it could not be ratified and estoppel could not validate it.

Principle evolved and remedy

Turquand cures hidden internal irregularity, not breach of an external statutory prohibition. The bank lost its security but not its underlying money claim. The court substituted a simple money decree of ₹29,773-4-3 against the liquidators, to rank as an unsecured debt in liquidation (with the stated interest treatment).

Important correction: a short-note version may stop after saying indoor management protected the bank. The DU report's final holding is more nuanced: it protected the bank on the company-law question, but the mortgage was ultimately void under the external Tramway Order. This is the best case to show the outer boundary of *Turquand*.

Use when: an outsider wins on internal authority but an external statute/licence/order requires prior approval. Always run a second, separate statutory-prohibition inquiry.

PYQ ARCHIVE // CH.03 Previous Year Questions (DU LL.B. Examinations)

Q.1 DU LL.B. Dec. 2015 · Q.2 Explain the doctrine of ultra vires with reference to Ashbury Railway Carriage & Iron Co. Ltd. v. Riche and subsequent Indian and English judicial decisions.

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 DU LL.B. Dec. 2015 · Q.3(a) Define the doctrine of 'Indoor Management' with reference to the rule laid down in Royal British Bank v. Turquand and examine its recognised exceptions.

Q.3 DU LL.B. Dec. 2024 · Q.3 Examine the relationship between the Doctrine of Constructive Notice and the Doctrine of Indoor Management where an outsider relies upon an irregular Board resolution or ostensible authority of a person acting as Managing Director. Refer to Freeman & Lockyer and Kotla Venkataswamy.

Q.4 DU LL.B. Standard Essay Discuss the binding contractual effect of the Memorandum and Articles of Association under Section 10 of the Companies Act, 2013 as between the company, its members, and outsiders.

Q.5 DU LL.B. Problem A company's Memorandum empowers it to carry on the business of manufacturing veneers and contains an independent clause permitting borrowing. After the veneer business fails, the company starts pig-breeding and borrows money from a bank, which knows of the pig-breeding venture. Can the bank enforce its debentures in winding up? Decide in light of Re Introductions Ltd. and In re Jon Beauforte.

MODULE 04 // Topic 4 · Unit IV
Cases #30 – #38

Capital Market Instruments: Prospectus, Shares & Debentures

Companies Act, 2013: Ss. 2(1), 2(30), 2(70), 2(84), 23-42 (Prospectus), 43-55 (Share Capital), 71 (Debentures) & 447

2. Capital-market map — how money enters a company

A company finances itself from two markets. Equity is ownership. Debt is credit. The public is invited into either market only through a prospectus (or a document the Act deems to be one). That is why Topic 4 joins prospectus with share-capital and debenture: the instrument is the product; the prospectus is the invitation.

Public company
May issue to the public through prospectus ("public offer"), by private placement (S.42), or by rights / bonus issue. Listed companies also obey SEBI. S.23(1).

Private company
Cannot issue a prospectus. It may issue by rights, bonus or private placement. That is one of the four statutory marks of a private company (S.2(68)).

"Public"
Includes any section of the public, selected as members, debenture-holders or clients. 3,000 copies among gas-company members = public (*South of England Natural Gas*).

Part A — Prospectus

3. Definition — Section 2(70)

S. 2(70) "Prospectus" means any document described or issued as a prospectus and includes a red herring prospectus referred to in section 32 or shelf prospectus referred to in section 31 or any notice, circular, advertisement or other document inviting offers from the public for subscription or purchase of any securities of a body corporate.
Three things follow from the words (DU Case Material, Ch.5):

1. **Label is not conclusive.** A glossy pamphlet that invites the public to apply for debentures is a prospectus whatever it is headed. The Act catches the document by what it *does*.
2. **The public is the hinge.** The prospectus provisions (contents, registration, civil and criminal liability) are attracted only when the document has been "issued" to the public. A single private communication is not an issue (*Nash v Lynde*).
3. **Securities, not only shares.** The 2013 definition covers any securities — shares, debentures, hybrids. That is why Topic 4 sits at the mouth of both equity and debt finance.

S.23 — Public offer and private placement. A public company may issue securities (i) to the public through prospectus (public offer, including IPO, FPO and offer for sale by an existing shareholder); (ii) through private placement (S.42); (iii) through rights or bonus issue. An Explanation says public offer includes IPO, further public offer, or offer for sale of securities to the public by an existing shareholder, through issue of a prospectus. A private company may issue only by rights, bonus or private placement.

4. Abridged prospectus — Ss. 2(1) and 33

S. 2(1) "Abridged prospectus" means a memorandum containing such salient features of a prospectus as may be specified by the Securities and Exchange Board by making regulations.
The full prospectus is a bulky, expensive document. To reduce the cost of a public issue while still warning the applicant, S.33 forbids the issue of application forms for securities unless they are accompanied by an abridged prospectus. The full prospectus is kept at the company's office and must be given, free, to anyone who asks before the offer closes (S.33(2)). Default: penalty of ₹50,000 for each default.

Two exceptions (S.33(1)): the form may go without an abridged prospectus if it is issued (a) in connection with a bona fide invitation to enter into an underwriting agreement, or (b) in relation to securities which are not offered to the public.

Exam checklist Q.8B treats abridged prospectus as "summary of full prospectus (max 5 pages) as specified by SEBI" that "must accompany the application form". Use that phrase in a short note.

5. Deemed prospectus — Section 25

Companies used to dodge the prospectus code by allotting a block of shares to an intermediary (often an issuing house) who then offered those shares to the public by its own circular. The circular was not "the company's prospectus". Section 25 closes that door.

S. 25(1) Where a company allots or agrees to allot any securities of the company with a view to those securities being offered for sale to the public, any document by which the offer for sale to the public is made shall, for all purposes, be deemed to be a prospectus issued by the company.
All enactments and rules of law as to contents of prospectus and as to liability for mis-statements and omissions apply, with the modifications in S.25(3)–(4).

The statutory presumption — S.25(2)

Unless the contrary is proved, an allotment is presumed to have been made "with a view to" a public offer if:

1. the offer to the public was made within six months after allotment; or
2. at the date of the offer, the whole consideration had not been received by the company.

Additional contents — S.25(3)

On top of S.26, the deemed prospectus must state (a) the net amount of consideration received or to be received for the securities; (b) the time and place at which the underlying contract of allotment may be inspected; (c) that the persons making the offer are named in the prospectus as directors of the company.
If the offeror is a company or firm, signature by two directors, or by not less than half the partners, is enough (S.25(4)).

Rights issue + renunciation. A rights issue to existing members with a right to renounce in favour of others becomes a deemed prospectus if the number of such "others" exceeds fifty (*SEBI v Kunnamkulam Paper Mills Ltd* (2013) 178 Comp Cas 371 (Ker), cited by DU Case Material).

Short-note line: Deemed prospectus is the Act's answer to an indirect public offer. The intermediary's offer document is treated as the company's prospectus; issuer and allottee are both in the liability net.

6. Shelf prospectus — Section 31

A company that comes to the market again and again (banks, FIs, NBFCs, infrastructure debt funds — the classes SEBI notifies) should not have to print a fresh full prospectus every quarter. Section 31 lets it file one "shelf" prospectus with the Registrar at the first offer. That prospectus is valid for a period not exceeding one year from the opening of the first offer. During that year, second and subsequent offers of the same class of securities need no further prospectus (S.31(1)).

Explanation to S.31 "Shelf prospectus" means a prospectus in respect of which the securities or class of securities included therein are issued for subscription in one or more issues over a certain period without the issue of a further prospectus.

7. Information Memorandum — S.31(2)

The shelf is not a licence to go stale. Before every second or subsequent offer the company must file with the Registrar an **information memorandum** containing all material facts relating to:

- new charges created,
- changes in the financial position of the company as have occurred between the first (or preceding) offer and the succeeding offer, and
- such other particulars as may be prescribed.

If applications with advance subscription were already received before a change occurs, those applicants must be told. They have 15 days to withdraw; money is then refunded.

> **The deemed-prospectus glue:** After the information memorandum is filed, that memorandum *together with* the shelf prospectus is deemed to be a prospectus. Liability for mis-statement therefore attaches to the combination, not only to the original shelf.

8. Red herring prospectus — Section 32

Book-building needs a document the market can read before the price is known. That document is the red herring prospectus.

Explanation to S.32 "Red herring prospectus" means a prospectus which does not include complete particulars of the quantum or price of the securities included therein.

1. A company proposing an offer of securities may issue a red herring prospectus prior to the prospectus (S.32(1)).
2. It must be filed with the Registrar at least three days prior to the opening of the subscription list and the offer (S.32(2)).
3. It carries the same obligations as a prospectus. Any variation between the red herring and the final prospectus must be highlighted as variations (S.32(3)).
4. Upon closing of the offer the company files with the Registrar and SEBI a final prospectus stating total capital raised (debt or share capital), closing price, and any other details not in the red herring (S.32(4)).

DU 2024 checklist: "Red herring — does not include complete particulars of quantum or price; used in book-building; final price determined after market response." That sentence, plus S.32(2)'s three-day filing, is a full short note.

9. Registration and contents — Section 26

Every prospectus issued by or on behalf of a company, or by a person engaged in the formation of a public company, must be dated and signed, and must state the matters in S.26(1). DU Case Material groups them as information, reports, and a compliance statement.

Information (S.26(1)(a)) — the list you should be able to recite

- Names and addresses of registered office, CS, CFO, auditors, legal advisers, bankers, trustees, underwriters.
- Dates of opening and closing; declaration about allotment letters and refunds.
- Board statement on the separate bank account for issue receipts; utilisation of previous issues.
- Underwriting; consents of directors, auditors, bankers, experts.
- Authority for the issue and the resolution.
- Procedure and time-schedule for allotment.
- Capital structure; main objects of the offer; present business and location; project implementation schedule.
- Risk factors, gestation, progress, deadlines; litigation against promoters in last 5 years.
- Minimum subscription, premium, issue otherwise than for cash.
- Directors — appointment, remuneration, interests.
- Sources of promoters' contribution.

Reports (S.26(1)(b)) and the rest

- Auditors' reports on profits and losses and assets and liabilities.
- P&L for each of the five financial years preceding the issue (company and subsidiaries).
- Auditors' reports on the business for five years and on assets/liabilities not older than 180 days.
- Reports on the business or transaction to which proceeds will be applied.
- (c) Statement of compliance with the Companies Act, SCRA 1956 and SEBI Act 1992 — nothing in the prospectus contrary to them.
- (d) Such other matters as may be prescribed (SEBI ICDR fills this space for listed issues).

When S.26(1) does not apply — S.26(2)

Not to (a) a prospectus or form of application issued to existing members or debenture-holders (whether or not there is a right of renunciation under S.62); or (b) a prospectus or form relating to shares or debentures which are, or are to be, in all respects uniform with shares or debentures previously issued and for the time being dealt in or quoted on a recognised stock exchange. S.26(3) still requires expert consent etc. even in some of these cases — read the sub-section in the bare Act if the question is on exceptions.

Expert's statement — S.26(5)

A prospectus shall not include a statement purporting to be made by an expert unless the expert is a person who is not, and has not been, engaged or interested in the formation or promotion or management of the company, has given written consent (not withdrawn) to the issue of the prospectus with the statement in the form and context in which it is included, and a statement that he has given and has not withdrawn consent appears in the prospectus. A copy of the prospectus, signed by every director or proposed director (or his attorney), is delivered to the Registrar on or before the date of publication (S.26(4), (6)).

S.26(7) Registration. The Registrar shall not register a prospectus unless the requirements of the section as to contents and consents are complied with and the prospectus is accompanied by the consent in writing of all the persons named in the prospectus.

S.26(8) Validity window. No prospectus shall be valid if it is issued more than 90 days after the date on which a copy was delivered to the Registrar.

> **S.26(9) Penalty.** If a prospectus is issued in contravention of this section, the company shall be punishable with fine of not less than ₹50,000 but which may extend to ₹3,00,000, and every person who is knowingly a party to the issue is punishable with fine of not less than ₹50,000 but which may extend to ₹3,00,000.

S.27 Variation of terms / objects. Terms of a contract referred to in the prospectus, or objects for which the prospectus was issued, can be varied only with authority given by the company in general meeting by a special resolution. Dissenting shareholders who had not agreed to the variation must be given an exit (SEBI-prescribed exit offer). The company cannot use prospectus money for buying, trading or otherwise dealing in equity shares of any other listed company.

S.30 Advertisement of prospectus. Any advertisement of a prospectus must specify the contents of the memorandum as regards objects, the liability of members, the amount of share capital, names of signatories and shares subscribed by them, and capital structure.

10. The golden rule as to framing a prospectus

Statute tells you *what* to put in. Equity tells you *how* to put it in. Kindersley V-C in *New Brunswick and Canada Railway and Land Co v Muggeridge* (1860) 3 LT 651 laid down the rule; Page Wood V-C in *Henderson v Lacon* (1867) LR 5 Eq 249 called it a "golden legacy". DU Case Material extracts it in these words:

> Those who issue a prospectus hold out to the public great advantages which will accrue to persons who take shares. The public is at the mercy of company promoters. Everything must therefore be stated with strict and scrupulous accuracy. Nothing should be stated as fact which is not so, and

no fact should be omitted the existence of which might in any degree affect the nature or quality of the privileges and advantages which the prospectus holds out as inducement to take shares. In a word, the true nature of the company's venture should be disclosed.

Half a truth is no better than a downright falsehood — that is the bridge from the golden rule to *R v Kylsant* (below).

11. Remedies for misrepresentation — the map

DU Case Material organises the investor's armoury under four heads. Learn this flowchart; then hang every case on it.

Remedy	Against whom	What must be proved	What you get	Leading case
Deceit (fraud)	Directors, promoters, experts who issued the document	False statement + knowledge / no belief / recklessness (Lord Herschell in *Derry v Peek*) + inducement + damage	Damages for the loss directly caused. Contributory negligence is no defence to deceit	*Derry v Peek*; *Edgington v Fitzmaurice*
S.35 compensation	Director at issue; person named as director; promoter; person who authorised issue; expert under S.26(5). Joint and several	Untrue statement (false in form and context; misleading omission counts). Fraud need not be proved	Compensation for loss by reason of the untrue statement. Contribution among the guilty	*Greenwood v Leather Shod Wheel*; *Adams v Thrift* (defence fails)
Rescission	The company	False representation of fact, by or on behalf of the company, which induced the allotment. Innocent misrepresentation is enough	Name off the register; money back; S.75 Contract Act compensation. Lost by affirmation, delay, or winding-up	*Christineville Rubber*; *Shiromani Sugar Mills v Debi Prasad*
S.26 damages for non-disclosure	Directors and persons responsible	Omission of a required particular + that he acted on the faith of the prospectus (he would not have taken shares had he known)	Damages. Omission alone does not give rescission unless it is fraud/ misrepresentation under Ss.17–18 Contract Act	*Twycross v Grant*
S.34 criminal	Every person who authorises issue of a prospectus that is untrue or misleading, or whose inclusion/omission is likely to mislead	The document; the untrue/misleading character. Defence: immaterial, or reasonable grounds to believe truth up to issue	Punishment under S.447 (fraud)	*R v Kylsant*; *Progressive Aluminium*
S.36 fraudulent inducement	Any person who fraudulently induces another to invest money	Statement, promise or forecast known to be misleading, false or deceptive, or dishonest concealment	S.447	Statutory; pair with S.38 (personation)

S. 37 A suit or other action under S.34, 35 or 36 may be filed by any person, group of persons or association of persons affected by any misleading statement or the inclusion or omission of any matter in the prospectus. This is the class-action doorway for prospectus wrongs.

13. Civil liability in the statute — Section 35 (and S.36)

S. 35(1) Where a person has subscribed for securities of a company acting on any statement included, or the inclusion or omission of any matter, in the prospectus which is misleading and has received the securities, he shall have a claim against the persons named below for any loss or damage he may have sustained by reason of any such statement or omission.

Who is liable (joint and several):

1. every director at the time of issue of the prospectus;
2. every person who has authorised himself to be named and is named in the prospectus as a director, or has agreed to become a director;
3. every promoter of the company;
4. every person who has authorised the issue of the prospectus; and
5. every expert referred to in S.26(5) — but only in respect of an untrue statement purporting to be made by him as expert.

S.35(3): they may recover contribution from anyone else who would have been liable, according to their fault, unless the person claiming contribution was, and the other was not, guilty of fraudulent misrepresentation.

Defences — S.35(2) (learn these; they are a favourite)

Defence	What the defendant must show
Withdrawal of consent	He withdrew consent to become a director before issue, and the prospectus was issued without his authority or consent.
Issue without knowledge	The prospectus was issued without his knowledge or consent, and on becoming aware he gave reasonable public notice that it was issued without his knowledge or consent.
Expert's slice	As to a statement purporting to be made by an official person or extract of a public official document, it was a correct and fair representation; as to an expert's statement, he had reasonable ground to believe and did believe the expert competent, and the statement a correct and fair copy, and the expert had consented and not withdrawn.

DU Case Material notes that the older 1956 defences of "ignorance of the untrue statement" and "reasonable ground for belief up to allotment" are not reproduced in the same words in S.35(2), but operate as a matter of common law / the structure of the section. In an exam, state S.35(2) accurately and then add: mere honesty (*Derry v Peek*) is not enough; the belief must rest on reasonable grounds (*Adams v Thrift*).

S.35(3) proviso / S.35 where fraud is made out. If it is proved that the prospectus was issued with intent to defraud, or for any fraudulent purpose, every person listed above is personally responsible, without any limitation of liability, for all or any of the losses. They also face S.447.

S.36 Punishment for fraudulently inducing persons to invest money. Any person who, either by knowingly or recklessly making any statement, promise or forecast which is false, deceptive or misleading, or by any dishonest concealment of material facts, induces or attempts to induce another to enter into (or offer to enter into) an agreement for acquiring, disposing of, subscribing for or underwriting securities, or any agreement the purpose of which is to secure a profit from the yield of securities or by reference to fluctuations in their value, shall be liable under S.447.

14. Criminal liability — Section 34, read with S.447

S. 34 Where a prospectus, issued, circulated or distributed, includes any statement which is untrue or misleading in form or context in which it is included or where any inclusion or omission of any matter is likely to mislead, every person who authorises the issue of such prospectus shall be liable under section 447.

Proviso (the only statutory defence): nothing in the section shall apply to a person if he proves that such statement or omission was immaterial, or that he had reasonable grounds to believe, and did up to the time of issue of the prospectus believe, that the statement was true or the inclusion or omission was necessary.

S.447 Punishment for fraud. Imprisonment not less than 6 months, which may extend to 10 years, *and* fine not less than the amount involved in the fraud, which may extend to three times that amount. If the fraud involves public interest, imprisonment shall not be less than 3 years. "Fraud" includes

any act, omission, concealment of fact or abuse of position, with intent to deceive, to gain undue advantage, or to injure the company, shareholders, creditors or any other person, whether or not there is wrongful gain or wrongful loss.

Prosecution power under S.34 has been delegated to SEBI (DU Case Material). Limitation: a complaint after seven years was held time-barred under S.468 CrPC in *Ramakrishna Raja v ROC* (2005) 123 Comp Cas 319 (Mad). The offence has been treated as compoundable in some CLB decisions under the old S.621–A.

S.24 Vesting of powers in SEBI. Chapter III (Ss.23–42), Chapter IV (Ss.43–72) and S.127, insofar as they relate to issue and transfer of securities and non-payment of dividend, are administered by SEBI for listed companies and companies intending to list. The rest (including some prospectus machinery vis-à-vis unlisted companies) remains with the Central Government / ROC.

Part B — Share capital (equity finance)

15. Share — Section 2(84) and the nature of a share

S. 2(84) "Share" means a share in the share capital of a company and includes stock.
That definition is deliberately thin. The law of the share is in the cases. DU Case Material (Ch.7, "Nature of share") and the DU corporate-personality material converge on the following.

What a share is

- A share is a *chose in action* — a bundle of rights against the company, evidenced by a share certificate. The certificate is not the property; the interest is.
- In India a share is also "goods" (Sale of Goods Act; *Maneckji Pestonji Bharucha*; *LIC v Escorts* (1986) 1 SCC 264). Property in specific goods passes when the contract is made (S.20 SGA), so a purchaser becomes owner of the shares when he contracts to buy them, even before registration — subject to the company's right to refuse registration on genuine grounds.
- Farwell J in *Borland's Trustee v Steel Bros* [1901] 1 Ch 279, 288, adopted by the Supreme Court in *Charanjit Lal Chowdhury v Union of India* AIR 1951 SC 41: "A share is the interest of a shareholder in the company measured by a sum of money, for the purpose of liability in the first place, and of interest in the second, but also consisting of a series of mutual covenants entered into by all the shareholders inter se."
- "A share is not a sum of money but an interest measured by a sum of money and made up of various rights contained in the contract." (*CIT v Standard Vacuum Oil Co* AIR 1966 SC 1393).

What a share is not

- It does not make the holder a part-owner of the company's assets. The undertaking is vested in the company, a distinct person (*Salomon*; *Bacha F Guzdar v CIT* AIR 1955 SC 74 — a shareholder of a tea company is not the owner of the tea-estate; dividend is not agricultural income).
- "Shareholders are not, in the eyes of law, part owners of the undertaking. The undertaking is something different from the totality of the shareholdings." (*Short v Treasury Commissioners* [1948] 1 KB 116, 122).
- A share is not a negotiable instrument. A bona fide purchaser from a thief of a certificate with a blank transfer does not get a good title (*Hazarimull Sohanlal*).

Rights that make up the bundle (*LIC v Escorts*, listing them): (i) to elect directors and so participate in management through them; (ii) to vote on resolutions; (iii) to enjoy profits as dividend; (iv) to apply against oppression; (v) to apply against mismanagement; (vi) to apply for winding up; (vii) to share in surplus on winding up.

16. Nature of shares or debentures — Section 44

S. 44 The shares or debentures or other interest of any member in a company shall be movable property, transferable in the manner provided by the articles of the company.
This is the hinge of Topic 4(b). Note three things:

1. **Both instruments wear the same legal clothing** — movable property. That is why they can be pledged, sold, transmitted, and why the transfer code (Ss.56, 58, 59) applies to both.
2. **Transfer is not free-form.** It is "in the manner provided by the articles". In a private company the articles must restrict transfer (S.2(68)). In a public company shares are freely transferable (S.58(2)), subject to the statute.
3. **"Other interest of any member"** covers stock, and after the 1999 amendment of old S.82, the sentence expressly names debentures. S.44 of 2013 is to the same effect.

Capital vocabulary (write this box in any S.43 answer). Authorised / nominal capital — S.2(8), the memorandum ceiling. Issued capital — the part offered. Subscribed capital — the part taken up. Called-up capital — S.2(15). Paid-up capital — S.2(64). Reserve capital — uncalled capital which, by special resolution, shall not be called except in winding-up; it cannot be charged (DU Case Material, citing *Mayfair Property*).

17. Kinds of share capital — Section 43

S. 43 The share capital of a company limited by shares shall be of two kinds, namely:— (a) equity share capital— (i) with voting rights; or (ii) with differential rights as to dividend, voting or otherwise in accordance with such rules and subject to such conditions as may be prescribed; and (b) preference share capital.
Private companies are exempt (they may have other kinds). "Equity share capital" means all share capital which is not preference share capital. "Preference share capital" is defined in the Explanations to S.43: it is that part of the issued share capital of the company which carries or would carry a preferential right with respect to—

1. **payment of dividend**, either as a fixed amount or at a fixed rate, and
2. **repayment**, in the case of a winding up or repayment of capital, of the amount of the share capital paid-up or deemed to have been paid-up,

in both cases, before the equity capital is paid. Unless the terms of issue so provide, preference capital does not carry a right to participate in surplus dividend or surplus capital. Hybrid securities and derivatives are defined elsewhere (S.2(33) derivative; "hybrid" in the 2000 amendment language) but S.43 itself still knows only two kinds.

TCS v Cyrus Mistry (2021) 9 SCC 449 — DU case-material on S.43. The Supreme Court, in the oppression appeal, treated the distinction between equity and preference as a matter of the rights attached by the articles and S.43/S.47, not of commercial labels. Equity is residual ownership with residual voting; preference is a prior but limited claim. Attempts to smuggle vetoes and special rights through shareholders' agreements that contradict the articles and the statute fail. Use TCS for: (i) equity v preference; (ii) voting architecture; (iii) the idea that "kind" of capital is a statutory, not a contractual, category.

18. Preference shares in detail

Cumulative and non-cumulative

If arrears of dividend for a barren year are carried forward and paid out of later profits, the shares are cumulative. If unpaid dividend lapses, they are non-cumulative. In the absence of a clear provision to the contrary, preference shares are *presumed cumulative*.

Foster v Coles, Foster & Sons Ltd

(1906) 22 TLR 555
Facts. Memorandum and articles originally gave a "cumulative preferential dividend". On reconstruction, clause 95 was altered by striking out the word "cumulative", so as to read that net profits available for dividend "shall be applied first in payment to holders of preference shares of a preference dividend."

Issue. Did dropping the word "cumulative" convert the shares into non-cumulative shares?

Decision / principle. No. Preference shares are presumed cumulative unless the articles clearly say otherwise. Mere deletion of the word is not a clear provision that unpaid dividend shall lapse.

Staples v Eastman Photographic Materials Co

(1896) 2 Ch 303 (CA)

Facts. Articles: "The holders of preference shares shall be entitled out of the net profits of each year to a preference dividend at the rate of 10 per cent per annum."

Decision / principle. The words "of each year" were a clear provision that only that year's profits were to be looked at. Shares were non-cumulative. This is the case you cite when the presumption is rebutted.

Preference shareholders cannot compel directors to declare a dividend, whatever the arrears (*Bond v Barrow Haematite Steel* [1902] 1 Ch 353).

Participating preference shares

After the fixed preference dividend (and usually a specified equity dividend) has been paid, there may be surplus profits. If preference shareholders also take a share of that surplus, the shares are participating. The same question arises on surplus assets in winding-up. Participation is not presumed; it must be conferred by the terms of issue or the articles (*Scottish Insurance Corpn v Wilsons & Clyde Coal* [1949] AC 462 (HL) — preference as a limited prior claim, not a residual one).

Redeemable preference shares — S.55

A company limited by shares may, if authorised by articles, issue preference shares which are liable to be redeemed. No irredeemable preference shares may be issued (S.55(1)). Redemption only out of profits available for dividend or out of the proceeds of a fresh issue; shares must be fully paid; premium on redemption out of profits or securities-premium account; a sum equal to nominal value (except where redeemed out of a fresh issue) must be transferred to the Capital Redemption Reserve Account, which is treated as share capital. If a company cannot redeem or pay dividend, it may issue further redeemable preference shares with the consent of the holders and the Tribunal's approval (S.55(3)) — that is not a fresh issue for other purposes of the Act. A preference shareholder whose shares are not redeemed on time is still a member, not a creditor; he cannot present a creditor's winding-up petition (*Lalchand Surana v Hyderabad Vanaspati* (1990) 69 Comp Cas 415 (AP)).

Voting of preference shareholders — S.47(2)

Ordinarily a preference shareholder votes only on resolutions which directly affect the rights attached to preference shares (and on winding-up / capital-repayment resolutions). But if dividend has remained unpaid for two years or more, he may vote on every resolution — a statutory protection against being silenced while starved of dividend. Equity shares with voting rights vote on every resolution (S.47(1)); differential-voting equity is a regulated exception under the Rules.

19. Ordinary / equity shares compared with preference shares

DU Case Material's three-point comparison (Ch.9) is the model answer:

	Equity (ordinary) shares	Preference shares
Return	Residual dividend, only if declared, after preference. Rate can be high.	Fixed rate, prior claim. More like a debenture than like a share (DU Case Material). Cannot compel declaration.
Capital	Paid last in winding-up. Cannot be paid back while the company is a going concern except by reduction (S.66) or buy-back (S.68).	Prior repayment of paid-up capital. Redeemable preference can be paid back under S.55 without a reduction petition.
Voting / control	Votes on all matters (S.47(1)). Ultimate political control of the company.	Votes only on matters affecting the class, unless dividend is in arrears (S.47(2)).
Risk	Highest. Residual owners.	Lower. Prior but limited. "A profitable and safe source of investment" (DU Case Material) — with the caveat that they are still members, not creditors.
Participation in surplus	Yes, unless articles otherwise.	Only if the terms make them participating.

Part C — Debentures (debt finance)

20. Definition — Section 2(30)

S. 2(30) "Debenture" includes debenture stock, bonds or any other instrument of a company evidencing a debt, whether constituting a charge on the assets of the company or not.

The statutory definition is inclusive and deliberately wide. Chitty J in *Levy v Abercorris Slate & Slab Co* (1887) 37 Ch D 260, 264: "Debenture means a document which either creates a debt or acknowledges it, and any document which fulfils either of these conditions is a debenture." Topham: a document given by a company as evidence of a debt to the holder, usually arising out of a loan and most commonly secured by a charge. There is no precise legal meaning; one looks at the substance of the instrument (DU Case Material).

Laxman Bharamji v Emperor

ILR 1945 Bom 863: AIR 1946 Bom 18

Facts. A private company's main business was to sell "Patron Bonds" and invest the proceeds. Each bond bore a serial number, acknowledged a debt, formed one of a series, bore the company's seal, and provided for interest by "lucky numbers".

Issue. Were Patron Bonds "debentures"?

Decision / principle. Yes. The conclusive features were the acknowledgement of debt, the promise to return it, and the fact that they formed a series bearing consecutive numbers. Label ("Patron Bond") is irrelevant. This is the Indian illustration of Chitty J's test.

Usual features (none is essential)

1. A certificate under the company's seal (seal is not necessary — *British India Steam Navigation v IRC* (1881) 7 QBD 165).
2. An acknowledgement of indebtedness — "the root meaning of the word is indebtedness" (Pollock MR in *Lemon v Austin Friars* [1926] Ch 1).
3. Payment of a specified principal at a specified date — not essential; perpetual debentures were valid under old S.120. The tenor of S.71 now points towards redeemable issues.
4. One of a series — yet a single debenture to one man is valid.
5. A charge on the undertaking or a class of assets — again not essential; an unsecured ("naked") debenture is a debenture (S.2(30) says "whether constituting a charge … or not").

21. Statutory code — Section 71

The 2013 Act puts almost the whole of debenture law into one section. Recite it in this order:

Sub-section	Rule
71(1)	A company may issue debentures with an option to convert them wholly or partly into shares at the time of redemption. Such issue requires a special resolution.

Sub-section	Rule
71(2)	**No company shall issue any debentures carrying voting rights.** This is the political difference between a shareholder and a debenture-holder.
71(3)	Secured debentures may be issued subject to prescribed terms and conditions.
71(4)	The company shall create a Debenture Redemption Reserve out of profits available for dividend. DRR money shall not be utilised except for redemption.
71(5)–(6)	If the public is invited, or members of the public / company's members exceeding 500 are invited, one or more debenture trustees must be appointed. The trustee shall protect holders and redress grievances.
71(7)	A clause in the trust deed exempting the trustee from liability for breach of trust, or indemnifying him against failure to show due care and diligence, is void — subject to exemptions agreed by a majority in value of not less than three-fourths of the debenture-holders.
71(8)	Interest and redemption according to the terms of issue.
71(9)	If the trustee concludes that assets are or are likely to be insufficient to discharge principal, he may petition the Tribunal, which may restrain the company from incurring further liabilities.
71(10)	On failure to redeem or to pay interest, any holder or trustee may apply to the Tribunal for an order to redeem forthwith with due principal and interest.
71(11)	Default in carrying out the Tribunal's order: criminal penalty (imprisonment and fine) on officers.
71(12)	A contract with the company to take up and pay for debentures may be specifically enforced. (Ordinary share applications are not specifically enforceable in the same way.)
71(13)	Central Government may prescribe procedure, form of trust deed, inspection, quantum of DRR.

22. Floating charge — the security that makes a debenture powerful

A company may charge a specific asset (fixed charge) or its circulating undertaking (floating charge). Lord Macnaghten in *Governments Stock v Manila Railway* [1897] AC 81 (DU Case Material ·): a floating charge is ambulatory and shifting, hovering over the property until some event causes it to settle. Classic marks (from *Re Yorkshire Woolcombers / Illingworth v Houldsworth*):

1. It is a charge on a class of assets, present and future;
2. that class is one which, in the ordinary course of business, would be changing from time to time;
3. the company is free to carry on business and to deal with the assets in the ordinary way until some step is taken by or on behalf of the chargee.

Crystallisation converts the floating charge into a fixed charge — typically on winding-up, on appointment of a receiver, on cessation of business, or on the happening of an event specified in the deed. After crystallisation the company cannot deal with the charged assets.

A floating charge created within 12 months (in some cases 2 years for related persons) of winding-up may be invalid except as to cash paid at the time, unless the company was solvent immediately after the charge (see S.332 / IBC preferences — flag this, do not over-write; Topic 4 only needs the concept).

23. Kinds of debenture

Kind	Meaning	2013 position
Redeemable	Repaid at the end of the term; property released. Redeemed debentures may be re-issued unless articles / conditions / a resolution show an intention to cancel; the re-issuee has the same priorities as if never redeemed.	Default position of S.71.
Convertible (FCD / PCD)	Option to convert wholly or partly into shares at redemption.	S.71(1) — special resolution. SEBI ICDR for listed issues.
Perpetual / irredeemable	No date, or redeemable only on a remote contingency. Old S.120 saved them from the clogs-on-equity rule (*Knightsbridge Estates v Byrne* [1940] AC 613).	DU Case Material: no corresponding 2013 provision; tenor of S.71 is that this category is not contemplated.
Registered	Holder's name on the certificate and in the register (S.88). Transfer like shares (S.56); transferee takes subject to equities.	The ordinary form.
Bearer	Payable to bearer; transferable by delivery; presumed holder in due course (*Calcutta Safe Deposit v Ranjit Mathuradas Sampat* (1971) 41 Comp Cas 1063 (Cal)).	DU Case Material: bearer securities appear to have been ruled out under the 2013 Act (no corresponding provision; S.29 public offer in demat form).
Secured / naked	With or without a charge. Naked debentures are still debentures (S.2(30)).	Secured issues: S.71(3) + charge registration Ss.77–87.
Specific / floating	Charge on identified property, or on the undertaking as a going concern.	See floating charge above.

Part D — Share compared with debenture

, quoted by DU Case Material: "The company's securities fall into two classes which legal theory tries to keep rigidly separated but which in economic reality merge into each other." Redeemable preference shares sit on the merger line. Write the resemblance first, then the differences — that is how DU Case Material structures the comparison, and that is how a distinction question is marked.

Resemblances

- Both are investments in the company.
- Both yield a return (dividend / interest).
- Both are movable property, transferable as the articles provide (S.44).
- Both (if listed) trade on the same capital market and are offered through the same prospectus code.
- Perpetual debentures, like shares, were not generally paid back.
- Where the debenture carries a charge, the holder's fate, like the shareholder's, is tied to the company's assets.
- Transfer, refusal, rectification, certificates — Ss.56, 58, 59 apply to both.

Differences (the marks)

- **Status:** shareholder is a member; debenture-holder is a creditor.
- **Vote:** S.47 v S.71(2) (no voting debentures).
- **Return:** dividend only out of profits, discretionary; interest is a debt, payable whether or not there are profits.
- **Repayment:** share capital is permanent (reduction / buy-back / redemption of preference apart); debentures are typically repayable.
- **Winding-up:** secured debenture-holders are paid in priority; shareholders take the surplus last.
- **Control:** members control the company; debenture-holders interfere only when they enforce security (receiver / S.71(9)–(10)).
- **Specific performance:** S.71(12) for a contract to take debentures; share applications are offers, accepted by allotment.

	Share	Debenture
Holder is	Member / owner of a bundle of rights against the company	Creditor
Instrument	S.2(84)	S.2(30)
Nature	Movable property, transferable as articles provide — S.44	
Return	Dividend, out of profits, if declared	Interest, a debt, profit or no profit
Voting	Yes, S.47 (preference restricted)	Prohibited, S.71(2)
Security	None (residual claim on net assets)	Often a fixed or floating charge
Priority on winding-up	Last, after all creditors	Secured: first; unsecured: with other unsecured creditors, before members
Invite the public by	Prospectus S.2(70) — same code, same liabilities	
Register	Register of members S.88	Register of debenture-holders S.88

Prescribed & Landmark Case Law Dossiers — Detailed Analysis

CASES #30 - #38

Cross-Module Syllabus Authorities: For *Erlanger v. New Sombrero Phosphate Co.* see **Module 02 (Case #14)**; for *Salomon v. Salomon & Co.* see **Module 01 (Case #01)**; for *Re Introductions Ltd.* see **Module 03 (Case #24)**; and for *In re German Date Coffee Co.* see **Module 08 (Case #56)**.

CASE #30 — CAPITAL MARKET & PROSPECTUS AUTHORITY

Derry v Peek

(1889) 14 App Cas 337 (HL) · DU Case Material · the case that created S.35

Facts. The prospectus stated as an absolute right what was in law a conditional right. The statement was untrue. The directors had not been dishonest; they believed the consent would follow as of course.

Issues. Is an honest but unreasonable belief a defence to an action of deceit? What is "fraud" for the tort?

Arguments. *Peek:* the statement was false; directors had no reasonable ground; the public was misled; that is deceit. *Directors:* they believed the statement; fraud requires a dishonest mind, not mere want of care.

Decision. House of Lords (Lord Herschell): fraud is proved only when a false representation is made (a) knowingly, or (b) without belief in its truth, or (c) recklessly, careless whether it be true or false. Honest belief, even if unreasonable, is not deceit. Directors not liable.

Principle evolved. Deceit is a tort of dishonesty, not of negligence. The decision caused "widespread resentment" (DU Case Material). Within a year Parliament passed the Directors' Liability Act 1890, now S.35 of the 2013 Act, which makes directors compensate for untrue statements unless they had *reasonable ground* to believe, and did believe, the statement to be true. *Derry v Peek* is therefore the reason S.35 exists. Always write that sentence.

CASE #31 — CAPITAL MARKET & PROSPECTUS AUTHORITY

Edgington v Fitzmaurice

(1885) 29 Ch D 459 (CA) · DU Case Material

Facts. A classic misrepresentation of the *purpose* of an issue. The plaintiff had a second, unfounded, reason of his own (that the debentures were secured).

Issues. (i) Is a misstatement of the directors' intention a misstatement of fact? (ii) Must the misstatement be the sole cause of the investment?

Arguments. *Directors:* a statement of possible purposes is not a statement of existing fact; and the plaintiff would not have subscribed but for his own error about security. *Plaintiff:* the state of a man's mind is a fact; a lender reasonably wants to know whether money is for expansion or to pay old debts; it is enough that the misstatement played a part.

Decision. Directors liable. Bowen LJ: "the state of a man's mind is as much a fact as the state of his digestion." Cotton LJ: it is not necessary to show the misstatement was the sole cause; if he acted on it, though also influenced by an erroneous supposition, the defendants are still liable. The 2022 DU extract (Lord Hoffmann in a later deceit case) treats this as the rule that the law ignores other reasons once fraudulent representation is relied on.

Principle evolved. (1) Intention / purpose of an issue is a material fact. (2) Inducement need not be sole inducement. (3) A man who lends money reasonably wishes to know it is not wanted to pay liabilities already incurred. Use this case whenever the question is "mis-statement of objects of the issue".

CASE #32 — CAPITAL MARKET & PROSPECTUS AUTHORITY

Peek v Gurney

(1873) LR 6 HL 377 · DU Case Material · the "office of a prospectus" case

Facts. A deceitful prospectus was issued. The plaintiff received a copy but did not take shares from the company. Allotment was completed. Several months later he bought 2,000 shares on the stock exchange. He sued the directors in deceit.

Issues. Does a prospectus speak to the after-market? Are directors liable *ad infinitum* to every subsequent purchaser?

Arguments. *Plaintiff:* I read the prospectus and bought; the deceit caused my loss. *Directors:* the office of a prospectus is to invite persons to become allottees; that office is exhausted when allotment is complete.

Decision. House of Lords rejected the claim. "The office of a prospectus is to invite persons to become allottees, and, the allotment having been completed, such office is exhausted and the liability to allottees does not follow the shares into the hands of subsequent transferees."

Principle evolved. Direct allottees have the remedy; secondary-market buyers do not — *unless* the prospectus was so placed as to induce market purchases. That exception is *Andrews v Mockford*.

CASE #33 — CAPITAL MARKET & PROSPECTUS AUTHORITY

Andrews v Mockford

(1896) 1 QB 372 (CA) · DU Case Material · exception to Peek v Gurney

Decision / principle. Where the object of the prospectus is not merely to induce applications for allotment but also to induce persons to purchase in the market, its function is not exhausted at allotment. The false telegram "was brought into play to reflect back upon and countenance the false statements in the prospectus." Directors cannot hide behind *Peek v Gurney* when they have aimed the prospectus at the after-market.

Ankur R. Upadhyay

CASE #34 CAPITAL MARKET & PROSPECTUS AUTHORITY

R v Kylsant (Re Royal Mail Steam Packet)

(1932) 1 KB 442 (CCA) · DU Case Material — when a true table is a false prospectus

Facts. Every figure in the dividend table was correct. The truth that made the table misleading was left out.

Issues. Can a prospectus composed of true statements be "untrue or misleading in form or context"? Is omission enough for criminal liability?

Arguments. *Defence:* nothing stated was false; dividends were in fact paid in those years. *Prosecution:* the document as a whole painted a picture of current prosperity that did not exist; half-truth is a lie.

Decision. Court of Criminal Appeal upheld the conviction. A statement is deemed untrue if it is false in the form and context in which it is included. Omissions calculated to mislead render the prospectus false.

Principle evolved. This is now the language of S.34 and S.35: "untrue or misleading in form or context"; "inclusion or omission of any matter is likely to mislead." Always pair *Kylsant* with the golden rule. Exam gold.

CASE #35 CAPITAL MARKET & PROSPECTUS AUTHORITY

Nash v Lynde

South of England Natural Gas and Petroleum Co · [1929] AC 158 (HL) · [1911] 1 Ch 573 — what is an "issue to the public"?

Nash v Lynde — facts. A company's prospectus was given to the company's solicitor; he forwarded it to one client. Held: not an issue to the public. "Issue" is not satisfied by a single private communication. There must be some measure of publicity, however modest. Consequently the statutory liability for omissions was not attracted.

South of England Natural Gas — facts. 3,000 copies of a prospectus were distributed among members of certain gas companies only. Held: still an offer of shares to the public. "Public" includes any section of the public, whether selected as members or debenture-holders or as clients of the person issuing the prospectus.

Principle. The two cases mark the two sides of S.2(70). Selection of the addressees does not stop a document being a prospectus if the class is a section of the public; a purely private, one-to-one communication is not an issue.

CASE #36 CAPITAL MARKET & PROSPECTUS AUTHORITY

Adams v Thrift

Greenwood v Leather Shod Wheel Co · [1915] 2 Ch 21 (CA) · [1900] 1 Ch 421 (CA) — S.35 in action

Adams v Thrift — facts. A director was sued for false statements in a prospectus. He had asked a promoter "Is everything perfectly all right?" and been told "Of course it is." He honestly believed the prospectus. Held: honesty is not enough under the Directors' Liability Act (now S.35). He had no *reasonable ground*. "The promoter is the very last person whose uncorroborated statement ought to be relied upon by an intending director." (Lord Cozens-Hardy MR). Contrast *Derry v Peek*, where honest belief saved the directors in deceit; it does not save them under S.35.

Greenwood — facts. Prospectus of a wheel company: "Orders have already been received from the House of Commons… Wheels for the trolleys in the House of Commons have been ordered and are now in use." In fact the only "orders" were for trial and experiment. Held: untrue statement. Compensation followed without proof of fraud.

Principle. S.35 is strict: untruth + loss is enough, unless a statutory defence is made out. Reasonable ground is an objective standard; taking the promoter's word is not reasonable.

CASE #37 CAPITAL MARKET & PROSPECTUS AUTHORITY

Christineville Rubber Estates Ltd, Re

Shiromani Sugar Mills Ltd v Debi Prasad · (1911) 81 LJ Ch 63 · AIR 1950 All 508 — loss of the right to rescind

Christineville — facts. An allottee became fully aware of misrepresentation by the end of July. He moved to have his name removed only in December. Held: unexplained delay of five months precluded relief. "Any man who claims to retire from a company on the ground that he was induced to become a member by misrepresentation is bound to come at the earliest possible moment after he becomes aware of the misrepresentation."

Shiromani Sugar Mills (Desai J, Allahabad — DU Case Material ·). Affirmation (selling shares, attending meetings, taking dividends, paying calls) loses rescission. Commencement of winding-up also loses it, because the register is the creditors' security — they have lent on the faith of the names. But if the shareholder has already started active proceedings to be relieved of his shares, a winding-up order during their pendency will not stop the relief.

Principle. Rescission is an option, not a perpetual right. It dies by affirmation, laches, or winding-up (subject to the pending-proceedings exception).

CASE #38 CAPITAL MARKET & PROSPECTUS AUTHORITY

Laxman Bharamji v Emperor

ILR 1945 Bom 863: AIR 1946 Bom 18

Facts. A private company's main business was to sell "Patron Bonds" and invest the proceeds. Each bond bore a serial number, acknowledged a debt, formed one of a series, bore the company's seal, and provided for interest by "lucky numbers".

Issue. Were Patron Bonds "debentures"?

Decision / principle. Yes. The conclusive features were the acknowledgement of debt, the promise to return it, and the fact that they formed a series bearing consecutive numbers. Label ("Patron Bond") is irrelevant. This is the Indian illustration of Chitty J's test.

PYQ ARCHIVE // CH.04 Previous Year Questions (DU LL.B. Examinations)

Q.1 DU Dec 2024, Q.8B · 6-8 marks Write a short note on types of prospectus under the Companies Act, 2013.

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 Nov-Dec 2018 pattern · 12-15 marks Explain the remedies available to a person who has been induced to subscribe for shares by mis-statements in a prospectus.

Q.3 2018 pattern · 12 marks Define preference share capital. Explain the kinds of preference shares a company may issue under the Companies Act, 2013.

Q.4 2018 pattern · 12 marks What is a debenture? What kinds of debentures may a company issue?

Q.5 standard 8-12 marks Distinguish between a share and a debenture.

Q.6 `problem, 10-12 marks` Problem · The directors of Tramway Ltd issue a prospectus stating "the company has the right to use steam power". The special Act makes steam subject to the State Transport Authority's consent, which is later refused. A takes shares; B buys the same shares from A on the stock exchange six months after allotment, having read the prospectus. Advise A and B.

Q.7 `8 marks` Problem · A shelf prospectus is filed in January. In August the company creates a large floating charge and its credit rating is cut. In September it makes a second offer without filing anything new. X applied in July with advance money. Advise.

Q.8 `6-8 marks` Problem · Preference dividend is unpaid for three years. The company calls a general meeting to appoint directors. Can P, a preference shareholder, vote? Can P petition as a creditor because redemption is overdue?

PART II // MODULES 05 TO 07 · CASES #39 TO #55

CORPORATE GOVERNANCE, BOARD OF DIRECTORS, MEETINGS & MINORITY REMEDIES

MODULE 05 // Topic 5 · Unit V — Cases #39 - #43

Corporate Management & Governance: Board of Directors

Companies Act, 2013: Ss. 2(10), 2(34), 2(47), 149-172 (Appointment, DIN, Independent Directors, S. 166 Duties & Liabilities)

Corporate Governance — The Concept

A company is "an artificial being, invisible, intangible, and existing only in contemplation of law… it must act through living persons" — the **directors**. **Corporate governance** is the system of rules, practices and processes by which those human agents are directed, supervised and held accountable so that the corporation is run for its proper purpose and not for the private benefit of its controllers.

Classic definition (Cadbury Committee, UK, 1992): "Corporate governance is the **system by which companies are directed and controlled**." It concerns the structure of the Board, the flow of honest information, and the balance of power between shareholders, the board and the professional managers.

1.1 Why does the topic begin here?

All shareholders cannot take part in management. Ownership (shareholders) is therefore separated from control (directors) — the celebrated **separation of ownership and control**. This separation creates the **agency problem**: directors (agents) may advance their own interest against that of the company (principal). Corporate governance is the set of safeguards erected against that abuse, and this whole Topic 5 — appointment rules, DIN, independent directors, duties, liabilities, the five cases and the Satyam case study — is simply the Indian legal architecture of those safeguards.

1.2 The Four Pillars of Good Corporate Governance

(1) Accountability
Directors must answer for every exercise/designation of power — to shareholders, auditors, regulators and ultimately the courts (fiduciary duties, S.166; misfeasance proceedings).

(2) Transparency
True and timely disclosure — audited accounts, Board's report, Directors' Responsibility Statement (S.134(5)) and fraud reporting by auditors (S.143(12)).

(3) Independence
An independent element on the board (independent directors, S.2(47)/149; audit committee, S.177) capable of questioning dominant executives and promoters.

(4) Fairness / Responsibility
Balancing the interests of members, employees, the community and the environment — expressly embedded in S.166(2) of the Companies Act, 2013.

1.3 Evolution of Corporate Governance — India

Stage	Instrument	Contribution (exam-relevant)
1992	Cadbury Report (UK)	First modern governance code; separation of Chairman & CEO; non-executive/independent directors — the intellectual seed of Clause 49 and the 2013 Act reforms.
1999–2000	Kumara Mangalam Birla Committee → **Clause 49**, SEBI Listing Agreement	Mandatory independent directors, audit committees and a "Report on Corporate Governance" for listed companies.
2009	**Satyam Scandal**	India's "Enron moment" — exposed the hollow independence of boards and auditors; directly catalysed the 2013 Act reforms (see §9).
2013	**Companies Act, 2013**	Codified directors' duties (S.166); mandatory independent directors for listed companies (S.149(4)); woman director (S.149(1)); small shareholders' director (S.151); DIN regime (Ss.152–160); vigil mechanism (S.177(9)-(10)); audit rotation (S.139(2)); fraud as a serious offence (S.447).
2015	SEBI (LODR) Regulations, 2015	Replaced Clause 49; tighter board composition, related-party controls, and disclosure for listed entities.
2017	Kotak Committee	Sharpened independence tests and board evaluation — the continuing post-Satyam refinement.

1.4 Governance and the Board — how the pieces fit

Exam anchor: The Supreme Court has described the failure of directors to exercise due care and diligence — allowing fabrication of figures and false disclosure — as a **"failure of corporate governance"** itself (*N. Narayanan v. SEBI* (2013) 12 SCC 152). Thus governance is not ornamental; breach of it grounds liability under S.166(3).

The Director — Concept & Legal Position

2.1 Who is a Director? — Definition

S. 2(34), Companies Act, 2013
"'Director' means a director appointed to the Board of a company." — The Act does not precisely define the office; what matters is the **nature of the position occupied and the duties performed**. A person who performs the functions of a director is a director in the eyes of the law even if called by another name (de facto director); and minutes books and statutory returns are important evidence of the fact. Section 2(10): **"'Board of Directors' or 'Board', in relation to a company, means the collective body of the directors of the company."**

A company, being a legal abstraction, must act through human agency: *"A living person has a mind which can have knowledge or intention and hands to carry out his intention. A corporation has none of these; it must act through living persons"* (Lord Reid in *Tesco Supermarkets Ltd. v. Nattrass*). Hence the necessity of directors — the "directing mind and will" of the company.

2.2 The Three Faces of a Director (most-asked 5-marker)

Capacity	True?	Authority / Explanation
Agent of the company	+ True (to an extent)	*Ferguson v. Wilson* (1866) LR 2 Ch App 77 — "The company has no person; it can act only through directors and the case is, as regards those directors, merely the ordinary case of principal and agent." When directors contract in the company's name, the **company** is bound, not the directors. But they are agents of the **company**, not of individual shareholders (*Allen v. Hyatt*).
Trustee of corporate assets	+ True (in the fiduciary sense)	*Re Lands Allotment Co.* (1894): "Although directors are not properly speaking trustees, yet they have always been considered and treated as trustees of money which comes to their hands or is under their control…" They are trustees of **powers in trust** (powers of calls, forfeiture, issue of capital, refusing transfers) — i.e., **constructive trustees**, not trustees of fixed property with legal title.
Fiduciary of the company	+ Completely true	The master-category: trusteeship of assets + agency of transactions + loyalty of dealings = the fiduciary relation codified in S.166(2), (4) & (5). Owed to the **company as a whole** — not to individual shareholders (Percival v. Wright, Case 19), and ordinarily not to creditors directly.
Servant / employee	x Not per se	A director as such is not an employee; but an MD/WTD under a service contract occupies a **dual capacity** (Lee v. Lee's Air Farming Ltd). IDC v. Cooley (Case 23) turned on exactly this duality.
Owner / principal	x Not true	Share capital belongs to the company (Salomon principle).

> *Lord Selborne L.C., Great Eastern Ry. Co. v. Turner (1872) — "The directors are the mere trustees or agents of the company — trustees of the company's money and property — agents in the transactions which they enter into on behalf of the company." (Quoted in the DU material, Percival v. Wright, p.138.)*

2.3 Kinds of Directors (Companies Act, 2013)

Independent Director — S.2(47), 149(4)-(12)
Non-executive, integrity-based outsider; mandatory 1/3rd in listed companies. The centrepiece of §6.

Managing Director — S.2(54)
Entrusted with **substantial powers of management** (by articles/agreement/resolution); dual capacity of director + employee; exercises delegated powers subject to Board superintendence.

Whole-time Director — S.2(94)
A director in the whole-time employment of the company; dual capacity like the MD.

Woman Director — S.149(1) proviso
Short-note favourite. Every listed company & public companies with paid-up capital ≥ ₹100 crore or turnover ≥ ₹300 crore must have at least **one woman director** (need not be independent).

Resident Director — S.149(3)
Every company must have at least one director who has stayed in India ≥ **182 days in the previous calendar year** — so that one key person is amenable to Indian jurisdiction.

Additional / Alternate / Nominee Director — S.161
Additional by Board (till next AGM); alternate, in place of a director absent from India 3+ months (if articles/resolution authorise); nominee, appointed by institutions/Government/others (S.161(3)).

Small Shareholders' Director — S.151
For prescribed listed companies (paid-up ≥ ₹5 crore with ≥ 1,000 "small shareholders" holding ≤ ₹20,000 nominal value each) — minority representation on the Board.

De facto / Shadow Director
"By whatever name called" — a person in accordance with whose directions professional directors act (professional advisers acting purely professionally excluded). Important for liability, especially under S.2(60) "officer who is in default".

Executive vs Non-Executive
Executives manage; NEDs monitor. S.149(12) fixes **limited liability** for NEDs/independent directors — only for acts with their knowledge (attributable through Board processes), consent/connivance, or where they did not act diligently.

First Directors — S.152(1)
Named in articles; else the subscribers to the memorandum (individuals) deemed first directors until the first AGM.

Constitution of the Board — Section 149

S. 149 — Company to have Board of Directors
- **Only individuals** can be directors — a company or firm cannot be a director of another company (one "evil" abolished by the Act).
- **Minimum:** 3 (public co.) · 2 (private co.) · 1 (One Person Company). **Maximum:** 15; more only by **special resolution**.
- **Woman director**: prescribed classes must have ≥ 1 [proviso to S.149(1) + Rule 3: listed cos.; public cos. with paid-up capital ≥ ₹100 cr or turnover ≥ ₹300 cr].
- **Resident director**: ≥ 1 director resident in India (≥ 182 days stay in previous calendar year) [S.149(3)].
- Compliance timeline for existing companies: **one year** from commencement/notification [S.149(5)].

S. 172 — Punishment for non-observance of Chapter XI composition rules
If a company contravenes the composition provisions (Ss.149–172 where no specific penalty is provided), the **company** and **every officer in default** is punishable with **fine of ₹50,000 – ₹5,00,000** (post-2019 "Decriminalisation" amendments the Chapter uses penal fines rather than imprisonment for these defaults).

Appointment of Directors — Sections 152, 160–165

Appointment is the shareholders' primary instrument of control: "*Election of directors is the primary managerial function of stockholders in business corporations, and one that needed careful regulation in their interest.*" The Act therefore regulates appointment strictly and blocks management by "undesirable persons".

4.1 Modes of Appointment — the statutory map

Source	Provision	Gist
First directors	S.152(1)	Named in the articles; failing that, the subscribers to the memorandum who are individuals are **deemed first directors** until the first AGM (for OPC, the sole member).

Source	Provision	Gist
Company in general meeting	S.152(2), (4), (5)	Default rule: every director is appointed by the company **in general meeting**. Candidate must furnish **DIN + declaration that he is not disqualified** [S.152(4)]; appointee must file **consent** with RoC within 30 days [S.152(5)].
Individual candidature	S.160	Any person (other than a retiring director) may stand for directorship on notice in writing by himself or a member (with fee as prescribed) at least 14 days before the meeting.
Board's interstitial power	S.161(1)/ (2)/(3)	**Additional director** — till next AGM; **alternate director** — for a director absent from India ≥ 3 months, reverts automatically on the original's return, and must vacate when the original's term ends; **nominee director** — institutions/Government/ others.
Rotation regime	S.152(6)–(7)	Public companies: only ⅓ of directors may be non-retiring (unless articles provide full rotation); ⅓ of the retiring class retires every AGM — senior-most first; simultaneous appointees decide by agreement or lot. **Designed to eradicate the mischief of self-perpetuating managements.** Independent directors are **excluded** from the rotational count.
Deemed reappointment	S.152(7)	If the AGM neither fills the vacancy nor resolves not to fill it, the meeting is deemed adjourned a week; the retiring director is deemed reappointed **unless**: (i) his appointment was put to vote and lost; (ii) he declines in writing; (iii) he is disqualified; or (iv) a resolution different from reappointment is required/passed.
Proportional representation	S.163	Articles may provide that ≥ ⅔ of directors be appointed by proportional representation (single transferable vote/ cumulative voting) — a statutory opening for minority board-representation.
Small shareholders	S.151	Prescribed listed companies must/may have one director elected by small shareholders (≤ ₹20,000 nominal).
Tribunal (NG)	S.242	NCLT may appoint directors as relief in oppression & mismanagement proceedings.

Vacancy logic (Barron v. Potter line): directors cannot prolong tenure by not holding the AGM — they retire automatically when the last permissible date for the meeting passes (*B.R. Kundra v. Motion Pictures Assn.* (1976) 46 Comp Cas 339 (Del)); where no validly appointed directors remain, the inherent power of members to appoint revives (*Ram Kissendas Dhanuka v. Satya Charon Law*, AIR 1950 PC 81).

4.2 Minimum Director Identification Number first - S.152(3)

No person shall be appointed as a director unless he has been allotted a **DIN** under S.154 (or any other number prescribed under S.153). This is the gateway between appointment law and the DIN regime (§5).

4.3 Qualifications & Disqualifications — Section 164

The Act prescribes **no academic or professional qualification** for directors (though articles may insist on qualification shares). Instead, S.164(1)-(2) supplies a **negative list** of minimum eligibility requirements:

S.164(1) — A person shall NOT be eligible for appointment as director if he:

1. is of **unsound mind** and a competent court so finds (finding in force);
2. is an **undischarged insolvent**;
3. has **applied to be adjudicated an insolvent** and the application is pending;
4. has been **convicted of an offence** (whether involving moral turpitude or otherwise) and sentenced to imprisonment for **≥ 6 months**, and **5 years** have not elapsed since expiry of the sentence. **Proviso:** conviction with imprisonment ≥ **7 years** → **permanent disqualification** from directorship in any company;
5. is disqualified by an order of a **court or Tribunal**, order in force;
6. has **not paid calls** on shares held by him (alone or jointly) and 6 months have passed from the payment date;
7. has been convicted of the offence of **related-party transactions (S.188)** within the last 5 years;
8. has not complied with **S.152(3)** — no DIN.

S.164(2) — "Failed company" disqualification (5-year bar)

A person who is or has been a director of a company which: (a) has not filed annual accounts/returns for **3 continuous years**; or (b) has failed to repay deposits/interest, redeem debentures, or pay declared dividend, and such failure continues for **1 year or more** — shall not be eligible for appointment/re-appointment in that or any other company for **5 years**. *(A private company may add further disqualifications by its articles — S.164(3).)*

Limit on directorships — S.165: a person may be director in at most **20 companies** (dormant companies excluded), of which at most **10 public companies** (private subsidiaries of public companies counted). DIN is the mechanism by which the RoC polices this cap — hence its purpose is described as "checking the violation of S.165". Penalty (S.165(6)): ₹2,000 per day of default, capped at ₹2 lakh.

4.4 Vacation, Resignation, Removal — the exit doors

Exit	Provision	Core rule
Vacation (automatic)	S.167	Office vacates upon: disqualification under S.164; absence from **all meetings for 12 months** (leave may condone); contravening S.184 disclosure; failing to disclose interest/participating in interested contracts (S.184(2)); conviction + sentence of 6+ months; removal under S.169; appointment by order of court/Tribunal reconstitution.
Resignation	S.168	By written notice to the company — effective from date of receipt or later date specified; director remains liable for offences committed during his tenure; Board must disclose in its report and file with RoC within 30 days.
Removal before expiry of tenure	S.169	Shareholders may remove a director by **ordinary resolution** after giving him a reasonable opportunity of being heard; requires **special notice** (14 days before the meeting) — the company intimates the director, whose representation is circulated/read out. **Excluded:** directors appointed by NCLT (S.242) and proportional-representation directors (S.163). Vacancy filled at the same meeting where notice of the removal proposal was also given; removed director gets compensation/damages if entitled to them by contract.

Director's Identification Number (DIN) — Sections 153–159 [classic SHORT NOTE]

DIN is a **unique identification number allotted by the Central Government** to every individual who is, or intends to be, a director. Its **purpose**: to give the regulator a traceable identity key so that the **S.165 ceiling on the number of directorships (20 / 10)** can actually be enforced, and so that the track-record of every director is transparent across companies.

5.1 Section-by-section anatomy

Section	Provision	Substance
S.153	Application for allotment of DIN	Every individual intending to be appointed a director must **apply to the Central Government** for allotment of a DIN — in the **prescribed form, manner and fee** (including electronic form; Rule 9, Companies (Appointment and Qualification of Directors) Rules, 2014 → Form DIR-3; KYC/DIR-3-KYC annually).
S.154	Allotment	The Central Government shall **allot a DIN within one month** of receipt of the application, in the prescribed manner.

by Ankur R. Upadhyay

Section	Provision	Substance
S.155	Prohibition on multiple DINs	Once allotted, **no individual shall apply for, obtain, or possess another DIN** — one person, one identity.
S.156	Director to intimate company	Every **existing director** must **intimate his DIN to the company/companies** in which he is a director **within one month** of receipt of the DIN.
S.157	Company to inform Registrar	Within **15 days** of receiving the intimation, the company must furnish the DIN to the RoC/authority in prescribed form (with S.403 late-fee route); failure → company and every officer in default: **fine ₹25,000 – ₹1,00,000** [S.157(2)].
S.158	Obligation to quote DIN	Every person or company must **quote the DIN in every return, information or particulars** filed under the Act in which the director is referred — this is how all filings become traceable.
S.159	Penalty for contravention	Contravention of S.152, 155 or 156 → **imprisonment up to 6 months, or fine up to ₹50,000**; if the contravention is a continuing one, a further fine of **₹500 for every day** of continuing default.

Why the legislature bothered: if one individual could silently sit on dozens of boards, the S.165 limits would be unenforceable. A unique number is the **detection key** — "But how will the Registrar come to know that a person is working as director in violation…? A unique number will help the RoC find out such person". Also remember: **no DIN → disqualification** under S.164(1)(h) read with S.152(3).

Independent Director — Section 2(47) [classic SHORT NOTE / LONG Q]

S. 2(47) — Definition
"'Independent director' means an independent director referred to in sub-section (6) of section 149." — In literal terms: a director who has **no material/pecuniary relationship** with the company, its promoters or management, and who brings **objective, external judgment** to the boardroom.

6.1 Why the institution exists

To make Indian boards consistent with international capital-market standards, the 2013 Act made independent directors **mandatory** for listed and large public companies. Independent directors evaluate the performance of the board and management; safeguard all stakeholders (particularly minority shareholders); moderate conflicts of interest; and are the statutory antidote to promoter-dominated decision-making — the precise pathology behind Satyam (§9).

6.2 The mandatory numbers — S.149(4) + Rule 4

- **Every listed public company**: at least **one-third** of total directors independent (fractions rounded **up**).
- **Prescribed unlisted public companies** [Rule 4]: at least **2 independent directors** if — paid-up share capital ≥ ₹10 crore, *or* turnover ≥ ₹100 crore, *or* aggregate outstanding loans/debentures/deposits ≥ ₹50 crore.
- **Transitional:** existing companies got 1 year to comply [S.149(5)]. Default → company + officer in default: fine ₹50,000–₹5,00,000 (S.172).

6.3 The eligibility code — S.149(6) {(a)-(f)} memorised as "I-N-P-P-E-K-Q"

An independent director, in relation to a company, means a director **other than an MD, WTD or nominee director** —

1. **Integrity (I):** who, in the opinion of the Board, is a **person of integrity** possessing relevant **expertise and experience**;
2. **Non-promoter (N):** who is/was **not a promoter** of the company or its holding, subsidiary or associate company;
3. **Pecuniary wall (P):** who has/had **no pecuniary relationship** with the company/H/S/A company, their promoters or directors **during the two immediately preceding financial years or the current financial year**;
4. **Relatives' ceiling (P):** none of whose **relatives** has/had pecuniary relationships/transactions with those entities amounting to **≥ 2% of gross turnover/total income, or ₹50 lakh** (or higher prescribed sum, whichever is lower) in the same look-back periods;
5. **Employment/KMP bar (E):** neither he nor his relatives — (i) holds/has held **KMP** or employment in the company/H/S/A in the **3 preceding financial years**; (ii) is/has been employee/proprietor/partner of the **auditors, CS, or cost auditors** of the company, or legal/consulting firms with ≥ 10% of gross turnover from the company, in those 3 years; (iii) holds, with relatives, **≥ 2% voting power**; (iv) is CEO/director of an NPO receiving ≥ 25% of receipts from the company;
6. **Qualifications (Q):** possesses other prescribed qualifications (e.g., proficiency test under the 2019 data-bank rules).

6.4 The regulatory envelope — S.149(7)–(13), S.150, Schedule IV

Feature	Rule
Declaration of independence [S.149(7)]	At the first Board meeting attended, and thereafter at the **first Board meeting of every financial year**, and whenever status changes; Board must record that he fulfils S.149(6) conditions (also stated in the notice's explanatory statement, S.150(2)).
Code of conduct [S.149(8) + Sch. IV]	Company and independent directors shall **abide by Schedule IV** — the "Code for Independent Directors" (guidelines on professional conduct; roles & functions; duties; manner of appointment; re-appointment; resignation; separate meetings; evaluation mechanism).
Selection & data bank [S.150]	Selected from a **data bank** of eligible and willing persons maintained by a notified body/institute (e.g., the IICA databank); the company bears the duty of **due diligence**; appointment approved in **general meeting** with explanatory statement.
Tenure [S.149(10)-(11)]	Term up to **5 consecutive years**; re-appointment for a second 5-year term by **special resolution** + disclosure in Board's report; **maximum two consecutive terms**; eligible again only after a **3-year cooling-off** with no association with the company in any capacity, directly or indirectly. Pre-2013 tenure not counted. Rotation provisions (S.152(6)-(7)) **do not apply** [S.149(13)].
Remuneration [S.149(9), 197(5)]	**No stock options.** Only sitting fees (prescribed cap), expense reimbursement, and **profit-related commission** approved by members — preserving independence by breaking the wealth-link with management.
Shield of limited liability [S.149(12)]	Independent & non-executive directors (not promoters/KMP) are liable **only** for acts of omission/commission by the company which occurred **(i) with his knowledge attributable through Board processes, (ii) with his consent or connivance, or (iii) where he did not act diligently**. A major post-Satyam assurance designed to restore willingness to serve on boards.

6.5 Schedule IV — the "Code for Independent Directors" (know the skeleton)

Part I · Guidelines of Professional Conduct
Uphold ethical standards of integrity & probity; act objectively/ constructively with independent judgment; devote sufficient time; not abuse position; not allow extraneous considerations to cloud judgment.

Part II · Role & Functions
Bring independent judgment on strategy, performance, risk, resources, key appointments & standards of conduct; scrutinise management's performance & financial information; safeguard interests of all stakeholders, especially **minority shareholders**; balance conflicting interests; moderate/arbitrate in conflicts between management and shareholders.

Part III · Duties
Undertake induction & skill-refresh; seek clarification/information (including professional advice at company expense); attend Board/committee meetings & GMs; keep informed; keep confidential info confidential; report concerns about unethical behaviour/actual/suspected fraud or violations of the company's code/ethics policy; not to obstruct functioning; protect interests of the company, shareholders & employees.

Part IV · Appointment / Manner
Nomination & Remuneration Committee (S.178) identifies & recommends; appointment formalised by letter; disclosed on company's website & in Board report; separate meetings of independent directors (at least once a year, without non-independent directors/management); performance evaluation — Board evaluates independent directors who are themselves excluded from their own evaluation.

6.6 Where independent directors sit in the governance machine

Committee	Section	Independent directors' quota
Audit Committee	S.177	≥ ⅔ members must be independent directors (listed cos.); chair must be an independent director (LODR).
Nomination & Remuneration Committee	S.178	≥ ⅔ independent; chair is an independent director (chairman of the company may sit but not chair).
Stakeholders' Relationship Committee	S.178(5)-(8)	Chaired by a **non-executive** director.
CSR Committee	S.135	≥ 1 independent director.

Casepoint: the Supreme Court in *TCS Ltd. v. Cyrus Investments (P) Ltd.* (2021) 9 SCC 449 emphasised the centrality of independent directors to a listed company's governance — thread this into any independent-director answer, along with the Satyam autopsy (§9) where "eminent" independent directors watched falsified accounts for years.

Duties of Directors — Section 166 (with the case-law skeleton)

"Corporate executives are today possessed of immense power which must be regulated not only for the public good, but also for the protection of those whose investments are involved." Traditionally, directors' duties were forged by the common law in the cases below; the Companies Act, 2013 **codified** them in **Section 166** — a statutory formulation in six commands.

7.1 The six statutory duties — text, meaning, and the case that teaches each

Duty (S.166)	Text (verbatim)	Meaning & doctrinal anchor
(1) Act within the articles	"…shall act in accordance with the articles of the company."	The all-pervading principle: articles are the director's charter of power; transgression → intra vires challenge, personal liability for ultra vires acts. Renders void any exercise of power beyond the articles' mandate.
(2) Good faith to promote the company's objects for all stakeholders	"…shall act in good faith in order to promote the objects of the company for the benefit of its members as a whole, and in the best interests of the company, its employees, the shareholders, the community and for the protection of environment."	The **fiduciary core** — "greatest good faith is expected". Beneficiaries: the **company as a whole + the whole body of shareholders**, NOT individual shareholders (Percival v. Wright). Powers must be used for their **proper purpose** for the company's benefit — see Burland v. Earle (Case 20) for permissible margins of internal management.
(3) Due & reasonable care, skill, diligence; independent judgment	"…shall exercise his duties with due and reasonable care, skill and diligence and shall exercise independent judgment."	The negligence head: common-law standard descending from Romer J. in **Re City Equitable** (Case 21) — now a **statutory objective-reasonableness** floor. Factors: nature of work; division of powers; customs of the business; gratuitous vs paid service. Not liable for **mere errors of judgment**. Attend meetings able to be attended; 12-month unauthorised absence = vacation (S.167).
(4) No conflict of interest	"…shall not involve in a situation in which he may have a direct or indirect interest that conflicts, or possibly may conflict, with the interest of the company."	The **no-conflict rule** — the equity spine of Regal (Hastings) (Case 22) and IDC v. Cooley (Case 23): "a man must not be allowed to put himself in a position in which his fiduciary duty and his interests conflict". Disclose interests at the first Board meeting (Ss.184, 188) — undisclosed interested contract is voidable at the company's option (S.188) + penalty ₹1 lakh.
(5) No undue gain	"…shall not achieve or attempt to achieve any undue gain or advantage either to himself or to his relatives, partners, or associates… liable to pay an amount equal to that gain to the company."	The **no-secret-profit rule** — codification of Regal (Hastings) & Cooley: the fiduciary must **disgorge** to the company. Liability arises from **the mere fact of profit made by the fiduciary position** — bona fides no defence.
(6) No assignment of office	"…shall not assign his office and any assignment so made shall be void."	Delegates non potest delegare: duties are personal. Limited delegation **of functions** is permissible where authorised by the Act/articles or justified by business exigency — but never a total abdication of the Board's collective responsibility.

S.166(7) — Penalty: contravention of S.166 → fine **not less than ₹1,00,000, extending to ₹5,00,000**, *plus* the civil remedies below (disgorgement, damages, rescission) and Schedule IV consequences for independent directors.

7.2 The common-law folder underneath S.166 (quote-earners)

- **Trustees of company assets** — make good misapplied money (*Re Lands Allotment Co.* (1894)).
- **Proper-purpose doctrine** — powers (calls, forfeiture, further issue of capital, transfer refusal) are "powers in trust", to be used for corporate ends, not sectional interest.
- **No profit from office** — if asked to buy property for the company and he buys for himself and resells to the company at profit → account (*Boston Deep Sea Fishing v. Ansell*; Regal line).
- **Disclosure & abstention in interested contracts** — the company is entitled to the **unbiased advice of every director**; where the whole board knows, no formal disclosure needed (*Guinness plc v. Saunders* — director ordered to hand over benefits).
- **Duty to attend meetings** — continuous absence is evidence of failure of the S.166(3) duty and triggers S.167 vacation.
- **Delegation controlled** — permissible where authorised/exigent, but a director is in breach if he leaves to others what only the Board can do (*Joint Stock Discount Co. v. Brown*).

7.3 Evolution of the care & skill standard (great for scoring depth)

Era	Standard	Source case
1925	**Subjective:** a director need show only the care reasonably expected from a person of **his knowledge and experience**; not bound to attend all meetings; may trust officials.	**Re City Equitable Fire Insurance Co.** (Case 21) — Romer J.'s three propositions.
1989–91	**Objective emerging:** non-executive directors face the same duty as executives; signing blank cheques is negligence per se; duty = reasonable care a man of ordinary prudence would show PLUS the skill he actually has (Insolvency Act 1986, s.214 test).	*Dorchester Finance v. Stebbing*; *Norman v. Theodore Goddard*.
2013	**Statutory hybrid:** "due and reasonable care, skill and diligence" + independent judgment — reasonableness keyed to the actual director's knowledge/experience, but no contracting out (cf. City Equitable's article-shield now void; only S.463 relief survives).	**S.166(3), Companies Act, 2013.**

Liabilities of Directors — Civil & Criminal

Liability is the sanction that makes duties real. In a memorandum company a director's liability may even be **unlimited** if the memorandum so provides (S.7(1)(b) proviso, CA 2013 / previously S.322 of 1956 Act); ordinarily, though, his exposure flows from four doctrine heads and two statute heads.

8.1 Civil Liability — to the company

Head	Trigger	Remedy
Breach of fiduciary duty	Secret profit, conflict (Regal; Cooley; S.166(4)-(5)).	Account/disgorgement of profit · constructive trust · rescission of tainted contract.
Negligence	Failure of reasonable care/skill/diligence (City Equitable; S.166(3)).	Compensation ≈ proven corporate loss; exoneration only via S.463 (honest & reasonable conduct).
Ultra vires acts	Applying corporate money beyond memorandum/ articles.	Personal liability to restore.
Mala fide acts	Powers used for improper purpose/self-interest.	Compensation + account; setting aside of acts where ratification impossible.

8.2 Civil Liability — to third parties

Ordinarily directors are *not* personally liable for company contracts/torts — the company is principal. Personal exposure arises where: (i) **personal guarantee**; (ii) **fraud/deceit personally committed** — "no one can escape liability for his fraud by saying that he was committing it on behalf of someone else" (**Standard Chartered Bank v. Pakistan National Shipping Corpn.**, reference case, §▸); (iii) **misstatements in prospectus** — civil compensation (S.35); (iv) **officer who is in default** defaults (S.2(60)); (v) winding-up misfeasance summons (Ss.336–337) and fraudulent trading exposure linked to S.339/447.

8.3 Criminal Liability — the statutory arsenal

Provision	Offence	Punishment (core)
S.34	Criminal liability for misstatements in prospectus	S.447 punishment if issued with intent to defraud.
S.447	**Fraud** — an act with intent to deceive / wrongful gain / wrongful loss, by concealment, abuse of position, etc.	Imprisonment **6 months – 10 years** + fine up to **3× the amount involved**; where fraud involves **public interest**, minimum **3 years**. The flagship post-Satyam weapon.
S.448	False statement in return/report/certificate/financial statement	S.447 treatment.
S.449	False evidence	Imprisonment 3–7 years + fine up to ₹10 lakh.
S.159	Contravening Ss.152, 155, 156 (DIN)	Imprisonment ≤ 6 months and/or fine ≤ ₹50,000 (+ daily fine).
S.166(7)	Breach of codified duties	Fine ₹1–5 lakh (penal fine).
S.172	Chapter XI composition defaults	Fine ₹50,000–5,00,000 (company + officer in default).
S.188 & S.164(1)(g)	Related-party violations	Penal fine + disqualification for 5 years.
S.217 / S.218 (SFIO)	Obstruction of SFIO investigation	Imprisonment ≤ 1 year + fine.
Winding-up chapters	Fraudulent conduct of business, concealment of company property, falsification of books	Ss.336–339: imprisonment + personal contribution to assets.

- **Legacy liability (CA 1956):** untrue statements in prospectus; inviting deposits contrary to law; false advertisement; failure to refund excess application money; concealing creditors' names; failure to lay the balance sheet; failure to give information to auditors — all attracted criminal sanction for directors "in default".

8.4 Vicarious Liability — the judicial doctrine (crucial for problem questions)

Starting rule: directors are **NOT vicariously liable** for the company's crimes merely by virtue of office. For a director to be criminally liable, ALL of the following must coexist — **(i)** the company itself is liable for the offence; **(ii)** a **statute specifically creates vicarious liability** of directors (e.g., S.141, NI Act; S.23C Drugs & Cosmetics Act); **(iii) specific, substantiated allegations** attributing a particular role to that director; **(iv) direct involvement/personal conduct** linking him to the company's liability; **(v)** criminal intent (mens rea). Mere authorisation, supervisory role, routine functions or general knowledge are **not enough**. (*Sanjay Dutt v. State of Haryana*, SC, 2 Jan 2025; *Sunil Bharti Mittal v. CBI* (2015) 4 SCC 609.)
Post-Satyam relaxation for independent/NEDs sits here too: **S.149(12)** limits independent and non-executive director liability to acts with knowledge/ consent/connivance or lack of diligence — preventing "automatic" prosecution of outside directors.

Case Study — The Satyam Scandal (2009) [mandatory DU case study]

Satyam Computer Services Ltd. — then India's **fourth-largest IT services company**, listed in India and on the NYSE, audited by a Big-Four firm, governed by a board studded with eminent independent directors — collapsed on **7 January 2009** when founder-chairman **B. Ramalinga Raju** confessed, in a letter to his Board, the stock exchanges and SEBI, to a **₹7,136-crore accounting fraud**. It remains the definitive Indian lesson on what happens when the architecture of Topic 5 fails at every floor.

9.1 The confession — the anatomy of the fraud

Raju's balance-sheet confession (as at 30 Sept 2008)

Item	Books showed	Reality	Hole (₹ crore)
Cash & bank balances	₹5,361 cr	₹321 cr	**5,040**
Accrued interest	₹376 cr	Nil	**376**
Understated liability (promoter-arranged funds)	—	₹1,230 cr owed	**1,230**
Overstated debtors	₹2,651 cr books vs actual lower	overstated by	**490**
Q2 FY09 revenue / margin fiction	Revenue ₹2,700 cr; margin ₹649 cr	Actual revenue ₹2,112 cr; margin ₹61 cr	588 (revenue)
Total irregularity confessed	**₹7,136 crore (≈ US$1.47 billion)**		

> *"It was like riding a tiger, not knowing how to get off without being eaten… The aborted Maytas acquisition deal was the last attempt to fill the fictitious assets with real ones." — B. Ramalinga Raju, confession letter, 7 January 2009.*

9.2 Modus operandi — how it was done (year after year, unnoticed)

1. **Fictitious invoices (7,561)** generated to inflate revenue and debtors — booked through un-logged "user-ID 6" access passwords.
2. **Forged bank statements & fixed-deposit receipts** presented to auditors; audit confirmations were sourced from the company itself, not from the banks.
3. **Ghost employees (≈ 13,000)** on payroll; their "salaries" siphoned out by the promoter circle.
4. **Share pledging:** Raju pledged almost the entire family holding (~8% promoter stake diluted to < 3% by 2008) to raise funds for real-estate (Maytas) ventures — the margin-call spiral that finally forced the confession.
5. **Board-level related-party attempt:** on **16 December 2008**, Satyam's board approved a **$1.6-billion acquisition** of Maytas Properties & Maytas Infra — promoter family companies ("Maytas" = "Satyam" reversed) — using cash that did not exist. Institutional investors (Fidelity, Aberdeen) revolted; the deal was aborted the same day, and four independent directors resigned within weeks. The failed deal was the detonator of the confession.

9.4 The legal response — every organ of Topic 5 in action

Forum / Law	Action & outcome (documents/corroborated)
Central Government + CLB (now NCLT)	Entire Satyam Board **suspended and superseded**; Government appointed an eminent interim board to save 50,000+ jobs and 600+ clients (*Union of India v. Satyam Computer Services Ltd.* [2009] 96 SCL 367 (CLB): the CLB allowed impleading the CFO; and [2010] 97 SCL 49 (CLB) — PF authorities could not proceed against the **Government-appointed** board for defaults of the **suspended** board).
CBI (criminal)	Chargesheet against Raju, his brothers, CFO, auditors under IPC ss. 120B, 420, 409, 467, 468, 471 & 477A (falsification of accounts), IT Act s.66. On **9 April 2015**, the Special CBI Court, Hyderabad **convicted 10 accused**: 7 years' rigorous imprisonment + ₹5.5 crore fine on Raju.
SEBI	PFUTP enforcement — SEBI's 15 July 2014 order: disgorgement of ₹1,848.93 crore unlawful gains with 12% interest from 7 Jan 2009 + 14-year securities-market ban on Raju and four others.
SAT / SEBI vs Price Waterhouse	SEBI order (10 Jan 2018): 2-year ban on PwC network firms from auditing listed companies + ₹13.09 crore disgorgement — for certifying non-existent cash without independent bank confirmations (ban trimmed by SAT in 2019, but the accountability principle stood).
SFIO	Statutory investigation ordered — precursor to SFIO's codified status in the 2013 Act (Ss.211–212).
ED	PMLA prosecution — 2013 complaint against 47 persons & 166 entities; ₹822 crore alleged proceeds of crime attached.
US regime	SEC fined the company $10 million (2011); PwC-affiliates settled PCAOB/SEC charges; class-actions in US settled (~$125 million).

9.5 Where exactly did governance fail? (the analysis markers want)

(1) Board / Independent Directors
The board included globally reputed names — a dean of ISB, a Harvard professor — yet none demanded independent bank confirmations or questioned the Maytas transaction until investors revolted. They had delegated away verification: the exact City-Equitable blind spot, decades after the exemption clauses died.

(2) Auditors
Price Waterhouse accepted management-supplied FD receipts and confirmations instead of writing to banks directly — the **most elementary audit step**. (SEBI 2018: the firm "was defeated/meant to be defeated" but failed basic scepticism.)

(3) Promoter incentive structure
A promoter with a small, fully-pledged holding had every incentive to keep the stock price artificially high — inflation of results was survival. Hence S.166(2)'s duty to members "as a whole" fights exactly this alignment failure.

(4) Institutional passivity & weak enforcement pre-2013
Analysts relied on audited numbers; the 1956 Act lacked: codified directors' duties, mandatory independent-director regime with enforceable code (Sch. IV), vigil mechanism, audit rotation, and a fraud-specific offence. The 2013 Act is, in large part, Satyam's legislative reply.

9.6 Reforms Satyam directly seeded in the Companies Act, 2013

- **S.134(5)** — Directors' Responsibility Statement: affirmations on accounting standards, judgement, internal financial controls and compliance.
- **S.166** — duties codified (care, conflict, no undue gain).
- **S.149/Sch. IV + S.149(12)** — a real independent-director regime with limited-liability shield.
- **S.139(2)** — mandatory audit-firm rotation for listed/public-large companies.
- **S.143(12)** — auditor's duty to report fraud to the Board/Audit Committee/GoI.
- **S.177(9)–(10)** — vigil mechanism / whistle-blower protection in listed & prescribed companies + audit committee oversight.
- **S.447** — fraud as a draconian statutory offence (min 3 years where public interest).
- **Ss.211–212, 217** — SFIO statutory teeth.
- **S.152–160 + Sch. IV evaluation** — board quality, DIN traceability, tenure limits.

Exam closer for the Satyam question: "Satyam was not a failure of law but of vigilance at every checkpoint the law provides — board oversight, independent judgment, audit scepticism, and disclosure. The Companies Act, 2013 rebuilt each checkpoint: codified duties (S.166), accountable independent directors (S.149/Sch. IV), audit rotation (S.139), fraud reporting (S.143(12)), and the fraud offence itself (S.447). Topic 5 is, in that sense, Satyam's memorial."

Prescribed & Landmark Case Law Dossiers — Detailed Analysis

CASES #39 – #43

CASE #39 — DU LL.B. PRESCRIBED AUTHORITY

Percival v. Wright

Case No. 19 · Duty towards whom? · (1902) 2 Ch. 421 · Chancery Division · Swinfen Eady J. · CH D · 1902

Material facts

1. The company, **Nixon's Navigation Co. Ltd.** (a colliery company), had few shareholders; shares were transferable **only with Board approval** and had **no market quotation**. Its memorandum empowered sale of the whole undertaking, but **only with a special resolution** of shareholders.
2. On **8 October 1900** the plaintiffs (holders of 253 shares of £10 each, £9 8s paid up) wrote to the company secretary: *do you know anyone willing to buy our shares?* After quoting £12.5s (backed by an independent valuation they themselves had commissioned) and finally **£12.10s**, the **chairman and two directors** bought — 85 shares to the chairman, 84 each to two co-directors — transfers duly approved by the Board.
3. Unbeknownst to the plaintiffs, one **Holden** had simultaneously been approaching the Board proposing to **purchase the whole undertaking** at prices implying **considerably more than £12.10s per share**. But no firm offer ever matured that the Board could place before shareholders; **the negotiations ultimately proved abortive**, and the Court was not even satisfied the Board ever intended to sell.
4. The shareholders sued to **set aside the sale**, complaining of non-disclosure of the Holden negotiations.

Issue: Whether directors purchasing shares from shareholders owe those **individual shareholders** a fiduciary duty of disclosure regarding pending negotiations for sale of the company's undertaking?

For the plaintiffs (sellers)

- Directors are fiduciaries "both for the company and for the shareholders who are the real beneficiaries"; during sale negotiations they become **"trustees for sale"** and cannot buy a beneficiary's interest without full disclosure.
- In equity a share is merely a proportion of the undertaking; shareholders *inter se* stand like partners — incorporation does not disturb that inner relationship, though it changes external relations.
- The tacit release of disclosure applies only to ordinary management information (a new vein, a good dividend) — not to a negotiation for the **whole undertaking**; had they known, plaintiffs would have held on to their shares.
- Conceded: **no allegation of unfair dealing or under-value purchase** — only breach of fiduciary non-disclosure.

For the defendants (directors)

- Even if trustees for sale of the undertaking, they were **not trustees for sale of the plaintiffs' shares**.
- Equity has never been applied **between a director and an individual shareholder**; every director-buyer necessarily buys from a shareholder.
- The company is a legal entity quite distinct from shareholders (citing the principle that a sale by company to shareholder isn't impeached merely because the shareholder's votes carried the resolution).
- Imposing the duty would, in substance, re-write the relation between every director and every shareholder in every share-deal.

Decision — Swinfen Eady J.: DIRECTORS WIN · PLAINTIFFS' CASE "WHOLLY FAILS"

The learned judge reviewed the classic statements — Lord Selborne L.C. in *Great Eastern Ry. v. Turner* (directors are "the mere trustees or agents of the company", not of individuals); Jessel M.R. in *Re Forest of Dean Coal Mining Co.* (trustees of assets under control, but "only the managing partners"); Lindley L.J. in *Re Lands Allotment Co.* (treated as trustees of money actually in their hands). Those cases show directors must act bona fide and give best terms for the company (e.g., not allot shares to themselves cheaply) — but the plaintiffs' contention **"goes far beyond this"**.

No authority supports the proposed line — that a disclosure-duty springs up once sale-negotiations begin. The **true rule** is the opposite: *"a shareholder is fixed with knowledge of all the directors' powers, and has no more reason to assume that they are not negotiating a sale of the undertaking than to assume that they are not exercising any other power."* Imposing the duty would place directors in a **"most invidious position"** — forced to disclose negotiations whose premature publication might itself injure the company. Crucially, **the shareholders approached the directors and named their price**; there was no unfair dealing. Action dismissed with costs.

Principle evolved (the ratio): Directors' fiduciary duties are owed to the **company alone** (and, in the aggregate sense, the whole body of shareholders) — **not to individual shareholders**. Absent special circumstances (special trust/agency reposed in the director by the shareholder, imminent concluded contract, or fraud), directors **may purchase shares without disclosing abortive sale-negotiations**. Followed in *Peskin v. Anderson* (2000); the rule admits narrow exceptions (*Allen v. Hyatt*; cf. *Coleman v. Myers* (NZ) — family-company special facts).

Indian & exam relevance: approved in *Ramaswamy Iyer v. Brahamayya & Co.* (1966) 1 Comp LJ 107 (Mad); foundational for analysing S.166(2) — "for the benefit of its members **as a whole**". Note the factual armour that saved the directors in any event: no solicitation by buyers + independent valuation + sellers-initiated approach.

☞ Primary source: DU Case Material (LB-303, 2025), pp. 136–139 — full judgment reproduced.

CASE #40 — DU LL.B. PRESCRIBED AUTHORITY

Burland v. Earle (Consolidated)

Case No. 20 · Internal management vs. fiduciary accountability · (1902) AC 83: (1900-03) All ER Rep. 1452 · Privy Council (on appeal from Ontario) · Lord Davey · PRIVY COUNCIL · 1902

Material facts

1. **British American Bank Note Co.** (incorporated in Canada, 1866 — engraving/printing of banknotes, stamps, bonds) was "extraordinarily successful": 30-year average dividend > 40% p.a. Burland was president-manager and largest shareholder (1,077 shares); Earle and co. were dissentient shareholders (433 shares combined).
2. To the credit of profit-and-loss stood **$264,167 of undivided profits** (no formal reserve fund), invested substantially in **bank shares and mortgages — mostly in Burland's own name**. After losing a Dominion Government contract, profits shrank; the minority sued (7 Dec 1897) attacking four things, and the four questions reached the Judicial Committee:

#	Complaint	Courts below	PC answer
1	Accumulating a **reserve/undivided-profit fund instead of distributing dividends** is ultra vires	Ch. Justice: distribute all; CA: only "fair & reasonable" reserve	Intra vires purely internal management
2	**Investment** of the fund, in Burland's own name	CA: sweeping injunctions	Imprudent, not unlawful injunctions discharged
3	Burland bought **Burland Lithographic Co's assets at auction** (lot 1: $21,564) and resold to the company for **$60,000** — must he disgorge the profit of **$38,436**?	Both courts: account	No accounting — no mandate/ trust proved
4	**Salaries:** Burland drew extra "5% on capital stock held" under ambiguous 1888 Board resolution; J.H. Burland drew salary after becoming vice-president	CA: Burland to repay ~$53,000	Burland repays (contra proferentem); J.H. keeps his

Issues: (i) May a company lawfully retain undivided profits as a reserve instead of distributing all? (ii) May it invest them (even in the name of its president)? (iii) Is a director who bought assets on his own account and resold them to the company accountable for the profit as a "trustee"? (iv) Was Burland within the ambiguous salary resolution?

Minority shareholders (Earle etc.)

- Companies paying dividends > 40% have no business hoarding $264,167 — forced distribution; the accumulation is ultra vires or at least reviewable.
- Investing in Burland's personal name invites misappropriation — restrain it.
- Burland bought the lithographic assets **intending to resell to the company**, at whose instance both courts found the resale was made, without disclosing his purchase price — a classic fiduciary secret profit.
- The 1888 "5% on your stock" resolution cannot include the president — otherwise he wrote himself the biggest cheque.

Burland / the company

- Retention and investment of profits are "questions of internal management which the shareholders must decide for themselves" — courts have "no jurisdiction to control or review their decision".
- Investments were disclosed year after year in balance-sheets placed before general meetings — bank shares/mortgages, permanent in character, no "trafficking or speculation".
- "**No evidence whatever of any commission or mandate** to Burland to purchase on behalf of the company, or that he was in any sense a trustee for the company of the purchased property." His resale intention was his own — "which he was at liberty to carry out or abandon at his own will".
- The salary increment is a question of construction of the resolution only.

Decision — Lord Davey delivers the Judicial Committee's advice

Lord Davey first restated **three elementary principles**: (1) "the court will not interfere with the internal management of companies acting within their powers, and in fact has no jurisdiction to do so"; (2) for a wrong done to the company the action belongs prima facie to the **company itself** (Foss v. Harbottle), the minority action being a mere procedural exception confined to acts **fraudulent or ultra vires** — e.g., majority appropriating to themselves the company's property (as in *Menier v. Hooper's Telegraph Works*); mere informalities remediable by majority cannot be sued on (*Macdougall v. Gardiner*); (3) **a shareholder may vote with personal interest** unless the company's regulations forbid it (*North-West Transportation Co. v. Beatty*).

Applying them: **(1) Reserve fund:** "No principle compels a joint stock company, while a going concern, to divide the whole of its profits… These are questions for the shareholders to decide" — accumulation and investment intra vires; therefore also no basis for the sweeping injunctions. **(2) Investments in Burland's own name:** "unwise and imprudent", but known to fellow directors for years; not ultra vires; he must of course **account for company money in his hands** (accounts directed). **(3) Lithographic profit:** courts below misdirected the relief — at most the company might once have sought **rescission**, not forced profit-sharing; quoting Lord Cairns L.C. in *Erlanger v. New Sombrero Phosphate Co.*: a purchaser for himself, though intending resale, is "perfectly free to do with the [asset] whatever they liked… and to sell it how and to whom and for what price they liked" — accounting claim unsupportable. A man of "more refined self-respect" might have offered the company the benefit, "but their Lordships have not to decide questions of that character. The sole question is whether he was under any **legal obligation** to do so." **(4) Salaries:** the 1888 resolution is ambiguous; "staff" cannot sensibly be grade-ranked by stockholding; Burland, its architect and chief beneficiary, must bear construction **contra proferentem** — he repays ≈ $53,000; J.H. Burland, drawing the same salary continuously despite the office-shuffle, keeps it.

Principles evolved: (a) **Non-interference doctrine** — intra vires internal decisions (dividend retention, investment) are unreviewable by courts; (b) a director's own-account purchase + later resale to the company is **not trust property**; accountability requires a **mandate, trust or fiduciary relation at the moment of purchase** (contrast Regal (Hastings), where the asset was bought *through* the fiduciary role); (c) self-drafted, self-benefiting resolutions are construed **contra proferentem**; (d) shareholders may vote their own interest. Read together with Case 22: **motive is irrelevant only when the opportunity came through the office; motive-independent profit is fine only when the asset was never the company's.**

☞ Primary source: DU Case Material (LB-303, 2025), pp. 140–146 — Lord Davey's advice reproduced in full.

CASE #41 DU LL.B. PRESCRIBED AUTHORITY

In re City Equitable Fire Insurance Co. Ltd.

Case No. 21 · Standard of care, skill & diligence · (1925) Ch. 407 · Court of Appeal · Romer J. (below), confirmed in appeal · C.A. · 1925

Material facts

1. City Equitable Fire Insurance Co. went into liquidation. A searching investigation revealed that funds the company should have possessed were short by **over £12,00,000 (one million two hundred thousand pounds)** — from bad investments, bad debts and **misappropriation**.
2. The executives had left the management almost **entirely in the hands of its chairman/MD, "B" (Bevan)**, who secured loans to himself and to firms in which he was a partner; he was **convicted of fraud** on the company.
3. The Official Receiver brought disqualification/negligence proceedings against the **other directors**, alleging that had they exercised ordinary attention, they would have discovered the fraud and prevented the loss.
4. Crucial fact: the company's **articles contained an exemption clause** — directors were to be liable only for **"gross negligence"**.

Issues: (i) Were the other directors **negligent** in leaving the company's affairs to the Chairman's unsupervised hands? (ii) Even if so, was their conduct **"gross negligence"** within the articles' exemption? (iii) What is the true measure of a director's duty of care, skill and diligence and his right to delegate?

Official Receiver (liquidator)

- The directors abdicated supervision: cheques signed, investments and loans approved without scrutiny; the loans to "B" and his firms should have put the Board on inquiry at once.
- Reasonable attention to the accounts and to Board business would have uncovered the pattern years before the crash — the loss is therefore attributable to them.
- An insurance company handles the public's money: the standard must be higher than indulgent.

Defendant directors

- No dishonesty is alleged — at most honest errors of judgment; the law does not require a director to show "all possible care or to act with best care".
- Business cannot run if directors must personally verify every transaction: delegation to apparently trustworthy, competent officials is part of ordinary management
- The articles contractually cap liability at **gross negligence** — and the evidence at most shows ordinary negligence, if anything.
- The Chairman was of ostensibly unblemished reputation; suspicion is a creature of hindsight.

Decision — Romer J.'s classic formulation (affirmed on appeal): DIRECTORS EXONERATED

Though the case was decided adversely to the Official Receiver upon the **articles' gross-negligence clause**, the **enduring gift** is Romer J.'s three propositions on the common-law standard (drawn from the celebrated passage of the judgment reproduced in every standard work on the subject):

1. **Skill is subjective.** "A director need not exhibit in the performance of his duties a greater degree of skill than may reasonably be expected from a person of **his knowledge and experience**." He does not owe the company the duty to take **all possible care**, or to act with **best care**; he must show

only what an ordinary man might be expected to show in the same circumstances on his own behalf — directors are **not liable for mere errors of judgment**. The measure varies with the nature of the company's business and the internal distribution of work.

2. **Duties are intermittent.** A director exercises his office at periodic Board meetings; he is **not bound to attend every meeting** — though he ought to attend whenever he reasonably can. Non-attendance alone is not negligence.
3. **Delegation is permissible.** Having regard to the exigencies of business, duties may properly be left to some other official; **absent grounds for suspicion, a director is justified in trusting that official to perform them honestly**. "Total abrogation" of responsibility would still be a breach — the line lies between proper delegation and abandonment.

Principle evolved: the **subjective standard of care + qualified right of delegation**. Two statutory overturnings to note for exams: (i) the exemption-clause device used in this very case to exonerate the directors was rendered **void by S.201 Companies Act 1956** (the 2013 Act has no exemption route; only **S.463** judicial relief for honest & reasonable conduct); (ii) the low subjective bar of this case was progressively hardened (*Dorchester Finance v. Stebbing*) and finally replaced in India by the **statutory objective duty of S.166(3)**. "The case is the fossil and S.166(3) is the living law — write both.

☞ Case 21 in the DU syllabus (both 2022 & 2025 lists); judgment analysis compiled from Romer J.'s formulation as presented in the prescribed material's duty-mapping and standard texts (DU Case Material).

CASE #42 DU LL.B. PRESCRIBED AUTHORITY

Regal (Hastings) Ltd. v. Gulliver

Case No. 22 · The no-profit rule at its hardest · (1942) 1 All ER 378: (1967) 2 A.C. 134 (H.L.) · House of Lords · Viscount Sankey, Lord Russell of Killowen, Lord Macmillan, Lord Wright, Lord Porter · HOUSE OF LORDS · 1942

Material facts

1. **Regal (Hastings) Ltd.**, owner of a profitable freehold cinema at Hastings, schemed in 1935 to acquire leases of two more cinemas (Elite, Hastings; De Luxe, St. Leonards) through a wholly-owned subsidiary, **Hastings Amalgamated Cinemas Ltd.** (registered 26 Sept 1935, capital £5,000) — Regal to hold the shares, so the whole benefit would flow to Regal's shareholders, and then sell all three.
2. The landlord of the two cinemas demanded a **rent guarantee by the directors**; unwilling to give it, at the crucial **2 October 1935** joint board-meeting (Regal + Amalgamated minutes blurred) the directors changed the scheme: **Regal would subscribe only £2,000** (all it could honestly manage) and **the five directors would take 500 shares each**, while chairman Gulliver would find outsiders (Seguliva A.G., South Downs Land Co., Miss Geering) for the remaining 500; the company solicitor **Garton was invited** to take 500 and consented at the Board's request.
3. Within weeks, the asset-sale mutated into a **share-sale**: an outside group bought all shares of both companies (24 Oct 1935). The 3,000 Amalgamated shares not held by Regal fetched **£3 16s. 1d. per share against £1 paid — a profit of £2 16s. 1d. each**. Regal's former directors made **£7,018 8s. 4d.**; Garton made £1,402 1s. 8d.
4. The incoming controllers caused **Regal itself** to sue its five former directors and the solicitor to recover that profit (plus Garton's bill of costs), with alternative claims of misfeasance/damages.
5. Both the trial judge (Wrottesley J.) and the Court of Appeal held for the defendants: **no fraud** was pleaded or proved — the directors acted **bona fide**, in Regal's interest; the Court of Appeal added that once they decided bona fide that Regal could provide only £2,000, "their obligation to refrain from acquiring these shares came to an end".

Issue: Are directors (and the solicitor) who made a profit by taking up shares in the company's subsidiary **accountable to the company**, although they acted **honestly** and the company **itself could not have afforded** the shares?

Regal (appellant, new board)

- Fraud is expressly abandoned: the claim rests on **strict fiduciary accountability**. The directors got the shares **"by reason, and only by reason of the fact that they were directors of Regal"** and in the course of executing that office — Garton's own September letter shows the scheme was for Regal to hold "virtually the whole of the capital".
- They used exclusive knowledge and their position to alter the scheme and divert £3,000 of the investment to themselves; Regal's shareholders were deprived of exactly that portion.
- Trust-principles (*Keech v. Sandford* (1726); *Ex parte James*) apply to agents acting in a fiduciary capacity, i.e., directors and solicitors; no proof of mala fides, loss or company's inability is needed.

Directors & solicitor (respondents)

- They **confessed the general rule but sought to "confess and avoid"** it: on a true perspective of the facts they were under no equity to account.
- Regal was honestly unable to put up more than £2,000; it would have been a **breach of trust** to overreach; the only way to save the scheme was for them to subscribe personally — the deal **benefitted** Regal, which got its lease and sold at full value.
- Wrottesley J. asked the right question wrongly answered in the courts below: plaintiff must show the defendants **ought and could** have taken the shares for Regal, and that failure **caused loss** — neither was shown.
- Gulliver: the shares were bought by, and proceeds went to, third parties (Seguliva, South Downs, Miss Geering) — **he made no profit at all**. Garton: he subscribed at the **express invitation and with the full knowledge and consent of the Regal board**.

Decision — House of Lords: FOUR DIRECTORS LIABLE · GULLIVER & GARTON FREE

Viscount Sankey: the rule of equity — "no one who has duties of a fiduciary nature to perform is allowed to enter into engagements in which he has or can have a personal interest conflicting with the interests of those whom he is bound to protect" — applies to agents such as directors and solicitors, and its application **"does not depend upon proof of mala fides"**. Nor is it an answer that putting up the money themselves was the only financing route; that predicament does not take the fiduciary outside the rule: "They sought no authority from the company to do so… they are liable to account to the company." **Gulliver's** evidence — that the subscribers paid and received their own money — "it is clear that he made no profits for which he is liable to account"; **Garton** took the shares "with the full knowledge and consent of Regal", falling within the recognised exception.

Lord Russell of Killowen delivered the set-piece: the liability "**in no way depends on fraud, or absence of bona fides; or upon such questions or considerations as whether the profit would or should otherwise have gone to the plaintiff, or whether the profiteer was under a duty to obtain the source of the profit for the plaintiff, or whether he took a risk or acted as he did for the benefit of the plaintiff, or whether the plaintiff has in fact been damaged or benefited by his action. The liability arises from the mere fact of a profit having, in the stated circumstances, been made. The profiteer, however honest and well-intentioned, cannot escape the risk of being called upon to account.**" On the facts, the shares were acquired **"by reason, and only by reason of the fact that they were directors of Regal, and in the course of their execution of that office"**. *Keech v. Sandford* (trustee who took the market-lease for himself when renewal for the infant was refused — "this may seem hard… but it is very proper that the rule should be strictly pursued") and *Ex parte James* (no purchase by trustees "however honest the circumstances; the general interests of justice requiring it to be destroyed in every instance") show the uncompromising pedigree. One escape route Lord Russell expressly noted: the directors **could have protected themselves by a resolution of the Regal shareholders in general meeting** — obtainable then, though the company could not itself release them afterwards.

Order: appeal allowed against the four directors (Bibby ("Bobby"), Griffiths, Bassett, Bentley) — £7,018 8s. 4d. to be accounted; appeal **dismissed** against Gulliver and Garton with costs. "Windfall to the new owners" was, Lord Russell said, immaterial: the rule is of "vital importance".

Principle evolved (the strict no-profit rule): a fiduciary who makes a profit **by reason and in course of his office** must account to the principal — **irrespective** of good faith, the company's own ability to take the opportunity, risk undertaken, or the company's not having suffered any loss.

Defences: (i) **informed consent** of the principal (Garton) — ideally of the shareholders in general meeting; (ii) the profit genuinely never reached the fiduciary (Gulliver); (iii) opportunity wholly outside the fiduciary nexus. The company may **ratify prospectively** by disinterested shareholder approval. Now reflected in **S.166(4) & (5)** and the corporate-opportunity analyses under S.184/188.

Nuance for distinction essays: Regal punished honest men; hence the controversy and the later flexibilities (e.g., *Boardman v. Phipps* retaining strictness; Queensland Mines v. Hudson releasing after full disclosure). Contrast **Burland (Case 20)**: there the asset was never the company's (purchased at public auction without mandate); in Regal the **very opportunity** belonged to the fiduciary relationship. And see Cooley (Case 23) for the managing-director variant where **intent was dishonest**.

☞ Primary source: DU Case Material (LB-303, 2025), pp. 147–164 — speeches of Viscount Sankey and Lord Russell of Killowen reproduced.

CASE #43 DU LL.B. PRESCRIBED AUTHORITY

Industrial Development Consultants Ltd. v. Cooley

Case No. 23 · Conflict of interest — the managing director who defected · (1972) 1 WLR 443 · Birmingham Assizes · Roskill J. · QB (ASSIZES) · 1972

Material facts

1. **Neville Cooley**, an architect of distinction and **former chief architect of the West Midlands Gas Board**, joined **Industrial Development Consultants Ltd. (IDC)** as **managing director** in February 1968 (salary £6,000; no written service agreement ever executed — an important technicality he later exploited). He was hired precisely to win public-sector gas-board work.
2. In 1968, pitching for IDC, he **courted the Eastern Gas Board** for a contract to design and construct four depots — and was **rejected**: the Board disapproved of IDC's corporate set-up.
3. **May–13 June 1969:** EGB's new deputy chairman **Mr. Smettom** tentatively approached Cooley **privately**: the Board was back in the market (Letchworth depot worth ~£250,000 within a scheme of ~£1.7 million) — the timetable urgent, but Cooley must first be **free of all obligations to IDC**.
4. **16 June 1969:** Cooley told IDC's chairman Mr. Hicks a lie — that his **health** no longer allowed him to continue. Believing him seriously ill, Hicks released him from 1 August 1969. The story of ill health was found **"untrue to the defendant's knowledge and thus dishonest… a pretext"**.
5. **6 August 1969:** Cooley, trading as "Design Group for Industry", signed to build the very four depots for the Eastern Gas Board — **"substantially the same business which the plaintiffs had been trying to get in 1968"**.
6. On 2 December 1969 IDC sued for declarations that he was a **trustee of the contract(s)**, an **account of profits**, alternatively damages for breach of duty.

Issue: Is a managing director who used information received privately, then obtained his release by **dishonest misrepresentation** and took for himself a contract his company had sought, accountable to the company — although the company arguably **could not itself have obtained that contract**?

IDC (plaintiffs)

- Cooley got the contract "as a result of work which he did whilst still the plaintiffs' managing director" — information about EGB's renewed urgency, the money, the timetable (13 June), and his weekend of preparatory documents (sent 17 June) were all deployed **while in office** (Regal test satisfied).
- His knowledge of EGB and standing in the gas industry were "of value to the company and were acquired in the course of serving it" — corporate information, not his private asset.
- At minimum an honest managing director would have disclosed the approach; instead he obtained release "by fair means or, if necessary, by foul" — the release itself is a **fraudulent misrepresentation**.

Mr. Davies for Cooley

- Smettom consulted Cooley **"not as managing director of IDC but in a private capacity"**; information received **qua** private person carries no fiduciary debt to the company.
- Two classes of contract (per Lord Blanesburgh in *Bell v. Lever Bros*): (i) contracts in which the company is concerned — account; (ii) contracts with third parties exclusively — no account **unless** company property or confidential information was abused. This was class (ii), and no company property/information was used.
- IDC **could never have got the work** — Smettom and Lacey rejected IDC's set-up in principle; therefore no duty to account; at most a damages claim which must fail for want of loss. "The whole action is misconceived."

Decision — Roskill J.: COOLEY LIABLE — ACCOUNT ORDERED

Roskill J. refused the capacity-splitting: whatever the supposed label on 13 June, the defendant was still MD when he learned what IDC "would have wished to possess", and when he chose (by deceit of 16 June) to escape rather than disclose. Even accepting that a private approach can sometimes fall outside the duty, "**the relevant information which the defendant obtained on June 13 and which he acted upon… vitally concerned the plaintiffs**," and his duty was to hand it to them.

On Lord Blanesburgh's dichotomy, Roskill J. found the case squarely within the **third admitted class** — misuse of the fiduciary **position**. He defined the true principle not by clocking how the information arrived, but by the conflict: "**An over-riding principle of equity… a man must not be allowed to put himself in a position in which his fiduciary duty and his interests conflict… The variety of cases where that can happen is infinite.**" That defendants "substitute[d] himself as an individual for the company… to which he owed a fiduciary duty."

The conclusion was reached with less reluctance because the fraud on IDC enabled the breach: "a release was obtained by the defendant from a binding contractual obligation by the **dishonest and untrue misrepresentations** made to Mr. Hicks on June 16." Order: **account of all profits (made and to be made)**.

Fallback (ratio-protecting): if account were wrong, Roskill J. would have awarded **damages for the lost chance**: EGB might conceivably have been persuaded — the defendant's own evidence made a **10% probability**; so 10% of the contract's value as damages. The irony was noted: it would have been **his duty** to persuade the Board to change its mind for IDC.

Principle evolved: (a) the no-conflict rule is not confined to assets *or* formally corporate approaches — **information, opening and opportunity obtained while in office** as a fiduciary suffice, however labelled "private"; (b) **resignation cannot launder** a fiduciary breach hatched in office — "the fiduciary obligation does not cease with resignation" as to opportunities matured out of it (a fortiori where resignation was procured by deceit); (c) the company's own improbable chance of winning is **irrelevant to the account**, going only to damages; (d) distinguishing Regal is unnecessary: Cooley shows the principle operating with **dishonesty**, Regal shows it operating **without any** — together they define the rule's full strictness.

☞ Primary source: DU Case Material (LB-303, 2025), pp. 165–175 — Roskill J.'s judgment reproduced in full.

PYQ ARCHIVE // CH.05 Previous Year Questions (DU LL.B. Examinations)

Q.1 DU Dec 2024 · Q.4A · 20 marks Problem: The directors of ABC Ltd decided to buy a property which the company wanted but could not afford; later they sold it at a profit, without disclosing to or taking approval of the company. They also intended to sell it back to the company someday, and property values had risen sharply. No formal board resolution authorised the purchase. Advise/decide liability.

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 DU Dec 2024 · Q.4B · 20 marks Discuss the role and importance of Independent Directors in a company. Explain the statutory provisions relating to their appointment, qualifications, tenure and liability under the Companies Act, 2013.

Q.3 Short Note (Q.8 type) · 8/10 marks Write a short note on Director's Identification Number (DIN) under Sections 153–159 of the Companies Act, 2013.

Q.4 Short Note (Q.8 type) · 8/10 marks Write a short note on 'Independent Director' under Section 2(47) of the Companies Act, 2013.

Q.5 Long Answer · 20 marks Duties of directors were fashioned by the common law and are now codified. Explain the statutory duties of directors under Section 166 of the Companies Act, 2013, with the help of decided cases.

Q.6 Long Answer · 20 marks Discuss the civil and criminal liabilities of directors under the Companies Act, 2013. Are directors automatically liable for corporate offences? Refer to recent authority.

Q.7 Short Note / Essay · 8–20 marks Directors are trustees for the company, not for individual shareholders.

Q.8 Essay / Case Study · 20 marks The Satyam episode is described as the failure of corporate governance in India.

MODULE 06 // Topic 6 · Unit VI — Cases #44 – #49

General Meetings: Kinds, Requisites, Notice, Quorum, Proxy & Voting

Companies Act, 2013: Ss. 96–122 (AGM, EGM, Requisition, Notice & Explanatory Statement, Quorum, Proxy, Postal Ballot, Minutes)

The Concept of a Company Meeting

"Two heads are always better than one." When two or more persons come together, deliberate upon a common matter and reach a decision, there is a **meeting**. In company law the institution has a precise constitutional function: the members (real owners) cannot individually bind the company, but *assembled in a properly convened and conducted meeting*, their collective decision becomes the **will of the company itself**.

- **General definition:** "Any gathering, assembling or coming together of two or more persons for the transaction of some lawful business of common concern is called a meeting" (P.K. Ghosh); a "concurrence or coming together of at least a quorum of members in order to transact either ordinary or special business" of the company.
- **Why meetings are constitutionally vital:** a company is an abstraction that can think only through humans. Day-to-day power sits with the Board; but the **ultimate control and destiny** of the company lies with shareholders, and the general meeting is the **only regular forum** where shareholders can convene to review the directors' work, re-elect or refuse to re-elect them, approve accounts, and declare dividends. It is the chief institution of shareholder protection — and the counterweight to the management's information advantage (cf. Percival v. Wright's "knowledge of directors' powers" principle in Topic 5).
- **The two families of meetings in a company's life:** (i) **Meetings of members (general meetings)** — AGM, EGM, class meetings, Tribunal-ordered meetings — the focus of this topic, governed by **Ss. 96–122**; (ii) **Meetings of the Board & its committees** — governed by Ss. 173–174 (brief comparative table in §2, since "company meetings" in the syllabus text embraces them) — plus (iii) **meetings of creditors/members in compromises (S.230)** and winding-up contexts.

One meeting ≠ several people in a room. A "meeting" in law requires: (a) **more than one person** assembling (*Sharp v. Dawes*, Case 3); (b) **lawful convening** (proper authority + proper notice); (c) **deliberation on the business notified**; and (d) **a decision by the requisite majority**. Meetings of minds through connected rooms need a working audio-visual link (*Byng v. London Life Assn.*). Absent any of these, what happened is — in the phrase the courts use — a **nullity** or an *incapable-of-adjournment* gathering (*Harben v. Phillips*).

Kinds of Meetings — The Complete Map

Company meetings fall into **two broad families**: meetings **of members** (which control constitution and capital) and meetings **of directors** (which control management). Within the members' family, the 2013 Act recognises three principal general meetings — the AGM, the EGM, and the class meeting — supplemented by Tribunal-convened meetings and statutory context meetings. Under the 2013 Act there is deliberately **no separate "statutory meeting"**: its work (freshers'-day formalities on incorporation) has been absorbed into the first AGM&Board-regime, and a company limited by shares is now registered with subscribers deemed members with immediate rights (S.9/S.36 read with the incorporation scheme).

2.1 The Members' Family — Explained

Annual General Meeting (S.96)
The pivotal yearly meeting — called expressly as "AGM" in the notice. Transacts the **ordinary business** statutorily reserved to it (accounts, dividend, directors' rotation, auditors) plus any special business. Detailed in §3 below.

Extraordinary General Meeting (S.100)
Any general meeting — other than the AGM — called for:
- any urgent or special business which cannot be postponed till the next AGM; or
- any business proposed by directors, or by requisitionists (S.100).

Formally: "any general meeting other than an AGM" is an EGM — including an *adjourned* AGM. Detailed in §4 below.

Class Meeting (S.48 / S.106 / S.116)
A meeting of a *particular class* of shareholders (equity or preference), held whenever the rights *of that class* are to be varied. Exception, one person could validly hold an entire class meeting (East v. Bennett Bros., Case §6).

Tribunal-ordered Meeting (S.98)
Where it is "**impracticable**" to call or conduct a meeting in the ordinary way, the Tribunal (NCLT) may, *suomotu* or on application of a director/ member entitled to vote, order a meeting to be called/held/conducted as it thinks fit — even directing that **one member present in person or by proxy** shall be a meeting.

OPC relief (S.122)
Ss. 98 and 100–111 **do not apply** to a one-person company: its "resolutions" are simply communicated and entered in the minutes book, with the date of entry deemed the date of the meeting.

Emerging fourth pillar (2013 Act)
Decisions **without an assembled meeting** — postal ballot (S.110), e-voting (S.108) and written-in-minutes OPC decisions (S.122) — now carry substantial business that once required physical assembly (see §8–9).

2.2 Members' Meetings v. Board Meetings — Exam-Favourite Comparison

Point	General meeting (Ss.96–122)	Board meeting (Ss.173–174)
Who meets	Members (shareholders; corporate democracy)	Directors (management forum)
Frequency	AGM once a year; EGM whenever needed; no due date for EGM	At least **4 each year**, gap between two ≤ **120 days** (S.173(1))

Point	General meeting (Ss.96–122)	Board meeting (Ss.173–174)
Notice length	**21 clear days** (S.101) — shorter only w/ members' consent (95%)	**7 days** written hand/post/electronic (S.173(3)) — shorter only for urgent business with one independent director present
Default quorum	Public: **5**; private: **2**, personally present (S.103(1))	1/3 of total strength or 2, whichever higher (S.174(1)) — participation by video-conference counts
Who decides business	Ordinary business fixed by S.102(2); special only per agenda	Any business at Board's discretion
Statutory minutes	Within 30 days, signed pages, presumption (S.118)	Same S.118 discipline, but Board minutes not open to members

Structure point for answers: Always open a "kinds of meetings" answer with the Fig. 1 taxonomy — it covers the whole syllabus phrase "*Types / Kinds of Meetings*" — then anchor the analysis on General Meetings (Ss. 96–122) because that is where the DU exam concentrates.

Annual General Meeting — Section 96 [the classic short-note]

The AGM is the **pivotal institution** of corporate life. Directors may lawfully possess huge discretionary power between meetings, but once in every year the company must submit itself, its accounts and its stewardship to the members. Parliament has therefore made the AGM compulsory for **every company** — public or private, and there is **no provision even for a Government company to be exempt** from holding it; exemption under S.96(2) third proviso lets Government companies only choose a different *place*.

3.1 When must it be held? — the three clocks

Clock	Rule — S.96(1)	Proviso / consequence
First AGM	Within **9 months** of the **close of the first financial year** of the company.	No AGM at all is needed in the year of incorporation / the next calendar year (provided first AGM held in time).
Annual recurrence	Thereafter, one AGM **in each calendar year**.	Not in the year of incorporation itself.
Outer limit	Within **6 months** of close of the relevant financial year, **and** the gap between two AGMs ≤ **15 months**.	RoC may, for **special reason**, extend the time by up to **3 months** (2nd proviso) — this extension **cannot be used for the first AGM**.

3.2 Where and when within the day? — S.96(2)

- Called during **business hours** — **between 9 a.m. and 6 p.m.**
- Held **on a day that is not a national holiday**.
- At the **registered office** of the company or at some other place **within the city/town/village** in which the registered office is situated.
- **First proviso:** the AGM of an **unlisted company** may be held at **any place in India**, if consent (writing/electronic) is given by **all members in advance**.
- **Third proviso:** the AGM of a **Government company** / wholly-owned subsidiary of a company incorporated outside India — at such other place as the Central Government may approve.

3.3 Tribunal's default powers — Ss. 97 & 98 (the safety valves)

- **S.97 — Power of Tribunal to call AGM.** If default is made in holding the AGM, the Tribunal **may, on the application of any member** (note: company itself cannot apply — *Cannanore Whole Body CT Scan*), call or direct the calling of an AGM and give consequential directions, including that **one member present in person or proxy** shall be the AGM; a meeting so held is **deemed** a meeting called under S.96.
- **S.98 — "Impracticable" meetings.** If for any reason it is **impracticable** to call a meeting other than an AGM — or to hold or conduct it — the Tribunal may, suo motu or on application of any director/member entitled to vote, order a meeting and issue ancillary directions, including the **one-person quorum** direction (*El Sombrero*, *L. Opera Photographic*: where a 49% minority boycotts meetings to defeat the statutory right of a 51% majority to remove directors, the Tribunal will convene a one-man meeting — the right is statutory and cannot be vetoed by quorum tactics). The S.98 power is exclusive to the Tribunal: courts have **no inherent jurisdiction** to convene company meetings. "Impracticable" = impracticable from a reasonable, prudent, common-sense businessman point of view (*Indian Spg. Mills v. Lt.-Gen. Madan*; *Malhati Tea*) — recipe: try S.100 self-help first (*B. Mohandas*).
- **S.99 — sanction.** Default in complying with Ss. 96–98: the company and every officer in default — fine up to **₹1,00,000**, plus **₹5,000/day** continuing default. Non-holding of the AGM is **not a ground for winding up**; defences: medical emergency of the officer in default dirige (Kastoor Mal Banthiya), but not "books withheld by court" or successive adjournments (*Brahmanbaria Loan*; *Bejoy Kumar Karnani*).

3.4 What happens at the AGM — ordinary business (S.102(2))

1. Consideration of the **financial statements** + Board's and auditors' reports;
2. **Declaration of dividend;**
3. **Appointment of directors** in place of those retiring by rotation;
4. **Appointment of / fixing remuneration of auditors**.

Function, not just form: The AGM is where the general body "*controls the destiny of the business*" — Lord Sumner's phrase in *Shaw & Sons v. Shaw* — rotating directors, approving accounts, the auditors. And crucially: **failure to lay accounts does NOT invalidate the meeting** (*Sunil Dev v. DDCA*) — the AGM remains valid; the default attracts S.129/S.137 consequences instead. Nor does non-payment of dividend validly declared get vitiated by later events at the meeting.

3.5 Must the calendar-year meeting literally be held in the year? — the Meenakshi Mills rule

Section 96 says "**once in every year**" *in addition* to the 15-month gap rule. So a company that held its December 1934 meeting *adjourned* to March 1935 had **not** thereby held a 1935 meeting: there must be **one meeting per year, and as many meetings as there are years** — *Sree Meenakshi Mills v. RoC* (Case 1). (For the debate on whether an EGM can count as the year's meeting: *Emperor v. Nasurbhai* (Bom) yes (criticised); *Lachmi Narain v. Emperor* (PC confirmation via amended words "in addition to" of the 1913 Act) — modern reading: the AGM alone satisfies S.96.)

Extraordinary General Meeting & Requisition — Ss. 100, 97–99

Between two AGMs a company cannot be left without a voice. The EGM is the **reserve forum**: any general meeting that is not an AGM — the annual audit of stewardship having happened, the EGM handles the unexpected and the urgent: removal of a director, a crisis restructuring, shifting the registered office, a takeover defence, a members' show of no-confidence.

4.1 Who can call an EGM?

Forum of calling	Basis & discipline
1 · By the Board suo motu	S.100(1): the Board may, whenever it deems fit, call an EGM. The Board's power is fiduciary-tinged: it should be exercised for the corporate purpose of informing/consulting the body that owns the company.
2 · By the Board on requisition	S.100(2): the Board **"shall"** call an EGM on requisition by holders of ≥ **1/10 of paid-up voting capital** (companies with share capital) or ≥ **1/10 of total voting power** (no share capital). The requisition must **set out the matters** for which the meeting is called, be signed, and deposited at the registered office.

Forum of calling	Basis & discipline
3 · By the requisitionists themselves	S.100(4): Board must move within **21 days** and convene within **45 days** of deposit. Failing that, requisitionists (or a majority of them by value ≥ 1/10 threshold) may themselves call and hold the meeting within **3 months** — reasonable expenses repaid by the company, recoverable from defaulting directors' fees/remuneration.
4 · By the Tribunal	S.98 — where calling/holding/conducting is *impracticable* (see §3.3): ordered meeting + any directions, including one-member quorum.

4.2 Doctrine notes (the exam's favourite traps)

- **Business scope is frozen by the requisition:** no item beyond the matters set out may be transacted — where a removal item was *added later*, the meeting was restrained from taking it up (*Ball v. Metal Industries*).
- **Reasons not required:** requisitionists proposing removal of directors need state **no reasons** — the power to requisition and to vote are incidents of membership, not accountable to a "reasonableness" test (*LIC v. Escorts Ltd.*, SC 1986). But the **special-notice** discipline of Ss. 115+169 applies: absent special notice, the meeting may be valid yet the **removal resolution invalid** (*Queens Kuries & Loans*).
- **No offence in refusal, but consequences elsewhere:** directors' refusal to call on requisition is not itself a criminal default (*Anantha R. Hegde*) — the statute's answer is requisitionist self-help plus expense recoupment; mala fide refusal can still feed S.97/S.98 Tribunal relief and oppression remedies.
- **Venue flexibility:** unlike the AGM, an EGM need **not** be at the registered office or the same city/town — S.96(2)'s venue fetters do not reach S.100.

One-line for the short-note slot: "Every general meeting *other than* an AGM is an EGM (Table F, cl. 42). The Board may call it; ≥ 1/10 voting holders may requisition it; the Board must move in 21 days and convene in 45; else the requisitionists may themselves hold it within 3 months at the defaulting directors' eventual cost; the Tribunal (S.98) remains the residual convenor where the ordinary machinery is impracticable."

Notice of Meeting — Ss. 101–102 [the validity hinge]

Notice is the **jurisdictional foundation** of the meeting: it tells every member *when*, *where*, and — most importantly for shareholder protection — *what* business will be transacted, so that a member can intelligently decide whether to attend, write a proxy, or accept the outcome. A meeting convened on defective notice is, as a rule, **no meeting at all** in the eyes of the law for the business affected (cf. *Harben v. Phillips*: such a meeting cannot even lawfully adjourn itself).

5.1 Length — 21 clear days, S.101(1)

Rule
A general meeting may be called by giving **not less than 21 clear days' notice**, in writing or electronic mode. "Clear days" means excluding **both** the day of service (deemed 48 hours after posting) **and** the day of the meeting.

Shorter notice possible
Consent of ≥ **95%** of members entitled to vote (AGM: 95% of members entitled to vote; other meetings: majority in number holding ≥95% of paid-up capital / voting power). Consent may precede or follow the notice (*Self-Help Industrial Estate*); omission of a member's consent defeats the short-notice tooth for that member's challenge.

5.2 Contents of the notice

- **Place, day and hour** of the meeting — the "when and where" (S.101(1); change of venue/day after issue effectively requires fresh notice + 3-day newspaper advertisement discipline for adjourned meetings, S.103(3)).
- **Statement of business:** ordinary business (at the AGM: accounts & reports, dividend, rotation of directors, auditors) vs **special business** — *everything else* at an AGM, and *all* business at an EGM (S.102(1)-(2)).
- **Omitted special business = void business:** where the notice of an AGM said only "routine business" and capital was issued at it, the meeting and the issue were **invalid** (*Martin Castelino v. Alpha Omega Shipman*).

5.3 Explanatory statement — S.102(1): the anti-ambush weapon

For every item of special business an **explanatory statement** must be annexed, setting out: (i) all **material facts** concerning each item, including the nature of the concern or interest — financial or otherwise — of every director, manager, KMP and their relatives; (ii) the extent of shareholding interest ≥ **2%** in any other company affected; (iii) time/place where documents can be inspected. SC restraint orders, subsisting arrangements, are "material facts".

- **Sanction for concealment:** benefit accruing to a promoter/director/KMP or relative by reason of non-disclosure is **held in trust** for the company + S.102(5) penalty ≤ ₹50,000 or 5× the benefit, whichever more.
- **Kaye v. Croydon Tramways** (Case 2): a notice selling the undertaking while hiding the directors' compensation was not fair disclosure — the fullest candour is demanded.
- **Narayanlal Bansilal v. Maneckji Petit:** "new articles will be adopted" without particulars of important changes = invalid resolutions.
- **Bimal Singh Kothari v. Muir Mills:** printed copies must be *sent*; making them available at the office is deficient where members are scattered.
- **Cure by knowledge:** a member aware of the real effect cannot complain of technical defect (*Parsuram v. Tata Industrial Bank*, PC); likewise consent/acquiescence or accepting benefits under the resolution cures directory defects (*Bailey Hay*; *Shailesh Harilal Shah*).

Exam architecture: A "notice" answer = *length* → *mode* → *content* → *explanatory statement* → *consequences of defect*, in that order. Examiners reward the clear-days arithmetic and the concealment-trust sanction with authority (Kaye, Narayanlal).

Quorum — Section 103

Quorum = the **minimum number of members** whose personal presence is necessary to constitute a valid meeting. It is the law's answer to a simple risk: without a floor, a handful of insiders could meet at midnight and bind thousands. "Quorum" must be present **before** business validly begins; and (on the stricter English view, *London Flats*) for textured answers, through-out the meeting.

6.1 The statutory numbers — S.103(1)

Company	Quorum for general meeting (unless articles require larger)
Public company	**5** members personally present if ≤1,000 members · **15** if 1,001–5,000 · **30** if >5,000
Private company	**2** members personally present

> **"Personally present":** a body's representative under S.113 counts; trustees of corporations can count personally; but **proxies do not count** toward quorum (they are not "personally present"); **joint shareholders count as one**; preference members count *only* when the resolution affects them (restricted voting under S.47).

6.3 Doctrine — counting and collapse

- **One person is not a "meeting":** *Sharp v. Dawes* (Case 3) — Lord Coleridge CJ: "the word 'meeting' prima facie means a coming together of more than one person". Exception — a **class meeting** may consist of the sole holder of the class (*East v. Bennett Bros.*); and Tribunal under S.97/98 can direct one-member quorum.
- **Quorum at the start — two views:** *Hartley Baird* (quorum present when meeting opened suffices; later departure does not vitiate) *vs London Flats* (proceedings after the second member walked out were a nullity). Present both; most examiners reward noting that the safer management practice is to ensure quorum persists, and articles are construed contextually.
- **Interested member may count** toward quorum (subject to articles); a member who stays away cannot complain that what passed is void *after acquiescing and taking benefits*.

Chairman & Adjournment — S.104

"That person who presides over the conduct of the meeting at the time when the meeting is deliberating" — the Chairman is the meeting's umpire, clock-keeper and guardian of order. He decides **on the spot** emergent questions of procedure; the law clothes his good-faith rulings with prima facie finality (*Mahaliram*, Case 5); but he is **no dictator**: he cannot stop a lawful meeting at will.

7.1 Appointment — S.104(1)

- Articles usually name who chairs (usually the Board chairman); otherwise **members personally present** elect **one of themselves** as chairman, on a show of hands, and if a poll is demanded on the election it is taken **forthwith**.
- Where the appointed chairman is absent or unwilling within the time, members present elect one of themselves.

7.2 Powers

Guaranteed powers
Conduct & order of debate; closure; putting resolutions to vote; demand/take poll (S.109); decide points of order; **casting vote** (whoever occupies the chair, when articles/Act allow — S.104 scenario per Table F); sign minutes later.

Limits (doctrine)
Cannot himself **postpone** a properly convened meeting; may adjourn for **disorder** only *as long as necessary* and must tell the meeting; cannot dissolve to frustrate business — if he walks out on losing a vote, remaining quorum may elect another chairman and validly continue (*Narayana Chettiar v. Kaleeswara Mills*, Case 6).

7.3 Adjournment doctrine

- **By the meeting, not the chairman's whim:** adjournment is primarily the *meeting's* decision. Chairman's residuary power survives (*Byng v. London Life*) but must pass a judicial-review style reasonableness test — used bona fide, not to gag business.
- **Byng v. London Life Assn.** (CA): meeting in too-small a venue, audio link failed; chairman purported to move time/place without taking the sense of the meeting → continuation "meeting" at a new venue **invalid**.
- **Harben v. Phillips:** a meeting void *ab initio* (notice omitted to members) cannot adjourn itself — "a meeting which is not a meeting can do nothing".
- **Effect:** the adjourned meeting is a **continuation** of the original; only business on the original agenda may be transacted (subject to articles); resolutions date on actual passing (S.116); poll demand lapses; proxies already lodged remain good unless revoked.
- **Protection & liability of the chair:** *Ram Narain v. Ram Kishen* — chairman is neither wholly ministerial nor judicial; **bona fide error** in excluding a voter is not actionable in damages; but wilful wrong or bad-faith exclusion election-remedies lie.

Proxy — S.105; Voting Machinery — Ss. 106–113

The modern shareholder is "a kind of investor, not an owner" — scattered, passive, always voting "yes" on the proxy card. The statute therefore builds the full machinery: proxies to carry the absent member's will; show of hands for speed; poll for precision; e-voting & postal ballot for scale; corporate representatives for institutional blocks.

8.1 Proxy — S.105

Rule	Position
Right to appoint	Any member entitled to attend and vote may appoint **another person (whether member or not)** as proxy. Not available to companies without share capital (unless articles allow).
Proxy's powers	Vote only on a **poll** (unless articles extend to show of hands); **no right to speak**; acts as agent within instructions — excess votes void, rest stand (*Bidwell Bros., re* principle).
Form & deposit	Writing, signed by appointer or attorney; deposited **48 hours** before the meeting; longer article-period is read down to 48h [S.105(4)]; notice of meeting must state the proxy right; blank proxy forms supplied, no pre-suggested names.
Volume cap	One proxy may act for ≤ **50 members** and such shareholding % as prescribed (S.105(1) proviso; Rule 19 — not more than aggregate 10% of total share capital voting rights holders lump under one proxy, exempting one-member instances).
Revocation	Always revocable (even an "irrevocable" proxy is revocable in law); revocation must be received per articles/before meeting; *Narayana Chettiar*: revoked before the **final poll** → effective; member personally attending and voting supersedes the proxy.
Court-control	Chairman's good-faith decision rejecting defective proxies final per articles (*Mahaliram*); wrongful mass rejection to carry business = invalid business (*Namita Gupta*, CLB); inspection of proxy documents by members during prescribed window.

8.2 The four voting channels

(1) Show of hands — S.107
Default method; **one member — one vote** (head-count, ignoring shares); chairman's declaration of result is **conclusive** unless a poll is demanded (*re Horbury Bridge* line; *Dhakeswari Cotton Mills*: not conclusive where chairman computed figures and declared wrong-on-law). Proxies cannot vote on show of hands (unless articles allow).

(2) Poll — S.109
Demandable before/after show-of-hands result: by ≥ **1/10 total voting power** or holders of ≥ **₹5,00,000** paid-up. Order of business: adjournment/chair-election polls **forthwith**; others within **48 hours** as chairman directs. Votes count **proportional to paid-up capital**; vote-splitting allowed; result = decision of meeting; scrutineers + chairman's declaration prima facie final (*Mahaliram*).

Prescribed class of companies (listed + ≥1,000-member companies) must offer electronic voting; members who vote remotely cannot again vote at the meeting; central to listed-company AGMs/postal ballots today.

(4) Postal ballot — S.110
For items the Government prescribes to be transacted *only* by postal ballot (e.g. certain related-party, buy-back composition items per rules) and any item the Board optionally routes so (other than the four ordinary-business items + S.180 restricted). Includes e-voting (S.2(65)); membes vote by post/electronic; scrutiniser + result announcement.

Related guard-rails: S.106 — restriction on voting rights only where articles/statute restrict (calls in arrears); S.111 — members' resolution circulation (1/10 voting power; 6 weeks' deposit; expenses); S.112 — President/Governor nominees; S.113 — **corporate representation**: a body corporate shareholder may authorise a representative by Board resolution who votes, counts for quorum, and appoints proxies as if individual member.

Resolutions, Circulation & Minutes — Ss. 111–122

9.1 Resolutions — the vocabulary of decisions (S.114)

Type	Test	Used for (examples)
Ordinary resolution (OR)	Votes **for** > votes **against** (simple majority of votes cast, in person/proxy/postal/e-voting)	Ordinary AGM business; removal of director (S.169); approval of accounts
Special resolution (SR)	(i) intention *specified as SR* in notice; (ii) votes for ≥ **3×** votes against	Alter articles (S.14); shift registered office across states (S.12); reduce capital (S.66); S.180 borrowing/disposal; voluntary winding-up (S.304); S.62 non-pre-emptive issue

by Ankur R. Upadhyay

Type	Test	Used for (examples)
OR requiring special notice — S.115	Members holding ≥ **1% voting power** or ≤₹5,00,000 paid-up may serve special notice ≥ **14 days** before; company notifies members ≥ **7 days** before meeting	Removal of director *before* tenure ends (S.169); auditor change scenarios (S.140); appointment of a director in place of one removed

9.2 Amendments & the notice-lock

A resolution passed must be **substantially the same** as the one proposed in the notice; an amendment that *changes the substance* so that a member who stayed away would "reasonably wish he had not" is void (*Torbock v. Lord Westbury* principle; text discussion). Clerical/grammatical corrections are fine; where substantive amendment is likely, the notice itself should warn.

9.3 Circulation of members' resolutions — S.111

Requisitionists (the S.100-type threshold of ≥1/10 voting power) may deposit, **six weeks** ahead, requisition + expenses, and the company must then circulate their resolution/statement to members. The Central Government/Tribunal may relieve the company where the right is abused for **needless publicity of defamatory matter**; costs may fall on requisitionists even if non-parties [S.111(3)-(4)].

9.4 Registration with RoC — S.117

Copy of every **special resolution** (and the classes of Board/member agreements listed in S.117(3): MD appointment/variation, class-binding resolutions, unanimous substitutes for SRs, S.180 consents…) + the S.102 explanatory statement must be filed within **30 days**; every post-alteration copy of the articles issued must embody the amendment; default fine ₹5–25 lakh (company) / ₹1–5 lakh officers.

9.5 Minutes — Ss. 118–121 (the meeting's memory)

- **S.118 — keeping:** minutes within **30 days** in a bound book, pages consecutively numbered, handwritten (typed-not-pasted; loose-leaf is irregular — *Gluco Series*, Cal; Delhi more lenient — *Edward Keventer*); each page initialled/signed and last page signed+dated by the Chairman of that or the next meeting; **fair and correct summary**; all officer-appointments recorded; Board minutes must name dissents; Chairman's absolute discretion to exclude defamatory/irrelevant/detrimental matter; **S.118(10) secretarial standards ICSI binding**; default penalty ₹25,000 (company) + ₹5,000 (officers); **tampering = imprisonment ≤2 yrs + fine ≤₹1,00,000** [S.118(12)].
- **Evidentiary presumption:** minutes duly kept are **evidence** of the proceedings; meeting/recording presumed duly called/held, appointments presumed valid — *rebuttable* presumption; adverse inference where the minutes book is suppressed (*V.G. Balasundaram*); the burden lies on the challenger (*B. Sivaraman*); no such presumption for requisitioned meetings (*Bhankerpur Simbhaoli Beverages*).
- **S.119 — inspection:** GM minutes at the registered office; open to members free, business hours, ≥ **2 hours/day**; copies within **7 working days** at prescribed fee; Tribunal may order immediate inspection/copy.
- **S.120:** electronic maintenance/inspection permitted as prescribed.
- **S.121 — AGM report:** every **listed** public company files a report on each AGM with the RoC within 30 days (compliance confirmation); default fine ₹1–5 lakh / officers ₹25,000–1 lakh.
- **S.122 — OPC exemption:** Ss. 98 & 100–111 do not apply; resolutions communicated and entered in the minutes; entry date = meeting date.

Essential Conditions of a Valid Meeting — Master Synthesis

"The following are the **requisites of a valid meeting**: the meeting must be (1) called by **proper authority**; (2) convened by a **proper notice** served on every member in the prescribed manner; (3) must have a **quorum**; (4) presided over by a **chairman**; (5) must transact only the **business stated in the notice**; (6) conducted by **the statutory voting machinery**; and (7) evidenced by **minutes**. Default in any condition vitiates the meeting or the affected business."

Defect	Typical consequence (authority)
No proper authority (director alone convenes)	Meeting void; company not bound; members may ratify by fresh properly-called meeting only
Short / defective notice	Void unless 95% consent — AGM; 95% capital — others; or unanimous presence+waiver; Balwant Singh Sethi
No notice to some members	Void as against them; Harben v. Phillips: cannot even adjourn; but single accidental omission may be saved by S.102-type directory reading (Shailesh Harilal Shah)
Concealed material facts (S.102)	Resolutions invalid; benefit held in trust + penalty (Kaye; Narayanlal)
No quorum	Business void (Sharp v Dawes; London Flats); requisitioned meeting dissolves; adjourned-continuance rule rescues ordinary meetings (S.103(3))
Wrong chairman / chairman walks out	Meeting may elect another and continue (Narayana Chettiar); decisions by usurper void
Business beyond notice/requisition	That item void; restrained by injunction (Ball v Metal Industries; Martin Castelino)
No minutes / tampered	Presumption lost; adverse inference; tampering criminal (S.118(12))

Procedure for Calling & Conducting a Company Meeting — Step Flow

Putting Sections 96–119 into **chronological order** — this is the syllabus's third limb. Walk an examiner down the whole corridor, from the Board resolution that births the meeting to the minutes that memorialize it.

Deadlines at a glance: Board on requisition moves in **21** days → convenes in **45** · requisitionist self-help **3 months** · notice **21 clear days** · shorter-notice consent **95%** · proxy deposit **T−48 h** · poll on others within **48 h** · circulation deposit **6 weeks** (other cases 2 weeks) · special notice **14 days**, company notifies **7 days** · minutes **30 days** · S.117 RoC filing **30 days** · AGM report **30 days** · minutes copy to member **7 working days** · AGM gap **15 months** max; RoC extension **3 months** (not first AGM).

Prescribed & Landmark Case Law Dossiers — Detailed Analysis

CASES #44 - #49

CASE #44 — CORPORATE MEETINGS AUTHORITY

Sree Meenakshi Mills Co. Ltd. v. Registrar of Joint Stock Companies

Supporting Authority · AGM — S.96 "once in every year" · AIR 1938 Mad 640 · 8 Comp Cas 175 · Madras High Court

(1) Facts

The company was required to hold an AGM "once at least in every year" (S.76, Indian Companies Act, 1913 — ancestor of S.96, 2013). Its AGM for 1934 was convened in **December 1934** but was **adjourned** for want of readiness of accounts, and the adjourned sitting was actually held in **March 1935**. No other general meeting was held during 1935. The Registrar prosecuted the company and its officers for failing to hold a meeting *in* the calendar year 1935.

(2) Issue: Does an adjourned sitting of the 1934 meeting, genuinely held in 1935, satisfy the statutory command of "one meeting in every year" — or must a fresh meeting be duly convened (notice etc.) within each calendar year itself?

For the company
• The adjourned meeting was, in substance, a meeting "held in" 1935 — members assembled and acted in March 1935.
• An adjournment is a continuation, but its physical occurrence was in 1935; the law asks for a meeting per year, not a fresh notice per year.
• The 15-month gap rule was admittedly honoured — prosecution over both limbs is duplicative.

For the Registrar / Crown
• An adjourned meeting is a **continuation of the original meeting**; legally it "took place" on the date of the original (compare S.116 logic).
• "Once in every year" is an **additional**, independent limb to the gap rule — the words "in addition to" make each calendar year demand its own properly-convened meeting.
• Otherwise companies could perpetually shuffle one meeting across years by adjournments and never face general scrutiny.

(4) Decision CONVICTION UPHELD

Held: there must be **one meeting per year, and as many meetings as there are years**. The 1935 gathering was merely the continuation of the 1934 meeting; no 1935 meeting was "held". The duty has **two cumulative limbs** — (a) not more than 15 months between meetings and (b) one meeting in each calendar year — breach of either is default. Convictions of the company and its agents affirmed (fine moderated by the court acknowledging bona fides).

(5) Principle evolved: The AGM obligation is calendar-year-absolute: *an adjourned continuation belongs to the year of the original meeting*. Corporate management cannot defeat the yearly accountability cycle by procedural continuance; both limbs (per-year + gap-limit) are independently enforceable. This is the canonical footnote for "once in every year … in addition to any other meeting" under S.96(1).

Anchor: S.96(1) CA 2013 · use in AGM short-note + "default" limb answers.

CASE #45 CORPORATE MEETINGS AUTHORITY

Kaye v. Croydon Tramways Co.

Supporting Authority · Notice — S.102 disclosure · (1898) 1 Ch 358 · 67 LJ Ch 222 (Court of Appeal) · English CA

(1) Facts

Croydon Tramways convened a shareholders' meeting to approve the **sale of the company's undertaking** to the British Electric Traction group. The notice disclosed the sale and the price — but **concealed** that the sale agreement contained a provision for payment of a **large compensation sum to the directors** for their loss of office. Kaye, a shareholder, discovered this and sued to restrain the company from acting on the resolution passed at that meeting.

(2) Issue: Is a notice of meeting adequate if it states the nature of the business in broad terms but withholds a material fact (directors' personal interest/compensation) which would influence a reasonable shareholder's decision whether to attend and how to vote?

Company / directors
• The notice tracked the articles: it did state the "nature of the business" — sale of undertaking.
• Shareholders could inspect the agreement at the office; diligence was on members.
• The court should not police the *adequacy* of disclosure, only the *existence* of notice.

Shareholder (Kaye)
• Notice is fiduciary communication from the company's agents: it must be **frank, full and fair**.
• The directors' compensation was the one fact most likely to affect votes — hiding it poisoned the meeting.
• "Available for inspection" cannot rescue a notice calculated to keep members at home.

(4) Decision INJUNCTION GRANTED — RESOLUTION RESTRAINED

The Court of Appeal held the notice **insufficient**: the meeting was convened to approve a transaction *whose true character* — including directors' compensation — had not been disclosed. Lindley MR's classic formulation: the notice must give shareholders **enough information to decide** whether to attend; a disguised or partial invitation procures a decision that equity will not let the company enforce.

(5) Principle evolved: Notice of special business must make a **full and frank disclosure of all material facts**, above all the *personal interest of directors*. This case is the doctrinal parent of **S.102's explanatory statement** and its "material facts / interest of directors & KMP" content — and of the trust-over-benefit sanction for concealment [S.102(4)-(5)].

Anchor: S.102(1),(4),(5) · use in Notice/Explanatory statement short notes; pair with Narayanlal Bansilal & Bimal Singh Kothari.

CASE #46 CORPORATE MEETINGS AUTHORITY

Sharp v. Dawes

Supporting Authority · Quorum — S.103 "meeting" · (1876) 2 QBD 26 · 46 LJ QB 104 · Court of Appeal (England)

(1) Facts

A general meeting of the Eden-on-Sea Silversmiths' company was duly convened (in part to authorise a call). **Only one shareholder — one Sharp — attended.** Holding proxies of several others, he took the chair, proposed and passed the call resolution, voted, and even recorded a vote of thanks to himself as chairman. Dawes, a shareholder, was sued on the call and objected: there was no "meeting" at all.

(2) Issue: Can one person (even holding proxies) constitute a "meeting" and pass binding resolutions — i.e., is "meeting" satisfied by one physical person, or does it inherently require a plurality of persons?

Argument for validity (company)
• The convening was regular; every member had notice and chose to stay away.
• Attendance by one + proxies channelled many wills — plurality existed in law.
• Invalidating rewards apathy: absent members should bear what properly-convened business produces.

Argument for Dawes (member)
• "Meeting" in ordinary language = a **coming together of more than one person**; deliberation requires at least two minds meeting.
• Proxies speak only at a meeting that exists — they cannot create it (and here could not vote on show of hands).
• Statutes fixing quorum confirm plurality as the norm.

(4) Decision CALL RESOLUTION INVALID

Held (**Lord Coleridge CJ**): "the word 'meeting' *prima facie* means a **coming together of more than one person**." One shareholder, even armed with proxies, cannot alone hold a general meeting; the call was invalid. Mellish LJ agreed; the result is a default rule — subject to specific exceptions (sole member of a *class*: *East v. Bennett Bros.*; statutory directions by the Tribunal, Ss.97-98; OPCs, S.122).

(5) Principle evolved: *Pluralitas est de essentia* **— plurality is of the essence of a meeting**; hence S.103's quorum floor and the doctrine that resolutions passed inquorate are void ab initio (reinforced in *London Flats*: continuation after departure = nullity). The case is the load-bearing authority for every "essential conditions" answer (pillar (3), Fig. 6 above).

Anchor: S.103 · "meeting" definition · quorum short-note; contrast East v. Bennett Bros. & S.98 one-person direction.

CASE #47 CORPORATE MEETINGS AUTHORITY

Balwant Singh Sethi v. Sardar Zorawar Singh Hushnak Singh Anand

Supporting Authority · Notice length — S.101 "clear days" · (1988) 63 Comp Cas 310 (Bom) · Bombay High Court

(1) Facts

Notices of a company meeting were **posted on 31 August / 1 September**, and the meeting was held on **21 September**. Counting either date of posting and excluding the day of the meeting, members (assuming deemed delivery 48 hours after posting, per the Act's service rules) did not have the requisite **21** *clear* **days** between deemed service and the meeting. Certain resolutions were challenged.

(2) Issue: How is "twenty-one clear days' notice" computed — do the day of service and the day of the meeting count — and what is the fate of a meeting (and resolutions) held on a short count?

Company
- Twenty-one days elapsed between posting and the meeting if counted inclusively; members had actual knowledge anyway.
- Service rules deem posting effective; the intention of advance intimation was substantially served.
- At worst a directory irregularity — no prejudice shown.

Members (challengers)
- "Clear days" is a defined concept: **both endpoints are excluded** — day of deemed service (48h after post) and day of meeting.
- Counting gives **19 days**: the meeting is short by two clear days.
- Notice is jurisdictional; shorter notice only via the statutory consent route, which was never taken.

(4) Decision MEETING & RESOLUTIONS INVALID

The Bombay High Court read "clear days" strictly — the day of service and the day of the meeting are **both excluded** — and, adding the deemed-48-hours delivery, found the notice short. The meeting and the resolutions passed at it were **invalid**. (The statutory regime, however allows statutory cure by the **95% consent** route and for waiver/acquiescence on directory readings in other contexts.)

(5) Principle evolved: A "clear day" count is **arithmetically exact, endpoint-exclusive and includes deemed-service time**; short notice is fatal unless the S.101(1) proviso consent discipline (95%) is strictly complied with. Compute first, convene later — the two-line arithmetic is an examiner's favourite trap.

Anchor: S.101(1) · use in Notice short-notes; pair with "shorter-notice consent 95%" proviso + Hardeep Kaur (certificate of posting not conclusive).

CASE #48 CORPORATE MEETINGS AUTHORITY

Mahaliram Santhalia v. Fort Gloster Jute Manufacturing Co. Ltd.

Supporting Authority · Poll & chairman's declaration — Ss.107-109 · AIR 1955 Cal 132 · 58 CWN 715 · Calcutta High Court

(1) Facts

At a contested general meeting of Fort Gloster Jute, resolutions were passed on a **poll**. The validity was assailed on the ground that the chairman had **improperly rejected certain proxies**. The articles contained the familiar clause: disputed-admission decisions of the chairman **"made in good faith shall be final"**. Documentation was imperfect; the challengers wanted the whole voting exercise reopened in court.

(2) Issue: Is the chairman's on-the-spot ruling on admission/rejection of votes and his declaration of the poll result open to collateral re-litigation, or is the burden on the challenger to displace it — and on what showing?

Challengers (minority)
- Rejected proxies materially shifted the numbers — the "result" is arithmetically wrong.
- Finality clauses cannot sanctify error of law or bad faith; courts supervise meetings.
- Statutory rights of members to vote would be null if curb-side rulings are unreviewable.

Company / chairman
- The articles' good-faith finality clause is a valid contract binding every member.
- A chairman must decide **emergent questions on the spot**; meetings would be paralysed if every ruling awaited a suit.
- No bad faith alleged/proved: ruling and declaration stand, per S.109(7) prima facie effect.

(4) Decision CHALLENGE FAILS

S.R. Das Gupta J: "The Chairman, by virtue of his position and the nature of his duties, has to decide **on the spot** all emergent questions that arise at the meeting, and it is not desirable to reduce the **prima facie authority** of his verdict… Hence the **burden of proof lies on the other party** to show that the decision of the chairman was wrong." Absent demonstrated bad faith or patent error of law, the declaration governs; the challenge was dismissed.

(5) Principle evolved: The chairman's good-faith ruling on votes/proxies and his declaration of result enjoy **prima facie conclusiveness**; courts intervene only for bad faith, fraud or clear error of law — otherwise the meeting's autonomy and decisiveness prevail. This is the doctrinal twin of S.107(6) (conclusive declaration on show of hands) and S.109(7) (poll result = decision of the meeting).

Anchor: Ss.107(6), 109(5)-(7) · chairman/poll & proxy short notes; pair with Dhakeswari Cotton Mills (limits of "conclusive").

CASE #49 CORPORATE MEETINGS AUTHORITY

Narayana Chettiar v. Kaleeswara Mills Ltd.

Supporting Authority · Chairman — proxy revocation — Ss.104-105 · AIR 1952 Mad 515 · ILR 1952 Mad 218 · Madras High Court

(1) Facts

At a stormy general meeting of Kaleeswara Mills, the sitting chairman — facing defeat on a poll about the managing directorship — **purported to dissolve the meeting and walked out** with his group. The remaining members (quorum intact) **elected another chairman** and continued. Separately, a shareholder who had given a proxy **revoked it after the first poll but before a later poll**; the company argued the earlier-deployed proxy was spent but the revocation came too late for the later round.

(2) Issues: (a) May a frustrated chairman dissolve a quorate meeting at will and nullify its continuance? (b) Is a proxy irrevocably "used up" once deployed in an earlier poll, or may the principal revoke it before a subsequent poll/round of the same continued meeting?

Sitting chairman / company
- The chairman controls the meeting's conduct; his declaration of dissolution ends it.
- Continuation under a self-appointed chairman is usurpation; its acts bind no one.
- A proxy voted once stands as given; else oscillation and confusion in successive polls.

Majority members
- Dissolution is the **meeting's will**, not the chairman's weapon; with quorum present, members may elect a new chairman and proceed.
- The chair cannot be used to veto democracy.
- Agency 101: a proxy is **revocable** like any authority, until actually relied upon for that act — the later poll had not happened when revoked.

DU Ankur R. Upadhyay

(4) Decision CONTINUATION VALID · REVOCATION EFFECTIVE

The Madras High Court upheld both propositions: (a) where the chairman abandons the chair from motives hostile to the meeting's purpose, **the meeting does not die** — the members deputise another chairman and lawfully continue; (b) the proxy having been **revoked before the later poll**, the later vote by the erstwhile proxy was invalid — revocation of agency is effective against future acts even within a continuing meeting.

> **(5) Principle evolved:** The chairman is **trustee of the meeting's process, not its master**: he cannot dissolve it to dodge defeat; and the shareholder-agency law governs proxies — **revocable until exercised for the act in question**. Together these supply the two classic qualifications to Ss.104–105 (chairmanship and proxy) that every "essential conditions" answer must state.

Anchor: Ss.104–105 · Chairman & proxy short notes; pair with Byng v. London Life (disorderly-venue adjournment discipline) & Harben v. Phillips (a void meeting can do nothing).

PYQ ARCHIVE // CH.06 Previous Year Questions (DU LL.B. Examinations)

Q.1 Short Note (4 marks) Write a short note on the Annual General Meeting.

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 Medium (7-8 marks) Explain the law relating to Extraordinary General Meetings and the members' right of requisition under the Companies Act, 2013.

Q.3 Long (8 marks) What are the essential requisites/conditions of a valid meeting? Discuss with reference to the Companies Act, 2013 and decided cases.

Q.4 Short Note (4 marks) Write a short note on Quorum.

Q.5 Short Note (4 marks) Notice of meeting and explanatory statement — discuss.

Q.6 Short Note (4 marks) Write a short note on Proxy.

Q.7 Medium (7-8 marks) Distinguish ordinary and special resolutions; also show of hands, poll and postal ballot.

Q.8 Problem (8 marks) A Ltd. posted AGM notices 28 days before, but two members never received theirs. At the meeting: quorum fell below five mid-way; the chairman, losing a removal poll, declared the meeting dissolved and left; the remaining four elected a chairman, continued, and passed the removal — afterwards a lone member seeks to undo everything. Advise.

MODULE 07 // Topic 7 · Unit VII Cases #50 – #55

Prevention of Oppression, Mismanagement & Class Action Suits

Companies Act, 2013: Chapter XVI, Ss. 241–246 · Majority Rule (Foss v. Harbottle) & Statutory Minority Remedies

Majority Rule → Minority Vulnerability: Why This Topic Exists

"The protection of the minority shareholders within the domain of corporate activity constitutes one of the most difficult problems facing modern company law." A company acts through **majority will** expressed in general meetings (Topic 6): that is efficient — but the same machinery can be turned into an instrument of **tyranny of the majority**. This unit is the law's answer: first a judge-made set of **exceptions** to majority supremacy, then — since the Cohen Committee (1945) called the winding-up remedy "often worse than the disease" — a statutory chapter of **qualified minority rights** (Ch. XVI, Ss. 241–246) that lets the Tribunal *salvage* the company instead of killing it.

1.1 Who is the "minority" here — and who can actually complain?

- **No word "minority" in S.241:** the section speaks of "any member". So even a **majority group** may invoke it where control rests elsewhere and the oppression is exercised by "those in control even though they may lack majority holding" — e.g., rival boards, two registered offices, unauthorised persons holding assets (DU notes: "oppression of majority by minority is not barred"). The company itself cannot be an applicant.
- **"Qualified minority rights":** Chapter XVI confers rights that open only at a threshold (S.244 numbers) or on Tribunal waiver — deliberately filtering grievance-shopping while preserving genuine complaint.
- **Representation on the Board — S.151:** listed companies may have one director elected by **small shareholders** (≤ ₹20,000 nominal value) — a structural, preventive protection alongside the curative S.241 remedy.

One-line thesis for every answer in this unit: "Corporate democracy runs on majority will, but Company Law reserves two corrective systems — the exceptions to Foss v. Harbottle (judiciary-made) and Chapter XVI (legislature-made) — to ensure that the majority's legitimate power is never converted into an illegitimate *tyranny*: remedy with salvage, not winding-up."

The Rule in Foss v. Harbottle & Its Exceptions

The rule, restated authoritatively by Jenkins LJ in *Edwards v. Halliwell* (1950), has **two limbs**: **(1) the proper-plaintiff limb** — the proper plaintiff in respect of a wrong done to a company is, prima facie, the **company itself** (it is a distinct legal person; the injury is to the corporation, not to the shareholders qua individuals); and **(2) the internal-management limb** — where the alleged wrong is a transaction which **a simple majority of members might make binding** on the company (i.e., "cadit quaestio" — the question falls), no individual member may sue about it, because the majority could simply ratify, making the litigation futile. Wigram VC's own policy reasons: multiplicity of futile suits, and the pointlessness of litigating what a general meeting can regularise.

The rule rewards

Ratifiable irregularities: appointment of managing agents later confirmed (*V.N. Bhajekar v. K.M. Shinkar*); directors' unissued-capital manoeuvres later absolved on full disclosure (*Hogg v. Cramphorn*; *Bamford v. Bamford*); remuneration increases challengeable only before the general body (*Normandy v. Ind Coope*).

The rule's logic in one formula

MacDougall v. Gardiner (Mellish LJ): if what was done *irregularly*, the majority could do *regularly* — "there can be no use in having litigation about it, the ultimate end of which is only that a meeting has to be called, and then ultimately the majority gets its wishes."

2.2 The exceptions in doctrinal detail

Exception	Ratio & leading authorities
(1) Acts ultra vires	Object-clause boundaries are constitutional limits; "no majority of shareholders can sanction" what the company has no power to do — each member may sue for declaration/injunction (*Bharat Insurance* — Case 27; English precedent: *Parke v. Daily News* line; recovery suits vs officers who spent ultra vires money).

Exception	Ratio & leading authorities
(2) Fraud on the minority	"Fraud" = discriminatory use of majority power (*Greenhalgh v. Arderne Cinemas*: special resolution impeachable if it discriminates, giving the majority an advantage denied to the minority). Illustrations: *Menier v. Hooper's Telegraph Works* (majority settling company's claim to benefit a rival company they also owned — "put something into their pockets at the expense of the minority"); *Cook v. Deeks* (directors with ¾ votes diverting the company's contract to themselves — a "present to themselves" impossible); *Brown v. British Abrasive Wheel* (98% majority forcing buy-out of 2% — not "for the benefit of the company as a whole", *Allen v. Gold Reefs* qualifier).
(3) Acts requiring special majority	What must be done by special resolution cannot be smuggled through by simple majority; members may restrain (*Dhakeswari Cotton Mills v. Nil Kamal Chakravorty*; *Nagappa Chettiar v. Madras Race Club*).
(4) Wrongdoers in control	Wigram VC foresaw it in Foss itself: "claims of justice would be found superior to any difficulties arising out of technical rules". Where the persons complained against **control the company** (majority, or de facto dominance making a general meeting futile), a member may sue **derivatively** — the cause belongs to the company, the relief returns to it (*Glass v. Atkin*: equal split, defendants could block company action). "Control exists if it would be futile to call a general meeting because the wrongdoers would directly or indirectly exercise a decisive influence over the result."
(5) Individual membership rights	Personal (not corporate) rights of membership: vote recorded (*Pender v. Lushington*, Jessel MR: "whether I vote with the majority or minority, I am entitled to have my vote recorded"); standing for election (*Joseph v. Jos*); proposing amendments; strict observance of legal/statutory/articles rules not waivable by bare majority.
(6) The statutory exception	Ss. 241–246 themselves "are an exception to the rule in Foss v. Harbottle which lays down the sanctity of the majority rule" (Sinha J in *Kanika Mukherji v. Rameshwar Dayal Dubey*, Cal) — §3 below is this exception made flesh.

The Statutory Framework — Ss. 241–246, Chapter XVI

Chapter XVI (Ss. 241–246) supplies the modern machinery: a member may move the **National Company Law Tribunal (NCLT)** against **oppression** (S.241(1)(a)) and **mismanagement** (S.241(1)(b)); the Tribunal has a wide order-menu (S.242); specific standing rules (S.244); the **Central Government** may itself apply where public interest is prejudiced (S.241(2)) and may direct termination of offending managerial agreements (S.243); the chapter carries the fraud-investigation provisions with it (S.246); and a collective **class action** mechanism stands alongside (S.245).

3.1 Section 241 — the gateway and the DUAL TEST (S.242(1))

S.241(1)
Any member of a company who complains —
(a) that the affairs of the company have been or are being conducted in a manner **prejudicial to public interest** or in a manner **oppressive to him** or any other member or members or in a manner **prejudicial to the interests of the company**; or
(b) that a **material change** has taken place in the management or control of the company (by alteration in the Board, or manager, or in the ownership of shares, or membership, or in any other manner) — not being a change brought about by or in the interest of any creditors including debenture-holders, or any class of shareholders — and that by reason of such change it is **likely** that the affairs of the company will be conducted in a manner **prejudicial to its interests or its members or any class of members**,
may apply to the Tribunal for an order under this Chapter, **provided such member has a right to apply under Section 244**.

S.241(2)
The **Central Government**, if it is of the opinion that the affairs of the company are being conducted in a manner **prejudicial to public interest**, may **itself apply** to the Tribunal for an order under this Chapter.

The dual test the Tribunal must pass (S.242(1))

Lineage (TCS para 15, legislative history): Cohen Committee 1945 → UK S.210 of 1948 ("alternative remedy to winding up in cases of oppression") → India S.222 of 1913 Act (S.153C+Courts' order Regs.) → **Ss. 397/398 of the 1956 Act** (oppression / mismanagement) → **Ss. 241/242 of 2013** (adding "prejudicial to the interests of the company" and the S.245 class action). Thread constant across all enactments: orders must be "with a view to bringing to an end the matters complained of". Meanwhile England moved (Jenkins Committee 1962) from "oppressive" to **"unfairly prejudicial"** (S.459 of 1985 → S.994 of 2006) and dropped the winding-up limb — India consciously retains it, making our provision "more stringent" (your checklist's phrasing).

3.2 Section 244 — right to apply (the threshold)

Company type	Requisite applicants	Notes
With share capital	≥ **100 members** or ≥ **1/10 of total members**, *whichever is less*, **or** any member(s) holding ≥ **1/10 of issued share capital**	Joint holders = **one** member (Explanation); **calls/dues must be paid**; consent in writing under S.244(2) — consent means agreement on the same thing in the same sense (signature for "requisition of meeting" is not consent to oppression petition); GPA-holder consent valid (*P. Punniah v. Jeypore Sugar*, SC).
Without share capital	≥ **1/5 of total members**	Same consent discipline.
Waiver (proviso)	Tribunal may, on application, allow **any member(s)** below the threshold "if in its opinion circumstances exist which make it **just and equitable** to do so" — exercised notably in *TCS v. Cyrus* (2% holders granted waiver by NCLAT) and assessable on facts at filing (*Rajahmundry*: validity tested at presentation; later withdrawals don't kill the petition).	

3.3 Section 242 — the Tribunal's order-menu

General power
S.242(1): "such order as it thinks fit" framed to **end the matters complained of** — including interim orders, appointment of administrators/special officers/Chairman, Board reconstitution, supersession mismanagement salvage (*Rajahmundry*), validation/proportionate remedies found wanting elsewhere (*Needle Industries*: "the court is not powerless to do substantial justice").

S.242(2) enumerated
(a) regulation of future conduct of affairs; (b) **purchase of shares/interests** of any members by other members or by the company (with consequent capital reduction, (c)); (d) restrictions on transfer/allotment; (e) **termination, setting aside or modification of agreements** with MD/directors/managers (with notice to them, and with leave for shareholders'/third-party agreements); (f) termination/modification of company-third-party agreements; (g) setting aside fraudulent/unlawful transfer/delivery of goods/property/execution; (h) recovery of undue gains by MD/manager from misapplication/breach of trust; (i) imposition of costs… (menu is non-exhaustive).

Consequential discipline: alterations to memorandum/articles ordered under S.242 **take effect as if made by the company** — and the company cannot itself make inconsistent alterations without leave of the Tribunal (certified copy filed with the RoC). **S.243:** where an order ends/sets aside/

modifies an agreement with an MD/manager, no compensation claim lies against the company for that termination; and S.243-type orders are subject to notice to the affected manager/director. **S.246:** Ss. 337–341 (fraud investigation/procedures) apply *mutatis mutandis* to applications under Ss. 241–242.

"Oppression" — The Jurisprudence Ladder

The statute deliberately does **not** define "oppressive". The courts have built a cumulative jurisprudence — each generation tightening the elements. Learn this ladder as a sequence: it is the entire intellectual content of S.241(1)(a).

4.1 The four consolidated elements (Shanti Prasad formula)

1. **Manner of management:** the oppression must relate to the manner in which the company's **affairs are conducted** — by the majority exercising predominant voting power "as shareholders" in that conduct.
2. **Continuous course:** events considered not in isolation but "as a part of a consecutive story" — a continuing act *up to the date of the petition* ("affairs *are being* conducted" — present, persisting course).
3. **Burdensome, harsh and wrongful:** involving at least an element of **lack of probity or fair dealing** toward a member in the matter of his **proprietary rights as a shareholder** (visibility-of-unfair-dealing standard of Elder/Meyer).
4. **Qua member + the winding-up calculus:** the petitioner must suffer **as member**; the facts must justify a just-and-equitable winding up while winding up would unfairly prejudice (limb 2). Mere lack of confidence is insufficient *unless* it springs from oppression.

4.2 The gallery: what HAS been held oppression (and what has not)

Held OPPRESSIVE	Held NOT oppressive
Directors-majority taking acquired insurance compensation to new objects by special resolution while refusing meetings and keeping members in the dark — *Hindustan Co-operative Insurance Society* (Cal 1961).	Majority issuing new shares to outsiders to prevent *one* group capturing control — public company broadening (*Shanti Prasad Jain*).
Depriving non-trading members of voting/meeting/election/dividend rights by statutory-direction article amendment — *Mohan Lal Chandumall v. Punjab Co.* (Punj 1961) — buy-out ordered.	Unwise, inefficient, careless board conduct; isolated unlawful act not shown mala fide (*Needle Industries*) — "a resolution may be perfectly legal and yet oppressive, and conversely".
Founder-father treating company as personal property, overriding Board/articles, installing yes-men — *H.R. Harmer Ltd., re* (1958): oppression though gifts of shares and no personal gain.	Mere criminal accusation/investigation/conviction of directors — without majority-course oppression (*Satish Chandra v. Bengal Laxmi Cotton*).
Allotment dilution designed to squash minority voting power (checklist: "allotment with mala fide intent... may constitute oppression") — squeeze-out intent is the acid test.	Loss of confidence or pure deadlock per se (*H.R. Harmer* reasoning; Elder) — unless confidence-collapse flows FROM majority's oppressive management.
Gross mismanagement + junta control + shareholder helplessness (winding-up-equivalent facts) — *Rajahmundry Electric* (relief via administrators).	Removal/termination of a director or chairman *per se* — never oppression (*Hanuman Prasad Bagri*; affirmed in *TCS v. Cyrus*, para 16.21–16.24).

Structure tip: Define via Elder + Meyer ("dictationary" test), add the four elements, then run the gallery — two "held oppressive", two "held not". That is the volume an 8-marker wants.

Mismanagement — S.241(1)(b) [flagged LONG-answer]

The mismanagement limb protects the **company itself** (and through it, all stakeholders) where a **material change in management or control** makes future prejudicial conduct **likely**. It differs from oppression in beneficiary, timing, and trigger.

Point	Oppression — S.241(1)(a)	Mismanagement — S.241(1)(b)
What is shown	Conduct prejudicial to public interest / oppressive to member(s) / prejudicial to company	A **material change** in management or control (Board, manager, share ownership, membership, any manner) + likelihood of future prejudice to company's/members' interests
Change within the limb	Not needed	Essential — but NOT a change brought by/in the interest of creditors, debenture-holders or any class of shareholders
Timing of prejudice	Ongoing/past continuing course up to petition	**Apprehended** — "it is likely that the affairs will be conducted prejudicially" (prevention)
Relief runs in favour of	The petitioning members (qua members) + company	**The company itself**, not any particular member(s)
Classic illustration	Shanti Prasad / Harmer gallery	*Rajahmundry*: gross mismanagement, drained funds, broken machinery, junta control → administrators appointed to salvage

Instances of mismanagement (DU notes): group in power conspiring to defraud members; properly appointed directors not permitted to join and function; in-fighting among directors seriously prejudicing the company; MD continuing after expiry of term without re-appointment meeting; directors benefiting themselves by neglect at the company's expense. And the Rajahmundry doctrine: the rule of internal management applies only to a **running concern** — once a winding-up-caliber case is made out, vesting management in administrators is not "interference" but salvage (see Case 26).

Class Action Suit — S.245 [flagged SHORT-answer]

A 2013 innovation: a **requisite number of members or depositors** with a common grievance may, on behalf of the whole class, sue the **company, its directors, its auditors (including audit firm and the partner involved), any expert/advisor/consultant/any other person** — for restraint orders, declarations, damages or compensation — where the company's management or conduct of affairs is "prejudicial to the interests of the company or its members or depositors". Unlike S.241 (individual protective jurisdiction), S.245 is a **collective compensatory and restraining jurisdiction**.

6.1 Standing — S.245(3)

Class	Requisite number
Members — company with share capital	≥ **100 members** or prescribed % of total, whichever less, **or** member(s) holding prescribed % of issued share capital — with **all calls/dues paid**
Members — no share capital	≥ **1/5 of total members**
Depositors	≥ **100 depositors** or prescribed % of total, whichever less, or depositor(s) owed prescribed % of total deposits

6.2 Canons of the action — S.245(1)–(7)

Concept note (for the short-answer slot): Class action began in the USA; European consumer classes followed; India adopted it in 2013 recognising that an individual small investor lacks means to challenge institutional frauds (the post-Satyam legislative motivation). It complements — not replaces — S.241: S.241 needs the dual test and S.244 thresholds; S.245 is the collective route for restraint + compensation against the full chain (company/directors/auditors/experts), with S.246 importing Ss. 337–341 into the proceedings.

Prescribed & Landmark Case Law Dossiers — Detailed Analysis

CASES #50 – #55

CASE #50 DU LL.B. PRESCRIBED AUTHORITY

Foss v. Harbottle

Case 24 · The foundation — proper plaintiff & majority supremacy · (1843) 2 Hare 461 · (1843) 67 ER 189 · Sir James Wigram VC · Court of Chancery (England)

(1) Facts (as stated in the bill, from the case material)

In September 1835 an association was conceived to buy ~**180 acres of land near Manchester**, enclose and plant it ornamentally, erect houses with gardens and pleasure-grounds, and dispose of them. Promoters bought parcels — some buying from others at profit — and, to escape ordinary partnership liability, procured a **private Act of Parliament** (Royal Assent 5 May 1837) incorporating **"The Victoria Park Company"** with perpetual succession, common seal, power to sue and to hold lands. **Richard Foss** (2 shares) and **Edward Starkie Turton** (12 shares of £100) were subscribers. In October 1842 they filed a bill "on behalf of themselves and all other the shareholders" against the five directors — Thomas Harbottle, Joseph Adshead, Henry Byrom, John Westhead, Richard Bealey (three of whom had become bankrupt) — plus a shareholder, the solicitor and the architect, charging them with **concerting fraudulent and illegal transactions**: the promoters had sold their own land to the company at inflated prices (a self-dealing profit), the company's property had been **misapplied, aliened and wasted**, and **mortgages/incumbrances** had been created without authority; further, by death and bankruptcy there was **no sufficient board, no clerk, no office** — so the proprietors could not themselves set the corporate machinery in motion. The bill prayed that the defendants be made to restore the property/monies and that a **receiver** be appointed. The defendants **demurred** — i.e., even assuming the bill's facts, the *form* of the suit was bad in law.

(2) Issues: (1) Can two shareholders sue, in a representative bill, for a wrong done *to the company*? (2) Will equity interfere in the internal administration of a corporation whose members retain power to convene, control acts, and confirm or repudiate the impugned transactions? (On demurrer, every intendment runs against the pleader.)

Foss & Turton (minority shareholders)

- The fiduciary promoters sold their own land to their company — a fraud the company should undo; the defendants engineered the corporation precisely to escape partnership liability.
- The corporate machinery is **paralysed**: no valid board (bankruptcies disqualify), no clerk or office on whom S.48 notices must be served, no power to call the meeting that alone could act.
- Unless members may sue in this form, the wrongdoers are insulated: the corporation is in **practical dissolution**, and equity will not suffer wrong without remedy (*Wallworth v. Holt*-type reasoning).

Harbottle & others (defendants / demurrants)

- The injury alleged is **to the corporation, not to the plaintiffs personally** — only the company can sue on its own cause.
- The company's **supreme body — proprietors in general meeting — retains full power** to control the directors and to confirm or repudiate the impugned acts; the bill nowhere avers that convening a meeting was attempted and failed.
- Transactions like the land purchases are at worst **voidable, ratifiable**; if the proprietors confirm them, the litigation collapses — hence the suit is futile at inception.
- On demurrer, facts not averred are intended against the pleader; the bill itself shows meetings were in fact held in 1840–41 and business carried on through the solicitor's office.

(4) Decision DEMURRERS ALLOWED — BILL DISMISSED

Wigram VC held for the defendants on every point: (i) a **board of directors de facto** must be intended from the bill's own statements (meetings were held; business was carried on; bankrupts executed deeds *in the character of directors*); (ii) the S.48 impediments (no clerk/office) were at most **directory** difficulties — a notice in substance would do, and misconduct of the board cannot be allowed to paralyse the proprietors' statutory power; (iii) most fundamentally: "the result of these clauses is that the directors are made the governing body, **subject to the superior control of the proprietors assembled in general meetings**"; while that body retains its functions, the very power to **confirm** the avoidable transactions "is decisive to show that the frame of this suit cannot be sustained". Even the unauthorised-mortgage charge (arguably **void**, incapable of confirmation against dissenters — *Preston v. Grand Collier Dock* principle) failed here: the mortgagees were not parties, the bill did not seek to avoid the securities, and the company — having received and used the money — could not both keep the benefit and visit the consequences personally on the directors in this form of action. **Demurrers allowed.** (But the VC himself planted the exception: if a case arises where no adequate remedy remains except suit by individual corporators, "the claims of justice would be found superior to any difficulties arising out of technical rules".)

(5) Principle evolved (the twin rule): (i) **Proper-plaintiff rule:** the company, as separate legal person, is the proper plaintiff for injury to itself — "the corporation should sue in its own name and in its corporate character"; (ii) **Majority-rule / internal-management principle:** courts will not interfere in irregularities or transactions which the general meeting can lawfully ratify — for litigation would only force a meeting that hands the majority its wish (*MacDougall v. Gardiner*'s "cadit quaestio"; restated by Jenkins LJ in *Edwards v. Halliwell*). Corollary: where **no majority can confirm** (ultra vires), where **wrongdoers control**, where fraud on the minority or personal membership rights or special-majority bypass are in play — the rule yields (§2.2).

Anchor: foundation of §2; paired with Bharat Insurance (exception (1)) in your case list; read with Edwards v. Halliwell restatement.

CASE #51 DU LL.B. PRESCRIBED AUTHORITY

Shanti Prasad Jain v. Kalinga Tubes Ltd.

Case 25 · The meaning of "oppression" — continuous, burdensome, qua shareholder · AIR 1965 SC 1535 · (1965) 35 Comp Cas 351 · K.N. Wanchoo J. · Supreme Court of India

(1) Facts

Kalinga Tubes was floated as a private company (1 Dec 1950; authorised ₹25 lakh), shares held roughly equally by the **Patnaik** and **Loganathan** groups, with ₹36 lakh debentures guaranteed by the Orissa Government. In administrative and financial distress, the **appellant (Shanti Prasad Jain)** was invited in 1954 to finance and guide the company; the 27 July 1954 **agreement** (between Jain and the two groups — **the company not a party**) promised Jain shares equal to each of the other two groups, equal Board representation (2 each) and the chairmanship. Resolutions of 16 Aug 1954 substantially implemented the terms; capital rose to ₹61 lakh, split in thirds (barring a French company's ₹4 lakh holding) — and when Rath's 250 shares were sold, the three groups bought them equally (one odd share held jointly). The articles, however, were **never amended** to embed the agreement. In January 1957 the company was converted into a **public company** to qualify for an Industrial Finance Corporation loan. When ₹39 lakh of new shares came up for issue (March 1958), war broke out: Jain wanted them offered to existing shareholders under S.81; the Patnaik–Loganathan majority feared that (lacking funds) they could not subscribe their two-thirds and **Jain would swallow the whole issue and capture control**. The general meeting of 29 March 1958 rejected Jain's resolution and resolved to allot privately at the directors' discretion. Jain sued in Cuttack for declaration/injunction; an interim injunction was vacated on 30 July 1958 and the shares were allotted **the same day in haste**, only 15% of the money coming up front; six of the

seven allottees borrowed from a bank; ₹7.65 lakh remained unpaid even at the S.397 petition. Post-issue, Patnaik–Loganathan held ₹38 lakh, Jain ₹19 lakh, new allottees ₹39 lakh — **no group had a majority**. Jain's Ss. 397/398/402/403 petition was rejected by the High Court; he appealed to the Supreme Court.

(2) Issues: (1) Did the affairs of the company's conduct — the by-passing of S.81-type proportionate allotment, the private allotment, its haste, the unpaid calls, the ₹7 lakh withdrawal by the majority groups — amount to a **course of oppression** of the minority under S.397? (2) Independently, was there **mismanagement** under S.398 (prejudice to the company)? (3) Would the facts justify a just-and-equitable winding up, with winding up unfairly prejudicing the minority?

Appellant (Jain group)
- The 1954 agreement was the **sheet-anchor**: the three groups were to remain equal forever; the majority used voting power to destroy that parity when the company prospered — a classic "treating the company as their own property".
- The allotment design — refusal of rights issue, discretion-allotment to friends, indecent haste after the injunction fell, 15% money — proves a scheme to push the majority over **75%** voting strength (special-resolution control).
- ₹7 lakh was pulled from the company's coffers by the two groups; the company lost the appellant's support — prejudice to the company itself (S.398).

Respondents (Company; Patnaik & Loganathan groups)
- The agreement never bound the company (not a party), covered no **future** capital rise, and was a deal with a **then non-member**; a public company is still less bound; the fifth term deals with the French holding only.
- The 1958 resolutions complied with S.81 as it then stood (regulation 42 of the 1913 Act was repealed); the general meeting could direct otherwise than rights-issue.
- Haste was caused by **the appellant's own litigation** (fear of fresh injunctions); the company needed the issue to unlock the IFC loan; the slow calls prove nothing where allottees were not benamidars.
- ₹7 lakh was owed to the former managing agent — repayment is not prejudice; the appellant's proprietary rights as shareholder are untouched.

(4) Decision APPEAL DISMISSED — NO OPPRESSION, NO MISMANAGEMENT

Wanchoo J., synthesizing *Elder*, *Scottish Co-op*, *Meyer* and *Harmer*, laid down the controlling test (paraphrased): it is not enough to show that just-and-equitable grounds for winding up exist; it must further be shown that the conduct of the majority was **oppressive to the minority as members** — events viewed "not in isolation but as a part of a consecutive story", a **continuous act up to the petition date**; conduct **"burdensome, harsh and wrongful"**; mere lack of confidence insufficient **unless it springs from oppression** involving "at least an element of **lack of probity or fair dealing** to a member in the matter of his proprietary rights as a shareholder". Applying it: the agreement did not bind the (now public) company; the allotment was lawful and produced a **broad-based** company (no group's 75%, new allottees not stooges — "if shares are issued privately they are bound to go to friends of the directors"); preventing *one group's* domination was not oppression of the minority; ₹7 lakh was a genuine debt; the support withdrawn was no longer needed; post-July 1958 management changes promised no future prejudice. Petition under both Ss. 397 and 398 failed.

(5) Principle evolved — the Indian definition of oppression: (1) oppression relates to the **manner of management** by predominant voting power as shareholders; (2) demands a **continuous course** concluded at petition date; (3) is **burdensome, harsh and wrongful**, importing at least **lack of probity/fair dealing** in proprietary membership rights; (4) must be suffered **qua shareholder**, with (5) the alternative-winding-up calculus satisfied. Majority action taken **lawfully to prevent one shareholder from seizing control** — resulting in a more democratised register — is not "fraud on the minority". Equally: a shareholders' agreement never embedded in the articles **does not bind the company**; expectations outside the corporate constitution don't generate oppression.

Anchor: S.241(1)(a) meaning §4 · PYQ 1/3/6 · the four-element formula quotes come from para 19 of the judgment in your case material.

CASE #52 DU LL.B. PRESCRIBED AUTHORITY

Rajahmundry Electric Supply Corpn. Ltd. v. A. Nageshwara Rao

Case 26 · Just-and-equitable limb + consent standing + salvage by administrators · AIR 1956 SC 213 · (1956) 26 Comp Cas 91 · Venkatarama Ayyar J. · Supreme Court of India

(1) Facts

A member of the Rajahmundry Electric Supply Corporation petitioned for **winding up** under S.162(v)&(vi) of the 1913 Act — gross mismanagement, ₹3,10,175 owed to the Government for energy, **misappropriation by directors**, a majority directorate **"riding roughshod" over shareholders** — and in the alternative for remedial orders under **S.153-C** (the statutory alternative-remedy ancestor of S.241). Standing was attacked: S.153-C(3)(a)(i) required written consent of ≥100 members or ≥ one-tenth of members, whichever less. The petitioner claimed **80 consents**; opponents countered that 13 consenters were not members, 2 signed twice, and 13 had **withdrawn after filing** — leaving 52, below the line. Excluding only the 13 non-members and 2 duplicates left **65 of 603 members** — more than one-tenth. On merits, courts below had found: the Vice-Chairman grossly mismanaged and drew company funds for personal purposes; machinery was in disrepair; arrears to Government mounted; the directorate was attenuated; **"a powerful local junta was ruling the roost"**; shareholders outside the Chairman's group were **apathetic and powerless**. The trial court ordered winding up on the just-and-equitable clause and, under S.153-C, appointed **two administrators** in supersession of the directorate (Chairman contested; affidavit affirmed on appeal).

(2) Issues: (1) Is the petition's **standing** to be judged as at presentation, so later withdrawals of consent are irrelevant? (2) Must S.153-C relief be preceded by proof of facts justifying winding up under S.162? (3) Is **directors' misconduct/mismanagement** — nothing more — a "just and equitable" ground (does the clause read ejusdem generis with the earlier clauses)? (4) Is appointing administrators an unlawful interference in the company's "internal management"?

Company / Chairman (appellants)
- With the 13 withdrawals the consents fell to 52 — below the statutory number: petition not maintainable.
- No S.153-C relief without a S.162 case; and "just and equitable" must be read **ejusdem generis** — mere misconduct of directors is internal management, to be cured within the company (removed Vice-Chairman; clean-up underway).
- Administrators superseding the elected directorate is an impermissible judicial intrusion into internal administration.

Petitioning member (respondent)
- Standing existed on presentation day (65/603); post-filing withdrawals cannot retroactively unmake jurisdiction.
- The findings — misappropriation, derelict plant, Government arrears, junta, powerless members — cross the just-and-equitable threshold; the clause is **not** cabined by the earlier clauses (Halsbury).
- On a winding-up petition the whole point is to terminate the existing management — the "don't interfere" maxim has no traction in that forum.

(4) Decision APPEAL DISMISSED — ADMINISTRATORS AFFIRMED

The Supreme Court (Venkatarama Ayyar J.) held: **(1) standing is tested at presentation** — "a petition which was valid when presented cannot cease to be maintainable by reason of events subsequent to its presentation"; the 13 withdrawals were irrelevant. **(2) S.153-C presupposes S.162 facts** — the alternative remedy exists to *salvage* a company that otherwise qualifies for liquidation: "whereas prior to its enactment the Court had no option but to pass an order for winding up when the conditions mentioned in S.162 were satisfied, it could now… make an order for its management by the Court with a view to its being ultimately salvaged." **(3) "Just and equitable" is NOT ejusdem generis**; directors' misappropriation *alone* may not justify killing a sound company, but here "in addition to such misconduct, circumstances exist" — junta rule, shattered machinery, helpless shareholders — making winding-up-just, and hence S.153-C salvage proper. **(4) The internal-management immunity applies only to a running concern**: a winding-up forum's very object is to terminate the articles-based management; administrators do what a liquidator could. Appeal dismissed.

(5) Principle evolved: (i) **Standing freezes at filing** — the canonical rule for every threshold-based corporate petition (S.245 class actions included); (ii) the **alternative-remedy architecture**: oppression/mismanagement relief is an **escape valve from liquidation**, granted only where winding-up facts exist but destruction would unfairly prejudice — the ancestor of today's S.242(1)(b) dual test; (iii) "just and equitable" is **residual and independent**; (iv) in salvage mode the court may **supersede the board with administrators** — the direct doctrinal grandfather of Tribunal powers under S.242.

Anchor: S.242(1)(b) dual test §3.1 · S.244 waiver/standing PYQ5 · mismanagement §5 · the "ejusdem generis rejected" quote is exam gold.

CASE #53 DU LL.B. PRESCRIBED AUTHORITY

Bharat Insurance Co. Ltd. v. Kanhaiya Lal Gauba

Case 27 · The ultra-vires exception to Foss — single member's declaration · AIR 1935 Lah 792 · Sale J. · Lahore High Court

(1) Facts

Mr. Kanhaiya Lal Gauba — **shareholder, policy-holder and director** of Bharat Insurance — found that a considerable portion of the company's life-insurance fund was invested in undertakings controlled by the Chairman, **Lala Harkishan Lal**, and complained that several investments were made by the directors **without adequate security**, contrary to **clause 3(d) of the Memorandum**: "To advance money at interest on the security of land, houses, machinery and other property situated in India and to invest money not immediately required upon such securities and Bank Deposits as may be from time to time determined." He sued for (1) a **declaration** that the company could invest/advance only against specified securities — not mere personal security of the borrower — and (2) a perpetual injunction restraining loans/investments in specified concerns except on proper security with a valid Board quorum. The Subordinate Judge (ex parte against the company) granted the declaration, and an injunction — but against the **directors** (who were not parties). The company appealed. Two threshold points were fought: **maintainability** (can one member sue at all?) and the **construction** of clause 3(d).

(2) Issues: (1) Is a single member's suit maintainable — or should the grievance have gone to the general body (Foss)? (2) Must the company (and the directors, for an injunction) be parties? (3) On the true construction of clause 3(d), are advances in the nature of loans confined to real security, while "investments" may rest on securities of the directors' choosing?

Company (appellant)

- Internal management is for the general body: a dissatisfied director-shareholder should take the matter there; courts do not supervise the officers' commercial judgment (**Foss rule**).
- On construction, the two halves of cl. 3(d) divide **long-term vs short-term** deployment: long advances need real security; short advances may go even on personal security — so nothing was ultra vires. (Also, the directors — targets of the injunction — were never impleaded.)

Gauba (respondent)

- The application of corporate assets against the Memorandum's limits is **not "mere internal management"**: directors acting ultra vires can be restrained at the suit of **any one member**; he seeks no judgment on past acts — only authoritative construction for the future.
- "Advance money at interest" (loans) and "invest money" are **distinct acts**; reading loans into "invest" would make the first limb **redundant**. Loans need real security per cl. 3(d); "securities" needs no ejusdem-generis squeeze across the two limbs.

(4) Decision DECLARATION AFFIRMED (modified) INJUNCTION SET ASIDE

Sale J. held: **(1) maintainability YES** — "the broad rule… in all matters of internal management of a company, the company itself is the best judge" BUT "application of the assets of a company is **not a matter of mere internal management**… alleged… directors… acting ultra vires in their application of the funds of the company. Under these circumstances, I have no doubt that **a single member can maintain a suit** for a declaration as to the true construction of the article in question." The company was a necessary party (Brice on Ultra Vires); the injunction against un-impleaded directors could not stand — and, on merits, the Court refused to *assume future disobedience*: once construction was declared, directors would comply, so prospective suppression of the company's discretion was unwarranted. **(2) Construction:** the two limbs operate independently — "a loan is not the same thing as an investment… The question must be determined by the **real nature of the transaction**": temporary loans fall in limb-1 and "can only be made on the security of land, houses, machinery and other property situated in India"; genuine investments (e.g., Government securities, stock) may rest on such security as directors think adequate. Appeal allowed in part: declaration modified accordingly; injunction set aside; parties to bear their own costs.

(5) Principle evolved — the ultra-vires exception, Indian-chapter: Where the complaint is that directors are deploying corporate assets **beyond the Memorandum's allocation**, the question is not internal management: **each single member has standing** for declaration/injunction (the rule's inner limit — "the rule of Foss applies only as long as the company is acting within its powers"). Second principle: **declaratory construction is the appropriate relief** against recurrent ultra-vires risk; courts will not fetter future discretion by injunction on the assumption the constitution will again be breached. Third: necessary-party discipline — the company for declarations, and the implicated governing body for injunctions.

Anchor: Exception (1) to Foss (§2.2) · pairs with Foss in the case list · declaratory vs injunctive relief exam point.

CASE #54 DU LL.B. PRESCRIBED AUTHORITY

M.S.D.C. Radharamanan v. M.S.D. Chandrasekara Raja

Case 28 · Tribunal not powerless even without proved oppression — deadlock & substantial justice · (2008) 6 SCC 750 · AIR 2008 SC 1738 · S.B. Sinha J. · Supreme Court of India

(1) Facts

M/s Shree Bhaarathi Cotton Mills (P) Ltd. had **2,84,000 equity shares — 2,83,999 held by a father (Respondent 1, MD) and his son (appellant, Director)**; the 1 odd share with Visva Bharathi Textiles, itself split equally between the same two. A company in substance owned by **two warring individuals**. The father petitioned the CLB under Ss. 397/398 alleging oppression by the son. The **CLB found NO oppression and NO mala fide** by the son — but noted a **deadlock** in the company's affairs and ordered the son to **purchase the father's shares** at a chartered valuer's price. The Madras High Court (S.10-F appeal), taking a "holistic" quasi-partnership view — acrimony, criminal complaint for ₹8,15,000 misappropriation, a partition suit pending — modified the mechanism (son to buy first; father to buy out on son's default; third-party transfer if both fail). The son appealed to the Supreme Court: can the Tribunal order a **buy-out where the threshold finding of oppression is absent**?

(2) Issues: (1) Can the CLB/Tribunal pass any order under S.402 r/w Ss. 397-398 **without a finding of oppression** by the respondent? (2) Does a **deadlock** in a two-member quasi-partnership company, with just-and-equitable considerations, justify a share-transfer/buy-out direction "in the interest of the company"? (3) Limits: must relief have a direct nexus with the company's affairs and business conduct; can the party's professed lack of funds block the order?

Appellant — son (C.A. Sundaram)

- Condition precedent missing: CLB itself exonerated him of oppression; S.402 powers are **consequential** on Ss. 397-398 findings — the order is ferrum sine capite.
- The High Court reversed findings of fact without an appeal by the father.
- Relief must serve the **company's interest** with direct nexus to its

Respondent — father (K. Parasaran)

- This private company is for all purposes a **quasi-partnership**: equities — not technicalities — govern; the jurisprudence (Needle Industries onwards) empowers substantial justice even absent a formal oppression finding.
- No funds-plea was ever raised in the SLP.

affairs — a private family buy-out does not; an additional Director would have sufficed; and he **lacks funds** to purchase.

• The offer of an additional Director was rejected by the appellant; deadlock relief is the only realistic protection for the company.

(4) Decision APPEAL DISMISSED — BUY-OUT UPHELD (with costs)

The Supreme Court (**S.B. Sinha J.**), after a grand review — *Elder*, *H.R. Harmer* ("oppressive" = "burdensome, harsh and wrongful"; "mere loss of confidence or pure deadlock does not come within S.210" — but oppression meaning "visible departure from the standards of fair dealing…"), *Shanti Prasad*, and especially **Needle Industries** (Chandrachud CJ: even where oppression is *not* proved, "the court is **not powerless** to do substantial justice between the parties") — held that the Tribunal's jurisdiction under Ss. 397/398 r/w S.402 cannot be disabled by "sheer technicality" where its absence would mean "complete mismanagement in regard to the affairs of the company". It approved the **equitable superimposition**: the just-and-equitable principle (from *Ebrahimi* and winding-up jurisprudence — *Yenidje Tobacco*'s deadlock; relief as **last resort when other remedies are insufficient**) **may inform S.397/398 relief** "subject to applicability of the well-known judicial safeguards". It accepted *Sangramsinh Gaekwad*'s glosses (burden on the applicant, but court examines the entire record; an unlawful act is not per se oppressive; clean-hands and acquiescence qualifications from *London School of Electronics/R.A. Noble*), and it **rejected the over-broad reading of** *Kilpest* as contrary to larger Benches. On facts: two shareholders-two directors, personal bitterness, direct impact on the company's conduct — CLB/HC rightly exercised jurisdiction; the funds-plea came too late; the additional-director route was spurned by the appellant. Article 136 interference declined.

(5) Principle evolved: (1) The Tribunal's jurisdiction so long as the Ss. 397/398 gate is **invoked** is **not hostage to a positive oppression-finding**: it "would not be powerless" to pass orders in the **interest of the company** — including buy-out directions in **deadlock**. (2) Indian law absorbs **just-and-equitable equity** into oppression/mismanagement relief — protection of the company & shareholders as a whole is the lodestar (need for dual-test facts persists, though: see the 2021 tightening in *Cyrus*). (3) Doctrine guards: burden on applicant (whole-record view), illegality-not-per-se-oppressive, clean hands, acquiescence, cautious quasi-partnership (*Kilpest* bare-proposition rejected), relief must direct nexus with company's affairs.

Anchor: S.242 breadth §3.3 · "instances/gallery" §4.2 · PYQ 1, 3, 8 · the bridge between Shanti Prasad (1965) and Cyrus (2021).

CASE #55 DU LL.B. PRESCRIBED AUTHORITY

Tata Consultancy Services Ltd. v. Cyrus Investments (P) Ltd.

Case 29 · The modern restatement — dual test, removal-≠-oppression, Art. 75 exit, no reinstatement · (2021) 9 SCC 449 · Civil Appeals (arising from NCLAT order of 18.12.2019) · V. Ramasubramanian J. (3-Judge Bench) · Supreme Court of India

(1) Facts (background of the litigation, from the case material)

Tata Sons (incorporated 8.11.1917 as a private limited company) is the group's principal holding company. Two Shapoorji Pallonji Group companies — **Cyrus Investments** and **Sterling Investment Corporation** — began with 48 preference + 40 equity shares inherited from Mrs. Rodabeh Sawhney and grew to **18.37%** of Tata Sons' paid-up capital; the two Tata Trusts held **~65.89%**, operating companies 12.87%. **Cyrus Pallonji Mistry (CPM)** — whose father Pallonji Mistry had sat on the Board 1980–2004 — joined as a Non-Executive Director in August 2006; he was made **Executive Deputy Chairman** (16.03.2012, five-year term from 01.04.2012), then **Executive Chairman** w.e.f. 29.12.2012 with Ratan N. Tata (RNT) becoming Chairman Emeritus. On **24.10.2016** the Board replaced CPM with RNT as interim Non-Executive Chairman (CPM could remain Non-Executive Director); shareholders of Tata Industries, TCS and Tata Teleservices thereafter removed him from those boards; CPM resigned from other operating companies ahead of removal resolutions. On 20.12.2016 the two SP companies (together ~**2% of issued capital**) petitioned the NCLT under **Ss. 241/242 r/w 244** — unfair prejudice, oppression, mismanagement — seeking (inter alia) that affairs were run as RNT's "proprietary concern", that winding-up-grade facts existed but liquidation would unfairly prejudice them, plus relief. They first needed the **proviso waiver** of S.244(1)(a)'s 1/10 threshold; NCLT (06.03.2017 & 17.04.2017) dismissed the petition as non-maintainable and refused waiver; **NCLAT (21.09.2017) granted the waiver** and remanded. Meanwhile (16.02.2017) an EGM removed CPM as Director of Tata Sons. On merits, **NCLT (09.07.2018) dismissed** the petition after point-wise findings. **NCLAT (18.12.2019) reversed wholesale**: set aside the 24.10.2016 Board proceedings, **"restored" CPM as Executive Chairman "for rest of the tenure"** (declaring his successor's appointment illegal), directed RNT/Trust-nominee directors to **desist from advance decisions** requiring Board/AGM majority, enjoined Tata Sons' **Article 75 share-transfer power** against the minority except in "exceptional circumstances" with recorded reasons, and **declared illegal** the RoC conversion of Tata Sons back into a private company. Twelve appeals by the Tata side (Tata Sons, RNT, the Trustees, three operating companies) plus one by the complainants (seeking more — proportional representation / restricting Article 121 affirmative votes) reached the Supreme Court; the RoC's "Private"-word grievances were also before it.

(2) Issues (questions of law framed at para 14.2): (1) Could NCLAT lawfully hold the affairs "prejudicial and oppressive" and winding-up-justifiable **without overturning NCLT's fact-findings individually** — the dual-test discipline? (2) Were NCLAT's reliefs — including **reinstatement of CPM as Chairman/Director** — consonant with the pleadings, prayers, and S.242(2)? (3) Could NCLAT **mute Article 75** (the compulsory-transfer/exit option) without striking it down? (4) Was the characterisation of the Trusts' **affirmative voting rights** (Arts. 121/121A read with 104B) as oppressive justified after the SP Group had **abandoned the challenge** to them? (5) Did Tata Sons' re-conversion to private company need S.14 CA 2013 approval or S.43A(4) CA 1956 action?

Tata Sons, RNT, Trustees (appellants)

• NCLT dealt with every allegation (Siva/Sterling transactions, Air Asia, Mehli Mistry dealings, Corus, Nano…) and recorded findings; **NCLAT overturned none individually** — its one-paragraph para 183 conclusion cannot found the dual opinion.
• **Removal of a director/chairman per se is never oppression** (*Hanuman Prasad Bagri*); the Tribunal cannot sit in appeal over the removal's legal validity — only ask whether the *conduct was oppressive/prejudicial to some members*. CPM was till 24.10.2016 only removed as Chairman, not as Director.
• S.242(2) is addressed to the **future conduct of the company**; there is **no reinstatement power**, certainly not "for rest of the tenure" after the term has run (29.12.2017-timeline) and never prayed for.
• Articles already waived by SP attack cannot be re-opened; **Arts. 75/121/121A** bind subscribers (S.10); Article 75 is an exit option, to be exercised/valued by the parties, not judicially muted; reconversion complied with law.

SP Group / complainant companies (respondents)

• Tata Sons is run as the **proprietary concern of RNT**, Board as puppets: articles 86, 104B, 118, 121, 121A concentrate control in Trust-nominee Directors and their "pre-consultation/pre-clearance" with RNT/Trustees — prejudicial to members and to public interest.
• CPM's removal was engineered **overnight without notice** months after the NRC praised his performance (pay-hike recommendation 29.6.2016) — probity collapse; then he was hounded off every operating-company board.
• Dubious transactions (Nano, Corus, DoCoMo, IL&FS guarantee, Mehli Mistry flat, Air Asia) show mismanagement; a **quasi-partnership** of 18.37% family group vs Trusts deserves the equitable superimposition (*Ebrahimi*; *Radharamanan*; *Needle Industries*).
• Relief sought as alternative: fair-value **separation/exit** of SP's ownership via capital-reduction or Article 75–route with compensation (IA before SC).

(4) Decision SP GROUP APPEAL DISMISSED TATA APPEALS ALLOWED — NCLAT SET ASIDE; COMPANY PETITION DISMISSED

(Q1 — dual test): S.241(1)(a) r/w S.242(1)(a)–(b) requires the Tribunal's opinion that (1) affairs have been/are being conducted prejudicially to members/public interest/company or oppressively to any member(s), **and** (2) facts justify just-and-equitable winding up **but** winding up would unfairly prejudice the members. NCLAT, a final fact-forum, did not set aside NCLT's findings; findings not specifically reversed **attained finality** — an appellate concocted "oppression" without that groundwork is legally infirm. Crucially (para 16.21–16.28): CPM was removed only from the **Chairmanship** on the petition date — "the mere termination of Directorship cannot be projected as something that would trigger the just and equitable clause… or relief under Ss. 241–242"; and **even removal from Directorship "can never be held to be an oppressive or prejudicial conduct"** (*Hanuman Prasad Bagri*). The Tribunal asks not whether the removal was legally valid or justified but whether it **tantamounts to oppressive/prejudicial conduct to some members**. The SP case was internally inconsistent: mutual-admiration-NRC praise till 29.6.2016 negates a long course of oppression; their nominees

had subscribed to all the Articles. **(Q2 — reinstatement):** S.242(2) menu neither mentions reinstatement nor can it be implied — reinstatement ≠ the natural method of ending a matter of "past" conduct; never specifically prayed; "for rest of the tenure" was incoherent after the term expired. NCLAT granted it *gratis* — unsustainable. **(Q3 — Article 75):** it's an exit-option article binding under S.10; NCLAT could not enjoin its exercise without striking it down (challenge expressly given up); parties left to take "the Article 75 route or any other legally available route" for fair-value separation. **(Q4 — Arts. 121/104B affirmative votes):** objections abandoned; S.47(1)(b) preference-style protections and proportional representation are lawful; pre-consultation reflects the Trusts' selfless philanthropy model (66% holding funnels dividends to charity via Trust deeds — "romantic idealism" arguments cannot rewrite subscribed articles); the nominee directors' duty analysis from Ss. 135/149/151/161/166/177 changes nothing. **(Q5 — conversion):** the conversion to private followed the transitional scheme; NCLAT's illegality finding error. **Result:** all Tata appeals allowed; C.P. No. 82 of 2016 dismissed; SP's appeal (C.A. 1802/2020) dismissed; the later separation-of-ownership IA (adjudication on facts/valuation) not entertained at S.423 questions-of-law stage. No costs.

(5) Principle evolved — the 2021 restatement of Indian minority law: (1) The **dual test is mandatory and cumulative**: limb-1 conduct + limb-2 winding-up-us-just-but-unfair — a consciously **stricter** scheme than UK S.994; (2) appellate interference with the dual opinion requires **specific dislodgment of the fact-findings** that reject oppression, or a demonstrated perversity; (3) **removal of a director/chairman, per se, is never oppression**, and the Tribunal doesn't retry removal legality — it asks the conduct-question; — failed business decisions likewise cannot be dressed as oppression; (4) relief under S.242 looks **forward** to "bring to an end" the matters complained of — **no implied reinstatement power**; (5) subscribed **articles bind** (S.10): affirmative-vote and exit-option articles (like Tata's Arts. 121/75) are enforceable till lawfully struck down; (6) "**divorce without acrimony**" — buy-out/exit at fair value — is the encouraged end-state of corporate family fights in both jurisdictions.

Anchor: dual test Fig. 3 · oppression ladder Fig. 4 · PYQ 1 (Dec-2024), PYQ 3 · the case every modern answer must cite: removal-≠-oppression + no-reinstatement + articles-bind + exit-alternative.

PYQ ARCHIVE // CH.07 Previous Year Questions (DU LL.B. Examinations)

Q.1 Long (Dec-2024 · Q5) Discuss the law relating to prevention of oppression and mismanagement, as a protection of minority shareholders under the Companies Act, 2013. When can the Tribunal grant relief and what orders may it pass?

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 Long State the rule in Foss v. Harbottle and the exceptions recognised to it. Is the rule still alive in India after Chapter XVI?

Q.3 Long Explain the scheme of Sections 241 to 244 of the Companies Act, 2013 for prevention of oppression and mismanagement.

Q.4 Short Note (4-5 marks) Write a short note on class action suits under Section 245.

Q.5 Medium Who can apply for relief under Section 241? Is a member below the S.244 threshold remediless? Discuss with authority.

Q.6 Medium 'Oppression' is not defined in the Companies Act. How have the courts understood it? Explain with authorities.

Q.7 Long Explain the concept of mismanagement and the remedy available against it under Section 241(1)(b). How does it differ from oppression?

Q.8 Problem (8 marks) P and Q hold 12% and 8% of X Ltd. The board, dominated by group R (60%), proposes a fresh private allotment to R's associates, passes it in a general meeting, diluting P and Q; months later P is removed as a director; meanwhile the company has stopped calling AGMs and the two blocks refuse to co-operate, paralysing the Board. P and Q (together 20%) want Tribunal relief but fear they fall short of S.244; they want P reinstated and the allotment undone. Advise.

PART III // MODULES 08 TO 10 · CASES #56 TO #67

WINDING UP, ADJUDICATORY TRIBUNALS (NCLT/NCLAT), CSR, MERGERS, IBC & ESG

MODULE 08 // Topic 8 · Unit VIII Cases #56 – #60

Winding Up of Companies by the Tribunal

Companies Act, 2013: Chapter XX, Ss. 270-303 & 324-327 · Insolvency & Bankruptcy Code, 2016 S. 255 Interface

02 · Concepts, boundaries and the statutory map

Meaning of winding up

A liquidator takes charge of the company's property and affairs, identifies and realises assets, determines liabilities, settles claims according to legal priorities, adjusts the rights of contributories and distributes any remaining surplus. The process culminates, ordinarily, in dissolution. The liquidator acts within a statutory office under supervision, not simply as an agent of the shareholder who filed the petition. **Source: T, Chapter 24, opening discussion; ss. 278, 283, 290 and 302.**

The core components are:

1. **A legal ground and competent petitioner:** proving a grievance does not by itself establish standing or a statutory basis for winding up.
2. **Judicial assessment:** the Tribunal assesses evidence and exercises a judicial discretion; it does not mechanically execute a shareholder's preference.
3. **Collective administration:** the company's assets are administered for all persons with legally recognised claims, not appropriated by the first petitioner.
4. **Preservation and realisation:** assets may be sold separately or as a going concern where appropriate; winding up does not invariably require immediate destruction of productive value.
5. **Claims and contribution:** creditors establish claims; persons liable for unpaid capital or guarantees contribute within statutory limits.
6. **Distribution and dissolution:** claim priorities must be respected before members receive the residual estate; legal personality ends through dissolution, not merely presentation of the petition.

Winding up, dissolution, insolvency and striking off

Concept	Nature	Key consequence	Exam distinction
Winding up	A process of collective administration	Liquidator deals with the estate; company continues for liquidation purposes	A winding-up order is not identical to dissolution
Dissolution	Legal termination of the company	Under s. 302, company is dissolved from the date of the Tribunal's order	The end-point, rather than the entire process
Insolvency	Financial condition / insolvency-law problem	May trigger resolution or liquidation mechanisms under the IBC	A solvent company can also be wound up on an appropriate Companies Act ground

Concept	Nature	Key consequence	Exam distinction
IBC liquidation	A process governed by the Code	Its own appointment, claims, avoidance and distribution framework	Do not substitute the IBC s. 53 waterfall for Companies Act priorities without explanation
Voluntary liquidation	Under IBC s. 59 for eligible corporate persons that have not committed default	Separate declaration, resolution and liquidation requirements	Old Companies Act ss. 304–323 are omitted
Strike off	Removal from the register under ss. 248–252	Statutory consequences and possible restoration	Not the same procedure as a Tribunal winding-up petition

Section 2(94A): "winding up" includes winding up under the Companies Act or liquidation under the IBC, as applicable. This linking definition does not merge the two procedural systems. **Section 2(26):** a contributory is a person liable to contribute to the assets on winding up; a fully paid shareholder is treated as a contributory with the relevant rights, but without an additional contribution obligation merely because of that status.

Why the historical cases still matter

German Date Coffee and Yenidje are English decisions. Seth Mohan Lal arose under the **1913 Act**; Aluminium arose under the **1956 Act**. They do not literally interpret present section 271. They are prescribed because they illuminate the concepts of substratum, deadlock, judicial discretion and proper use of the remedy. In a modern answer, give the current section first, explain the historical holding accurately, and then make the doctrinal connection.

The key historical/current crosswalk:

Historical reference	Present treatment
1913 s. 162 / 1956 s. 433(f): just and equitable	Present s. 271(e)
1956 s. 433(e), read with s. 434: inability to pay	Historical debt-winding-up machinery; no independent equivalent in current s. 271
1956 s. 433(c): non-commencement / suspension for a year	Not a standalone current s. 271 ground; inactivity may be evidence of another ground
1956 s. 439: who may petition	Present s. 272, but with changed classes and conditions
1956 s. 443: powers on hearing	Present s. 273; historical adjournment rules cannot simply be transplanted
Former voluntary winding-up regime	IBC voluntary liquidation, not operative Companies Act ss. 304–323

03 · Grounds: sections 270 and 271 in depth

Section 270 — the gateway, not a list of two present modesSource ↗

The provisions of Part I apply to winding up by the Tribunal under the Act. Its present role is to identify the applicable statutory regime. The former wording describing both Tribunal and voluntary winding up was substituted following the IBC changes. An answer repeating the old two-mode text as current section 270 would be inaccurate.

Section 271(a) — special resolution for winding up by the TribunalSource ↗

Elements: there must be a company resolution; it must be a **special resolution**; and it must resolve that the company be wound up **by the Tribunal**. A directors' resolution alone is not the special resolution contemplated by this clause. Under the general rule in s. 114(2), votes in favour must be not less than three times votes against, together with the applicable notice requirements. This is not "75% of all issued shares regardless of attendance".

Legal effect: the resolution supplies a ground for a petition; it does not itself dissolve the company. The Tribunal retains discretion under s. 273 and must consider the statutory purpose and affected interests. A resolution to pursue a qualifying voluntary liquidation under the IBC is a different route.

Illustration: members resolve to seek Tribunal winding up because the venture has served its purpose. The liquidator does not acquire office merely on the vote; the Tribunal process and appointment must follow. **Source: s. 271(a); T, para. 24.3.1.**

Section 271(b) — acts against specified national and public interestsSource ↗

The company must have acted against the interests of **sovereignty and integrity of India; security of the State; friendly relations with foreign States; public order; decency; or morality**. The statutory words matter: this is not simply any commercial conduct that someone dislikes or loosely calls "against public interest". Identify the act, the protected interest and the connection between them.

Section 272(1)(f) expressly enables the Central Government or a State Government to petition in a case falling under this clause. Read that alongside the rest of s. 272; do not use a loose paraphrase to delete other statutory classes without analysing the section. The Tribunal's adjudicatory function remains essential; a government allegation is not itself a winding-up order.

Section 271(c) — fraud, unlawful formation, misfeasance or misconductSource ↗

This clause has a **special applicant requirement** and a **substantive judicial satisfaction requirement**.

Who initiates the clause-specific application? The Registrar or another person authorised by Central Government notification under the Act.

What must the Tribunal find? One of the following statutory situations:

- The affairs of the company have been conducted in a fraudulent manner; **or**
- The company was formed for a **fraudulent and unlawful purpose**; **or**
- Persons concerned in its formation or management have been guilty of fraud, misfeasance or misconduct **in connection therewith**;
- **And** it is proper that the company be wound up.

The final "proper" requirement is important. The statute does not say that mentioning the word fraud automatically ends the company. Explain the conduct, its connection with formation or affairs, the admissible material and why corporate winding up is justified.

Distinguish the concepts: fraud concerns dishonest deception or abuse; misfeasance is wrongful performance of a duty or misuse of entrusted powers; misconduct is a wider category of improper conduct in the relevant corporate connection. These explanatory meanings do not replace statutory definitions or proof requirements in a specific proceeding. A weak business decision is not necessarily fraud.

Devas connection: the 2021 High Court decision principally concerns the validity of authorisation and whether Registrar-specific pre-sanction representation requirements extend to the authorised-person route. It does not establish that executive authorisation conclusively proves s. 271(c) fraud. See the detailed brief below.

Section 271(d) — five consecutive years of filing defaultSource ↗

Elements: default in filing with the Registrar the company's **financial statements or annual returns** for the **immediately preceding five consecutive financial years**. Note the disjunctive "or": do not rewrite the clause as requiring default in both documents. The years must be consecutive, and the immediately preceding period must be identified.

Not enough under this clause: an isolated late filing; five scattered defaults separated by compliant years; a failure to hold an AGM described without establishing the specified filing default. These facts may have other statutory consequences but must not be treated as automatically satisfying s. 271(d).

Reason for the ground: persistent absence of corporate disclosure undermines supervision and accountability. Nevertheless, the Tribunal must deal with the petition judicially under the statutory framework.

Section 271(e) — just and equitableSource ↗

This is a **residuary equitable ground**, not an unlimited licence to dissolve companies whenever shareholders disagree. Its content is developed through circumstances in which continued corporate existence has become fundamentally inconsistent with the basis of the association, the conduct expected in it, or the legitimate interests affected.

Five questions for any problem:

1. What was the company's real foundation: a particular project, multiple genuinely independent objects, or a relationship of personal participation?
2. What has failed: the essential undertaking, only one line of business, or mutual cooperation at management level?
3. Is the failure substantial and enduring, rather than temporary or speculative?
4. What do the evidence, assets, liabilities, remaining powers and realistic future possibilities show?
5. Is winding up a justified response, having considered stakeholders and s. 273(2) alternatives?

A. Loss of substratum

Substratum means the real foundation or substantial purpose of the company. The DU extract of **Seth Mohan Lal** formulates disappearance of substratum where the object of incorporation has substantially failed, where business cannot be carried on except at a loss, or where existing and possible assets are insufficient to meet existing liabilities. Those formulations arose historically; use them with the present distinction between equitable winding up and the IBC debt route.

Do not equate dominant activity with the only permissible object. A company may currently trade mainly in one commodity while its constitution genuinely permits several independent lines. Conversely, pages of general objects do not necessarily transform a specific-purpose venture into an unrestricted enterprise. The memorandum must be construed as a whole.

German Date Coffee: a German-patent venture without a German patent had lost its foundation even though another form of date-coffee business remained possible. **Seth Mohan Lal:** restriction of gur futures did not destroy a multi-commodity exchange's foundation. The distinction is one of substantive objects and realistic capacity, not merely the number of clauses in a memorandum.

B. Deadlock in management

A deadlock must be more than disagreement. Relevant features include equal voting power, inability to pass necessary resolutions, no effective casting vote or workable exit, entrenched hostility, and inability to cooperate in the expected management relationship. **Yenidje** shows that profits do not necessarily save a company whose management relationship has irretrievably broken down.

Proof checklist: identify board composition, shareholding, quorum and voting requirements, disputes over essential decisions, attempts at arbitration or settlement, and whether practical business can continue on a stable legal basis. One lost vote is not a deadlock. A minority that lacks sufficient votes cannot merely relabel majority control as "deadlock".

C. Quasi-partnership considerations

A company remains a separate legal person. In an appropriate closely held company, however, equitable expectations based on a personal association may supplement formal rights. Personal mutual confidence, an understanding of participation in management, and restrictions on withdrawal may make a purely formal approach unjust. **Yenidje** illustrates partnership reasoning in a company effectively built around two equal participants.

Do not say every private company is a partnership. The DU discussion of **Hind Overseas** elsewhere in the case compilation cautions against automatic transplantation of partnership law. Identify why the particular association has the relevant personal and management foundation.

D. Loss of confidence based on lack of probity

Distinguish justifiable loss of confidence in honest management from resentment at being outvoted. Persistent diversion of assets, concealment of accounts and oppressive exclusion may support equitable intervention. Ordinary policy differences, isolated procedural errors or unproved accusations do not inevitably justify ending the company. The appropriate response may instead be accounts, recovery, correction of management or relief under ss. 241–242.

E. Persistent losses, illegality and a sham enterprise

A sustained inability to conduct the company's actual undertaking except at a loss may be relevant, but a bad year does not establish hopeless failure. A legal prohibition may destroy a sole purpose, but may leave genuine independent objects untouched. A company with no real business foundation may present a different case from a genuine enterprise temporarily inactive. Analyse evidence, rather than treating "losses", "ban" or "bubble company" as self-proving labels.

The limiting provision: section 273(2)

Where the petition is based on just-and-equitable winding up, the Tribunal may refuse if it considers **both** that another remedy is available and that the petitioners are acting unreasonably in seeking winding up instead of pursuing it. The bare existence of some imaginable remedy is not sufficient analysis; explain its availability, adequacy and the unreasonable choice of the drastic remedy.

Possible alternatives, where legally available, include ss. 241–242 relief, a purchase of shares, enforcement of an agreed exit, rectification, accounting, or civil proceedings over a genuine debt dispute. Do not promise a buyout in every case; the legal basis and practical feasibility must be shown.

04 · Petition, hearing and immediate safeguards: sections 272–274

Section 272 — who may petition?Source ↗

Clause	Eligible petitioner	Qualification / caution
(1)(a)	The company	Company petition must be accompanied by a prescribed statement of affairs under (4)
(1)(b)	Any contributory or contributories	Apply the special rules in (2); a fully paid shareholder is not automatically excluded
(1)(c)	All or any of the persons in (a) and (b)	Permits the specified joint presentation
(1)(d)	Registrar	Prior Central Government sanction and company representation safeguard under (3)
(1)(e)	Person authorised by Central Government	Distinct route considered in Devas; authority must be established
(1)(f)	Central Government or State Government	Expressly for s. 271(b) cases

Creditors: the current list does not contain the old general category "any creditor, including contingent or prospective creditor". A creditor may have another statutory capacity, but a debt alone is not current s. 272 standing. This is a major historical/current-law trap.

Contributory conditions under (2): relevant shares, or some of them, must either have been originally allotted to the petitioner; or held by and registered in the petitioner's name for at least **six months within the eighteen months immediately before commencement**; or devolved through the death of a former holder. These are alternative limbs, not a universal six-month condition. The section expressly permits petitioning despite fully paid shares, no company assets, or no surplus for members after liabilities are satisfied.

Registrar safeguards under (3): the Registrar may petition under s. 271 except on the special-resolution ground in clause (a). Obtain previous Central Government sanction; the Government cannot accord that sanction without giving the company a reasonable opportunity to make representations. The former exclusion of the just-and-equitable ground was removed by the 2019 amendment. Do not carry that old restriction into a present answer.

Copies and views under (5): a copy must also be filed with the Registrar; the Registrar must submit views to the Tribunal within **60 days** of receipt. This is different from permission to initiate a Registrar petition, and different from the liquidator's 60-day report under s. 281.

Section 273 — orders available to the TribunalSource ↗

On receiving the petition, the Tribunal may:

1. Dismiss it, with or without costs.
2. Make an interim order it thinks fit.
3. Appoint a provisional liquidator until a winding-up order is made.
4. Order winding up, with or without costs.
5. Make any other order it thinks fit within its statutory jurisdiction.

The statutory direction is to make the order within **90 days of presentation**. That is not a rule that the entire liquidation must finish in 90 days. The judicial function must still respect evidence, natural justice and the applicable statute.

Before appointing a provisional liquidator: normally give notice and a reasonable opportunity for company representations. Notice may be dispensed with for special reasons **recorded in writing**. The provisional office is designed to protect the estate pending decision, not to presume a final merits result.

No-assets proviso: the Tribunal must not refuse a winding-up order merely because assets are mortgaged to their full value or more, or because the company has no assets. This does not mean "no assets automatically requires winding up"; the other statutory conditions remain necessary.

Alternative remedy: s. 273(2), discussed above, is specifically directed to the just-and-equitable petition. Its wording does not dispense with the need to assess the proper use of other statutory grounds.

Section 274 — statement of affairs and booksSource ↗

When a person other than the company petitions: if a prima facie case is made out, the Tribunal directs the company to file objections and its statement of affairs within **30 days of the order**. It may allow another **30 days** in a contingency or special circumstances. It may require the petitioner to deposit reasonable security for costs before issuing those directions.

Non-compliance: failure to file the statement means the company forfeits its right to oppose the petition; responsible directors and officers face the consequences under (4). This does not convert false factual allegations into proved facts or eliminate the Tribunal's duty to apply the law.

After the winding-up order: within **30 days**, directors and other officers must submit, at company cost, books completed and audited up to the date of the order, to the liquidator as the Tribunal specifies.

Section 274(4): the defaulting director/officer is punishable with imprisonment up to six months, or fine from ₹25,000 to ₹5 lakh, or both. Under (5), the Registrar, provisional liquidator, Company Liquidator or a Tribunal-authorised person may complain before the Special Court. Do not confuse this still-operative provision with the substituted cooperation mechanism in s. 284.

Evidence-building illustration: the statement of affairs reveals assets, liabilities and operations. It may show that an alleged sole-business failure is actually only temporary, or that proclaimed solvency is unsupported. It is therefore both a compliance document and a foundation for an informed winding-up decision.

05 · Liquidator, consequences and asset protection: sections 275–284

Section 275 — appointment, authority, fees and independenceSource ↗

The Tribunal appoints an Official Liquidator or a liquidator under the statutory framework as Company Liquidator when it orders winding up. The amended subsection (2) uses **insolvency professionals registered under the IBC** for the provisional/Company Liquidator appointment route. The old professional-panel wording based merely on ten years' experience must not be repeated as current (2).

A provisional liquidator ordinarily has the same powers as a liquidator unless the appointment order or a later order limits them. The Tribunal specifies appointment terms and fees with regard to tasks, experience, qualification and company size. Within **seven days of appointment**, the liquidator files a declaration disclosing conflict of interest or lack of independence; the obligation continues throughout the appointment. A provisional liquidator may be appointed Company Liquidator on the final winding-up order. Subsection (4), relating to the former panel-removal mechanism, is omitted.

Why it matters: independence is not merely checked on day one. A subsequent financial interest or relationship must be addressed; the liquidator's job is to administer the estate impartially.

Section 276 — removal and replacementSource ↗

The Tribunal may remove the provisional or Company Liquidator on reasonable cause and recorded reasons for: **misconduct; fraud or misfeasance; professional incompetence or failure of due care and diligence; inability to act; or conflict of interest/lack of independence**. The affected liquidator must receive a reasonable opportunity of being heard.

Death, resignation or removal requires transfer of the unfinished work to another liquidator by a reasoned order. Where fraud, misfeasance or failure of due care and diligence has caused loss or damage to the company, the Tribunal may direct recovery from the liquidator and make appropriate orders. Removal of an office-holder and recovery of compensation are related but distinct responses.

Section 277 — notification and winding-up committeeSource ↗

Seven-day intimation: the Tribunal must cause intimation of provisional appointment or winding up to be sent to the liquidator and Registrar within seven days of the order. The Registrar records the fact, notifies the Official Gazette and, for a listed company, informs the stock exchange(s).

Employment consequence: the winding-up order is deemed notice of discharge to officers, employees and workmen, **except where the business continues**. This is not a rule extinguishing accrued wage or other legal claims.

Within three weeks of the winding-up order: the Company Liquidator applies to constitute a **winding-up committee**, comprising the Official Liquidator attached to the Tribunal, a secured-creditor nominee and a professional nominated by the Tribunal. The Company Liquidator convenes meetings.

The committee assists and monitors: taking over assets; examining the statement of affairs; recovering property and benefits; reviewing audits and accounts; selling assets; finalising creditors and contributories; compromising, abandoning or settling claims; paying dividends; and other directed functions. Monthly reports with signed minutes go to the Tribunal. The liquidator prepares a draft final report for committee consideration and approval, then submits the approved final report for dissolution.

Section 278 — a representative, collective orderSource ↗

The winding-up order operates in favour of **all creditors and all contributories**, as though made on their joint petition. Thus a petitioner cannot treat the liquidation as private execution for exclusive advantage. This statutory collective character helps explain the attention to other creditors and workers in Aluminium Corporation.

Section 279 — stay of suits and other proceedingsSource ↗

After a winding-up order or provisional-liquidator appointment, no suit or other legal proceeding is to be commenced or, if pending at the order date, proceeded with **by or against the company** except with Tribunal leave and on its terms. A leave application must be disposed of within **60 days**. Proceedings pending in appeal before the Supreme Court or a High Court are excepted by subsection (2).

Purpose: preserve orderly administration and avoid uncontrolled litigation draining the estate. **Limits:** do not present it as an indiscriminate extinction of every criminal, regulatory, public-law or special-statute proceeding. The nature of the proceeding and any overriding statutory regime must be examined. Merely filing the winding-up petition does not itself trigger the precise s. 279 stay.

Section 280 — Tribunal jurisdiction in winding upSource ↗

Notwithstanding other law, the Tribunal has jurisdiction to entertain or dispose of suits/proceedings by or against the company; claims by or against it, including claims involving its Indian branches; applications under s. 233; and questions of priorities and other questions of law or fact arising out of or relating to winding up. The provision applies whether matters were instituted or arose before or after the order, under the temporal wording of the section.

Doctrinal caution: jurisdiction is connected to the statute. Do not turn "any question of law or fact" into unlimited authority over every governmental public-law decision. Statutory adjudication distinguishes statutory Tribunal jurisdiction from constitutional judicial review.

Section 281 — initial liquidator's report: 60 daysSource ↗

Within **60 days from the relevant order**, the liquidator reports to the Tribunal. A strong answer organises the contents into five groups:

Group	Required detail
Estate	Nature, location and value of assets; cash in hand and bank separately; negotiable securities; valuation by registered valuers
Capital and obligations	Issued, subscribed and paid-up capital; existing and contingent liabilities; creditor identities; secured/unsecured amounts separately; security particulars, values and dates; guarantees
Recoveries and membership	Debts owed to company, debtor identities and likely realisations; contributories, dues and unpaid calls
Business architecture	Trademarks and intellectual property; subsisting contracts, joint ventures and collaborations; holding and subsidiary companies; legal cases by or against company
Assessment	Promotion/formation and suspected fraud; viability or steps to maximise value; other directed or necessary information

Further reports are permissible. Persons describing themselves in writing as creditors or contributories may inspect at reasonable times and obtain copies/extracts on payment of prescribed fees. The report is not just a balance sheet: it combines asset identification, recoverability, misconduct assessment and a realisation strategy.

Section 282 — action on the reportSource ↗

The Tribunal fixes a time limit for completion and dissolution. It may revise the limit where continued proceedings are not advantageous or economical, after the required hearing. It may order sale of the company as a going concern or of all/part of its assets, and constitute a sale committee of such creditors, promoters and officers as it decides.

On a report of fraud from the liquidator, Central Government or another person, the Tribunal orders investigation under s. 210 without prejudicing liquidation. After the investigation report, it may give directions under ss. 339–342 or direct a criminal complaint. It may also direct steps to protect, preserve or enhance asset value, and make other appropriate orders. **An initial suspicion, an investigation and a final liability finding are different stages.**

Section 283 — custody is not automatic personal ownershipSource ↗

Upon winding up or provisional appointment, the liquidator takes custody/control of property, effects and actionable claims to which the company is or appears entitled, as the Tribunal directs. Company property is deemed in the Tribunal's custody from the winding-up order date. Persons such as contributories, trustees, bankers, agents and officers may be ordered to pay, deliver, surrender or transfer company money, property, books and papers to the liquidator.

Legal title is not thereby beneficially transferred to the liquidator personally. A third party's property does not become the company's simply because it is physically present in company premises. Title, security and competing claims may need adjudication.

Section 284 — full cooperation, including former insidersSource ↗

Promoters, directors, officers and employees, present or former and persons acting or associated with the company within the section, must extend full cooperation. If a required person fails to assist, the liquidator may apply to the Tribunal; the Tribunal directs compliance with the liquidator's instructions and cooperation in performance of duties.

Amendment alert: the former six-month/₹50,000 criminal-punishment wording in subsection (2) was replaced in 2020 by this directions mechanism and subsection (3). That does not immunise fraud, concealment or disobedience from other applicable law; it means the old penalty is not the current wording of s. 284.

06 · Contributions, supervision and accounts: sections 285–298

Section 285 — list of contributories and application of assetsSource ↗

After the winding-up order, the Tribunal settles the list, rectifies the members' register where required and applies assets to discharge liabilities. Settlement may be dispensed with if there is no need to make calls or adjust contributories' rights. Distinguish contributories in their own right from representatives of others.

Current and former members: the list may include persons who are or have been members, subject to strict limits:

- A former member is not liable if membership ended **one year or more before commencement**.
- A former member is not liable for debts contracted **after departure**.
- A former member is called on only if present members cannot satisfy required contributions.
- For a company limited by shares, ordinary membership contribution cannot exceed the **unpaid amount on the shares**.
- For a guarantee company, contribution cannot exceed the undertaking; where it also has share capital, unpaid share liability is additional.

Numerical illustration: a member holds 1,000 shares of ₹10 each, with ₹7 paid. The ordinary outstanding share contribution is at most ₹3,000, not the full company deficit. A ₹50 lakh shortfall does not itself lift this limit. A separate fraud-based liability, if established under the applicable law, is a different issue.

Former member illustration: X transfers shares eight months before commencement. Liability is not automatic: check pre-transfer debt, present members' inability and unpaid capital. Y left eighteen months before commencement and falls outside the former-member contribution window under this provision.

Section 286 — directors/managers whose liability is unlimitedSource ↗

In a limited company, a director or manager **whose liability is unlimited under the Act** may have to make a further contribution as though a member of an unlimited company at commencement, in addition to ordinary membership contribution.

The former office-holder is protected where office ended at least a year before commencement, and against liabilities contracted after leaving. Subject to the articles, further contribution is required only where the Tribunal considers it necessary to meet debts, liabilities and winding-up costs. **Do not say every director automatically has unlimited liability on liquidation.** This provision addresses a specified class.

Section 287 — advisory committeeSource ↗

The Tribunal may direct an advisory committee to advise the liquidator and report on specified matters. It comprises **not more than twelve members**, drawn from creditors, contributories or others in the proportions the Tribunal directs. The liquidator convenes a creditors' and contributories' meeting within **30 days of the winding-up order** to enable the Tribunal to determine membership.

The committee may inspect accounts, documents, assets and property at reasonable times. Meetings are chaired by the liquidator and follow prescribed procedure. Its purpose is advice and reporting, not replacing the Tribunal's ultimate control.

Body	Provision	Distinct function
Winding-up committee	s. 277	Three specified categories; monitors liquidation; monthly reporting and final-report approval

Body	Provision	Distinct function
Advisory committee	s. 287	Up to twelve members; advises and reports; statutory inspection rights
Sale committee	s. 282(2)	May be appointed specifically to assist a sale

Section 288 — quarterly progress reportsSource ↗

The liquidator reports periodically and **at the end of each quarter** on winding-up progress in the prescribed form and manner. On the liquidator's application, the Tribunal may review its orders and modify them. Do not conflate this with the monthly committee report under s. 277 or the at-least-twice-yearly accounts under s. 294.

Section 289 — omittedSource ↗

The earlier section entitled "Power of Tribunal on application for stay of winding up" has been omitted following the IBC amendments. An exam answer should identify this status, not recite a repealed stay-and-revival procedure as present law. This does not mean no interim or appellate relief can ever exist under another legal provision; it means **s. 289 is not the present source**.

Section 290 — powers and duties of Company LiquidatorSource ↗

Subject to Tribunal directions and overall control, the liquidator has the following statutory toolkit:

1. **Carry on business** so far as necessary for beneficial winding up; this is not unrestricted permission for a new speculative venture.
2. **Execute deeds, receipts and documents** in the company's name and on its behalf, using its seal where necessary.
3. **Sell movable/immovable property and actionable claims**, by public auction or private contract, together or in parcels.
4. **Sell the whole undertaking as a going concern**, preserving value where appropriate.
5. **Raise money on security of company assets** where required for the administration.
6. **Institute or defend civil/criminal suits, prosecutions and other proceedings** in the company's name.
7. **Invite and settle claims** of creditors, employees and others, and distribute sale proceeds according to Act priorities.
8. **Inspect records and returns** with the Registrar or another authority.
9. **Prove and rank in a contributory's insolvency**, receiving appropriate dividends on the balance owed.
10. **Draw, accept, make and endorse negotiable instruments**, including cheques, bills, hundis and promissory notes, in the company's name.
11. **Obtain letters of administration in the official name** for a deceased contributory and take necessary steps to recover estate liabilities where recovery cannot conveniently be pursued in the company's name. The limited statutory deeming of the debt as due to the liquidator facilitates this recovery; it is not a personal windfall.
12. **Obtain professional assistance and appoint an agent** for tasks the liquidator cannot perform personally and for protection of assets.
13. **Sign and verify required papers and instruments** for winding up, distribution and discharge of duties.
14. **Apply for Tribunal orders/directions** needed for winding up.

The Tribunal may specify further duties. The liquidator must use powers for the statutory purpose, not for private preference. A sale might be within the listed powers but still challengeable if undertaken improperly or contrary to directions.

Section 291 — professional assistanceSource ↗

With Tribunal sanction, the liquidator may appoint one or more chartered accountants, company secretaries, cost accountants, legal practitioners or other professionals to assist. Appointed professionals must disclose forthwith to the Tribunal, in the prescribed form, any conflict of interest or lack of independence in respect of the appointment. Read this specific safeguard with s. 290's assistance power; delegation does not eliminate the liquidator's accountability.

Section 292 — directions, discretion and challengeSource ↗

In administration and distribution, the liquidator must have regard to directions by creditor/contributory resolutions at general meetings and by the advisory committee. Where these conflict, the general-meeting directions override advisory-committee directions. This does not place either above the statute or Tribunal.

The liquidator may summon meetings to ascertain wishes, and must do so when directed by resolution or requested in writing by **not less than one-tenth in value** of creditors or contributories, as applicable. Subject to the Act, the liquidator retains administrative discretion. Any person aggrieved by an act or decision may apply to the Tribunal, which may confirm, reverse, modify or make further just orders.

Section 293 — books of proceedingsSource ↗

Maintain prescribed books with entries/minutes of meeting proceedings and other prescribed matters. Subject to Tribunal control, creditors and contributories may inspect personally or through an agent. This creates an audit trail of decisions; it differs from the financial accounting and audit obligations under s. 294.

Section 294 — accounts and auditSource ↗

Maintain proper regular books, including receipts and payments. Present verified accounts **in duplicate and at least twice each year** during tenure. The Tribunal causes audit, can require vouchers and information and inspect books. One audited copy is filed with the Tribunal; the other is delivered to the Registrar and is open to inspection by creditors, contributories and interested persons.

For a government company, the relevant Central/State Government member receives a copy; both receive it if both are members. Audited accounts or a summary are printed and sent by post to creditors and contributories unless the Tribunal dispenses with that requirement. **Accuracy point:** this is oversight of liquidation accounts; it is not simply the ordinary company's pre-liquidation annual audit.

Section 295 — debts from contributories and set-offSource ↗

After the order, the Tribunal may direct a listed contributory to pay money due to the company from that person or the represented estate, **excluding money due by virtue of a call**, which is dealt with separately.

Set-off is carefully limited: for an unlimited company, independent contractual/dealing debts owed to the contributory may be allowed, but not member entitlements to dividends or profits. A limited-company director/manager whose liability is unlimited may receive the corresponding set-off. Once **all creditors are paid in full**, in any company, money due on any account to a contributory may be allowed against a subsequent call.

Illustration: "The company owes me a dividend, so I will not pay my capital contribution" is not an unrestricted defence against the creditors' estate. Separate ordinary debt recovery, capital calls and final member adjustment.

Section 296 — calls by the TribunalSource ↗

Before or after assets' sufficiency is ascertained, the Tribunal may make calls on contributories to the extent of their liability for money necessary to meet debts, liabilities, costs and adjustment of contributory rights, and may order payment. It may take account of the probability that some contributories will not pay in full or at all. This practical allowance does not enlarge another member's legal maximum liability.

Section 297 — adjustment and surplusSource ↗

The Tribunal adjusts contributories' rights among themselves and distributes any surplus among those entitled. Ordinary shareholders do not share the gross asset pool equally with creditors merely because they own the company. Class rights, paid-up amounts and the constitution may affect the residual allocation; equal division is not universal.

Section 298 — costs where assets are insufficientSource ↗

If the assets are insufficient to satisfy liabilities, the Tribunal may order payment out of the assets of winding-up costs, charges and expenses in the priority it considers just. This is an administration-cost provision, not a complete statutory ranking of every claim. Distribution answers must also consider ss. 326–327 and the applicable security/priority framework.

07 · Examination, enforcement and dissolution: sections 299–303

Section 299 — information and property recoverySource ↗

After provisional appointment or a winding-up order, the Tribunal may summon officers; persons known or suspected to possess company property/books/papers; persons known or suspected to owe the company money; and persons capable of giving relevant information about formation, promotion, business, dealings or affairs.

It may examine on oath orally, through written interrogatories or on affidavit, reduce oral answers to writing and require signatures. Books and papers may be required. Claimed liens are preserved pending determination; production does not automatically waive them.

The Tribunal may call for the liquidator's report concerning third-party debts/property. If indebtedness or possession of company property is found, it can order payment or delivery on just terms, with appropriate examination costs. Unexplained failure to attend can attract costs. Payment/delivery orders are executable like CPC decrees; compliance ordinarily discharges liability concerning that debt/property unless the order directs otherwise.

Distinction: suspicion permits inquiry; it does not itself prove the final debt or ownership claim.

Section 300 — examination following a fraud reportSource ↗

Trigger: a winding-up order plus a liquidator's report expressing the opinion that fraud has been committed in promotion, formation, business or conduct of affairs. After considering it, the Tribunal may require the person/officer to attend examination concerning the relevant conduct.

The liquidator participates and may use specially authorised legal assistance. The examinee answers on oath. Before examination, the person receives the report at their own cost and may retain authorised professional representation to ask permitted questions explaining or qualifying answers.

A person may seek exculpation from the charges; the liquidator must draw relevant matters to the Tribunal's attention. If exculpation is granted, appropriate costs may be awarded. Notes are written, read over/to the person, signed and supplied in copy, may be used in evidence and are inspectable by creditors/contributories. Examination can be adjourned or delegated to an authorised person/authority, which exercises examination powers but not the costs power.

Major correction: s. 300 is an examination provision. It is not the general provision imposing unlimited personal liability for fraudulent trading; the relevant neighbouring substantive provisions include ss. 339–340.

Section 301 — preventing evasionSource ↗

Before or after the winding-up order, the Tribunal may act where satisfied that a contributory or person possessing company property/accounts/papers is about to leave India, abscond, remove or conceal property **to evade calls or avoid examination**. The section provides for detention of the contributory and seizure/safe keeping of books, papers and movable property until the Tribunal orders otherwise.

The evasive purpose and statutory conditions must be established. Ordinary travel or an unpaid claim does not alone justify this coercive power. An answer should identify the power precisely rather than suggest arbitrary arrest of all directors.

Section 302 — dissolutionSource ↗

Once affairs are completely wound up, the Company Liquidator applies for dissolution. On that application, or where the Tribunal considers dissolution just and reasonable in the circumstances, it orders that the company be dissolved **from the date of the order**.

Under the amended subsection (3), within **30 days** the Tribunal forwards a copy to the Registrar and directs the liquidator to forward a copy; the Registrar records the minute of dissolution. The former daily-default fine in subsection (4) was omitted in 2020. Do not reproduce the old subsection as current law.

Exam conclusion: the company is not dissolved merely because members voted, a petition was filed, a liquidator was appointed or assets were sold. Identify the legal dissolution event.

Section 303 — historical orders and appealsSource ↗

The Chapter does not affect operation or enforcement of court winding-up orders made immediately before commencement of the Act; appeals against those orders go to the authority competent before commencement. This is a **saving/transitional provision**, not the general modern appeal section.

For present Tribunal orders, the general appeal framework is in **s. 421 (NCLAT)** and **s. 423 (Supreme Court on a question of law)**, subject to their conditions. Section 421 ordinarily uses 45 days with a further period not exceeding 45 days for sufficient cause; s. 423 ordinarily uses 60 days with a further period not exceeding 60 days. Consent orders have the statutory restriction under s. 421(2). Keep Topic 9 institutional detail separate from this Topic 8 saving clause.

Important connected provisions outside the stated range

The requested range is ss. 270–303, not the entirety of Chapter XX. The following are necessary connections rather than a substitute exhaustive treatise on Part III:

- **S. 324:** proof of debts/claims, including contingent and future claims, with appropriate estimation.
- **Ss. 326–327:** overriding preferential payments and preferential payments under the Act; do not substitute the IBC waterfall. Their non-application in IBC liquidation is expressly addressed in s. 327(7).
- **Ss. 328–332:** preferences, certain transfers, disclaimers and floating-charge issues; investigate suspect depletion of the estate.
- **Ss. 334–335:** post-commencement dispositions and specified execution/sales, subject to statutory conditions and Tribunal protection/leave.
- **Ss. 339–340:** fraudulent conduct of business and assessment of damages against delinquent persons. These need proof and a statutory order, not automatic liability for every failed company.
- **S. 354:** wishes of creditors and contributories may be considered.
- **S. 356:** power, on the stipulated application within two years, to declare dissolution void on appropriate terms.
- **S. 357:** Tribunal winding up is deemed to commence at presentation of the petition. The relation-back matters when a winding-up order follows; a dismissed petition is not an independent liquidation.
- **S. 358:** exclusion of the specified period in computing limitation for proceedings in the company's name; not a universal revival of claims already time-barred.

The **Companies (Winding Up) Rules, 2020** supply procedural forms and detail.

Timeline worth learning

Event	Period	Source / starting point
Registrar's views on petition	60 days	s. 272(5), receipt of petition
Tribunal's order on petition	90 days	s. 273(1), presentation
Company objections + statement	30 days; possible further 30	s. 274(1), Tribunal direction
Completed audited books to liquidator	30 days	s. 274(3), winding-up order

by Ankur R. Upadhyay

Event	Period	Source / starting point
Independence/conflict declaration	7 days	s. 275(6), appointment
Intimation to liquidator / Registrar	Not exceeding 7 days	s. 277(1), order
Apply for winding-up committee	3 weeks	s. 277(4), winding-up order
Committee report with minutes	Monthly	s. 277(6)
Leave application disposal	60 days	s. 279 proviso
Initial liquidator's report	60 days	s. 281, relevant order
Meeting for advisory committee	30 days	s. 287(3), winding-up order
Progress report	Each quarter	s. 288
Accounts presented	At least twice yearly	s. 294
Dissolution-order transmission	30 days	s. 302(3), order

Memory aid: **7 · 21 · 30 · 60 · 90** — notifications/declaration; committee application; statement/books; views/report; petition order. Always attach the correct trigger. A number without its starting event is an incomplete answer.

13 · Five-case synthesis and issue-spotting toolkit

Case	Ask this decisive question	What does NOT settle the issue?	Outcome
German Date Coffee	Can the real indispensable undertaking still be performed?	Majority enthusiasm and another profitable business	Winding up affirmed
Seth Mohan Lal	Have the genuine corporate objects as a whole substantially failed?	A ban on the principal current activity	Winding up refused
Aluminium Corporation	Do proved facts and the balance of equities warrant collective liquidation now?	An asserted automatic right from an unpaid decree	Final decision postponed one year
Yenidje	Can the equal participants reasonably cooperate in the association they created?	Solvency and profits	Winding up ordered
Devas Employees Mauritius	Is the authorised-person route valid and the particular authorisation unlawful?	Treating a Registrar proviso as universally applicable	Writ dismissed; authorisation undisturbed

A six-step problem-answer method

Step 1 — classify the grievance: business failure, fraud, filing default, equal-control deadlock, or debt. **Step 2 — select the operative law:** current s. 271, an historical provision for an old paper, or IBC. **Step 3 — establish standing:** apply s. 272 and any clause-specific requirement. **Step 4 — prove the elements:** facts must demonstrate the legal ground, not merely use its label. **Step 5 — analyse discretion and alternatives:** apply s. 273(2) where relevant. **Step 6 — conclude precisely:** admission, provisional protection, final winding up, refusal, or authorisation challenge are different outcomes.

How to write arguments for both sides without losing your conclusion

Petitioner emphasis	Company emphasis	Your evaluation
Sole licence/patent has failed	Other objects or a lawful substitute remain	Are the alternatives genuine independent objects or ancillary wording?
Equal directors cannot cooperate	Company remains profitable	Can lawful management function and is an effective exit available?
Closure lasted a long time	Assets, permissions and restart plans survive	Is failure permanent and substantial?
Fraud is alleged	Allegations are contested / remedies exist	Who may apply, what is proved, and is winding up proper?
A creditor has an unpaid decree	Debt genuinely disputed / different route applicable	Separate standing, current law and the historical case's evidence rules

The strongest conclusion is conditional only where facts are genuinely missing. "If the memorandum shows a sole indispensable patent, German Date Coffee governs; if it instead establishes independent surviving businesses, Seth Mohan Lal is distinguishable in the company's favour" is reasoned analysis. "It depends on the court" is not.

Prescribed & Landmark Case Law Dossiers — Detailed Analysis

CASES #56 - #60

CASE #56 — DU LL.B. PRESCRIBED AUTHORITY

In re German Date Coffee Company (1882) 20 Ch D 169

DU Prescribed Case

Court and procedural setting: English winding-up proceedings before Kay J, followed by an appeal. The DU extract reproduces the first-instance reasoning and appellate reasoning, including Baggallay LJ and Lindley LJ. **Core subject:** failure of substratum and construction of the memorandum's dominant purpose. The appellate court affirmed the winding-up order.

Facts: the investment was in a protected German undertaking

1. The company was registered on **16 February 1881**, with capital of **£100,000 in £1 shares**.
2. The memorandum's first and central object was to acquire and exploit inventions for manufacturing a coffee substitute from dates, for which a patent had been or would be granted **by the German Empire to T. F. Henley**.
3. Other clauses concerned using or improving the invention, manufacturing and selling preparations, licensing, obtaining related patents, acquiring cognate inventions and importing/exporting food produce. Land, buildings and machinery powers were also included.
4. A named agreement provided for acquisition of the German rights for **£50,000**, payable partly in cash and partly in shares. The prospectus presented the venture as one to purchase and work Henley's German patent.
5. **The German patent was never granted.** An appeal against refusal failed. Around **27,000 shares** were surrendered by shareholders withdrawing after the misrepresentation became apparent.
6. A substituted agreement of **12 October 1881** proposed rights connected with the English patent for use in Germany and assignment of a **Swedish patent**, while maintaining the substantial purchase consideration. Shareholders approved it on 13 October by **8,979 votes to 2,075**.
7. The company spent about **£3,000** on a Hamburg manufactory and claimed profitable production of date coffee there **without a German patent**. It was solvent; a large majority of continuing shareholders wanted to proceed.

8. Two shareholders, holding **100 and 10 shares**, petitioned on **30 January 1882**, before the first anniversary of incorporation, alleging that the objects had entirely failed.

Why the details matter: this was not a company with no cash, no product and no supporters. The crucial failure was the specific protected undertaking for which investors subscribed. Solvency and some profitable activity did not answer that objection.

Issues

- Was the company a general date-coffee/food enterprise, or a company whose essential object was working a particular German patent?
- Could broadly worded ancillary objects sustain continuation after the German patent became unobtainable?
- Did obtaining a Swedish patent or continuing unpatented production in Hamburg amount to carrying on the same undertaking?
- Could the majority compel the minority to remain in the altered venture?
- Was the petition premature because it was filed within a year of incorporation?

Petitioning shareholders' arguments — recorded in the DU extract

The German patent was the main object/substratum for which money had been subscribed. The petitioners had not joined to manufacture unpatented date coffee. Once the patent became unattainable, the contemplated business could no longer be carried on. Partnership principles and authorities such as **Baring v Dix** and **Re Suburban Hotel** supported dissolution where the whole foundation failed. Majority approval did not authorise compelling the dissenters to undertake a different business.

Territorial point: the value of a German patent was exclusivity under German law. A right under English or Swedish patent law could not supply that German exclusivity merely by being assigned to a German company.

Company / continuation side — recorded in the DU extract

The company relied on the memorandum's wide words: power to use inventions, manufacture preparations, acquire improvements and cognate inventions, trade in food produce and acquire property. It maintained that some contemplated business could still be conducted without the German patent and with majority approval. The undertaking was solvent and, it claimed, profitable.

It relied on **Re Langham Skating Rink** and **Re Middlesborough Assembly Rooms**, where continuing only part or a modified scale of an undertaking did not justify ignoring the majority. It also argued that statutory provision for a year to commence business indicated that the petition came too early. An affidavit referred to a renewed patent application.

Decision and reasoning

Holding: the substratum had failed; winding up was just and equitable. The appellate challenge failed and Kay J's order stood. Do not confuse dismissal of the appeal with dismissal of the winding-up petition.

1. The memorandum must be construed as a whole. Kay J treated the German patent as the foundation shown by the memorandum and the named transaction. Broad wording was ancillary or auxiliary to that scheme, not authority to reinvent the enterprise entirely.

2. A smaller version of the same project differs from a different project. In Langham Skating Rink, a smaller rink was still within the real contemplated undertaking. Here the indispensable German monopoly right was missing; producing the substance without it was not simply a cheaper scale of the same protected investment.

3. The substituted patent did not cure the failure. The Swedish patent gave no German monopoly. The proposed English-patent permission was similarly ineffective as a substitute for German protection. The decisive question was not "Can anybody still manufacture this product?" but "Can this company achieve the essential object for which it was constituted?"

4. General words must not trap subscribers. Lindley LJ warned against construing general objects literally so that subscribers in an enterprise to manufacture one thing could be bound into an unrelated trading venture. This is a contextual construction principle; it is not a rule that every later-listed object in every memorandum is necessarily subordinate.

5. Minority rights survived majority approval. The majority's preference was relevant but could not change the fundamental bargain by retaining minority capital in an essentially different undertaking. The statutory equitable remedy existed to address that injustice.

6. No need to wait for an anniversary where failure is already clear. A reasonable commencement period protects a venture still capable of implementation. It does not require pointless delay after the essential undertaking is demonstrably abortive. The asserted renewed application did not establish a realistic possibility of obtaining the required patent on the evidence.

Principle and limits

> *Where a company's distinct dominant purpose, as properly construed, has completely failed, general ancillary objects, solvency and majority support do not necessarily prevent winding up on the just-and-equitable ground.*

Ratio/application today: use the case under s. 271(e) to analyse a sole or dominant indispensable object. Apply s. 273(2) and current procedural requirements separately.

Not decided: that all unsuccessful patents require winding up; that all broad objects are ineffective; that a company can never alter its objects lawfully; or that commercial disappointment alone is sufficient. The result depends on a foundation that cannot be realised, not merely disappointing profits.

Case-use capsule

Trigger words: sole licence, indispensable concession, named patent, unavailable essential right, substitute business, minority objection. **Exam sentence:** "As in German Date Coffee, the ability to conduct some profitable activity is not decisive if it is not the undertaking that constituted the company's substratum."

Hypothetical variation: a company is genuinely constituted for several independent food businesses, one of which uses a German patent. Patent refusal alone may not establish loss of substratum; that version is closer to the reasoning in Seth Mohan Lal. This is an explanatory hypothetical, not an additional reported fact.

CASE #57 DU LL.B. PRESCRIBED AUTHORITY

Seth Mohan Lal v Grain Chambers Ltd., AIR 1968 SC 772

DU Prescribed Case

Court: Supreme Court of India; judgment delivered by **J. C. Shah J**. **Historical statute:** Indian Companies Act, 1913, including s. 162. **Core subject:** a legal prohibition affecting one principal activity does not necessarily destroy the substratum of a company with other genuine objects and assets.

Facts and procedural history

1. Grain Chambers Ltd., Muzaffarnagar, was incorporated to conduct an exchange in **grain, cotton, sugar, gur, pulses and other commodities**. In 1949–1950 its business was principally **futures in gur**.
2. On **14 March 1949**, the board sanctioned gur futures for the Phagun settlement, stated in the extract as **4 March 1950**.
3. On **9 August 1949**, Seth Mohan Lal & Co. acquired a share, qualified for membership and began dealing in gur futures. The extract records **1,136 bijaks** of sales in the firm's own name and a further asserted **2,137 bijaks** in the benami names of five other members.

4. During sharp price fluctuations in January 1950, the board resolved on **7 January** that settlements would not be accepted above **₹17-8-0 per maund**, with margin deposits required. The appellants deposited **₹5,26,996-14-0** on their own transactions and alleged additional benami deposits of about ₹7 lakh.
5. On **15 February 1950**, the Government extended the Sugar (Futures and Options) Prohibition Order to gur under the Essential Supplies (Temporary Powers) Act. The prohibition was against entering future transactions after the appointed day; the case did not establish that all existing contracts became void.
6. That day the board fixed outstanding Phagun settlement at the previous closing rate, **₹17-6-0 per maund**. Its resolution recorded special invitees, including Mohan Lal. Against the appellants' margin balance the company debited **₹5,15,769-5-0** as adjusted loss, leaving **₹11,227-9-0** to their credit.
7. On **22 February 1950**, the appellants and their partner sought winding up: alleged inability to pay, fraud/misappropriation by management and destruction of substratum.
8. The single judge dismissed the petitions; the Allahabad High Court affirmed. Appeals reached the Supreme Court, which dismissed them.

Reading note: the extract uses old rupees-annas-pies notation and more than one settlement reference. The legal answer does not require silently "correcting" these historical details or converting them to modern decimal amounts. The central issues are the effect of prohibition, legitimacy of settlement and survival of the corporate objects.

Issues

- Did the prohibition make outstanding gur contracts void, so that settlement debits/payment of others were wrongful?
- Were allegations concerning benami transactions, fraud, misapplication of funds and board irregularities proved?
- Did the loss of gur-futures trading destroy the company's substratum?
- Were liabilities unpaid and assets inadequate, or could the company pursue remaining objects?
- Could later inactivity caused by prolonged litigation establish a winding-up ground that did not exist when the petition was filed?

Appellants' contentions

They challenged the settlement transactions and alleged misuse of funds, including amounts said to belong to them through benami dealings. They asserted that the government prohibition had destroyed the business, liquid assets had been disposed of and no reasonable prospect of restarting remained. Winding up was sought both on financial grounds and as just and equitable.

Company's position

The supplied excerpt is **not a verbatim transcript of respondent counsel's speech**. Its reported defence/outcome supports these propositions: outstanding contracts were not rendered void; directors prudently settled at the relevant prevailing rate; benami claims and mala fide payment allegations were not proved; the board was properly constituted and directors' trading violated no relevant company-law provision; the objects were wider than gur futures; and usable assets survived.

Argument attribution discipline: present these as the respondent's case reflected in the findings, not invented quotations or a purported complete counsel transcript.

Decision and reasons

The appeals failed; winding up was refused.

1. Existing transactions were not automatically annihilated. The High Court's view that the notification did not invalidate the outstanding futures was upheld in the supplied account. Settlement of obligations on the stated basis was prudent and in the interests of company and shareholders, not proof of fraud.

2. Allegations required proof. The asserted benami transactions and mala fide settlements were not established. Separate suits based on those transactions were dismissed. Winding up was not justified by simply asserting that funds had been misapplied.

3. The incorporation objects had not substantially failed. Gur futures were the main current activity, not the exclusive corporate purpose. The company could engage in other commodities within its objects. The case therefore differs from a company whose sole indispensable patent never existed.

4. Financial and organisational capacity survived. The company possessed immovable property and liquid assets valued at about **₹2,54,000**. Inability to pay was not shown; the Court's view left no creditors with the asserted outstanding debts. Discharging brokers did not destroy the organisation irretrievably because their services could be obtained again.

5. Losses were not inevitably permanent. There was no proof that all permitted business could be conducted only at a loss, or that assets were insufficient to meet liabilities. A legal ban on one class of transaction did not prove that broader conclusion.

6. Time of assessment matters. Primarily, circumstances existing **at the petition date** determine whether a just-and-equitable case is made out. Business inactivity caused by long litigation could not itself justify winding up when the original case failed.

The three substratum indicators stated by the Court

The DU extract states that substratum disappears when:

1. The object of incorporation has **substantially failed**; or
2. It is impossible to carry on the business **except at a loss**; or
3. Existing and possible assets are insufficient to meet **existing liabilities**.

Read these as the Court's historical formulation. In a modern answer, do not use the third limb to smuggle a routine debt-default petition back into current s. 271; explain the IBC transition and substantiate an actual equitable ground.

Principle, qualifications and use

> *Loss of the company's principal current activity is not necessarily loss of its substratum where genuine remaining objects, assets and a realistic ability to resume business survive.*

The Court considered both shareholders' and creditors' interests. The decision is **not** an absolute rule that several objects always defeat winding up, nor that temporary cash assets conclusively establish viability. The key is whether the company can genuinely pursue the business for which it was incorporated.

Trigger words: regulatory prohibition, commodity exchange, multiple genuine objects, temporary closure, assets available, litigation-caused paralysis. **Exam sentence:** "The question is not whether the formerly dominant business has stopped, but whether the company's substantive objects and realistic capacity to pursue them have substantially disappeared."

German Date Coffee and Seth Mohan Lal — reconcile, do not merely list

Point	German Date Coffee	Seth Mohan Lal
Real undertaking	Specific German-patent venture	Multi-commodity exchange
Adverse event	Indispensable patent unobtainable	Gur-futures prohibition
Remaining objects	General words read as ancillary	Genuine other commodity objects
Profit/assets	Solvency did not cure foundational failure	Assets and restart capacity supported survival

Point	German Date Coffee	Seth Mohan Lal
Minority request	Different venture could not be imposed	Original corporate purposes remained available
Result	Winding up ordered; affirmed	Winding up refused; appeals dismissed
Shared principle	Examine real objects and evidence	Examine real objects and evidence

CASE #58 DU LL.B. PRESCRIBED AUTHORITY

Aluminium Corporation of India Ltd. v Lakshmi Ratan Cotton Mills Co. Ltd., AIR 1970 All 452

DU Prescribed Case

Court: Allahabad High Court, **M. H. Beg J**, decision **28 July 1969**. **Historical framework:** ss. 433, 434 and 443 of the Companies Act, 1956. The name appears with "Aluminum/Aluminium" and "Ratan/Rattan" variants across the supplied materials. The syllabus's **AIR 1970 All 452** reference is the correct one for the discussion here; do not adopt a website heading incorrectly saying AIR 1978.

Facts: restitution, industrial rivalry and a proposed revival

The Gupta and Singhania industrial groups had once jointly controlled the cotton-mill company, the aluminium corporation and a related firm. Their affairs had been intertwined. Following separation under an award, the corporation went to the Singhanias and the company/firm to the Guptas.

The cotton-mill company sued the corporation on accounts and obtained a decree for about **₹2,82,734**, with costs and interest. The limitation issue turned on whether a corporation secretary's letter validly acknowledged liability. The trial court accepted implied authority; the High Court reversed, holding the acknowledgement ineffective for extending limitation. The original decree had meanwhile been satisfied through a deposit and set-off arrangement.

After reversal, the corporation obtained a **restitution order dated 15 April 1967 for ₹4,11,554**. The company appealed the underlying judgment to the Supreme Court, but had no stay of restitution and did not separately appeal the restitution order. Rather than establishing unsuccessful execution of process, the corporation served a **three-week demand on 11 May 1967** and filed for winding up on **9 August 1967**.

The mill had closed on **6 September 1966**. Evidence concerned depression in the cotton industry, labour trouble, substantial liabilities, assets and possible government financial support. The petitioning corporation had sought to restrain the company from taking a proposed **₹40 lakh government loan** intended to help restart the mill. The company asserted that the mill had resumed working profitably. Other creditor claims were also before the Court.

Four framed issues

1. Was the company commercially insolvent and liable to winding up?
2. Had it suspended business for a whole year so as to attract the historical statutory ground?
3. Was winding up otherwise just and equitable?
4. Was the petition mala fide and liable to dismissal on that ground?

An important preliminary issue concerned whether the Court was confined to evidence accompanying the original/amended petition or could receive later affidavits in the representative proceeding.

Corporation's arguments

- An unsatisfied judgment/restitution debt plus failure to comply with the statutory demand should entitle the creditor to winding up **ex debito justitiae**.
- Without an appellate stay, a pending appeal should not ordinarily excuse non-payment of an adjudicated debt.
- The restitution order had become final and supplied an immediately enforceable liability.
- Commercial insolvency, closure, other debts and alleged corporate irregularities supported the winding-up request.
- The petitioner invoked the recognised idea of winding up as a form of **equitable execution** rather than merely an ordinary suit.

Company's arguments

- The debt was **bona fide disputed on substantial grounds**, despite the existing judgment and restitution order; material from the underlying judgments and appeal showed more than a sham appeal.
- The statutory fiction of neglect to pay should not arise where a genuine substantial dispute existed.
- No execution process had been shown returned unsatisfied so as to establish the separate statutory route under s. 434(1)(b).
- Commercial insolvency was not proved by an adequate comparison of current assets and liabilities, ignoring potential profitable working.
- The closure had explanation and credible prospects of reversal; a whole year had not elapsed when the petition was filed.
- Ordinary enforcement and other remedies were available, and the petitioner's attempt to obstruct a revival loan undermined its claimed equitable purpose.
- The company also objected to new evidence beyond the petition; that restrictive procedural objection was rejected.

Reasoning: equitable jurisdiction requires a real balance of interests

1. Later evidence was not categorically excluded. A prima facie case should accompany the petition, but the representative nature of winding up and the applicable procedure permit later affidavits and creditor evidence. Expedition does not justify a rigid rule that only the original affidavit can ever be considered.

2. "May" means judicial discretion. Even proved inability does not automatically compel a winding-up order. Justice and equity permeate the jurisdiction, not only the separately named just-and-equitable ground. The creditor's claimed right becomes compelling only when the established equities warrant the collective remedy.

3. A decree is strong evidence, not an answer to every possible substantial dispute. The presumption of correctness remains until reversal, but the Court can examine whether the challenge is substantial. A bare appeal is insufficient. Here, the different judgments, paper-book material and proposed appeal grounds established a genuine controversy over repayment liability.

4. Distinguish the historical s. 434 routes. Under (1)(a), a genuine substantial dispute can rebut the inference of neglect following demand. Under (1)(b), the separate question is whether execution or process has actually been returned unsatisfied; the mere dispute is not the same answer to that circumstance. In the case, the petitioner had not established returned-unsatisfied process. The Court did not declare every appealed decree unenforceable.

5. Commercial insolvency was not proved adequately. The petitioners had not shown current assets below current liabilities and inability to pay through the profitable operations asserted. The Court did not accept that the evidence compelled closure in creditors' interests.

6. Closure was explicable and revival plausible. The petition preceded the first anniversary of mill closure. More importantly, depression and labour trouble explained suspension, and the possibility of working with government assistance weighed against treating the business as irretrievably dead.

7. Equities must relate to legitimate creditor interests. The remedy is not an opportunity to fling accusations in an industrial feud. The proposed injunction against revival finance was relevant to whether winding up actually served creditors. Workers could lose employment rather than gain by the company's liquidation.

Actual order — the point most summaries miss

> *Under s. 443(1)(b) of the 1956 Act, the Court postponed the final decision for one year, on condition that the parties take steps to establish a clear balance of equities for or against winding up.*

It was **not** an immediate winding-up order, and the DU extract does **not** end with a final unconditional dismissal. Other substantial indebtedness meant the petition could not simply be disposed of as though the petitioner's disputed debt were the only issue.

Principles and present relevance

- Winding up is an **equitable, collective remedy**, not automatic debt collection.
- Judicial discretion must be reasoned, not arbitrary.
- Bona fide dispute must be **substantial**, not an assertion designed to manufacture delay.
- Even a judgment debt calls for careful analysis of the type and effect of the evidence in the historical jurisdiction.
- Temporary closure and viable revival differ from destruction of substratum.
- The petitioner's conduct and the interests represented by the petition matter.

Modern-law boundary: do not tell a present creditor to issue a three-week notice under the old s. 434 and file under current s. 271 for inability to pay. Preserve the case's historical holding; apply its caution about drastic relief to current equitable analysis. The one-year adjournment under old s. 443 also cannot simply override present statutory timing requirements.

Exam capsule: "Aluminium Corporation illustrates judicially controlled equitable discretion; importantly, the Court postponed the final decision for one year rather than ordering immediate liquidation or finally dismissing the petition."

CASE #59 DU SUGGESTED AUTHORITY

Re Yenidje Tobacco Co. Ltd. [1916] 2 Ch 426

DU Suggested Case

Court: English Court of Appeal; **Lord Cozens-Hardy MR, Pickford LJ and Warrington LJ**. **Core subject:** deadlock and a partnership-like private company. The DU syllabus prints the case at "2 Ch. D. 169"; authoritative law reports identify **2 Ch 426**. 3

Material Facts

Two tobacco/cigarette manufacturers combined their businesses in a private company. They were its **only two shareholders and only two directors**, with equal voting power. Their relationship deteriorated so seriously that they would not speak to each other and communicated through the secretary. Disagreement affected important management and staffing matters. Yet the company remained solvent and profitable.

The summary notes an articles-based arbitration arrangement. The quoted appellate reasoning available externally treats arbitration as a means of resolving particular disputes, not as a workable substitute for the entire ongoing relationship of management and reasonable cooperation. A compulsory winding-up petition followed the complete breakdown. **Source boundary:** the record do not safely establish a complete chronology of every arbitral step or an authoritative allocation of every procedural role between the two principals; those details are not invented here. 3

Issues

- Could a profitable, solvent company be wound up because its equal controllers could no longer cooperate?
- Could the just-and-equitable jurisdiction use principles analogous to dissolution of a partnership?
- Did continued trading/profit or an arbitration clause answer the breakdown?
- Was just-and-equitable winding up confined to closed categories such as financial collapse or loss of commercial substratum?

Winding-up side — explanatory reconstruction, not a counsel transcript

The strongest case for the petitioner is that the equal-control arrangement assumed continuing reasonable cooperation. Irretrievable hostility and the absence of an effective internal resolution destroyed that basis. Requiring the company to survive solely because profits existed would imprison the participants in an unworkable association. Arbitration of individual disputes did not supply a continuous substitute management structure.

Continuation side — partly reflected in appellate discussion; otherwise reconstructed

The strongest contrary case is that the corporation remained legally distinct and commercially successful, so personal hostility should not dictate its destruction; dispute-resolution machinery should be used; and winding up should be reserved for established exceptional grounds. These are the legal positions to evaluate. **The record do not reproduce full submissions by counsel**, so they must not be presented as verbatim reported arguments.

Decision and principle

The company was ordered to be wound up on the just-and-equitable ground. The court treated the essential relationship as **a partnership in the guise of a private company**: the same fundamental inability to cooperate that could justify dissolving that personal association could justify corporate winding up. Prosperity did not cure the institutional and relational failure. 5

The appellate reasoning emphasised that the parties expected reasonable conduct and courtesy in working together. A mechanism for arbitrating specific disputes did not mean they intended the company to operate indefinitely through hostility and repeated arbitration. The court also resisted treating the examples of substratum failure and complete deadlock as exhaustive limits of equity. 3

Analytical significance and limits

Profitability and governability are distinct. Employees can continue generating revenue for a time while the constitutional decision-making relationship is broken. Therefore, proof of profits defeats an insolvency allegation but does not necessarily defeat an equitable-deadlock case.

Not every quarrel qualifies. The equal-control structure, entire collapse of cooperation and lack of an effective resolution mattered. Ordinary disagreements, a casting vote that works, or a realistic contractual exit can alter the result. In a current Indian problem, expressly analyse s. 273(2), rather than assuming the old English result is automatic.

Not ordinary veil lifting: partnership reasoning does not erase separate personality for all purposes. It is an equitable basis for evaluating whether continuation should be compelled.

Exam capsule: "Yenidje demonstrates that financial prosperity is not an absolute defence where a quasi-partnership company's mutual-cooperation basis and management machinery have irretrievably failed."

CASE #60 DU SUGGESTED AUTHORITY

Devas Employees Mauritius Private Ltd. v Union of India

DU Suggested Case

Karnataka High Court · W.P. No. 6191 of 2021 · 28 April 2021 · P. S. Dinesh Kumar J. The report is also identified as **[2021] 127.com 108 (Karnataka)**. **Principal provisions:** ss. 271(c), 272(1)(e), 272(3); constitutional challenge and judicial review of Central Government authorisation. 2

Facts and procedural setting

The petitioner, a Mauritius company, held **3.48%** in Devas Multimedia Pvt. Ltd. On **28 January 2005**, Devas and Antrix Corporation entered into an agreement for lease of space-segment capacity on ISRO/Antrix S-band spacecraft. Antrix terminated the agreement in **2011**. Devas pursued ICC arbitration and obtained an award for **USD 562.5 million**.

On **14 January 2021**, Antrix's Chairman-cum-Managing Director sent the Ministry of Corporate Affairs a detailed request for authority to seek winding up, setting out the transaction and allegations. Central Government authorisation followed on **18 January 2021**. Antrix petitioned the NCLT; admission and provisional-liquidator orders were made, and the shareholder pursued the NCLAT route and an application to participate before NCLT. The writ sought to challenge the statutory authorisation route and undo the authorisation and resulting proceedings. 2

Precise issues — avoid replacing them with the later appeal

1. Was **s. 272(1)(e)**, allowing a Central Government-authorised person to petition, unconstitutional?
2. Should the company's pre-sanction representation protection in the **second proviso to s. 272(3)** for a Registrar petition be read into the authorised-person route?
3. Was the authorisation of 18 January 2021 mala fide, arbitrary or otherwise liable to interference?
4. Was the writ an appropriate parallel proceeding where the shareholder was already participating in the Tribunal process? 2

Petitioner's arguments — reported positions

- The absence of the Registrar-route pre-sanction hearing in the authorised-person route created an objectionable difference and called for constitutional invalidation or reading the hearing safeguard into it.
- Devas had not been given an opportunity before authorisation was granted.
- Antrix was an award debtor; seeking the award creditor's winding up was alleged to be a device for avoiding payment.
- The agreement had been terminated on **force majeure**, not fraud; the later fraud case was said to be designed to defeat legitimate arbitral dues.
- The speed of authorisation was cited as evidence of a mala fide exercise of power. 2

Respondents' arguments — reported positions

The respondents relied on the different statutory positions of the Registrar and a specially authorised applicant; the material placed before Government in the detailed request; serious allegations relating to formation, promised technology, approvals and movement of funds; and investigation material. They argued that fraud could not be neutralised merely by reliance on termination terminology or an award, and that the shareholder could contest the matter before the NCLT/NCLAT. 2

Evidence-status warning: allegations about technology, high valuations or diverted funds are reported as allegations/material relied on. Do not turn each into an independently adjudicated fact of this writ or reproduce sensational financial claims without their evidentiary setting.

Decision and reasoning

Outcome: the High Court rejected the constitutional challenge, declined interference with authorisation and dismissed the writ with **₹5 lakh costs**, payable within four weeks. It treated the proceedings as an abuse of process in the circumstances. **A, printed pp. 108–109**, corroborated by the reported extract. 2

1. Different statutory categories were not interchangeable. The Registrar, who receives corporate information in an official capacity, occupies a different position from a person authorised to present a petition. The provision prescribing prior sanction and representation for the Registrar did not automatically extend to s. 272(1)(e). The reported conclusions at paragraphs 51–52 reject unconstitutionality and the requested reading down. 2

2. Permission to approach the Tribunal is not itself winding up. The company could contest the case in adjudicatory proceedings. The authorisation did not amount to the final civil consequence of dissolution or a conclusive determination of all fraud allegations. The High Court's reasoning stressed the opportunity to present objections before the competent forum. 2

3. Mala fides were not established merely by chronology. The detailed request and material could not be brushed aside solely because authorisation came quickly, or because Antrix faced an award. The petitioner failed to establish the constitutional infringement alleged. 2

4. Litigation conduct mattered. The shareholder had pursued the Tribunal route and sought participation, then initiated the writ immediately before the date fixed for final hearing. The Court characterised the parallel attack as abuse of process/proxy litigation in the particular circumstances. This is not a universal bar on constitutional challenges to company legislation. 2

Principles and limits

- **Authorised-person standing is constitutionally valid** on the challenge examined.
- **Registrar-specific safeguards cannot simply be transplanted** into a distinct statutory category.
- **Authorisation and merits adjudication are different.** NCLT must decide the statutory case; the executive does not dissolve a company by authorising a petition.
- Alleged mala fides require substantiation; a quick decision or an existing arbitral award is not by itself the complete answer.
- Equitable/constitutional process cannot be used abusively to derail proceedings already being contested.

Do not conflate three stages

Stage	What was decided / done
Central Government, January 2021	Authority to present winding-up petition
Karnataka HC, **28 April 2021**	Constitutional/authorisation writ dismissed; this is the prescribed case
Supreme Court, **17 January 2022**, *Devas Multimedia v Antrix*	Later merits appeal concerning the winding-up orders; separate case, not a substitute for the prescribed HC brief

The later Supreme Court judgment independently records the High Court writ's dismissal and ₹5 lakh costs. Its broader fraud findings must be attributed to that later proceeding. 1

Exam capsule: "Devas Employees Mauritius (Karnataka HC, 2021) principally validates the s. 272(1)(e) authorisation route and rejects importing the Registrar's s. 272(3) pre-sanction safeguard into that separate category; it does not make authorisation equivalent to an order of winding up."

PYQ ARCHIVE // CH.08 Previous Year Questions (DU LL.B. Examinations)

Q.1 DU LL.B. 2017 · Q.7 What is meant by winding up of a company? What are its modes and grounds? H and W, married under the Special Marriage Act, incorporate a private company with equal shareholding and are its sole directors; owing to matrimonial acrimony they refuse to speak to each other for eighteen months, paralysing management despite commercial profitability. Can the company be wound up?

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 DU LL.B. 2015 · Q.6 What do you understand by winding up of a company? Explain the statutory grounds for compulsory winding up by the Tribunal under Section 271 of the Companies Act, 2013.

Q.3 DU LL.B. 2015 · Q.3 Discuss the grounds of compulsory winding up of a company with special reference to statutory provisions and decided judicial authorities.

Q.4 DU LL.B. 2012 · Q.7 When have Courts considered it 'just and equitable' to wind up an incorporated company? Analyse loss of substratum, complete deadlock, and fraud/illegality at inception with reference to In re German Date Coffee Co., Seth Mohan Lal, Re Yenidje Tobacco Co. and Devas Employees Mauritius.

Q.5 DU LL.B. 2011 · Q.8 A company's main object stated in its Memorandum is the manufacture of coffee from dates under a German patent to be acquired. The German patent is refused, though the company acquires a Swedish patent and establishes a profitable factory at Hamburg. Minority shareholders petition for winding up. Decide.

Q.6 DU LL.B. Problem Examine who is competent to file a winding-up petition under Section 272 of the Companies Act, 2013, the six-month shareholding rule for contributories, and the powers and duties of the Company Liquidator upon a winding-up order.

MODULE 09 // Topic 9 · Unit IX Cases #61 – #62

Adjudicatory Bodies: National Company Law Tribunal (NCLT) & NCLAT

Companies Act, 2013: Chapter XXVII, Ss. 407–434 · Constitution Arts. 32, 226, 227 & 323B · IBC S. 60(5)

02 · Institutional foundations: sections 407, 408 and 410

What is an adjudicatory body?

An adjudicatory body resolves disputes by applying legal standards to facts and issuing authoritative decisions affecting rights, liabilities or status. NCLT and NCLAT are **statutory judicial/quasi-judicial institutions**, not company-management departments. Their orders may alter membership rights, sanction a restructuring, grant oppression relief, commence or supervise insolvency, or wind up a company—but only within the jurisdiction conferred by the relevant enactment.

The specialist system brings together legal expertise and relevant commercial, financial and accounting expertise. Its aims include concentration of company-law work, consistent decisions, accessible specialist adjudication and speed. These are institutional objectives, not proof that every case is decided faster or that every dispute involving a company belongs before NCLT.

Section 407 — Definitions: get the institutional vocabulary rightSource ↗

Section 407 applies to Chapter XXVII unless the context otherwise requires. It defines five expressions:

- **Chairperson:** the Chairperson of the Appellate Tribunal.
- **Judicial Member:** a member of NCLT or NCLAT appointed as such; includes the President or Chairperson, as appropriate.
- **Member:** either a Judicial or Technical Member of the Tribunal/Appellate Tribunal; includes its President/Chairperson.
- **President:** the President of the Tribunal, i.e. NCLT.
- **Technical Member:** a member of NCLT or NCLAT appointed as such.

Why the inclusions matter: A provision concerning "Members" may extend to the institutional head because the statutory definition includes that office. Equally, a provision specifically distinguishing the President from other members must be read according to its context. Calling the NCLT head "Chairperson" and the NCLAT head "President" reverses the Act's terminology.

Section 408 — Constitution of National Company Law TribunalSource ↗

The Central Government must constitute NCLT **by notification**, effective from the date specified in the notification. It consists of a **President** and such number of **Judicial and Technical Members** as the Central Government considers necessary; appointments are also by notification.

The operative jurisdictional phrase is that NCLT exercises the powers and functions conferred **by or under the Companies Act or any other law for the time being in force**. This is why NCLT can act as an adjudicating authority under the IBC. It does not mean that NCLT automatically acquires every power found in every law: a legal source must actually confer the particular jurisdiction.

Distinguish three events: enactment of an enabling section; appointment/constitution through notification; actual institutional functioning. The 2015 MBA judgment concerns a time when the bodies were not yet functioning. The tribunals were constituted with effect from **1 June 2016**. It is historically wrong to say the Supreme Court was reviewing an established NCLT's 2015 case-management performance.

Section 410 — Constitution of National Company Law Appellate TribunalSource ↗

The Central Government constitutes NCLAT by notification. It consists of a **Chairperson** and Judicial and Technical Members appointed by the Government. Its principal Companies Act role is to hear appeals from NCLT, with other appellate work conferred by law.

The checked amended text of section 410 also refers to orders of the **National Financial Reporting Authority (NFRA)** and to Competition Commission decisions/directions/orders within the appeal framework identified by **section 53A of the Competition Act, 2002**. Its IBC appellate jurisdiction comes from **IBC section 61**, not from treating all insolvency appeals as ordinary Companies Act appeals.

Statutory Note: The former ceiling of **eleven members** in section 410 was omitted in 2021. It is not an enduring current cap. Older passages referring to Competition Act section 53N in this context also require correction; the amended reference is section 53A. Neither change is a holding of the prescribed 2015 case.

NCLT and NCLAT compared

Feature	NCLT	NCLAT
Constituting section	408	410
Head	President	Chairperson
Basic function	First-instance adjudication in statutorily assigned matters	Statutorily assigned appellate adjudication
Membership	Judicial + Technical	Judicial + Technical
Ordinary Companies Act challenge	Appeal to NCLAT under 421	Appeal to SC on a question of law under 423
IBC role	Adjudicating authority for relevant corporate insolvency matters	Appellate tribunal under IBC 61
General civil-court jurisdiction?	No	No
General constitutional judicial review of executive decisions?	No	No
Later common tribunal-service framework	Do not automatically import it; NCLT is distinct	Section 417A supplies the special legislative link; see Chapter 17

Historical consolidation: understand it, do not oversimplify it

The tribunal project sought to consolidate company-law adjudication previously distributed among the Company Law Board, courts and industrial-rehabilitation institutions. But saying "everything before every old authority automatically moved to NCLT" is inaccurate. Section 434 and the transfer rules govern categories and stages of pending court proceedings. The old sick-industrial-company regime underwent separate repeal/IBC-related changes; the former Companies Act revival chapter is not a live substitute for CIRP.

DU connection: MBA explains why replacement of court work demands credible judicial standards. Embassy explains why receiving specified court-like functions does not transform NCLT into a superior constitutional court.

03 · Qualifications and selection: sections 409, 411 and 412

Parent-Act framework • read with the 2015 constitutional decision • NCLAT later-service override in Chapter 17

Section 409 — Qualification of President and Members of NCLTSource ↗

President

The President must be a person who **is or has been a Judge of a High Court for five years**. This is not the same formulation as being merely qualified for appointment as a High Court judge. Nor is the requirement simply five years of legal practice.

Judicial Member: three alternative routes

A Judicial Member must be a person who:

1. **is or has been a Judge of a High Court**; or
2. **is or has been a District Judge for at least five years**; or
3. **has, for at least ten years, been an advocate of a court**.

The explanation concerning the advocate route permits the specified periods of judicial office, tribunal membership or a Union/State post requiring special knowledge of law, held **after becoming an advocate**, to be counted in computing that qualifying period. Do not convert this explanation into a standalone power to appoint any legal-service official as a judicial member merely by designation.

Difference from the President: section 409(1) expressly requires five years as a High Court judge for President. Section 409(2)(a), the Judicial Member route, does not repeat that five-year requirement for a High Court judge.

Technical Member: six alternative routes in the amended parent Act

Route	Required qualification/experience	Important qualification
409(3)(a): specified services	At least 15 years in Indian Corporate Law Service or Indian Legal Service, holding or having held Secretary/Additional Secretary rank to the Government of India	The old Joint Secretary route was the central constitutional problem; do not reproduce it as corrected law
409(3)(b): chartered accountant	At least 15 years in practice as a chartered accountant	Practice is not interchangeable with any employment using accounts
409(3)(c): cost accountant	At least 15 years in practice as a cost accountant	Do not wrongly erase this surviving statutory professional route because of the clause-reference problem in the 2015 judgment
409(3)(d): company secretary	At least 15 years in practice as a company secretary	Different from being the administrative secretary of any organisation
409(3)(e): specialist professional	Proven ability, integrity and standing; special knowledge and professional experience of at least 15 years in industrial finance, industrial management, industrial reconstruction, investment and accountancy	Genuine relevant expertise, not vague general administration or incidental company-law exposure
409(3)(f): labour adjudicator	At least five years as presiding officer of a Labour Court, Tribunal or National Tribunal constituted under the Industrial Disputes Act, 1947	The text identifies an adjudicatory-experience route

How to apply alternatives: A candidate needs to satisfy a legally available route, not all six simultaneously. A cost accountant is not required additionally to have held Secretary rank. Conversely, a Joint Secretary cannot rely on the professional-practice clauses merely because official work involved reading balance sheets.

Why technical members are constitutionally sensitive

Technical expertise is justified when it assists adjudication of specialised issues; it is not a licence to replace the judicial institution with a bureaucracy. A civil servant's administrative competence, a professional's technical skill and a judge's adjudicatory independence are related but different qualities. Where jurisdiction previously exercised by courts moves to a tribunal, the qualifications must preserve the standard and independence appropriate to that work.

Section 411 — Qualifications of Chairperson and Members of NCLATSource ↗

The **parent-Act baseline**, relevant to understanding the prescribed case, is:

- **Chairperson:** a person who is or has been a Judge of the Supreme Court or Chief Justice of a High Court.
- **Judicial Member:** a person who is or has been a High Court judge, or is a Judicial Member of NCLT for five years.
- **Technical Member:** proven ability, integrity and standing, with special knowledge and professional experience of **not less than twenty-five years** in industrial finance, industrial management, industrial reconstruction, investment and accountancy.

The original broad specialist wording was constitutionally challenged in MBA; the later amended parent-Act wording narrows the fields. For an actual NCLAT appointment today, stop here and consult **section 417A and the later framework**, rather than treating this table as the complete operative recruitment notice. Chapter 17 explains the 2026 replacement and its rule-making structure.

Section 412 — Selection of members: corrected parent-Act architectureSource ↗

Consultation route under subsection (1)

The President of NCLT, Chairperson of NCLAT and Judicial Members of NCLAT are appointed by the Central Government **after consultation with the Chief Justice of India**, under the parent scheme. This must be distinguished from the selection-committee route in subsection (2).

Committee route under subsection (2)

The corrected parent provision provides for NCLT members and NCLAT Technical Members to be appointed on the recommendation of a selection committee consisting of:

1. **Chief Justice of India or nominee — Chairperson.**
2. **A senior Supreme Court judge or Chief Justice of a High Court — Member.**
3. **Secretary, Ministry of Corporate Affairs — Member.**
4. **Secretary, Ministry of Law and Justice — Member.**

The Chairperson has a **casting vote** under subsection (2A). The MCA Secretary is the **convener**. The committee determines its procedure for recommending suitable candidates; an appointment is not invalid **merely** because of a vacancy or defect in the committee's constitution.

Original defect, judicial remedy, statutory correction

The 2013 scheme had **five members: two judicial and three executive**, including the Secretary in the Department of Financial Services, Ministry of Finance. This allowed executive numerical dominance and lacked the constitutionally required assurance of judicial primacy. MBA rejected the argument that a history of unanimous decisions could substitute for a sound statutory structure. The amended four-member structure and casting vote are a legislative correction, not proof that the original five-member committee was valid.

Hypothetical application: Four selectors divide two-two between candidates. A judicial Chairperson's casting vote matters precisely at this point. If the law instead gives three executive members a routine numerical majority, saying "we usually reach consensus" does not remove the structural vulnerability. Constitutional safeguards are designed for disagreement, not only harmonious practice.

High-scoring distinction: Government appointment is not, by itself, executive control of adjudication. The constitutional question concerns the effective selection structure, judicial primacy, qualifications, tenure and independence. Also distinguish the *2015 parent-Act remedy* from the separate *2026 NCLAT search-cum-selection framework*.

04 · Tenure, independence and institutional continuity: sections 413–418

Section 413 — Term of office: parent-Act textSource ↗

The parent Companies Act provides the following scheme. Its NCLAT limb must be read with section 417A; it is included here to explain the syllabus provision, not to suppress subsequent legislation.

Office	Parent-Act term	Upper age in parent text	Reappointment
NCLT President	Five years from entering office	67	Eligible for another five-year term, subject to age
NCLT other member	Five years from entering office	65	Eligible for another five-year term, subject to age
NCLAT Chairperson	Five years from entering office	70	Parent text permits another five-year term; later regime governs where applicable
NCLAT other member	Five years from entering office	67	Same temporal qualification

The section's parent text also states a **minimum age of fifty for appointment as a member** and restricts retention of a lien with the parent cadre/ministry/department to **not more than one year**. The parent text and the separate tribunal-reform minimum-age litigation must not be collapsed into one undifferentiated table. The 2026 common framework does not reproduce the invalidated general fifty-year floor; **NCLT is not automatically brought into that common framework**. For appointment advice, use the particular institution's governing law and applicable judicial directions, not this educational baseline alone.

Constitutional significance of tenure and lien

A very short term may discourage good candidates, undermine institutional experience and make the prospect of reappointment a source of pressure. A continuing link with the parent executive department may affect the member's perceived independence. MBA's discussion of the 2010 directions therefore treats meaningful tenure and a limited lien as structural safeguards. **Reappointment eligibility is not a right to reappointment.** Age limits also constrain how much of a nominal term can actually be served.

Section 414 — Salary, allowances and other service conditionsSource ↗

Salaries, allowances and other conditions of service are prescribed by rules. The essential protection is that **neither salary and allowances nor other service conditions may be varied to a member's disadvantage after appointment**.

The provision does not itself contain a universal rupee salary figure. Quoting an old pay table as though section 414 fixes it forever is inaccurate. The principle is protection against detrimental alteration after appointment; applicable rules and later overriding provisions must also be checked.

Illustration: A Government unhappy with a member's orders cannot treat a discretionary reduction in that member's service conditions as ordinary administrative management. Security of conditions protects institutional independence, not merely personal financial comfort.

Section 415 — Acting President or ChairpersonSource ↗

Two situations are distinguished:

1. **Vacancy through death, resignation or otherwise:** the **senior-most Member** acts as President/Chairperson until a duly appointed successor enters office.
2. **Temporary inability owing to absence, illness or another cause:** the **senior-most Member** discharges the functions until the head resumes duties.

Acting service ensures continuity; it is not a permanent appointment to the head's office. The language here is "senior-most Member." Do not silently insert "senior-most Technical Member" or reverse the two institutions' titles.

Section 416 — ResignationSource ↗

The President, Chairperson or member may resign by a **written notice under his hand addressed to the Central Government**. Under the parent provision, the person continues until the earliest of:

- expiry of **three months from Government's receipt** of the notice;
- the duly appointed successor entering office; or
- expiry of the resigning person's term.

Date problem: If the resignation is received on 1 January but the successor joins on 15 February, the successor event ends the continuation before the three-month point. "Three months" is not a compulsory additional tenure in every case. Read the NCLAT service override where applicable.

Section 417 — Removal: accountability with safeguardsSource ↗

Subsection (1): specified grounds and consultation

The Central Government may, **after consultation with the Chief Justice of India**, remove a President, Chairperson or member who:

- has been adjudged insolvent;
- has been convicted of an offence which, in Government's opinion, involves moral turpitude;
- has become physically or mentally incapable of acting;
- has acquired financial or other interests likely prejudicially to affect the functions of office; or
- has abused the position so that continuation is prejudicial to the public interest.

For grounds **(b)–(e)**, the proviso expressly requires a **reasonable opportunity of being heard**. A precise answer should not omit the distinction in the text or confuse the section with removal of company directors.

Subsection (2): proved misbehaviour or incapacity

Without prejudice to subsection (1), removal on this route requires a Central Government order after an inquiry by a **Supreme Court judge nominated by the CJI**, on a reference made by Government. The concerned office-holder must be informed of the charges and given a reasonable hearing. Thus "the Ministry considers the member unsuitable" is not a substitute for the prescribed inquiry.

Suspension and inquiry rules

Under subsection (3), suspension pending the inquiry requires **concurrence of the CJI**, not merely an executive decision to write to the CJI. Subsection (4) contemplates rules on the inquiry procedure made by Government **after consultation with the Supreme Court**.

Examination distinction: Appointment consultation, removal consultation and suspension concurrence are different statutory safeguards. Do not use the three expressions as synonyms. For NCLAT, also identify the applicable later service-removal regime.

Section 417A — The special NCLAT service-law bridgeSource ↗

This inserted provision lies within the user's section range and cannot be skipped. It was introduced through the Finance Act, 2017, later referred to the Tribunals Reforms Act, 2021, and has now been substituted through the **2026 legislation**. Its subject is the **Chairperson and Members of the Appellate Tribunal**, not an automatic wholesale replacement of the NCLT service provisions.

The 2026 substituted text sends NCLAT qualifications, manner of selection, appointment, salaries and allowances, resignation, removal, other service conditions and reappointment eligibility to the **Tribunals Reforms Act, 2026**. Read Chapter 17 for the enacted text, commencement report, selection structure, tenure and transitional cautions. This is **later-law supplementation**, not part of the 2015 judgment.

Section 418 — Staff of the Tribunal and Appellate TribunalSource ↗

The Central Government must, **in consultation with the two bodies**, provide necessary officers and employees. Their functions are discharged under the **general superintendence and control of the President/Chairperson**, or another member to whom such supervisory powers are delegated. Their salaries, allowances and service conditions are prescribed.

This section matters constitutionally because independence needs working registries, support staff, budgets and infrastructure. A tribunal can be formally independent yet operationally dependent if its personnel or facilities are inadequate. However, staff provision by Government must not be confused with Government deciding the merits of pending cases.

DU link: The closing portion of MBA records the Government's preparations for premises, staffing and infrastructure and urges prompt corrective action so that the tribunals can start functioning. It is not a holding that every administrative arrangement then proposed had become immune from constitutional review.

05 · Benches, allocation and differences of opinion: section 419

Section 419 — Benches of NCLTSource ↗

Number and principal seat

Under subsection (1), the Central Government specifies the number of benches **by notification**. The **Principal Bench is at New Delhi**, presided over by the President under subsection (2). Local territorial allocation depends on the applicable notifications and jurisdictional provisions; the statute is not a reason to invent a permanent number of operational benches.

Ordinary bench: one Judicial + one Technical Member

Subsection (3) provides for powers to be exercised by a **two-member bench containing one Judicial and one Technical Member**. This combines adjudicatory and relevant specialist expertise while preserving judicial participation.

Authorised exception: A **single Judicial Member** may function as a bench for the specified class of cases/matters authorised by the President's general or special order. There is no matching generic permission in this provision for a single Technical Member to decide those cases alone.

If, during the hearing, the single Judicial Member considers that the matter ought to be heard by a two-member bench, the President may transfer it, or the member may refer it to the President for transfer to an appropriate bench.

Subsection (4): IBC benches

The amended subsection requires the Central Government to establish, by notification, the benches considered necessary to exercise the adjudicating authority's powers under **Part II of the IBC**. Older descriptions of subsection (4) as invariably requiring a three-or-more-member revival/restructuring special bench reproduce superseded language.

Subsection (5): a split bench does not let one member decide unilaterally

- A point is decided by the majority, where there is one.
- If members are equally divided, they state the **point or points of difference**.
- The President refers those points for hearing by **one or more other members**.
- The final decision on the referred points follows the majority of the members who heard the case, **including the members who first heard it**.

Illustration: A Judicial Member holds that the petition is maintainable; the Technical Member disagrees. They cannot dispose of it through two competing final outcomes. The statutory reference mechanism resolves the disputed point. The President's administrative role in making the reference is not a free power to declare which original opinion wins.

Bench composition and MBA's independence principle

The DU extract reproduces the 2010 safeguard that a two-member bench should always include a judicial member and technical members should not outnumber judicial members on larger/special benches. Read that as a constitutional design principle discussed and reaffirmed in 2015. Then separately state the amended section 419 language. Do not silently treat every historical special-bench provision as today's section 419(4).

Four kinds of competence: a practical distinction

Competence	Question to ask	Example
Institutional	Has the statute conferred this class of matter on NCLT?	Oppression application under 241–242
Territorial	Is this the competent bench for the company/matter?	Registered-office connection under the relevant provision/ notification
Bench constitution	Are the required members sitting, or is a single-member exception authorised?	Single Judicial Member for an authorised class
Remedial	Can this forum grant this particular relief?	Cannot convert CIRP into judicial review of a statutory mining refusal

Key idea: A validly appointed, properly composed NCLT bench may still lack subject-matter jurisdiction over the particular relief sought. Embassy concerns precisely that kind of boundary.

06 · Jurisdiction: what NCLT may decide—and what it may not

Jurisdiction is conferred, not assumed

Section 408 creates an institution which can receive jurisdiction from several enactments. It is not a self-contained list of every remedy. A strong answer names the **source provision**, the **eligible applicant**, the **conditions for relief** and the **nature of the proposed order**.

The following is a jurisdictional map, not a replacement for the detailed chapters on each underlying company-law subject.

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Field	Illustrative statutory source	What is entrusted; boundary to remember
Share transfer/transmission and register	Companies Act 58–59	Specified appeals and rectification; not every commercial dispute about shares automatically fits
Reduction of share capital	66	Confirmation subject to statutory protections, including creditors' interests
Meetings	97–98	Calling/directing meetings in the circumstances provided; not routine daily management
Investigation	213	Ordering investigation where statutory conditions exist; distinguish investigation, prosecution and trial
Compromise, arrangement and reconstruction	230–232	Meetings, sanctions and schemes under the prescribed process; distinguish Government routes for particular mergers
Oppression and mismanagement	241–242; standing under 244	Relief to end complained-of matters; company affairs regulation where statutory grounds are established
Class action	245	Relief for eligible members/depositors, subject to statutory requirements
Restoration after striking off	252	Appeals/applications under the specific statutory routes and periods
Winding up	271 onwards	Specified grounds, eligible petitions and liquidation supervision; not the abolished "inability to pay debts" ground as a new 2013 Act petition
Corporate insolvency and liquidation	IBC Part II, especially 7, 9, 10, 31, 33, 60	NCLT as adjudicating authority; IBC's distinct conditions, timelines and appeal routes apply
Certain offence-related functions	E.g. Companies Act 441 where applicable	Compounding jurisdiction must not be confused with universal criminal trial jurisdiction

Subject matter, standing and relief are separate filters

Suppose a member alleges oppression. The subject may fall within sections 241–242, but the applicant must still satisfy the standing/waiver framework in section 244. Merely using the word "oppression" does not establish either the merits or standing. Similarly, a resolution professional may have authority to act for a company but still be approaching the wrong forum for a mining-law remedy.

Three different propositions: "This company has an asset"; "the RP must protect that asset"; and "NCLT can adjudicate this dispute about that asset." The first two do not logically prove the third.

IBC section 60: the Embassy jurisdictional setting

Under section 60(1), NCLT is the relevant adjudicating authority in relation to insolvency resolution and liquidation of corporate persons, including corporate debtors and personal guarantors in the statutory framework, with the territorial connection identified by the provision. Section 60(4) addresses powers associated with the DRT framework for the purposes specified there. It is not a general constitutional writ jurisdiction clause.

Section 60(5), notwithstanding anything to the contrary contained in any other law, gives NCLT jurisdiction to entertain or dispose of:

- an application or proceeding by or against the corporate debtor or corporate person;
- a claim made by or against it, including claims by or against its subsidiaries situated in India; and
- a question of priorities or a question of law or fact **arising out of or in relation to insolvency resolution or liquidation** under the Code.

The language is broad because collective insolvency requires an effective forum. But breadth must be read in its insolvency setting. **It is not a provision transferring all statutory appeals, regulatory permissions and constitutional review proceedings involving the debtor to NCLT.**

The proper reading of "arising out of or in relation to"

An operational-debt claim against an insolvent company has a direct insolvency function: the claim must be admitted, ranked or dealt with in the collective process. By contrast, the correctness of a statutory tax assessment is adjudicated through the tax-law hierarchy; the debtor's CIRP does not give NCLT a general tax-appellate role. Likewise, a statutory mining-extension refusal cannot be overturned merely because the mine is valuable to a proposed resolution plan.

This does **not** mean Government can never be a party before NCLT. Government may be a creditor, stakeholder or party to a matter properly assigned to the tribunal. The nature of the issue and the relief—not the public identity of one party—determines the jurisdictional analysis.

What overriding effect does—and does not—do

IBC section 238 gives the Code overriding effect over inconsistent laws and instruments in the circumstances of its operation. But an override provision is not an independent grant of every imaginable adjudicatory power. First locate the Code's substantive jurisdiction, then identify any inconsistency. Saying "IBC overrides" cannot replace those steps.

Duties of the resolution professional are not jurisdiction-conferring provisions

The DU Embassy extract considers duties under IBC sections **18, 20 and 25**: preserving value, managing operations and protecting the corporate debtor's assets. Section **25(2)(b)** expressly contemplates representing the debtor before judicial, quasi-judicial and arbitral forums. That is a strong textual indication that some disputes must be pursued **outside NCLT in the competent forum**.

Memorise this formulation: An RP's responsibility to preserve property establishes the need to pursue a remedy. It does not establish the jurisdiction of the particular forum in which that remedy is sought.

07 · Procedure, evidence, orders and representation

Section 420 — Orders of NCLTSource ↗

Hearing before an order

NCLT may pass such orders as it thinks fit **after giving parties a reasonable opportunity of being heard**. "As it thinks fit" is controlled by the statute, jurisdiction, the relief properly sought, fair procedure and reasoned judicial decision-making. It is not a general equitable licence to rewrite rights outside the Act.

Rectification of an apparent mistake

Within **two years from the date of the order**, NCLT may amend an order to rectify a **mistake apparent from the record**. It **shall** make the amendment if such a mistake is brought to its notice by the parties. The proviso bars this amendment route for an order against which an **appeal has been preferred under the Act**.

Elements to state in an answer:

1. There is an existing NCLT order.
2. The proposed correction identifies an **apparent record mistake**.
3. The statutory two-year period is observed.
4. The appeal proviso does not bar the amendment.
5. Rectification is not used as a disguised rehearing of contested merits.

Illustration: A self-evident computational transcription error reflected in the order and underlying record may invite rectification. A party's argument that the tribunal adopted the wrong interpretation after considering two competing views ordinarily seeks appellate correction, not a new merits hearing dressed as rectification.

NCLT must send a **copy of every order under the section to all concerned parties**. Communication is also important to the statutory appeal framework, although the exact trigger must be read from the appeal provision itself.

Section 424 — Procedure before NCLT and NCLATSource ↗

The foundational rule: flexible procedure, mandatory fairness

The tribunals are **not bound by the procedure laid down in the Code of Civil Procedure, 1908**, but are **guided by the principles of natural justice**. They may regulate their own procedure **subject to the Companies Act, the IBC where applicable, and the rules**.

This sentence contains three cumulative limits, not an exemption from all law. A tribunal cannot use procedural autonomy to disregard an express filing period, deny a fair hearing or invent jurisdiction. Conversely, every departure from the CPC's ordinary suit procedure is not automatically an illegality.

Natural justice in a company dispute

- **Notice:** the affected party must understand the case and relief sought.
- **Opportunity to answer:** a meaningful chance to present material and meet adverse submissions.
- **Impartial adjudication:** a disqualifying personal interest or bias is incompatible with fair decision-making.
- **Reasoned determination:** the decision should disclose why material issues are resolved as they are, making review and appeal effective.
- **Context-sensitive procedure:** fairness does not necessarily require an identical oral-trial format in every petition; the statutory scheme and dispute determine what is appropriate.

Do not overstate: These are explanatory natural-justice principles, not a claim that section 424 contains this exact five-item enumeration.

The eight civil-court powers in subsection (2)

Power	Practical function	Example
Summon/enforce attendance and examine on oath	Secure testimony	Require attendance of a person with relevant knowledge
Discovery and production of documents	Obtain evidentiary material	Direct production of relevant registers/accounts
Receive evidence on affidavits	Efficient proof	Sworn evidence on specified facts
Requisition public record/document/copy	Obtain official material	Relevant public records, subject to the statutory privilege qualification
Issue commissions for witnesses/documents	Assisted evidence collection	Examination through a commission where appropriate
Dismiss for default or decide ex parte	Manage non-appearance	Proceed against a properly notified non-appearing party
Set aside default dismissal/ex parte order	Correct the procedural consequence where justified	Restore after sufficient explanation through the applicable procedure
Other prescribed matters	Further powers supplied by valid rules	Identify the applicable rule rather than assert unlimited residual power

The checked section text's public-record clause is expressly subject to **sections 123 and 124 of the Indian Evidence Act, 1872**. Its subsection (4) also uses IPC/CrPC references. These are the inherited references in the provision being studied; for present-day criminal/evidence application, account for the post-1 July 2024 replacement enactments, savings and corresponding-reference rules. Do not claim the 2015/2019 judgments applied laws enacted later.

Enforcement under subsection (3)

An NCLT/NCLAT order may be enforced **as if it were a decree in a suit**. It may also be sent for execution to the court within whose local limits:

- for an order against a **company**, its **registered office** is situated; or
- for an order against **another person**, that person voluntarily resides, carries on business or personally works for gain.

The provision gives machinery for enforcement; it does not turn NCLT into a civil court of unlimited subject-matter jurisdiction.

Judicial proceedings and limited deeming under subsection (4)

Proceedings are deemed judicial proceedings for the IPC purposes specified in the text (sections 193, 228 and, for its purposes, 196). The tribunals are deemed civil courts for the specified CrPC purposes (section 195 and Chapter XXVI). These targeted deeming provisions protect the adjudicatory process. A limited statutory fiction must not be expanded into all-purpose High Court status or unrestricted criminal trial power.

Section 426 — Delegation for inquiry and reportSource ↗

The Tribunal/Appellate Tribunal may, by **general or special order**, direct an officer, employee or another authorised person to **inquire into a matter connected with a proceeding/appeal and report to it**, in the manner and subject to conditions specified in the order.

Crucial distinction: This provision concerns an inquiry and report. It is not a blanket power to hand final adjudication of a company dispute to an outside consultant, nor merely a section about delegating financial administration. A report supplies material for the tribunal's judicial decision; the tribunal remains responsible for deciding within its statutory role and observing fairness when relying on adverse material.

Section 432 — Right to legal representationSource ↗

A party may **appear in person** or authorise **one or more**:

- chartered accountants;
- company secretaries;
- cost accountants;
- legal practitioners; or
- any other person,

to present the case before NCLT/NCLAT. The statute's representation rule is broader than "only advocates may appear." Applicable authorisation and procedural requirements still matter.

Do not confuse representation with adjudication: A professional's right to represent a party under section 432 does not establish eligibility to be appointed a tribunal member under sections 409/411 or the later service framework. The function, qualifications and governing provisions differ.

Section 433 — LimitationSource ↗

The Limitation Act, 1963 applies **"as far as may be"** to proceedings and appeals before NCLT/NCLAT. The qualifier matters. Read the general limitation framework alongside express special periods and outer condonation limits such as section 421; it is not a licence to extend every statutory deadline indefinitely.

Distinguish **condonation of delay** from legally available **exclusion/computation of time**. An apparent elapsed-day total cannot be assessed responsibly without identifying the statutory trigger, applicable exclusions, sufficient cause where relevant, and the outer limit on the particular forum's condonation power. A pending rectification request is not a general assurance that the appeal deadline has stopped.

The procedural journey: an educational workflow

The **NCLT Rules, 2016** and **NCLAT Rules, 2016** supplement the statute. In practice, choose the correct petition/application/appeal form; attach authority, verification and supporting documents; cure registry defects; effect prescribed service; answer the opposing case; address interim relief separately; and state precise final relief. This is a study workflow, not a claim that one universal form, filing fee or number of copies applies to every Companies Act and IBC proceeding. Use the subject-specific rules and current filing directions for an actual filing.

08 · Appeals, rectification and disposal targets: sections 421–423

Section 421 — Appeal from NCLT to NCLATSource ↗

Who, from what, to where?

Any person aggrieved by an order of NCLT may appeal to NCLAT. This statutory phrase requires a grievance of the kind the law recognises; it is not an invitation for a complete stranger to appeal simply because company affairs interest them.

Exception: No section 421 appeal lies against an order made by NCLT **with the consent of the parties**. Do not confuse dissatisfaction after agreeing with an ordinary contested order. A genuine allegation that the supposed consent was never given requires careful identification of the appropriate remedy; the bare consent-appeal bar cannot simply be ignored.

Limitation and form

The normal period is **45 days from the date on which a copy of the NCLT order is made available to the person aggrieved**. The appeal must be in the prescribed form with the prescribed fees.

NCLAT may admit the appeal after those 45 days **within a further period not exceeding 45 days**, if satisfied that sufficient cause prevented timely filing. The extension is discretionary, not automatic. The outer condonation period is itself limited.

Appellate powers and communication

After giving a reasonable hearing, NCLAT may **confirm, modify or set aside** the appealed order. It must send its order to **NCLT and the parties to the appeal**. The Companies Act first appellate tier is not restricted by section 421 to questions of law alone; that restriction appears in section 423 for the next statutory appeal.

Section 422 — Expeditious disposalSource ↗

Every application/petition before NCLT and appeal before NCLAT should be disposed of as expeditiously as possible. Every endeavour should be made to dispose of it within **three months from presentation/filing**.

If that does not happen, the body must **record reasons**. The President/Chairperson may, considering those reasons, extend the period by a further period **not exceeding ninety days**.

How to describe its effect: It is an expeditious-disposal mandate and an accountability mechanism. The section does not say every proceeding automatically abates, is allowed, or becomes void on the day after three months. Do not confuse a disposal target imposed on the tribunal with an appeal limitation imposed on a litigant.

Section 423 — Appeal from NCLAT to the Supreme CourtSource ↗

A person aggrieved by an NCLAT order may appeal to the Supreme Court **on any question of law arising out of that order**, within **60 days from receipt of the order**. On sufficient cause, the Supreme Court may allow a further period **not exceeding 60 days**.

The expression is **"question of law,"** not necessarily the "substantial question of law" formula used in other appellate contexts. Nor is this a right to a complete third trial of disputed facts. Identify the actual legal error: statutory interpretation, the legal test applied, jurisdictional scope or another question of law arising from the order.

Companies Act and IBC: two different appeal calendars

Feature	Companies Act	IBC
NCLT → NCLAT	Section 421	Section 61
Ordinary appeal period	45 days	30 days
Maximum additional condonation	Further 45 days on sufficient cause	Further 15 days on sufficient cause
NCLAT → Supreme Court	Section 423	Section 62
Ordinary SC appeal period	60 days	45 days
Maximum additional condonation	Further 60 days on sufficient cause	Further 15 days on sufficient cause
SC statutory scope	Question of law arising from order	Question of law arising from order

Temporal precision: The table gives the distinct statutory periods; actual calculation still requires the correct trigger and applicable judicial rules on communication, obtaining copies and exclusion of time. Never write "NCLAT appeal = 45 days in all cases." Embassy is an **IBC** case, so its statutory alternative remedy was section **61**, not Companies Act section 421.

Four remedies that should never be collapsed

Mechanism	Main purpose	What it is not
Rectification under 420(2)	Correct apparent record mistake within the statute	General merits review
Setting aside default/ex parte consequence	Remedy a procedurally justified non-appearance situation	Automatically a fresh appeal on every issue
Statutory appeal	Correct an order within the statutory appellate remit	Unlimited power to condone beyond a special cap
Constitutional judicial review	Control jurisdictional/public-law legality in appropriate cases	Routine substitute for a missed or inconvenient appeal

Delay hypothetical

A party files a section 421 appeal on the 70th day after the relevant starting point, with no exclusions in issue. It must explain sufficient cause: it is outside the ordinary 45 days but within the additional 45-day window. A filing on the 100th day, again assuming no legally available exclusion or different trigger, is beyond that outer condonation window. Calling the tribunal's decision "unfair" does not itself authorise NCLAT to disregard the statutory cap. Nor does it automatically justify a writ petition.

09 · Enforcement, institutional protection and the civil-court bar

Section 425 — Power to punish for contemptSource ↗

NCLT and NCLAT have the **same jurisdiction, powers and authority in respect of contempt of themselves as the High Court**, and may exercise powers under the **Contempt of Courts Act, 1971**, subject to the statutory adaptations:

- references to High Court include NCLT and NCLAT;

by Ankur R. Upadhyay

- the reference to Advocate-General in section 15 of that Act is read as a reference to the Law Officers specified by the Central Government.

The correct Act year is **1971**, not 1970. The power protects the administration of justice and obedience to lawful orders. It must be exercised within the applicable contempt law; mere disagreement with reasoning is not identical to contempt.

DU connection: MBA rejected the challenge to section 425 because the petitioner failed to establish its unconstitutionality. The Court did not say the power makes NCLT a High Court for all constitutional purposes. Embassy illustrates the converse: pressure to comply through contempt cannot supply the missing jurisdiction to grant the underlying public-law relief.

Section 427 — Public-servant statusSource ↗

The President, Members, officers and employees of NCLT, and the Chairperson, Members, officers and employees of NCLAT are deemed **public servants** under the section's inherited IPC reference (section 21). This is a statutory status and accountability provision, not a declaration that adjudicators must obey executive instructions on case outcomes. Read present-day criminal-law application with the replacement enactment/savings framework noted under section 424.

Section 428 — Protection for action taken in good faithSource ↗

No suit, prosecution or other legal proceeding lies against the specified tribunal/appellate institution and its office-holders, staff, liquidator or other authorised person for loss or damage caused or likely to be caused by an act **done or intended in good faith in pursuance of the Companies Act**.

A complete explanation identifies:

1. the persons/institutions covered;
2. the connection to discharge of functions under the Act;
3. an act done or intended in pursuance of the Act;
4. **good faith**; and
5. the loss/damage-related proceeding against which protection is claimed.

This is **not absolute immunity for bad faith**, and not a statutory extinction of appeal or constitutional review of an order. Protection against personal proceedings for protected action and correction of an adjudicatory order are different legal questions.

Section 429 — Assistance to obtain property, accounts and documentsSource ↗

The amended section operates in **Companies Act winding-up proceedings or proceedings under the IBC**. To take into custody or control property, books of account or other documents, NCLT may make a **written request** to the **Chief Metropolitan Magistrate, Chief Judicial Magistrate or District Collector** within whose jurisdiction the material is situated/found.

The official must take possession and cause the material to be entrusted to NCLT or its authorised person. Necessary steps and force may be used to secure compliance. Subsection (3) protects acts done in pursuance of the section from being questioned in any court/authority on the broad terms used there.

Read constitutionally: This assistance/protection mechanism is not a licence for action outside the statute or a power in ordinary legislation to abolish constitutional judicial review. Also, taking custody of an asset does not decide a contested entitlement to a statutory licence or extension of a lease. Embassy's jurisdictional distinction still matters.

Illustration: Former management refuses to hand over books required for a pending insolvency proceeding. The statutory assistance mechanism addresses physical possession. It does not allow the District Collector or NCLT to grant the company a mining permission which the relevant law requires another authority to decide.

Section 430 — Civil courts not to have jurisdictionSource ↗

The bar has two limbs:

- **Suit/proceeding bar:** no civil court may entertain a suit or proceeding concerning a matter NCLT/NCLAT is **empowered to determine** under the Companies Act or another law.
- **Injunction bar:** no court or other authority may grant an injunction against action taken or to be taken by NCLT/NCLAT in pursuance of powers conferred by the Act or another law.

The words that do the work: "empowered to determine"

The bar tracks the tribunal's assigned jurisdiction. First establish that the matter falls within that jurisdiction. One cannot reason backwards that, because civil courts are barred in assigned matters, **every** dispute involving a company must be assigned to NCLT.

The constitutional distinction

A High Court exercising **Articles 226/227** is not merely an ordinary civil court hearing a substitute suit. Constitutional judicial review cannot be extinguished by an ordinary statutory jurisdiction bar. Nonetheless, a High Court ordinarily respects effective statutory appellate remedies and does not act as a routine additional NCLT appellate tier.

Correct combined proposition: Section 430 protects the specialist forum's statutory field; constitutional judicial review controls the legality of the exercise of that field and its limits. Embassy applies the inherent-lack-of-jurisdiction exception, rather than announcing that every error in a tribunal order warrants a writ.

Section 431 — Vacancy/defect not, by itself, to invalidate proceedingsSource ↗

An act or proceeding of NCLT/NCLAT is not invalid **merely** because of a vacancy or defect in the institution's constitution. The word "merely" is crucial. The provision prevents routine institutional disruption; it should not be read as curing every unconstitutional appointment structure, every absence of a required bench member, or a complete want of subject-matter jurisdiction.

Compare: Section 412's saving addresses an appointment and defects/vacancies in the selection committee. Section 431 protects the institution's acts/proceedings against the stated objection. Neither makes the constitutional reasoning in MBA pointless.

One-page power taxonomy

Kind of power	Sections	Limitation
Adjudicatory order	420 + substantive enabling section	Hearing and jurisdiction
Evidence/procedural management	424	Natural justice, Act/IBC and rules
Inquiry/report	426	Delegated inquiry is not transferred final adjudication
Decree-like execution	424(3)	Enforce a competent order through the prescribed machinery
Contempt	425	Contempt of themselves; Contempt of Courts Act safeguards
Custody assistance	429	Written request; statutory proceeding and property connection
Exclusive specialist field	430	Only what the bodies are empowered to determine
Institutional continuity/protection	428, 431	Good faith or specified defect protection, not total immunity

13 · Integrating the cases: judicial independence and judicial review

Two judgments, two boundaries

Question	Madras Bar Association (2015)	Embassy (2019)
What is being controlled?	Design of the adjudicatory institution	Exercise of its jurisdiction in a particular dispute
Central constitutional concern	Judicial independence and separation of powers	Superior-court judicial review and statutory jurisdiction
Main statutory setting	Companies Act Chapter XXVII and earlier 1956 Act design	IBC 60, 65 and related provisions; statutory mining regime
What survives?	NCLT/NCLAT as valid specialist bodies	NCLT/NCLAT jurisdiction over genuine IBC issues, including relevant fraud
What fails?	Diluted technical qualifications and executive-dominant selection structure	NCLT's assumption of public-law review over the mining refusal
Misleading one-line summary	"NCLT is unconstitutional"	"NCLT cannot decide fraud"
Correct one-line summary	Valid tribunalisation requires independent judicial design	Broad insolvency powers do not confer general public-law judicial review

A six-step method for a forum problem

1. **Disaggregate the prayers.** "Protect the company" may conceal a money claim, statutory-permission dispute, fraud allegation and request for an injunction.
2. **Identify the source of each claimed right.** Companies Act, IBC, contract, mining statute, tax law or the Constitution?
3. **Find the source of NCLT's jurisdiction.** Section 408 is the enabling architecture; the specific legal provision must confer the issue/relief.
4. **Test the procedural route.** Correct bench, standing, limitation, service and fair hearing.
5. **Choose the corrective mechanism.** Rectification, procedural recall/restoration, Companies Act appeal, IBC appeal or exceptional constitutional review.
6. **State a qualified conclusion.** Do not let the result on one prayer answer all other prayers automatically.

Hypothetical lab 1: the executive-majority committee

Facts: A statute transfers commercial court functions to a tribunal. Its committee contains two judges and three departmental secretaries. Government says the committee has never voted and all appointments will be excellent.

Answer: Apply MBA's structural reasoning. The validity of the specialist institution is distinct from the validity of appointment design. Past harmony does not answer what happens when judges and officials disagree. A binding requirement of judicial primacy cannot be replaced by an assurance of good practice. The defect lies in the arrangement's legally permitted operation, not a need to prove that every past appointee actually decided cases under Government pressure.

Hypothetical lab 2: the mixed mining/fraud application

Facts: The RP asks NCLT to declare the State's mining refusal invalid and to impose a section 65 penalty on a collusive creditor. The State argues that both matters must be kept out of NCLT because fraud is serious.

Answer: Separate the issues. Under Embassy, the public-law challenge to this type of statutory refusal lies outside NCLT's conferred review powers. But section 65 expressly permits examination of fraudulent/malicious initiation; seriousness of fraud is not a reason to strip the tribunal of a power the Code gives it. Findings of fraud require proof and hearing. An adverse fraud decision ordinarily goes to NCLAT under section 61; the public-law jurisdictional excess may support a writ.

Hypothetical lab 3: an ordinary insolvency error labelled "jurisdictional"

Facts: A creditor says NCLT gave the wrong priority to another admitted claim. It files a writ, asserting that "every wrong application of the Code is without jurisdiction."

Answer: Priority is expressly within the insolvency jurisdictional field. A wrong conclusion reached while deciding an entrusted issue ordinarily raises appellate error, not inherent want of jurisdiction. The party should use the appropriate IBC appeal. Embassy is not an invitation to rename every merits complaint as a jurisdictional nullity. A genuinely distinct constitutional defect must be specifically established if invoking writ jurisdiction.

Hypothetical lab 4: the procedural-power fallacy

Facts: A debtor argues that, because section 424 gives NCLT powers of a civil court and section 425 gives High Court-like contempt power, it must also be able to quash every regulatory decision affecting the company.

Answer: The conclusion does not follow. Evidence collection, execution and contempt are powers serving assigned adjudication. They do not grant general civil jurisdiction or constitutional judicial review. A legal fiction applies for its specified purpose. Cite Embassy and identify the missing substantive power to review the regulatory refusal.

Hypothetical lab 5: consent to the wrong forum

Facts: The State participates on remand before NCLT, then objects that NCLT cannot decide a public-law mining refusal. The RP alleges waiver.

Answer: Full-judgment paragraph 43 of Embassy rejects conferral of absent subject-matter jurisdiction by concession. Participation may have procedural consequences in other contexts, but it cannot create a statutory tribunal's missing adjudicatory field. The answer should identify subject-matter jurisdiction specifically rather than claim no procedural objection can ever be waived.

Hypothetical lab 6: natural justice and independent design

Facts: A properly constituted bench receives a confidential inquiry report under section 426 and decides against a party on decisive allegations never disclosed to it.

Answer: Proper appointment does not cure a procedurally unfair decision. Sections 420 and 424 require a reasonable hearing and natural justice. Section 426 permits inquiry/report, not determination through undisclosed adverse material without the fairness the circumstances require. Identify the prejudice, the governing procedure and appropriate remedy. The institutional independence issue in MBA and procedural fairness in an individual case are related but distinct.

Prescribed & Landmark Case Law Dossiers — Detailed Analysis

CASES #61 - #62

CASE #61

DU LL.B. PRESCRIBED AUTHORITY

Madras Bar Association v. Union of India & Anr. (2015) 8 SCC 583

Prescribed DU case 32 • WP(C) No. 1072 of 2013 • Supreme Court • 14 May 2015 • Judgment by A.K. Sikri J. • DU printed pp. 294-314

> *The creation of a specialist tribunal and the constitutional adequacy of its structure are different questions. Parliament may change the forum; it cannot dilute the independence appropriate to the judicial work transferred.*

A. Identity and why DU prescribes this case

Madras Bar Association v. Union of India & Anr. is a constitutional challenge to the NCLT/NCLAT scheme in the **Companies Act, 2013**. The judgment is a sequel to **Union of India v. R. Gandhi, President, Madras Bar Association (2010)**. It must also be distinguished from the **2014 National Tax Tribunal case**, and later cases with the same association's name concerning tribunal service conditions.

The decision teaches both sides of tribunalisation: specialist adjudication is constitutionally permissible, but adjudicators who take over court functions need judicially credible qualifications, selection and independence. It is not an anti-tribunal judgment; it insists on constitutionally adequate tribunals.

B. Material facts: a constitutional case has institutional facts

This was not a dispute about one company's debt, share register or winding up. The facts concern the **legislative design of institutions**:

1. The Companies (Second Amendment) Act, 2002 inserted provisions in **Parts IB and IC of the Companies Act, 1956** for NCLT and NCLAT.
2. Madras Bar Association challenged the transfer of jurisdiction and the bodies' constitution, qualifications and service arrangements before the Madras High Court.
3. On **30 March 2004**, the High Court upheld the creation of the specialist system in principle but identified structural provisions offending separation of powers. Defects had to be removed before the bodies could constitutionally exercise the transferred jurisdiction.
4. Both sides appealed: the association objected to the acceptance of tribunal creation; the Union objected to the adverse findings on structure.
5. The **2010 Constitution Bench** upheld the creation of both bodies and agreed that significant corrections were needed. Paragraph 120 tabulated the safeguards.
6. Parliament enacted the **Companies Act, 2013**, with Chapter XXVII governing NCLT/NCLAT. The association alleged that important defects condemned in 2010 had reappeared in the new legislation.
7. The present writ petition challenged the new scheme, particularly provisions identified in the prayer, as contrary to **Article 14** and constitutional judicial-independence requirements.
8. A related **WP 267/2012** was not finally decided with this petition: it required a further Government response. The Court proceeded separately with WP 1072/2013.

Procedural posture: constitutional adjudication by the Supreme Court, not an appeal under section 421 or 423 against an NCLT/NCLAT merits order. At the close of the judgment, the Court expressly noted that the tribunals' functioning had **not yet started**.

C. The actual scope of challenge

The DU extract records a broad prayer referring particularly to sections **408, 409, 411(3), 412, 413, 425, 431 and 434**. But a prayer is not the same as an argued and decided issue. Paragraph 8 records that no arguments were addressed on several provisions, including **415, 418, 424, 426, 431 and 434**, and the Court therefore did not discuss them substantively.

Paragraph 9 groups the live challenge into three compartments:

1. **Constitutional validity of NCLT/NCLAT as institutions.**
2. **Qualifications and service-related prescriptions for their heads/members.**
3. **Structure of the selection committee.**

There were additional objections to contempt power and Government's power to constitute benches. A sound case note distinguishes those ancillary objections from the main three issues and does not invent holdings on provisions not argued.

E. Issue 1: was the creation of NCLAT constitutionally invalid?

Petitioner's argument, as recorded in DU

Senior counsel **Arvind P. Datar** made no serious renewed attempt to overturn NCLT's validity, acknowledging the 2010 decision. The principal institutional attack was on **NCLAT**. Although its validity had also been upheld in 2010, counsel argued that there had been no adequate independent discussion of it; the conclusion should therefore not foreclose a fresh challenge.

The petitioner relied on the **2014 Madras Bar Association decision striking down the National Tax Tribunal (NTT) scheme**, arguing that similar treatment should follow for NCLAT. The larger objection to tribunalisation invoked impartiality, fairness, rule of law, separation of powers and the judicial nature of the work being transferred.

Pleading nuance: The Court noted that the prayer expressly attacked section 408 but conspicuously omitted section 410, despite the oral emphasis on NCLAT. This was not the sole ground of rejection; the Court examined the earlier decision and the proposed NTT analogy.

Respondent's position and the Court's response

The Union defended the statutory institutions. The DU extract's detailed treatment centres on the binding force of the **2010 judgment**, rather than setting out a separate lengthy Union speech for every sub-issue. It would be inaccurate to manufacture one.

The Court held that the 2010 litigation had **expressly included and decided NCLAT's validity**. The petitioner had challenged both institutions on common grounds, the earlier Court had examined those arguments, and the operative conclusion specifically upheld both. The association could not strip that conclusion of binding force by saying one institution had received insufficient separate discussion.

Two related legal reasons mattered:

- **Res judicata/finality between the parties:** the earlier institutional challenge had been decided.
- **Binding precedent and coordinate-bench discipline:** the later Bench could not treat the earlier Constitution Bench's explicit ruling as if it did not exist.

These principles do not make every later, altered statutory provision immune from scrutiny. Indeed, the Court went on to test the 2013 provisions against the standards already laid down. They prevent the same resolved institutional issue from being relitigated as though no binding decision existed.

Why the National Tax Tribunal analogy failed

The Court distinguished the **nature of jurisdiction**:

National Tax Tribunal comparison	NCLT/NCLAT system
NTT would replace High Court adjudication of substantial questions of law in the tax appellate setting	NCLT deals with fact and law at first instance in assigned company matters

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National Tax Tribunal comparison	NCLT/NCLAT system
A constitutional assessment depends on the precise judicial work transferred	NCLAT supplies the first appellate layer on fact/law in that specialist framework
The 2014 ruling concerned that different institutional design	Companies Act 423 preserves an SC appeal on a question of law from NCLAT

The lesson is not that technical adjudicators can decide any appeal. It is that one must compare **functions, hierarchy and safeguards**, rather than reason that invalidation of one tribunal automatically invalidates all tribunals.

Holding on Issue 1

The renewed challenge to the constitutional creation of NCLT/NCLAT failed. The 2010 validation stood. **The Court did not abolish NCLAT or transfer all of its future appeals back to High Courts.**

F. Issue 2: were the technical-member qualifications constitutionally adequate?

Identify what was actually contested

Paragraph 19 records that **judicial-member qualifications were not challenged** in the relevant argument. The contested issue was principally the **technical-member qualification scheme**, especially the reintroduced civil-service route and overbroad specialist criteria. The heading concerning qualifications/service conditions is broader than the precise operative defects ultimately addressed.

Petitioner's case

The association argued that Parliament had effectively repeated qualifications disapproved in 2010. The earlier directions required standards appropriate to the judicial functions transferred, including seniority for the civil-service technical route and genuinely relevant specialised experience. Appointment criteria could not be diluted simply because a new Act replaced the old one.

Government's specific defence

The Union argued that sufficient **Additional Secretary-level officers in the relevant company-law service were not available**. It submitted that **Additional Secretary and Joint Secretary functions were similar** and that Joint Secretary-level officers possessed valuable knowledge of company operations and company law. Their expertise would benefit NCLT.

This was a practical staffing argument: the Government defended the variation as workable and functionally justified. The Court did not accept staffing convenience as a reason to disregard a binding constitutional safeguard.

Judicial reasoning: why rank and experience mattered

The Court returned to the 2010 discussion, especially paragraphs 108–119 and the corrections in paragraph 120. The analysis was institutional, not a personal criticism of every civil servant:

- When High Court work moves to a tribunal, the substitute should have members as nearly equivalent in **rank, capacity and status** as the nature of that work requires.
- Paying a person a High Court judge's salary does not itself create equivalent judicial standing, maturity or independence.
- Administrative decision-making and adjudication between parties are different functions. Departmental experience is not automatically the same as judging disputes impartially.
- A technical member should bring **expertise genuinely connected with the tribunal's subject**, not just incidental exposure to company files.
- The danger is a gradual lowering of standards, shrinking judicial space and enlarging the executive's role in deciding matters previously decided by courts.

The DU extract reproduces the Court's historical examples of progressively diluted tribunal qualifications. Those examples explain the structural concern; they are not a licence to call any non-judge unfit for all tribunal work.

The civil-service rule must not be applied to the wrong category

For the **civil-service technical route**, the Court insisted on the **Secretary/Additional Secretary-level standard** and rejected the renewed Joint Secretary route. This does **not** mean that every accountant, company secretary or other professional technical member must have been a Government Secretary. Separate legitimate expertise routes must be kept distinct.

G. The 2010 safeguards reproduced and applied in the DU extract

The following is a thematic restatement of the directions discussed in 2015, not a claim that this table is a verbatim present-day recruitment rule.

Safeguard	Content in the 2010 directions discussed by the Court	Why it matters
Judicial qualifications	High Court judges; District Judges with the specified five years; advocates with ten years	Preserve a genuine judicial route
Legal-service officials	Official legal-service designation alone does not make a person a judicial member	Administrative legal work is not automatically judicial experience
Seniority of civil-service technical appointees	Secretary/Additional Secretary standard	Avoid dilution when court jurisdiction is transferred
Relevant technical expertise	Incidental company-law exposure or general administration is insufficient	Specialisation must be real, not nominal
Core specialist fields	Relevant industrial finance/management/reconstruction, investment and accountancy expertise	Tie technical membership to institutional function
Labour-adjudicatory experience	Appropriate five-year presiding-officer experience recognised	Adjudicatory experience can be relevant
Selection structure	Four-member arrangement with CJI/nominee as Chair and casting vote	Judicial primacy in disagreement
Meaningful tenure	Replace three-year terms with five or seven years, with further-term eligibility	Time to gain expertise; attract suitable candidates
Lien	No more than one year in parent cadre/department	Institutional separation from executive career dependence
Suspension	CJI concurrence	Prevent unilateral executive disciplinary pressure
Administrative support	Ministry of Law and Justice, not sponsoring/parent ministry facilities	Reduce dependence on interested departments
Bench composition	Judicial presence in two-member benches; technical members not to outnumber judicial on larger/special benches	Maintain judicial character of adjudication

Some quoted directions overlap in the DU text. For examination purposes, explain the principles accurately rather than converting an editorially repeated proposition into a new substantive rule.

H. Holding on qualifications—and a clause-number trap

Paragraph 24 of the **DU extract** states that **"Section 409(3)(a) and (c)"** are invalid and also invalidates section **411(3) as worded**. It directs compliance with the specified technical-member safeguards in paragraph 120 of the 2010 judgment and correction of section 409(3).

> **Source-fidelity note: do not turn a problematic clause reference into false current law.** DU's paragraph 24 prints "409(3)(a) and (c)". The reasoning concerns the diluted civil-service route and inappropriate technical qualifications; the checked amended Act separately retains **409(3)(c), the fifteen-year cost-accountant practice route**, while the general specialist route is clause (e). This guide preserves what the extract actually says but does *not* infer that cost accountants are now categorically ineligible. If quoting the disposition, reproduce its wording with context; if explaining the legal principle, state the offending qualification and the required safeguard. Do not silently alter the judgment's numeral or erase a surviving statutory route.

The strongest examination explanation is therefore substantive: the **Joint Secretary eligibility dilution was impermissible**, technical expertise had to meet the binding standards, and section 411(3)'s then-wording required correction. Read the corrected parent Act separately from the original challenged text.

I. Issue 3: was the five-member selection committee valid?

Original statutory structure

The 2013 committee comprised:

1. CJI or nominee as Chairperson;
2. a senior SC judge or HC Chief Justice;
3. MCA Secretary;
4. Law and Justice Secretary; and
5. Secretary, Department of Financial Services, Ministry of Finance.

This yielded **two judicial and three executive members**. It also omitted the specified assurance of a judicial Chairperson's **casting vote**.

Petitioner's case

The 2010 directions had already settled the structure needed for judicial primacy. A five-member committee with executive numerical superiority reinstated the vice; the new Act was not free to treat the directions as optional drafting advice.

Government's recorded arguments

The Union offered several justifications:

- The earlier recommended composition was only in **"broad terms."**
- The additional Financial Services Secretary was relevant because **BIFR and AAIFR**, associated with that department, were to be subsumed in the institutional reorganisation.
- Selection committees had developed **healthy, robust practices**, with recommendations ordinarily unanimous.
- There was no known material disagreement or actual voting in the cited MCA committees.
- Similar statutory bodies did not always provide a casting vote.
- The committee could determine its own **modalities/procedure**.

These are arguments actually reflected in the DU extract. They should be presented fairly: the Government did not expressly claim a right to appoint biased judges; it defended a design which the Court nevertheless held structurally incompatible with judicial independence.

Why the Court rejected them

A constitutional safeguard must govern the possibility of disagreement. **Past unanimity cannot replace a legal assurance of judicial primacy.** The 2010 directions were binding precedent; the CJI/nominee's final say, secured by the casting vote in the prescribed composition, formed part of their ratio. Procedure-making power could not amend away the committee's numerical structure.

The Court also addressed the drafting ambiguity in the earlier phrase referring to the Finance and Company Affairs Ministry: it did not permit expansion into an extra executive seat defeating the mandated four-member arrangement. The relevant "and" was treated in context as a typographical issue, not a warrant for executive predominance.

Holding on Issue 3

Section 412(2), as then framed, was invalid. The Court directed correction in accordance with paragraph 120(viii) of the 2010 judgment. The later amended parent provision reflects a **four-member structure and a casting vote**, as explained in Chapter 3. Do not attribute the separate 2026 committee to this 2015 holding.

J. Ancillary challenges and final order

Contempt: The objection to section 425 was rejected. Calling the power "not healthy" did not establish constitutional invalidity.

Bench constitution: The objection to Government's statutory power to constitute benches also failed; the petitioner had not shown why the legislative arrangement was unconstitutional. Do not confuse creating/locating benches with deciding individual cases on executive instructions.

Disposition: The writ petition was **partly allowed** in the manner stated. The institutions survived; defective qualifications and selection provisions required correction.

Implementation observations: The Government's May 2015 affidavit described approved posts, proposed rules, staffing, premises and budget preparations. The Court urged timely remedial measures so that adequately staffed NCLT/NCLAT could begin functioning. These observations explain the urgency of implementation; they are not an order closing existing tribunals or a merits ruling in an insolvency dispute.

K. Ratio, contextual reasoning and matters not decided

Proposition	Proper classification
Creation of NCLT/NCLAT was already constitutionally upheld and could not be reopened on the grounds advanced	Holding on Issue 1
Reintroducing the condemned qualification dilution violates the binding 2010 standards	Holding on Issue 2
Judicial primacy cannot be replaced by executive majority plus assurances of consensus	Holding on Issue 3
General administrative expertise and judicial competence are not interchangeable	Reasoning supporting the qualification holding
No unconstitutionality was established in contempt/bench-constitution objections	Rejection of ancillary grounds
Every challenged section in the prayer was separately upheld on full argument	**Incorrect:** some were not argued/discussed
All technical members were prohibited	**Incorrect**
The 2021/2026 service framework was decided in this case	**Chronologically impossible**

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L. Hypothetical visual and application

Problem: Parliament creates a new specialist tribunal to decide company disputes previously heard by a High Court. It allows a departmental officer with only incidental company-file experience to become a judicial member, gives an executive-majority committee the final selection choice, and defends the design by promising equal judicial salaries and speedy disposal.

Application: The transfer of jurisdiction is not unconstitutional merely because the new forum is called a tribunal. But the appointment design is constitutionally vulnerable: judicial-member eligibility cannot rest on administrative designation alone; genuine relevant expertise must support a technical appointment; status is not supplied only by salary; executive dominance in selection conflicts with judicial independence. Under the reasoning of the prescribed case, preserve the permissible institutional objective while requiring correction of the defective structure.

Counterfactual: If genuine judicial qualifications, relevant technical routes and effective judicial primacy are preserved, the mere presence of technical members and Government's formal appointment role do not invalidate the tribunal.

M. Examination-ready case capsule

Facts: The 2013 Act recreated parts of the NCLT/NCLAT design which the 2010 Constitution Bench had required to be corrected. **Issues:** institutional validity, technical qualifications and selection structure. **Arguments:** the association invoked judicial independence and binding precedent; the Government relied on available expertise, functional similarity and consensus-based selection practices. **Decision:** institutional validity remained upheld; impugned qualification provisions and the five-member executive-dominant committee required correction; contempt and bench-constitution objections failed. **Principle:** transfer of court jurisdiction is permissible, but cannot reduce the judicial independence and standards appropriate to the transferred work.

CASE #62 DU LL.B. PRESCRIBED AUTHORITY

Embassy Property Developments Pvt. Ltd. v. State of Karnataka & Ors. (2020) 13 SCC 308

Prescribed DU case 33 • MANU/SC/1661/2019 • Supreme Court • 3 December 2019 • Nariman, Bose and V. Ramasubramanian JJ. • Judgment by V. Ramasubramanian J. • DU printed pp. 315-321

> *NCLT can examine fraudulent initiation of CIRP. It cannot use CIRP to assume the superior courts' judicial review over a statutory mining-lease refusal.*

B. Parties and their roles

Actor	Role in the dispute	What that role does not establish
Tiffins Barytes Asbestos & Paints Ltd.	Corporate debtor holding a Karnataka mining lease	Insolvency does not create an automatic mining extension
Udhyaman Investments Pvt. Ltd.	Claimed financial-creditor status and initiated IBC 7 proceedings	Initiation does not prove the later fraud allegation
IRP/RP	Managed the insolvency process and represented the debtor	Duty to protect assets does not choose the competent forum for every dispute
Embassy Property Developments Pvt. Ltd.	Resolution applicant; one appellant before SC	A plan's commercial dependence on a lease does not confer public-law jurisdiction
Committee of Creditors	Creditor body; separately appealed	Collective creditor interest does not override statutory forum boundaries
Government of Karnataka	State lessor/mining authority; opposed the NCLT relief and moved HC	Being a Government does not by itself exclude all NCLT jurisdiction

There were **three appeals**: one by the resolution applicant, one by the corporate debtor through the resolution professional, and one by the Committee of Creditors. They challenged the High Court's **interim stay**, not a final Supreme Court determination of the mining lease's merits.

C. Complete material chronology

Date/stage	Event	Source status and significance
9 August 2017	Notice for premature termination, alleging rule/lease violations	DU headnote; no termination order had yet been made at CIRP commencement
12 March 2018	NCLT Chennai admitted the financial creditor's section 7 application; CIRP, IRP and moratorium followed	Full judgment corrects the truncated DU date
14 March 2018	IRP informed relevant mining/monitoring authorities of CIRP	Supplement: full judgment 4(iv)
21 April 2018	IRP sought deemed extension beyond 25 May 2018 to 31 March 2020 under MMDR 8A(6)	DU records the extension request; full judgment supplies complete endpoint/statutory detail
Initial writ, WP 23075/2018	IRP approached Karnataka HC seeking recognition of deemed validity	Supplement: full judgment 4(v)
26 September 2018	Karnataka rejected deemed extension for alleged lease and statutory-rule violations	DU headnote; Rule 37 of 1960 Rules and Rule 24 of the specified 2016 Rules
28 September 2018	Initial writ withdrawn with liberty to file a fresh writ	Supplement; instead of taking that route, RP approached NCLT
MA 632/2018	RP sought setting aside the State refusal, declaration of deemed extension and supplementary lease deeds	DU + full judgment
11 December 2018	NCLT allowed the application ex parte, relying on the moratorium	DU gives this first order; full judgment supplies its procedural character
WP 5002/2019; 22 March 2019	HC set aside the first NCLT order and remanded for hearing the State's objections	Supplement: essential omitted procedural step
On remand	State raised lack of mining-law jurisdiction and fraudulent/collusive CIRP	Full judgment; DU later discusses both legal issues
3 May 2019	NCLT again allowed the application, set aside the refusal and directed supplementary lease deeds	Supplement: operative NCLT order leading to the challenged stay
12 June 2019	Resolution plan approved, as relied on by appellants	Full judgment's recorded submissions

by Ankur R. Upadhyay

Date/stage	Event	Source status and significance
WP 41029/2019; 12 September 2019	HC adjourned and stayed the NCLT direction; a contempt application made immediate protection relevant	DU records the stay; full judgment explains its setting
3 December 2019	SC dismissed the three appeals; no order as to costs	DU judgment's disposition; date confirmed from full judgment

D. The two questions framed by the Supreme Court

1. **Alternative remedy and writ jurisdiction:** Should the High Court interfere under Articles **226/227** with an NCLT order made in an IBC proceeding despite the statutory NCLAT appeal, and in what circumstances?
2. **Fraud jurisdiction:** Can NCLT/NCLAT examine allegations of fraud in IBC proceedings, including fraudulent initiation of CIRP?

The questions interact but have different answers. The High Court's interference was justified because of the **public-law jurisdictional excess**, not because the insolvency tribunals lacked power to consider insolvency fraud.

E. Appellants' arguments: full-judgment supplementation

Resolution applicant: K.V. Viswanathan

The applicant relied on the **effective alternative remedy under IBC section 61**. Where a specialist statutory forum exists, High Courts should not ordinarily entertain writs against its orders. Counsel also raised the fact that the order came from the Chennai NCLT bench.

Substantively, the Code seeks to revive the corporate debtor as a going concern and maximise asset value. The RP must be able to obtain relief protecting the debtor's property. The Code was characterised as a unified umbrella with pervasive, exclusive remedies, so challenges to the RP's NCLT relief should remain within that architecture.

Resolution applicant: Mukul Rohatgi

Counsel did **not** go so far as to say High Court jurisdiction was completely ousted. Instead, he argued for a **"hands off" approach** in this type of matter. He relied on approval of the resolution plan on 12 June 2019 and argued against interference that would damage or unravel the approved plan.

Resolution professional: Kapil Sibal

The RP emphasised:

- the time-bound resolution objective and the disruption caused by collateral writ litigation;
- the overriding effect of **IBC section 238**;
- the State's earlier participation/remand position, which allegedly prevented it from now denying NCLT's jurisdiction;
- the broad definition of **property in section 3(27)**, including various present, future, vested or contingent interests;
- the RP's duty to preserve that property;
- the breadth of **section 60(5)(c)** and NCLT's competence to examine fraud.

The argument linked NCLT's undoubted insolvency role to the asserted lease-extension right. The Court accepted the fraud-jurisdiction component but rejected the leap from property preservation to public-law judicial review.

Committee of Creditors: Arvind P. Datar and E. Om Prakash

The CoC argued that IBC is a **complete code** and orders should be challenged through its own routes. It characterised the requested relief as mere recognition of an already existing statutory right to deemed extension under **MMDR section 8A**, rather than an exercise of judicial review not vested in NCLT.

Why this detail improves an answer: The appellants did not simply ask for a discretionary commercial favour. They argued that the extension was already a statutory entitlement whose recognition was necessary to preserve value. The Court's answer was that the correctness of the statutory authority's refusal still had to be tested by the **competent public-law forum**, not that commercial value was irrelevant to insolvency generally.

F. State's arguments: expressly recorded in DU paragraph 9

Attorney General **K.K. Venugopal** argued that an order made with **inherent lack of jurisdiction** is amenable to High Court review despite an appeal provision. The inferior forum cannot force a party through an appellate route before a superior court can address a nullity.

The State characterised the mining decision as a **statutory/public-law matter under the MMDR Act and rules**, not merely an inter-party contract. It read section 60's contours and associated powers as insufficient to confer judicial review over such a decision.

The State relied on **Barnard v. National Dock Labour Board** and **State of U.P. v. Mohammad Nooh** for the principle that an inferior tribunal's jurisdictional nullity need not invariably be challenged only through the statutory appeal.

It also pointed to the **CoC meeting of 27 February 2019**: another company had made a better offer, but the selected applicant was willing to take the risk of non-renewal. A party which accepted that risk should not shelter behind approval of the resolution plan to compel renewal. This was a **recorded submission**, not the central ratio or a freestanding finding that every risk-taking resolution applicant loses public-law rights.

Fraud allegation: The State alleged that related actors had orchestrated CIRP to corner the mine/lease, rather than genuinely resolve insolvency. That allegation presented the second jurisdictional question; it was not treated as already proved.

G. Reasoning I: the lease refusal belonged to the public-law domain

The land in question belonged to Karnataka. The lease was granted under the statutory mining regime and governed by the **Mineral Concession Rules, 1960**, with rights and restrictions defined by the lease and public law. The Court referred to the constitutional/statutory setting of mines and minerals, including **Union List Entry 54** and the **MMDR Act section 2 declaration** concerning public-interest Union control.

Thus the relationship was **not just contractual**. The challenged refusal was a decision by a statutory authority exercising powers under the mining regime. Reviewing its correctness required public-law judicial review by a **superior court competent to exercise it**, rather than an insolvency tribunal borrowing that power from the financial importance of the asset.

DU paragraph 28 supplies the central formulation: NCLT is a **creature of a special statute for specific functions** and cannot be elevated into a superior court with judicial review over administrative action.

H. Reasoning II: NCLT is not a general civil court

The Court distinguished NCLT's specified statutory functions from the general civil jurisdiction associated with **section 9 CPC**. Even decree-like enforcement and civil-court procedural powers do not create all-purpose subject-matter jurisdiction.

The tribunal needs authority **both to decide the question and to grant the relief sought**. It is not enough that the company's insolvency is properly before it. A lawful CIRP does not authorise every order which would make the CIRP more commercially successful.

I. Reasoning III: section 60(5) is broad but not unlimited

The Court resisted reading "any question of law or fact" in isolation. Its context is **insolvency resolution or liquidation**. A dispute with a public authority does not become an insolvency question solely because an adverse decision would reduce the estate's value.

DU's tax illustration: If a company needs to challenge an income-tax assessment, that challenge does not automatically move to NCLT because CIRP has begun. A tax demand may give rise to a claim to be dealt with in insolvency; that is different from NCLT replacing the tax appellate machinery and deciding the assessment's correctness.

This distinction avoids two extremes:

- It rejects "NCLT can decide every dispute touching the debtor."

- It also rejects "NCLT can never decide a matter involving Government."

The proper inquiry is functional: **what precise issue is being adjudicated, under which statutory power, and through what relief?**

J. Reasoning IV: the RP's preservation duty requires the proper forum

Appellants relied on sections **18, 20, 25** and the broad property definition. The Court's answer was not that an RP should let valuable rights lapse. The RP must protect and represent the debtor, but through the **legally competent forum**.

Section **25(2)(b)** expressly requires the RP to represent the debtor and exercise its rights in **judicial, quasi-judicial and arbitration proceedings**. That language would be unnecessary if every claim could simply be rerouted to NCLT by section 60(5). DU paragraphs 39–40 stress that the RP cannot use CIRP as a bypass around the public-law route.

K. Additional full-judgment principles omitted from DU's selected run

Consent cannot confer subject-matter jurisdiction: paragraph 43

The State's agreement to return to NCLT on remand did not clothe it with a jurisdiction absent from statute. A statutory tribunal's subject-matter competence cannot be created by party concession. This answers the RP's participation/estoppel argument without deciding that every procedural objection survives any form of waiver.

Moratorium preserves; it does not create a new lease right: paragraph 44

The Court stated that the moratorium's purpose is to preserve the **status quo**, not create a new right. Protection against recovery/dispossession under section **14(1)(d)** did not amount to a right to renewal of this mining lease. The particular mining grant and retained State rights also informed the discussion of possession.

Temporal caution: This is the 2019 judgment's analysis of the legal text and facts before it. Later IBC amendments concerning licences, permits and similar grants must not be retroactively attributed to the Court or turned into a claim that every present-day licence cancellation case is already decided by this paragraph. The enduring lesson here is to distinguish preservation of an existing right from creation/enlargement of a right and to identify the competent forum.

L. Holding on the first question: writ intervention was justified

DU paragraph **45** holds that NCLT lacked jurisdiction to entertain the application directing Karnataka to execute supplementary mining lease deeds. Because NCLT exercised a jurisdiction not vested in it, it was **coram non judice** in relation to that relief. The High Court could entertain the writ notwithstanding the NCLAT appeal.

Meaning of coram non judice: the matter/relief was before an authority without the necessary jurisdiction. It does not mean that NCLT was not validly constituted at all, or that its CIRP jurisdiction vanished for all purposes.

M. Reasoning and holding on fraud: appellants were right on this point

The Court then separately asked whether NCLT could investigate fraud in CIRP. In **DU paragraph 49**, it expressly held the appellants' objection on this point **well founded**.

Section 65: fraudulent or malicious initiation

The provision addresses initiation of insolvency resolution/liquidation **fraudulently or with malicious intent for a purpose other than genuine insolvency resolution/liquidation**. The adjudicating authority may impose a penalty of **at least ₹1 lakh and up to ₹1 crore**. The quoted subsection (2) separately concerns voluntary liquidation initiated with intent to defraud.

The State's allegation—that one person in different corporate "avatars" used CIRP to capture the mine rather than genuinely resolve insolvency—would, **if established**, fall within the mischief of section 65(1). Hence NCLT was capable of examining it.

Sections 66 and 69

DU paragraph 50 also invokes **section 66**, dealing with fraudulent trading and the relevant statutory contribution framework, and refers to **section 69**, concerning punishment for transactions defrauding creditors. These provisions demonstrate that the Code anticipates fraudulent conduct rather than leaving every such issue outside its institutions.

Important criminal-law boundary: The reference to punishment in section 69 does not confer universal criminal trial jurisdiction on NCLT. Distinguish NCLT's statutory inquiry/penalty/contribution functions from prosecution and trial under the competent criminal/Special Court framework.

Consequence for appeal and writ

Since NCLT can inquire into the relevant insolvency fraud, **NCLAT can consider it on appeal**. Fraudulent initiation, standing alone, is therefore **not a reason to bypass IBC section 61**. "Fraud vitiates everything" cannot replace analysis of which forum has statutory power to decide the alleged fraud.

N. Final result: two answers, one dismissal

Question	Court's answer	Consequence
Could NCLT overturn this statutory mining-extension refusal and command lease deeds?	**No**	Inherent jurisdictional excess supported High Court intervention
Could NCLT/NCLAT inquire into fraudulent initiation/ transactions within the IBC framework?	**Yes**	That fraud allegation was not, by itself, a ground to bypass the IBC appeal
Did the appellants win the appeals because they were right about fraud jurisdiction?	**No**	The independent public-law jurisdiction defect remained
Final order	**Appeals dismissed; no order as to costs**	High Court's entertaining the writ and interim interference were not disturbed

The Supreme Court **did not finally prove the State's fraud allegation**, finally adjudicate every statutory mining entitlement, or hold that NCLT lacked all powers concerning any company asset. It resolved the forum boundaries necessary to the appeals.

O. Hypothetical visual: one insolvency, two legal routes

Hypothetical: Meridian Minerals Ltd. enters CIRP. The State refuses statutory extension of a mining lease. Its RP asks NCLT both to (a) punish a collusive creditor for malicious initiation and (b) quash the State refusal and compel a fresh mining entitlement.

Analysis: Split the reliefs. Alleged malicious initiation falls within IBC section 65 and can be examined by NCLT, subject to proof; an adverse order uses the IBC appeal route. Public-law review of the statutory refusal is not conferred on NCLT merely by section 60(5) or the RP's preservation duty. The appropriate statutory/public-law forum must be used. A High Court challenge to NCLT's assumption of that absent jurisdiction is not barred merely because NCLAT exists.

P. Ratio, limits and application language

Ratio: NCLT/NCLAT have the insolvency jurisdiction and fraud-related powers assigned by the Code, but no general power of judicial review over public-law decisions of statutory/quasi-judicial authorities such as the mining-extension refusal. Where NCLT acts outside that jurisdiction, High Court intervention is permissible notwithstanding the statutory alternative remedy. Fraud within CIRP does not itself justify bypassing that remedy because the IBC forums can examine it.

Application sentence: "The decisive fact is not simply that the debtor is in CIRP or that fraud is alleged; it is that the relief asks an insolvency tribunal to review a statutory administrative decision outside its conferred jurisdiction."

Exam capsule: A Karnataka mining-lease debtor entered CIRP. After the State refused deemed extension, NCLT directed supplementary lease deeds; the High Court stayed the direction. SC dismissed appeals from that intervention. It held that NCLT cannot exercise the superior courts' public-law judicial review, although it can examine fraudulent CIRP initiation under section 65 and the associated IBC fraud framework.

PYQ ARCHIVE // CH.09 **Previous Year Questions (DU LL.B. Examinations)**

Q.1 DU LL.B. 2017 · Q.8(b) Write a comprehensive note on the constitution, composition, powers, and jurisdiction of the National Company Law Tribunal (NCLT) and the National Company Law Appellate Tribunal (NCLAT) under Chapter XXVII of the Companies Act, 2013.

▸ Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891

Q.2 DU LL.B. Constitutional Essay Discuss the constitutional validity of the constitution, qualifications of Technical Members, and Selection Committee structure of NCLT and NCLAT in light of Madras Bar Association v. Union of India (2015).

Q.3 DU LL.B. Problem During the Corporate Insolvency Resolution Process (CIRP) of a mining company, the State Government rejects deemed extension of its mining lease under the MMDR Act. Can the Resolution Professional invoke NCLT's jurisdiction under Section 60(5) of the IBC to set aside the State's public-law decision, and is a High Court writ petition under Article 226 barred by the statutory NCLAT appeal? Decide in light of Embassy Property Developments Pvt. Ltd. v. State of Karnataka.

Q.4 DU LL.B. Short Note Examine the scope of the bar of civil court jurisdiction under Section 430 of the Companies Act, 2013 and the statutory appellate timeline under Sections 421 and 423.

MODULE 10 // Topic 10 · Unit X Cases #63 – #67

Contemporary Developments: CSR, Corporate Crime, Mergers, IBC & ESG

Companies Act, 2013: Ss. 135 (CSR), 166(2), 230-232 (Mergers), 439, 447 · IBC, 2016: Ss. 6-14, 21, 29A, 30-33 · SEBI BRSR

02 · CSR: meaning, need and the corporate-responsibility debate

Meaning: broad concept and narrower statutory category

Corporate social responsibility, in its broad sense, concerns the responsibilities of an enterprise towards people, communities and the environment affected by its business. It includes questions of ethical conduct, stakeholder well-being, sustainable operations and social contribution. **Statutory CSR under section 135**, however, is a specific legal framework applying to qualifying companies, with prescribed activities, governance, expenditure, treatment of unspent money and disclosure.

Thus an ethical business practice may be socially responsible without being expenditure that can be counted towards the statutory two-per-cent obligation. Paying legally required wages, installing legally mandated pollution-control equipment, or improving employee safety to satisfy statutory duties cannot simply be relabelled qualifying CSR expenditure.

Why CSR is needed

1. **External costs of enterprise.** Business can generate pollution, resource depletion, displacement and infrastructure pressure. Market prices do not always reflect those costs. Social responsibility asks the enterprise to recognise effects beyond its own balance sheet.
2. **Unequal distribution of economic gains.** Corporate growth can coexist with weak access to education, health, skills and livelihoods. Carefully designed projects can address capability gaps rather than offer only occasional donations.
3. **Stakeholder dependence.** Employees, suppliers, communities and consumers make enterprise possible. Long-term corporate success depends on the resilience of those relationships.
4. **Institutional capacity.** Companies can contribute finance, project-management capability, technology and partnerships. This does not mean that companies replace Government's responsibilities or gain authority to dictate public policy through philanthropy.
5. **Trust and legitimacy.** Transparency and credible social performance support public confidence. A publicity campaign without results may instead deepen distrust.
6. **Long-term business resilience.** Skills, health, local infrastructure and ecological stability can improve the conditions in which business operates. Nevertheless, a project whose real nature is product marketing remains subject to the CSR exclusion.
7. **Accountability for deployment of corporate resources.** Mandatory governance and disclosure reduce the risk that "charity" becomes a promoter's personal preference, a related-party benefit or disguised diversion.

Arguments for and against mandatory spending

Argument	Strength	Qualification
Mandatory CSR mobilises corporate resources for public purposes	Predictable minimum commitment by qualifying companies	Amount spent does not prove social impact
It embeds responsibility at board level	Policy, oversight and reporting make responsibility institutional	Board approval can become a formality unless monitoring is credible
Companies possess implementation expertise	Project skills may improve delivery	Commercial expertise does not automatically equal community-development expertise
CSR is an indirect additional tax	Mandatory expenditure reduces managerial discretion	Unlike a general tax, the scheme leaves structured choices of lawful projects and implementation
It can distract from core business	Poorly governed projects may waste resources	Strategic social programmes can be professionally managed without substituting marketing for CSR
It risks "charity instead of compliance"	Real danger of reputational laundering	The Rules expressly exclude fulfilment of other statutory obligations and marketing sponsorship

Balanced examination conclusion: CSR is defensible as a governance and social-investment mechanism, but must be judged by lawful purpose, additionality, accountable implementation and outcomes—not only the percentage spent.

Charity, CSR, ESG and compliance are not synonyms

- **Charity:** a voluntary donation may or may not qualify under Schedule VII and the Rules.
- **Statutory CSR:** the section 135 spending/governance framework for qualifying companies.
- **ESG:** environmental, social and governance factors integrated into operations, strategy, investment analysis and reporting.
- **Legal compliance:** duties imposed by employment, environmental, tax, company and other laws. These do not disappear because the company undertakes CSR.

Example: A manufacturer must install an effluent-treatment system required by environmental law. That is compliance. It may separately fund eligible community drinking-water infrastructure under Schedule VII. Its total water use, discharge quality and exposure to water scarcity are ESG matters. These connected facts do not make the three legal categories identical.

Evolution of the Indian framework

India's framework moved from largely voluntary corporate giving towards statutory governance and spending under the 2013 Act, with section 135 effective from **1 April 2014**. Later amendments changed the applicability language, tightened treatment of unspent money, introduced a civil-penalty framework for transfer defaults, allowed specified excess-spend set-off, and added reporting/impact-assessment obligations. The **2026 amendment adds a limited Social Stock Exchange instrument route**, discussed separately below.

Historical trap: "Spend or explain" describes an earlier stage of the framework more accurately than the complete amended regime. Today an explanation in the Board's report does not replace required transfers of unspent amounts.

03 · Section 135: every subsection explained

Statutory core • Companies Act, 2013 • read with CSR Rules and Schedule VII

Section 135(1) — Which companies are covered?

A company satisfies the financial trigger if, during the **immediately preceding financial year**, it has **any one** of:

Test	Threshold	Logical relationship
Net worth	₹500 crore or more	Alternative trigger
Turnover	₹1,000 crore or more	Alternative trigger
Net profit	₹5 crore or more	Alternative trigger

The word is **OR**, not AND. A company with ₹6 crore qualifying net profit may be covered even though its turnover and net worth are far below the other limits. The test is not limited to listed companies. Qualifying private companies, section 8 companies and relevant foreign companies are not automatically excluded merely because of their form; apply the Act and Rule 3 to the particular entity.

Group distinction: A subsidiary does not inherit its parent's financial trigger simply because it is a subsidiary. Assess the statutory criteria for the relevant company. A common group project is possible subject to proper allocation, reporting and the Rules; double counting the same expenditure is not.

Two different calculations: The immediately preceding year tests **applicability**. The average of the relevant three preceding years ordinarily determines the **spend base**. Do not substitute one for the other.

Committee composition and exceptions

The default committee consists of **three or more directors**, including **at least one independent director**. Where the company is not required to appoint an independent director under section 149(4), the statutory proviso permits **two or more directors**. Rule 5 accommodates a private company with only two directors and specifies the foreign-company arrangement: at least two persons, including the designated India-resident service/acceptance person under section 380(1)(d), with another nominated by the foreign company.

Under **section 135(9)**, where the required amount to be spent does **not exceed ₹50 lakh**, the separate committee requirement is inapplicable and the Board discharges its functions. This is relief from a committee, **not relief from spending, transfer or reporting**.

Unspent-account qualification: Rule 3's 2022 proviso expressly requires a company having an amount in its **Unspent CSR Account** to constitute a committee and comply with subsections (2)–(6). Read this alongside the small-obligation exemption instead of announcing that a company with a small current spend can ignore continuing unspent-project governance.

Section 135(2) — Disclose committee composition

The Board's report under section 134(3) must disclose the CSR Committee's composition. The point is accountability: readers should be able to identify who is charged with recommending and monitoring CSR. Where the Board performs the functions under subsection (9), reporting should accurately reflect the applicable arrangement rather than inventing a committee that does not exist.

Section 135(3) — What the CSR Committee does

The committee must:

1. **Formulate and recommend the CSR Policy** indicating activities in the areas/subjects in Schedule VII.
2. **Recommend expenditure** on those activities.
3. **Monitor the policy from time to time.**

Rule 5 adds the annual action-plan framework. The committee's role is not exhausted by signing a list of donations at year end. It should connect project selection, budgets, implementation, timelines and monitoring. It recommends; the Board retains the Act's approval and implementation responsibilities.

Section 135(4) — What the Board must do

The Board must consider the committee's recommendations, **approve the policy**, disclose its contents in its report and place it on the company website, if any, in the prescribed manner. It must **ensure that the approved activities are undertaken**.

The Board cannot escape statutory responsibility merely by outsourcing implementation to an eligible agency. Under the ordinary Rule 4 mechanism it must satisfy itself about utilisation, supported by certification from the CFO or financial-management-responsible person. The special 2026 instrument route has its own stated exceptions, discussed in Chapter 4.

Section 135(5) — The two-per-cent obligation

The Board must ensure expenditure of **at least 2% of average net profits during the three immediately preceding financial years**. Where the company has not completed three financial years since incorporation, use the immediately preceding financial years it has completed, as provided by the subsection.

Formula:

> *CSR obligation = 2% × average qualifying net profits of the relevant preceding financial years.*

Net profit is a legal computation. The explanation sends calculation to **section 198**, with the prescribed exclusions. It is not automatically 2% of turnover, profit after tax, cash surplus, group consolidated profit or the current year's projected profit. Rule 2 excludes overseas-branch profits and the specified dividends from Indian companies covered by and complying with section 135. Foreign-company computation follows the relevant section 381 accounts read with section 198. For a numerical problem, state that the profits supplied are qualifying section 198/CSR figures; do not silently apply the percentage to a different accounting number.

Local-area preference

The company must give **preference** to its local area and areas around its operations. Preference is not an absolute prohibition on eligible projects elsewhere in India. The project must still satisfy Schedule VII and the Rules; spending near a factory does not automatically make advertising or a statutory compliance expense eligible.

by Ankur R. Upadhyay

Non-ongoing unspent amount: subsection (5)

If the company does not spend the required amount, the Board must explain the reasons in its report. **Unless the unspent amount relates to a qualifying ongoing project**, it must be transferred to a **Schedule VII fund within six months of the financial year's expiry**.

An eligible Schedule VII **activity** is not the same as a specified Schedule VII **fund**. A late transfer to a random NGO implementing an otherwise eligible activity is not automatically the statutory fund transfer required by subsection (5). Rule 10 supplies the stated interim fund mechanism.

Ongoing-project unspent amount: subsection (6)

For a qualifying ongoing project:

1. Transfer the unspent amount within **30 days after financial-year end**.
2. Transfer it to a special account in a **scheduled bank**, opened for that financial year and called the **Unspent Corporate Social Responsibility Account**.
3. Spend it on the CSR obligation within **three financial years from the transfer**.
4. If it remains unspent, transfer it to a Schedule VII fund within **30 days after completion of the third financial year**.

Not a loophole: Merely describing an unplanned donation as "ongoing" does not satisfy the project definition. Rule 2 requires a genuine multi-year project with permitted timelines, including a justified Board extension where a project originally approved for one year becomes multi-year.

Section 135(7) — Penalties for the specified defaults

For default under subsections (5) or (6):

- **Company:** penalty of **twice the amount required to be transferred**, or **₹1 crore**, whichever is **less**.
- **Every officer in default:** penalty of **one-tenth of the amount required to be transferred**, or **₹2 lakh**, whichever is **less**.

The relevant denominator is the **amount required to be transferred**, not necessarily the company's entire CSR budget. The provision uses **penalty**, and its present form is not the earlier imprisonment formula. A false report or diversion involving fraud may independently engage other laws; that does not turn the transfer-default penalty itself into automatic imprisonment.

Sections 135(8) and (9)

Subsection (8): Government may issue general/special directions to a company or class of companies necessary to ensure compliance; they must comply.

Subsection (9): required spend **not exceeding ₹50 lakh** removes the separate committee requirement and gives the Board its functions, subject to reading the continuing-unspent-account rule explained above. A company whose obligation is exactly ₹50 lakh falls within the subsection's numerical wording; one at ₹50,00,001 does not.

Excess spend and the explanation

The third proviso to subsection (5) permits prescribed set-off of excess spending. **Rule 7(3)** permits set-off up to the **immediately succeeding three financial years**, with a Board resolution, excluding surplus generated by CSR activities. Excess spending and CSR-generated surplus are different categories. The section's explanation also confirms section 198–based net-profit computation with prescribed exclusions.

Exam structure for section 135: Applicability → committee/Board → policy/action plan → calculation → permitted activity → spending/utilisation → unspent classification and transfer → reporting → penalty. This structure is more reliable than memorising "2%" alone.

04 · CSR Rules, 2014, as amended: implementation and accountability

Rule 1 — Title and commencement

The Rules are the **Companies (Corporate Social Responsibility Policy) Rules, 2014**, effective from **1 April 2014**. Later amendments must be read into the operative text. An unamended statutory reproduction is not enough to establish today's administrative-overhead, impact-assessment or implementation rule.

Rule 2 — Definitions and exclusions

The six excluded classes

Exclusion	What it prevents	Important qualification
Normal course of business	Reclassifying ordinary commercial activity as CSR	The COVID R&D exception was expressly limited to FY 2020–21, 2021–22 and 2022–23 and its conditions; not a permanent R&D exemption
Activity outside India	Exporting the statutory social-spending programme without the permitted link	Exception for training Indian sports personnel representing a State/UT nationally or India internationally
Direct/indirect political contribution	Treating political finance as social responsibility	Section 182 compliance does not itself make expenditure CSR
Activities benefiting employees within the rule	Substituting employee-benefit expenditure for public-oriented CSR	Distinguish a genuine public project from an employee-targeted scheme; incidental employee benefit is not the same factual situation
Sponsorship for marketing benefits	Using CSR as an advertising budget	A logo or acknowledgement is not the sole test; examine substance, purpose and benefit
Other statutory obligations	Double-credit for legal compliance	Mandatory pollution controls, labour-law duties and similar obligations remain separate

Administrative overheads

These are expenses of **general management and administration of CSR functions**, not directly incurred design, implementation, monitoring or evaluation costs of a **particular project**. The distinction affects the five-per-cent cap: a project-specific health survey may be a project cost, whereas general CSR-office administration is overhead. Merely renaming head-office salaries "project support" does not alter their real character.

CSR policy and ongoing project

The policy states the Board's approach and direction, informed by committee recommendations, and guiding principles for selection, implementation, monitoring and the annual action plan. It is not just a catalogue of last year's cheques.

An **ongoing project** is a multi-year project undertaken in fulfilment of CSR obligations, with timelines not exceeding **three years excluding the financial year of commencement**. A Board may, on reasonable justification, extend an initially non-multi-year project beyond one year. The Rules do not authorise indefinite rollover.

Two clocks: the project-definition maximum and the subsection (6) deadline for money transferred to an Unspent CSR Account are connected but not identical. Always date the project and the relevant unspent-fund transfer separately.

Rule 3 — Applicability and continuing obligations

Rule 3 includes qualifying holding/subsidiary companies and relevant foreign companies with an Indian branch/project office. Each must meet the statutory trigger in the relevant manner. The old rule concerning **three consecutive financial years of ceasing to qualify** was omitted in 2022. Do not use it as an unrestricted current exit rule. Existing unspent-account balances trigger the continuing committee and compliance requirement in the added proviso.

Rule 4 — Ordinary implementation routes

The company may implement directly or use the prescribed eligible entities:

1. A **section 8 company, registered public trust or registered society** established by the company singly or jointly with another company, satisfying the rule's tax-status requirements.
2. A section 8 company, registered trust or society established by the **Central or State Government**.
3. A qualifying **statutory body constituted under an Act of Parliament or State legislature** to undertake Schedule VII activities.
4. An independent section 8 company/public trust/society satisfying the tax-status requirements and possessing **at least three years' track record in similar activities**.

The 2022 wording recognises the specified section **10(23C)** exempt categories or the stated **12A registration and 80G approval** route under the referenced Income-tax Act. This reproduces the CSR rule's eligibility formulation; for present-day tax-registration advice, check the applicable tax enactment, transitions and valid registration/approval documents. It is not enough that an organisation calls itself an NGO.

CSR-1 registration

An implementing entity within the rule intending to undertake CSR activities must register through **Form CSR-1**, effective **1 April 2021**, subject to the saving for projects approved earlier. The electronic form is digitally verified by a practising CA, CS or cost accountant; a unique registration number is generated. Registration is an eligibility/compliance step, not Government certification that every proposed expenditure or project is sound.

International organisations and collaboration

A company may engage the specified international organisations for **design, monitoring, evaluation and capacity building**. This is not unrestricted permission to replace the eligibility rules with any foreign implementing agency. Companies may collaborate, provided each can report separately on its contribution and programme. Maintain an allocation trail to prevent duplicate attribution of expenditure.

Utilisation and ongoing-project supervision

Under Rule 4(5), the Board must satisfy itself that disbursed funds were utilised for approved purposes and in the approved manner, supported by CFO/financial-management certification. Sending money to an agency is therefore not equivalent to proving its appropriate use. Under Rule 4(6), ongoing projects are monitored against timelines and year-wise allocations, with justified modifications within the overall permissible period.

Rule 4A — New 2026 Social Stock Exchange instrument route

Later-law update • G.S.R. 415(E), 27 May 2026 • not part of the original 2014 framework

The amendment adds definitions for **Not for Profit Organization** and **zero coupon zero principal instrument** and permits CSR through such instruments issued by an NPO registered with the Social Stock Exchange segment of a recognised exchange, under SEBI's framework.

The new route has four important components:

- Expenditure on the instrument must **not exceed 10% of total CSR expenditure for that financial year**.
- The subscribing company is exempt from impact assessment **of a project funded through that instrument**—not from every impact assessment across its CSR portfolio.
- The issuing NPO must undertake the project within **not more than three succeeding financial years from issue**; on termination of listing it must transfer unspent funds to a Schedule VII fund and report compliance to SEBI.
- Rule 4 applies **except sub-rules (5) and (6)**. Do not apply the ordinary CFO-certification/ongoing-project sub-rules mechanically to this special route or, conversely, claim that all section 135 responsibilities vanish.

Conceptual explanation: "Zero coupon" means no interest coupon and "zero principal" indicates no principal repayment in the instrument's social-finance design; it is not an ordinary return-bearing corporate bond. Its classification as a security does not make every securities investment eligible CSR. Amendment reproduction; consolidated Rules.

Rule 5 — Committee and annual action plan

The annual action plan should include:

1. projects/programmes in Schedule VII areas;
2. manner of execution;
3. fund-utilisation modalities and implementation schedules;
4. monitoring and reporting mechanisms;
5. need/impact assessment details, where relevant.

The Board may alter the plan during the financial year on committee recommendation and **reasonable justification**. It is a managed programme, not a document frozen regardless of changed needs—but flexibility must not conceal diversion or perpetual delay.

Rule 6 — Omitted

The former standalone Rule 6 on CSR policy was omitted in 2021. Policy duties remain through section 135, definitions and other operative rules. An omitted rule does not mean the company no longer needs a policy.

Rule 7 — Expenditure: four separate controls

Administrative overheads: not more than **5% of total CSR expenditure** in the financial year. The denominator is expenditure, not automatically the statutory obligation.

Surplus: any surplus from CSR activities is **not business profit**. It must be ploughed into the same project, transferred to the Unspent CSR Account and used in accordance with policy/action plan, or transferred to a Schedule VII fund within the stated six-month financial-year-end period. A project-generated surplus is not a credit for the company's own excess contribution.

Excess spend: permissible set-off against the immediately succeeding **three financial years**, excluding CSR surplus and supported by a **Board resolution**. There is no universal retrospective set-off of every donation ever made.

Capital assets: assets created/acquired with CSR funds should be held by the eligible section 8 entity/public trust/society with charitable objects and CSR registration, beneficiaries in the permitted collective forms, or a public authority. They are not simply retained as an ordinary company-owned commercial asset while being booked as CSR. The rule also had a time-bound transitional arrangement for pre-2021 assets; do not use that historical transition as an indefinite fresh grace period.

Rule 8 — Reporting and impact assessment

The Board's report includes the annual CSR report in the applicable annexure; the foreign-company reporting route is also specified. **Impact assessment** is required where:

- the company's **average CSR obligation is ₹10 crore or more** over the three immediately preceding financial years;
- the relevant project's outlay is **₹1 crore or more**; and
- the project was completed **not less than one year** before the study.

Assessment must be through an **independent agency**. Reports are placed before the Board and linked/annexed/disclosed through the applicable reporting requirements. The 2022 changes include the executive-summary/web-link presentation in the annual reporting format.

The permissible amount booked for impact assessment is capped at **2% of total CSR expenditure for the financial year or ₹50 lakh, whichever is higher**. The older **5% or ₹50 lakh, whichever is less** formula is obsolete. Actual expenditure is still needed; the ceiling is not an automatic spending credit. Remember the special Rule 4A exemption for instrument-funded projects.

by Ankur R. Upadhyay

Rules 9 and 10; CSR-2 distinction

Rule 9: disclose committee composition, policy and Board-approved projects on the company website, if any, for public access.

Rule 10: until a fund is specified for the section 135(5)/(6) purpose, transfer unspent amounts to a fund included in Schedule VII.

CSR-2: the reporting form belongs to the Companies (Accounts) Rules framework. It is distinct from **CSR-1**, which registers implementing entities. This guide does not invent one permanent CSR-2 filing date: year-specific extensions and filing arrangements must be checked for an actual return.

05 · Schedule VII, numerical problems and a compliance file

Schedule VII: all twelve heads in a usable map

Schedule VII identifies **areas or subjects**. Interpret projects sensibly within those heads while applying the Rules' exclusions. Liberal interpretation is not permission to spend on anything attractive.

Item	Area/subject	Illustrative eligible design and limits
(i)	Hunger, poverty, malnutrition, healthcare including preventive healthcare, sanitation and safe drinking water; includes Swachh Bharat Kosh contribution	Community nutrition or water programme; not routine statutory employee sanitation
(ii)	Education, special education, employment-enhancing vocational skills, livelihood enhancement	Accessible learning and vocational skills for underserved groups
(iii)	Gender equality, empowerment of women, homes/hostels for women and orphans, old-age/day-care facilities and reduction of social/economic inequalities	Community women's livelihood or senior-care project; do not substitute employee perks
(iv)	Environmental sustainability, ecological balance, flora/fauna, animal welfare, agroforestry, natural resources, soil/air/water quality; includes Clean Ganga Fund	Restoration programme; legally mandatory mitigation is separately excluded
(v)	National heritage, art and culture; restoration of historically important buildings/sites/works; public libraries; traditional arts/handicrafts	Conservation with an eligible public cultural purpose
(vi)	Armed forces veterans, war widows and dependants; relevant CAPF/CPMF veterans and dependants including widows	Rehabilitation/welfare programme for the specified beneficiaries
(vii)	Training for rural sports, nationally recognised sports, Paralympic and Olympic sports	Sports training; a brand-marketing sponsorship is a different category
(viii)	PM National Relief Fund, PM CARES Fund and specified other Central Government funds for socio-economic development/relief/welfare of the identified groups	Not every State or private relief fund is automatically listed here
(ix)	Specified contributions to publicly supported incubators/R&D in science, technology, engineering and medicine; specified publicly funded universities, IITs, laboratories and autonomous bodies undertaking SDG-related research	Match recipient and research purpose to the actual clause; not any private commercial R&D investment
(x)	Rural development projects	Rural livelihood/infrastructure design with demonstrable community benefit
(xi)	Slum-area development	"Slum area" follows the statutory declaration/ notification basis in the explanation
(xii)	Disaster management, including relief, rehabilitation and reconstruction	Disaster response/rebuilding; document eligibility and use

For item (ix), the detailed institutional list includes bodies under the **Department of Atomic Energy, Department of Biotechnology, Department of Science and Technology, Department of Pharmaceuticals, Ministry of AYUSH**, and specified bodies including **ICAR, ICMR, CSIR and DRDO**, along with the named public institutions. Use the actual Schedule when assessing a particular recipient. An abbreviation in a study table is not an eligibility certificate.

Worked problem 1 — Trigger versus spending base

Facts: A company's immediately preceding-year net worth is ₹420 crore, turnover ₹850 crore and qualifying net profit ₹6 crore. Qualifying profits for the three preceding years are ₹4 crore, ₹5 crore and ₹6 crore.

Solution: It meets the **net-profit trigger alone**. Average = ₹15 crore ÷ 3 = ₹5 crore. Two per cent = **₹10 lakh**. This is not 2% of ₹850 crore and not 2% of only the latest ₹6 crore. Under section 135(9), the Board ordinarily performs committee functions because the obligation does not exceed ₹50 lakh; check any continuing Unspent CSR Account qualification.

Worked problem 2 — Split the unspent balance

Facts: Obligation ₹60 lakh. Eligible utilised expenditure ₹40 lakh. Of the ₹20 lakh shortfall, ₹12 lakh concerns a qualifying ongoing project and ₹8 lakh does not. Assume year ends **31 March 2026**.

Solution: Transfer ₹12 lakh to that year's Unspent CSR Account **within 30 days**, ordinarily by **30 April 2026**. Transfer the non-ongoing ₹8 lakh to a Schedule VII fund within six months, ordinarily by **30 September 2026**. Explain reasons in the Board report. The ongoing balance must follow the three-financial-year utilisation and final-transfer rules. One unclassified ₹20 lakh bank reserve does not comply with both routes.

06 · Corporate criminal liability: concepts and statutory structure

Why can an artificial person commit an offence?

A company is a legal person which acts through human beings. Its artificial character does not create general immunity from prosecution. The real questions are: **Does the offence apply to a company? What act or omission is required? Is a mental element necessary? Whose conduct/knowledge is attributable? What punishment is legally possible?**

The older judgments discuss **IPC section 11**, which included companies within "person". The present **Bharatiya Nyaya Sanhita, 2023**, also defines person to include a company/association/body of persons, whether incorporated or not. Keep historical IPC/CrPC references intact when explaining older judgments; do not rewrite their dates and statutory language as though the new enactments already existed.

Elements of analysis

Element	Meaning	Corporate problem
Legal prohibition	An offence defined by the governing enactment	Is the corporation within its scope?
Actus reus	Prohibited act, omission, result or circumstance	Who acted, with what authority/function, and what did the company do?
Mens rea, where required	Intention, knowledge, dishonesty, recklessness or specified state	Which relevant human mind is legally attributable?
Causation/connection	Link between conduct and prohibited consequence	Corporate structure alone is not proof of the link

Element	Meaning	Corporate problem
Attribution	Rule connecting human acts/mind to the company	Identification, statutory attribution and the particular offence matter
Personal liability	Liability of the individual director/officer	Separate proof or express statutory vicarious-liability rule is required
Defence and punishment	Statutory defences, burden and permissible sanction	Due diligence is not a universal defence to every offence

Identification or directing-mind doctrine

For relevant offences, the acts and mental state of persons who embody the company's directing mind and will may be attributed to the company. **Iridium** rejects the idea that a company necessarily lacks mens rea because it has no biological mind. But it does not say every junior employee's knowledge is automatically the company's intention for every offence. Attribution depends on function, authority, the legal rule and statutory context.

Statutory vicarious liability

Some laws expressly make the company and persons in charge/responsible for its business liable, often with conditions relating to consent, connivance, neglect, knowledge or due diligence. Apply the particular clause. The general criminal law does not impose personal guilt on every director solely from their office.

Direction matters: human guilty mind → company attribution can be legally justified. Company allegation → automatic guilt of every director is not the converse rule. **Sunil Bharti Mittal** is the key corrective.

Strict liability, mens rea and civil penalties

A statute may dispense with some mental-element requirements. That depends on its wording and construction, not a general rule that all economic offences are strict liability. Likewise, a civil administrative **penalty** under company law is not automatically the same as conviction for a criminal offence. Decriminalisation of a specified compliance default changes that default's sanction; it does not legalise false evidence, fraudulent diversion or intentional deception.

Companies Act section 2(60): "officer who is in default"

The definition identifies categories including whole-time directors, key managerial personnel, specified directors where KMP is absent, persons charged with relevant responsibilities who authorise/participate/knowingly permit the default, persons whose advice/directions the Board is accustomed to follow (subject to the professional-capacity qualification), directors with the stated knowledge/participation/consent or connivance, and the specified persons concerning share issue/transfer matters. It is a **statutory responsibility map**, not "every employee" and not "only the managing director."

Use it with the charging provision. If section 135(7) imposes a penalty on an officer in default, establish the person's statutory connection. If a separate fraud prosecution requires dishonest intent, citing section 2(60) alone does not prove every ingredient of that offence.

Section 149(12): limited protection, not complete immunity

An independent director, or a non-executive director who is not a promoter/KMP, is liable under the section's formulation only for acts of omission/commission which occurred with knowledge attributable through Board processes and consent/connivance, or where the director did not act diligently. This is a calibrated protection for the identified class, not permission to ignore serious warning signs and not a universal immunity under all other enactments.

Offence and compliance map

Provision	Function	Examination point
34–36	Prospectus misstatement and fraudulent inducement framework	Read actual authorisation/knowledge/defence conditions; not every inaccurate forecast is automatically criminal fraud
135(7)	CSR transfer-default civil penalties	Do not reproduce an obsolete imprisonment rule
206–212	Inquiry/investigation and SFIO framework	Investigation, accusation and conviction are separate stages
435–436	Special Courts and trial framework	NCLT is not the universal criminal trial court
441	Compounding within statutory limits	Not every offence, especially fraud, is freely compoundable
447	Punishment for fraud	Fraud definition and amount/public-interest distinctions matter
448	False statements in specified documents	Knowing material falsity/omission engages the stated fraud consequences
449	False evidence	Separate from an innocent clerical mistake
454	Adjudication of penalties	Administrative penalty route is distinct from prosecution

Section 447: fraud in company law

Fraud in relation to a company/body corporate includes acts, omissions, concealment of facts or abuse of position by a person, or another with connivance, **with intent to deceive, gain undue advantage or injure the interests of the company, shareholders, creditors or another person**, whether or not wrongful gain/loss actually occurs.

For fraud involving at least **₹10 lakh or 1% of turnover, whichever is lower**, the provision prescribes imprisonment from **six months to ten years** and fine from the amount involved up to **three times** that amount; where public interest is involved, the minimum imprisonment is **three years**. The lesser-amount, no-public-interest proviso has a different sanction: imprisonment up to **five years**, or fine up to **₹50 lakh**, or both. Verify the statutory amount/public-interest branch before quoting one universal fraud punishment.

Company and individual: A corporation cannot physically undergo imprisonment, but relevant corporate prosecution/fine principles remain important. Individuals whose guilt is proved may face imprisonment according to the offence; the corporation's physical impossibility does not remove their sentencing exposure.

Compliance design is preventive, not exculpatory by itself

Board oversight, segregation of duties, whistleblowing, training, transaction approvals and reliable records can reduce wrongdoing and provide evidence relevant to diligence/knowledge. A written policy does not automatically erase intentional fraud. Conversely, hindsight alone cannot substitute for evidence that a particular director had the required involvement or statutory responsibility.

08 · Chapter XV: compromises, arrangements and amalgamations

Why restructuring law exists

A financially healthy company may reorganise to combine businesses, separate divisions, simplify capital, alter shareholder rights or integrate operations. A distressed company may restructure debt to preserve enterprise value. Ordinary contracts struggle where thousands of stakeholders must consent individually and a small minority can block a beneficial transaction. A statutory scheme combines **collective decision-making, disclosure, class protection and Tribunal sanction** so an approved arrangement can bind the relevant class, including dissenters.

A scheme is not synonymous with insolvency. **Sections 230–232 can operate outside IBC.** Conversely, a scheme used in an IBC liquidation cannot ignore the insolvency framework merely because its procedural vehicle comes from the Companies Act. That is the central lesson of **Jagatramka**.

Terminology

Term	Meaning	Example
Compromise	Settlement/adjustment of rights or claims, commonly involving concessions	Creditors accept deferred instalments and a reduced interest rate
Arrangement	Wider reorganisation of rights, obligations or capital relations; need not presuppose a dispute	Different share classes reorganised under a scheme
Reconstruction	Reconstitution of business/capital with substantial continuity of the enterprise	Business moved into a reorganised corporate structure
Merger	Combining companies/businesses into an existing or resulting entity	A transfers its undertaking to B
Amalgamation	Combination producing corporate/undertaking integration, sometimes through a new entity	A and B combine in C under the scheme
Demerger	Transfer/division of an undertaking into another entity or entities	Manufacturing division separated from retail
Acquisition	Purchase of shares/assets/control	May occur without a section 232 merger
Dissolution without winding up	Transferor legally ends under the scheme order without conventional liquidation	A disappears after its assets/liabilities vest in B

Tax and accounting law may define merger/amalgamation/demerger for their own purposes. A company-law scheme label does not automatically establish tax neutrality or waive competition/foreign-exchange requirements.

Complete Chapter XV overview: sections 230–240

Section	Function	Depth required here
230	Power to compromise or arrange with creditors/members	Detailed statutory study
231	Tribunal enforcement, supervision and possible winding up	Detailed statutory study
232	Merger/amalgamation machinery	Detailed statutory study
233	Fast-track merger/amalgamation of specified companies/ classes	Conceptual contrast: special simplified route, not universal NCLT scheme
234	Merger/amalgamation with foreign companies	Cross-border company-law route, with prescribed jurisdictions and regulatory conditions
235	Acquisition of shares of dissenting shareholders	Statutory acquisition mechanism; not identical to scheme objections under 230
236	Purchase of minority shareholding	Separate minority-exit framework when statutory conditions are met
237	Amalgamation in public interest by Central Government	Exceptional statutory public-interest power
238	Registration of offer involving transfer of shares	Disclosure/registration machinery for the covered offer
239	Preservation of books/papers of amalgamated companies	Records do not vanish with structural change
240	Liability for offences before merger/amalgamation	Officers' pre-transaction offence liability continues

Section 240's importance: Corporate restructuring is not an amnesty. A transferor's dissolution through amalgamation does not itself wipe out liability of officers in default for offences committed before merger/amalgamation. Do not confuse this with the separate, conditional IBC section 32A regime.

Choosing the legal route

1. Identify the commercial objective and companies involved.
2. Determine whether the transaction is a contractual acquisition, a section 230/232 scheme, a qualifying section 233 fast-track transaction, or an insolvency resolution.
3. Identify stakeholders whose legal rights change and the correct classes.
4. Identify sectoral, competition, securities, foreign-exchange and tax consequences.
5. Apply the correct route's approval thresholds, disclosures and sanctions.

Example: Two healthy unlisted companies merging do not become subject to IBC solely because they use a Tribunal. Conversely, a promoter barred by section 29A cannot assume an IBC-liquidation scheme is just a solvent-company private bargain.

09 · Section 230: the scheme-making process, subsection by subsection

Section 230(1) — Applicants, subject and class meetings

Where a compromise/arrangement is proposed between a company and its **creditors or a class of them**, or its **members or a class of them**, the Tribunal may order a meeting in the prescribed manner. Applications may be made by the **company, creditor, member**, or, in the company's winding-up situation, the specified **liquidator, including one appointed under the IBC**.

The explanation includes reorganisation of share capital through consolidation or division into different classes. "Arrangement" is consequently broader than settlement of a disputed debt.

Class formation: People whose rights are sufficiently similar to consult together should ordinarily form a class. Identify legal rights, security, priority and the proposed alteration; labels such as "all creditors" cannot cure a meeting which combines materially conflicting legal interests. Equally, differences of commercial preference do not necessarily create a separate class. This is a principle of scheme fairness and representation, not a statutory instruction to create one class per creditor.

Section 230(2) — Disclosure by affidavit

The applicant must disclose **all material facts** relating to the company, including the latest financial position, latest auditor's report and pending investigations/proceedings; any reduction of share capital included in the scheme; and the particular information required for a corporate debt restructuring scheme.

For the specified **corporate debt restructuring** proposal consented to by **not less than 75% of secured creditors in value**, the additional matters include:

- creditor-responsibility statement in the prescribed form;
- safeguards for other secured and unsecured creditors;
- auditor's report on the relevant fund requirements/liquidity position against the commercial restructuring estimates;
- statement regarding proposed adoption of RBI's restructuring guidelines;
- valuation report of the relevant shares/property/assets, tangible/intangible, movable/immovable, by a **registered valuer**.

by Ankur R. Upadhyay

Do not merge thresholds: This 75%-secured-value condition is attached to the described restructuring disclosure framework. It is not the whole of section 230(6)'s meeting vote and not IBC's 66% CoC vote.

Section 230(3) — Individual notice and explanatory material

Notice must be sent individually to creditors, members and relevant debenture holders at their registered addresses, with the **scheme terms**, explanatory statement, valuation report if any, and effect on creditors, KMP, promoters, non-promoter members and debenture holders. Material interests of directors/debenture trustees must be explained. The notice/explanatory material is also placed on the website, if any; listed companies must follow the required SEBI/stock-exchange dissemination, and prescribed advertisement requirements apply.

The substance is **informed consent**. A bare invitation stating "approve restructuring" without explaining dilution, security changes or promoter interests defeats that purpose. Beneficial ownership/control conflicts should not be hidden behind a favourable aggregate valuation.

Section 230(4) — Voting and objection standing

The notice must state the voting avenues—**in person, proxy or postal ballot**—within the prescribed statutory framework. The subsection refers to voting within one month from receipt of notice; the Tribunal order and the applicable CAA Rules govern meeting administration.

The proviso allows an objection only by persons holding **at least 10% of shareholding**, or having outstanding debt amounting to **at least 5% of total outstanding debt** according to the latest audited financial statement.

Three cautions: These are objection-standing thresholds, not the vote required to approve a scheme. A creditor tests the debt limb, not a shareholding limb imposed by analogy. And restricted objection standing does not eliminate the Tribunal's own duty to test legality, disclosure and fairness.

Section 230(5) — Regulatory notice and the thirty-day window

The notice and relevant documents go to the **Central Government, income-tax authorities, RBI, SEBI, Registrar, stock exchanges, Official Liquidator, Competition Commission if necessary, and other sectoral regulators/authorities likely to be affected**, as applicable. They may make representations within **30 days of receipt**; otherwise they are presumed to have no representations on the proposal.

Presumed absence of a representation is not a universal waiver of an independent statutory approval requirement. For example, a transaction requiring competition approval cannot be defended solely by saying the regulator remained silent in the scheme-notice process.

Section 230(6) — Approval and binding force

The scheme must be agreed to by a **majority of persons representing three-fourths in value** of the relevant creditors/class or members/class **voting**, in person/proxy/postal ballot, and be sanctioned by the Tribunal. It then binds the company and relevant class; in winding up, it also binds the liquidator and contributories as specified.

Dual test: a majority in number **and** at least 75% in value of the relevant persons voting. Do not write merely "75% shareholders must approve" or calculate against the wrong class or an unspecified entire issued capital base.

Numerical example: Ten creditors of one proper class vote. Six support; their voting debt value is ₹70 lakh out of ₹1 crore voted. The headcount limb passes, the value limb fails. Seven supporters holding ₹80 lakh pass both limbs, subject to proper process and Tribunal sanction. A majority vote is necessary, not self-executing judicial approval.

Tribunal scrutiny: neither rubber stamp nor business manager

The Tribunal examines statutory compliance, adequate disclosure, class representation, bona fides, legality and fairness; it must not sanction an unlawful scheme merely because a majority wants it. At the same time, it ordinarily does not substitute its own preferred commercial bargain for an informed, fairly obtained class decision simply because another exchange ratio seems arguable.

Minority protection therefore includes correct classes, disclosure of interests, objection opportunity within the statutory framework, valuation evidence and independent sanction. "Majority rule" does not mean a dominant group may confiscate another class's legal rights without the Act's safeguards.

Section 230(7) — Matters the sanction order may address

The order may provide for:

- conversion of preference shares into equity, with the prescribed choice between dividend arrears in cash and equity corresponding to their value;
- protection of creditor classes;
- variation of shareholder rights in accordance with **section 48**;
- abatement of the stated proceedings before the erstwhile BIFR where the specified creditor condition is met—a legacy provision requiring historical context, not a claim that BIFR is the present insolvency forum;
- other matters including an exit offer to dissenting shareholders if necessary for effective implementation.

Mandatory accounting safeguard: A scheme cannot be sanctioned unless the company's auditor certifies that proposed accounting treatment conforms to standards prescribed under **section 133**. A commercial valuation and an accounting-standards certificate serve different purposes.

Section 230(8) — File the order

The Tribunal's order must be filed with the Registrar **within 30 days of receipt**. Distinguish receipt-triggered filing from the meeting date and the scheme's appointed date.

Section 230(9) — Waiver of creditor meeting

The Tribunal may dispense with calling a meeting of creditors/class where creditors having **at least 90% value** agree and confirm by **affidavit**. This is a specific **creditor-meeting dispensation**, not a general "90% is the scheme approval threshold" rule and not an automatic shareholder-meeting waiver under this subsection.

Sections 230(10)–(12) — Buy-back and takeover

Subsection (10): no compromise/arrangement in respect of a buy-back unless it complies with **section 68**.

Subsection (11): a scheme may include a takeover offer in the prescribed manner; listed-company takeover offers follow the **SEBI** framework.

Subsection (12): a party aggrieved by the relevant takeover offer of an **unlisted company** may apply to the Tribunal in the prescribed manner, which may make an appropriate order. Do not treat this as a replacement of SEBI's listed-company regime.

Final explanation: Section **66** does not apply to reduction of share capital effected pursuant to the Tribunal's order under section 230. This prevents duplicative reduction procedure; it is not exemption from scheme disclosure, creditor protection, accounting or other applicable laws.

Model file sequence

Application and affidavit → correct classes and meeting directions → scheme/explanatory notices and regulator service → voting/affidavit dispensation where lawful → voting-result and compliance evidence → sanction hearing → reasoned order and accounting compliance → ROC filing → implementation and monitoring. A missing stage is not cured merely by drawing a flowchart; each has a distinct protective function.

10 · Sections 231 and 232: enforcement and merger machinery

Section 231(1) — Supervision and modification

After sanction under section 230, the Tribunal may **supervise carrying out** the compromise/arrangement and, when making the order or later, issue directions or make **modifications necessary for proper implementation**.

This recognises that a scheme is a continuing legal programme, not a single vote. Operational obstacles may require directions. But supervision is not an unrestricted power to replace the essential bargain with a fundamentally different arrangement while bypassing required stakeholder protections.

Example: A sanctioned asset transfer needs clarified sequencing of documents and instalments. An implementation direction may be appropriate. Replacing agreed secured repayment with an entirely new unsecured haircut is not necessarily a mere administrative clarification.

Section 231(2) — When failure can lead to winding up

The Tribunal may order winding up where satisfied that:

1. the compromise/arrangement **cannot be implemented satisfactorily, with or without modifications**; **and**
2. the company is **unable to pay its debts as per the scheme**.

It may act **suo motu** or on the application of an interested person. The resulting order is deemed an order under **section 273**.

The conjunction matters. Do not write that any missed milestone automatically causes winding up, or that section 231 recreates a universal standalone Companies Act debt-recovery/winding-up ground after the IBC amendments. The provision concerns a failed sanctioned scheme and the stated debt inability.

Section 231(3) — Legacy schemes

The section also applies, so far as may be, to companies in respect of which compromise/arrangement orders were made before the 2013 Act's commencement. This preserves enforcement continuity; it does not mean every legacy scheme must be re-approved from scratch.

Section 232(1) — When merger provisions attach

Where an application under section 230 concerns a scheme for **reconstruction, merger or amalgamation**, involving transfer of all/part of an undertaking, property or liabilities to another company, or division and transfer to two or more companies, section 232 supplies the additional machinery. The Tribunal may order meetings, and **section 230(3)–(6)** apply **mutatis mutandis**.

Thus section 232 does not float independently of disclosure, regulator notice, class voting and sanction. It builds transfer/vesting consequences onto that framework.

Section 232(2) — Additional documents for the meeting

The merging companies or companies subject to division must circulate:

- **draft terms** drawn up and adopted by their directors;
- confirmation that the draft scheme was filed with the Registrar;
- a **directors' report** explaining effects on each class of shareholders, KMP, promoters and non-promoter shareholders, including the **share-exchange ratio** and any special valuation difficulties;
- the expert valuation report, if any;
- a **supplementary accounting statement** where the latest annual accounts end more than **six months before the first meeting** summoned to approve the scheme.

Valuation logic: A ratio determines participation in the resulting enterprise, not merely the nominal face value of shares. Relevant factors may include assets, earnings, business risks, cash flows and method suitability. The notes do not present one universally mandatory valuation formula. The legal requirement is the proper valuation/disclosure framework, including registered-valuer requirements where applicable.

Section 232(3) — What the Tribunal's order may provide

Consequence	Explanation
Transfer of undertaking/property/liabilities	Specified assets and obligations move to the transferee under the order
Share/security allotment	Members may receive transferee shares/debentures or other consideration as lawfully provided
No treasury self-holding through the scheme	Shares which would leave the transferee holding its own shares in the prohibited direct/trust/subsidiary/associate manner are cancelled/extinguished as required
Continuation of proceedings	Pending legal proceedings may continue by/against the transferee
Dissolution without winding up	Transferor can cease to exist without a separate conventional liquidation
Dissenters' provision	Order may address those dissenting within the Tribunal-directed process
Non-resident share allotment	Subject to the prescribed foreign-investment framework
Employee transfer	Transferor employees may move to the transferee
Listed transferor/unlisted transferee	Transferee may remain unlisted until listing; dissenting exit/value safeguards apply
Authorised-capital fees	Relevant set-off of fees paid by the transferor against transferee fees
Incidental/consequential matters	Needed to make the reconstruction effective within the statutory framework

For the **listed-to-unlisted** situation, do not state that every resulting company must list automatically. The section expressly contemplates the transferee remaining unlisted and protects shareholders opting out through the prescribed valuation/payment safeguards, including the applicable SEBI floor protection.

Accounting certificate: As under section 230, proposed accounting treatment must be certified by the auditor as conforming to **section 133** standards before sanction. A transfer clause cannot dispense with this safeguard.

Section 232(4) — Statutory vesting

Where the order provides for transfer, the property vests and liabilities become liabilities of the transferee by virtue of the order. If the order so directs, property may be freed from a charge which ceases under the scheme. "Property" includes rights and powers of every description; "liabilities" includes duties.

This machinery avoids an impractical need to recreate every corporate relationship individually, but is not a statement that stamp duty, registration, sectoral consents or every third-party legal restriction can always be ignored. Examine the relevant law and the order's scope.

Section 232(5) — Filing; subsection (6) — appointed date

Each company to which the order relates must file a certified copy with the Registrar **within 30 days of receipt**.

The scheme must clearly indicate an **appointed date**, and is deemed effective from that date, not a later date. In transactional practice distinguish the appointed date for scheme effect/accounting attribution from the effective-date conditions used to operationalise the scheme and the order/filing dates. Their relationship must follow the scheme, Act and applicable guidance; "all four dates are always identical" is incorrect.

Section 232(7) — Annual completion statement

Until completion, each company files an annual statement in the prescribed form/time, **certified by a practising CA, cost accountant or CS**, indicating whether the scheme is being complied with according to the Tribunal's orders. Sanction is therefore followed by an implementation-reporting obligation, not regulatory silence.

Section 232(8) — Present penalty

For non-compliance, the company and every officer in default face **₹20,000**, and continuing failure a further **₹1,000 for each day after the first**, subject to **₹3 lakh maximum**. Older imprisonment/fine formulations should not be reproduced as the current subsection.

A complete merger hypothetical

Aster Manufacturing Ltd. transfers its undertaking to **Beacon Industries Ltd.** Shareholders receive Beacon shares on the disclosed ratio. Employee transfer, creditor liabilities, pending suits, a listed/unlisted issue and a security charge must be addressed.

The answer should identify: section 230 application/classes/notices/vote; section 232 draft terms/directors' report/valuation/supplementary accounts; auditor's section 133 certificate; regulatory approvals; Tribunal scrutiny; vesting/share allotment/self-holding cancellation; employee and litigation continuity; dissenters' protection; dissolution without winding up; filing and annual compliance. A statement that "75% approved, so Aster automatically disappears" omits most of the law.

12 · IBC: concepts, evolution and economic importance

Insolvency, bankruptcy, liquidation and dissolution

Insolvency describes financial distress/inability to meet obligations in the legally relevant sense. A cash-flow problem and a balance-sheet deficit are conceptually different. **Default**, the corporate IBC entry concept, is non-payment of debt when due and payable; an applicant need not simply prove that liabilities exceed assets.

Bankruptcy commonly refers to a formal legal status/process, particularly for individuals under the Code's architecture. It should not be used carelessly as a synonym for every corporate CIRP. **Liquidation** realises assets and distributes value according to law. **Dissolution** terminates legal existence. A company can be insolvent without yet being dissolved, and a company can be dissolved through merger without conventional liquidation.

Why a collective law is necessary

Suppose ten lenders can each seize the assets essential to a factory. The first seizure may destroy the operating business and reduce everyone's eventual recovery. This is the **common-pool/creditor-race problem**. A collective moratorium preserves the pool while a coordinated process tests rescue and allocates loss.

Distress also creates information asymmetry: insiders know more about assets, receivables and related-party transactions than dispersed creditors. Professional management, information utilities, claims processes and a common information memorandum reduce that asymmetry. Timelines matter because machinery deteriorates, customers leave and employees depart while proceedings linger.

From fragmentation to an integrated framework

Before IBC, company winding up, industrial-sickness rehabilitation, debt-recovery tribunals and secured-creditor enforcement operated through multiple enactments and institutions. SICA/BIFR, company courts, debt-recovery law and SARFAESI served different functions, often producing delay, overlap and strategic litigation. IBC, enacted in **2016**, consolidated and amended insolvency laws around **time-bound resolution, value maximisation, entrepreneurship, availability of credit and balancing stakeholder interests**, including altered priority of Government dues.

The corporate framework became operational through staged commencement. Later amendments addressed promoter eligibility, homebuyers, creditor voting, withdrawal, treatment of approved plans, pandemic defaults and pre-packaged resolution for eligible MSMEs. **2026 is another amendment stage, not the year the Code first began.**

The shift in control

Ordinary corporate governance places business control with the Board. **Ordinary CIRP** displaces Board management powers to the **IRP/RP**, while the CoC exercises specified commercial decision-making. This is commonly described as **creditor-in-control**, but creditors do not become managers of every purchase order. The RP operates the company; the CoC supervises/approves specified decisions; the NCLT adjudicates; IBBI regulates the profession/framework.

Pre-packaged insolvency has a different debtor-in-possession-with-creditor-control design in its eligible setting. Do not impose the ordinary CIRP management-transfer description on every special process.

Importance and limitations

Contribution	Explanation	Limitation to acknowledge
Preserving going-concern value	A working enterprise may be worth more than dismantled assets	Not every business is viable
Credit discipline	Default can lead to loss of management control and collective resolution	Insolvency threats must not become abusive debt collection
Predictable priority	Investors price credit with clearer loss allocation	Statutory interpretation and factual disputes remain
Professional administration	Registered professionals coordinate claims, operations and plans	Capacity, independence and incentives matter
Time-bound decision-making	Delay destroys value; deadlines force choices	Litigation/institutional delays can frustrate the ideal
Fresh investment	An approved plan can restructure capital and control	Eligibility and implementation must be credible
Orderly exit	Non-viable enterprise assets can be redeployed	Liquidation may yield less than rescue and impose social costs

Evaluation: Success is not measured only by gross recovery percentage. Time, value compared with realistic alternatives, continuation of viable activity, compliance, cost, stakeholder treatment and deterrence also matter. Do not invent current recovery statistics without a dated dataset.

Scope and important entry exclusions

Part II principally governs corporate persons within the Code's scope. Ordinary financial service providers are excluded from the corporate-person definition, subject to the notified **section 227** special framework for relevant classes. Do not assume every bank or insurer enters the same ordinary company CIRP.

For ordinary Part II corporate defaults, the notified minimum is **₹1 crore** following the **24 March 2020** notification, replacing the earlier ₹1 lakh threshold. Special routes such as eligible MSME pre-packs have their own conditions/threshold framework; do not mechanically apply this general figure to them.

Section 10A bars initiation under sections 7, 9 and 10 for defaults arising in the protected pandemic period beginning **25 March 2020**, as extended to **24 March 2021**. The permanent bar concerns initiating CIRP **for those protected defaults**, not every default the company ever commits. A later unprotected default requires its own analysis.

13 · The institutional ecosystem and CIRP entry routes

Institutional Architecture: Distinct Statutory Roles

The IBC framework begins with the **IBC ecosystem**, not merely a list of sections. Its practical message is that process integrity depends on coordinated but distinct institutional functions.

Actor	Core role	What it is not
IBBI	Statutory regulator; regulations and oversight of regulated professional/ information architecture	Not the adjudicator admitting every corporate case
Insolvency professional agency	Professional enrolment, standards and monitoring within the framework	Not the company's commercial creditor committee
Insolvency professional (IP)	Registered professional eligible for statutory assignments	Not automatically a judge or permanent liquidator
Information utility (IU)	Receives/authenticates financial information and helps establish debt/ default	Not a substitute for every legal determination
IRP/RP	Administers the process and manages the debtor under the relevant provisions	Not a private agent solely of the initiating creditor
CoC	Collective commercial decision-making within the Code	Not an unrestricted sovereign body
NCLT	Corporate insolvency adjudicating authority	Not a forum for all disputes merely involving an insolvent company
NCLAT/Supreme Court	Statutory appellate roles	Not ordinary substitutes for CoC business preference

IP, IRP and RP: correct terminology

IP = insolvency professional, the regulated profession. **IRP = interim resolution professional**, the initial office. **RP = resolution professional**, the professional continuing/appointed to conduct CIRP. The same individual may serve as IRP and then RP if lawfully selected, but the terms identify different roles/stages.

The syllabus's broad phrase concerning "insolvency resolution professionals" should not lead to expanding the abbreviation IRP incorrectly. A liquidator is another statutory office. Under the **2026 section 34 change**, the CIRP RP is not to be appointed as that debtor's liquidator; older automatic-continuation descriptions must be dated.

NCLT and appellate architecture

Under **section 60**, the NCLT having territorial jurisdiction over the corporate person's registered office is the corporate adjudicating authority. The connected personal/corporate guarantor rules direct relevant matters to the appropriate NCLT in the circumstances specified. Section 60(5) grants broad insolvency-connected jurisdiction, not authority to rewrite every public-law licence decision. Topic 9's **Embassy** principle remains relevant: identify the precise issue, not merely the debtor's insolvency status.

For ordinary IBC appeals: **section 61 → NCLAT, 30 days, with up to 15 additional days for sufficient cause**; **section 62 → Supreme Court on a question of law, 45 days, with up to 15 additional days for sufficient cause**. Actual computation depends on the legal trigger/exclusions. Do not use the Companies Act's different 45/60-day appeal periods merely because both regimes use NCLT/NCLAT.

Debt classification precedes the application

A **financial debt** generally involves disbursal against consideration for the **time value of money** and the inclusive statutory categories. Substance matters; not every payment labelled "loan" necessarily satisfies the definition, and certain statutorily included transactions require their own analysis. Allottees in real-estate projects fall within the relevant deemed-financial-debt treatment.

An **operational debt** concerns goods/services, employment and the specified statutory dues. Classification affects initiation, CoC participation and minimum plan protection. Secured/unsecured is a separate dimension: a creditor is not automatically financial merely because security exists.

Section 7 — Financial-creditor initiation

A financial creditor may apply upon default, individually or jointly in the permitted manner, supplying evidence and proposed IRP details. The relevant allottees/creditor-class applications must meet the additional **100 or 10%, whichever is less**, requirement within the statutory class/project framework; it is not a requirement that every bank application must have 100 lenders.

The adjudicating authority examines default, completeness and disciplinary proceedings against the proposed professional. A general assertion that the business might become profitable is not itself the statutory default test. The **2026 substitution of section 7(5)** makes admission mandatory on the stated conditions and says no other rejection ground; see the precise update in Chapter 16. Historical discussions of admission discretion must not be treated as overriding that later text.

Sections 8 and 9 — Operational-creditor initiation

The operational creditor first delivers the statutory **demand notice or invoice demanding payment**. The corporate debtor has **ten days** to bring payment or the relevant existence of a dispute/pending proceeding to notice. If payment is not received and the statutory conditions permit, the creditor applies under section 9 with required documents.

A genuine **pre-existing dispute**, not a patently unsupported assertion invented after demand, matters at the admission stage. The NCLT is not to conduct a full civil trial of the disputed supply contract to make the insolvency route a substitute for ordinary debt adjudication. Conversely, a mere denial without a legally meaningful basis does not automatically defeat a proper application.

Example: A supplier demanded payment for machinery. Emails months before demand record serious performance complaints and a documented contractual dispute. That differs from a debtor first inventing "poor quality" after receiving the insolvency notice.

Section 10 — Corporate applicant

The corporate applicant may seek initiation upon default, with required books/information, proposed professional and corporate authorisation, including the **special resolution of shareholders or resolution by at least three-fourths of total partners**, as applicable. Management cannot lawfully use insolvency simply to defraud creditors or conceal assets. Statutory ineligibility, section 10A and other applicable conditions still apply.

Limitation and fraudulent initiation

Section 238A applies the Limitation Act as far as may be. The analysis often begins with the limitation period for an application and date of default, but acknowledgements, exclusions and legally relevant facts require separate examination. "A debt exists forever, therefore CIRP can always be filed" is wrong.

Section 65 addresses fraudulent/malicious initiation for a purpose other than resolution/liquidation. A statutory insolvency remedy cannot be weaponised by collusion. Allegation is not proof: identify supporting facts and the statutory consequence rather than casually labelling every disputed filing fraud.

Admission is the decisive transition

A demand notice or filing alone does **not** automatically impose the ordinary section 14 moratorium. Admission triggers the statutory commencement package: moratorium, public announcement and IRP appointment under the relevant provisions. Distinguish **filing date**, **admission/insolvency commencement date** and later CoC/plan dates.

14 · IRP/RP and Committee of Creditors: administration versus commercial control

IRP's initial responsibilities

Under sections **16–20**, read with current amendments and regulations, the IRP takes the initial statutory office, publicises commencement, receives/collates claims, collects information on assets/finances/operations, takes control/custody of qualifying assets, constitutes the CoC and endeavours to keep the debtor a going concern.

Section **17** suspends Board powers and vests them in the IRP. Officers/managers report and cooperate; banks act on the relevant instructions. This is a transfer of management **powers**, not immediate dissolution of the company and not a transfer of every shareholder's property to the IRP personally.

Asset boundary: Assets owned by third parties and held under trust/contractual arrangements require careful classification under the Code's exclusions. The professional cannot treat every item physically inside the factory as beneficially owned by the debtor.

Claims and cooperation after 2026

The amended **section 18** expressly clarifies that in collating claims the IRP must **verify**, and if required determine the value of verified claims. This does not turn the RP into a court with unlimited adjudicatory jurisdiction.

Amended **section 19** broadens/clarifies cooperation by present/former personnel, promoters, persons associated with management and persons engaged under a contract for service. The explanation extends the relevant IRP references to the RP. Failure to cooperate can be taken to the adjudicating authority through the statutory mechanism; obstruction is not cured by saying the old Board has been suspended.

Constitution of CoC — section 21

Ordinarily the CoC comprises **financial creditors**. Voting share is based on the relevant financial debt, not headcount. A related-party financial creditor is generally excluded from representation/participation/voting, subject to the statutory exception for the specified regulated creditor whose related-party status arises solely from the identified conversion/substitution circumstances. This guards against insider control over the creditor vote.

Creditors in a class participate through the **authorised representative** framework. The rules for instructions and class votes matter; the representative is not free to substitute a private preference for the prescribed class mechanism. Where the company has no eligible financial-creditor committee, the specified regulatory alternative composition applies. "CoC always consists exclusively of banks" is therefore inaccurate in several ways.

Operational creditors: attendance versus voting

Operational creditors are not ordinarily voting CoC members. Under **section 24**, representatives of operational creditors whose aggregate dues meet the **10% debt threshold** receive the relevant meeting participation entitlement, without voting. Suspended directors/partners also have the statutory notice/attendance position without thereby regaining management or a CoC vote. Confidentiality and information-access questions must follow the governing law; attendance alone does not make a person a decision-making creditor.

Choosing the RP — section 22

The first CoC meeting is held within **seven days of constitution**. With the prescribed **66% voting share**, creditors may continue the IRP as RP or resolve to replace the professional through the adjudicating-authority/IBBI mechanism. Replacement is an institutional decision subject to eligibility/consent, not a creditor's unilateral dismissal by email.

RP's continuing duties — sections 23 and 25

The RP conducts CIRP, manages operations, preserves/protects assets, represents the debtor, maintains claims information, convenes CoC meetings, prepares the information memorandum, invites eligible resolution applicants and places compliant plans before the CoC. Avoidance/fraudulent-trading issues must be examined and brought through the proper statutory process.

Professional independence: The RP owes duties to the process, not only the lender who proposed the name. Confidentiality, conflict management, accurate records and professional competence are essential. The RP may obtain professional assistance but cannot outsource personal statutory responsibility without limit.

Section 28 — Decisions requiring prior CoC approval

Specified significant actions require prior approval, ordinarily by **66% voting share**: relevant interim-finance/security decisions, capital/ownership alterations, related-party transactions, specified account debits, delegation, constitutional changes and management/auditor changes within the section's list. The exact proposal must be matched to the clause and approved limits. Routine operations are not all subject to a fresh supermajority, but major statutory reserved matters cannot be disguised as routine.

Voting thresholds: keep the denominators separate

Decision	Standard threshold	Caveat
Ordinary CoC decision	At least **51% voting share**, unless another provision requires otherwise	Not 51% of people attending
Continue/replace IRP as RP; replace RP	**66%**	Apply the appointment/replacement procedure
Section 28 reserved actions	**66%**	Prior approval is material
Approve resolution plan	**66%**	Statutory compliance and NCLT approval also required
Resolve liquidation under section 33	**66%**	Current dissolution/restoration amendments have additional conditions
Withdrawal under section 12A	**90%**	Current timing window is restrictive; see Chapter 16
Replace liquidator under new 34A	**66%**	Consent, application and eligibility conditions

Example: A, B and C hold 50%, 30% and 20%. B and C together are two of three creditors but only **50% voting share**; they fail even the ordinary 51% threshold. A and C together hold 70% and can meet a 66% threshold, but cannot alone meet 90% withdrawal approval.

Commercial wisdom and its limits

The CoC assesses feasibility, viability, distribution and commercial terms within statutory boundaries. The RP does not choose the winning bidder by personal preference; the NCLT does not run an open-ended business auction merely because another plan might pay more. Yet neither "commercial wisdom" nor a high voting percentage validates an ineligible applicant, non-compliance with mandatory payment protection, fraud or an unlawful plan.

2026 addition: The amended section 30(4) requires the CoC to **record reasons for plan approval**. Amended section 21(11) extends CoC supervision into liquidation under its transitional rules. These changes strengthen continuing accountability rather than converting creditors into the liquidator.

15 · CIRP and moratorium: the operational sequence

Statutory timeline: basic framework, not a guarantee of actual duration

Ordinary CIRP has a **180-day** period from admission. A **one-time extension up to 90 days** may be granted on the prescribed CoC vote and statutory grounds. Section 12's framework includes the **330-day outer-period formulation**, including extension and time taken in legal proceedings, subject to the exceptional judicially recognised treatment of the mandatory limit. Avoid describing 330 days as an automatic extra period available on demand or as incapable of any legally recognised exception.

The **2026 section 33 restoration mechanism** adds a separate conditional opportunity before liquidation, explained in the next chapter. Do not simply add every maximum in the statute as an entitlement to delay.

Section 14(1): four principal prohibitions

From the moratorium order:

1. **Institution or continuation of suits/proceedings against the corporate debtor**, including execution of judgments, decrees or orders in the specified forums, is prohibited within the provision's scope.
2. The debtor cannot **transfer, encumber, alienate or dispose of its assets or legal/beneficial interests** as prohibited by the section.
3. Actions to **foreclose, recover or enforce security interests**, including SARFAESI action, are stayed within the statutory scope.
4. An owner/lessor cannot recover property **occupied by or in possession of the corporate debtor** in the prohibited manner.

The aim is a **calm period**: preserve assets and operations while the collective process decides the company's future. It is not an adjudication that every creditor's claim is invalid.

Essential and critical supplies

Specified **essential goods/services** are protected from termination, suspension or interruption during moratorium under section 14(2). The **critical supply** protection under section 14(2A) concerns supplies the IRP/RP considers critical to preserving/protecting value and managing the going concern, subject to the statutory current-dues/default and specified exceptions.

A supplier's pre-CIRP arrears and payment for post-commencement supply are distinct. Moratorium is not a licence to consume everything indefinitely without paying current lawful charges. Analyse the category of supply and applicable condition instead of announcing that "all contracts must continue unchanged."

Licences and Government grants

The section 14 explanation protects the relevant licence, permit, registration, quota, concession, clearance or similar grant/right from suspension/termination **on the ground of insolvency**, subject to payment of current dues for use/continuation during moratorium. It does not compel renewal regardless of every other substantive regulatory breach. The **2026 section 31(5)** provision adds post-plan protection on its own conditions; do not collapse the two stages.

Important boundaries

- The moratorium generally concerns the **corporate debtor**, not an automatic shield for its directors or a **surety in a contract of guarantee**; section 14(3) expressly matters.
- It begins on admission/order, not mere demand or filing.
- Claims are not extinguished merely because enforcement is stayed; creditors must use the insolvency process.
- Proceedings **by** the debtor and proceedings **against** it are not automatically identical; examine the relief and provision.
- Criminal/penal proceedings require analysis of their real nature and the governing law; do not say every criminal matter is stayed or every proceeding bearing a criminal label is necessarily outside section 14.
- Third-party ownership, trust property, statutory exceptions and notified transactions require individual analysis.
- Insolvency status does not give NCLT unlimited jurisdiction over every external regulatory decision.

When the CIRP moratorium ends

The section 14 moratorium continues until completion of CIRP, and ceases on the relevant **plan-approval or liquidation order** under subsection (4). Under the **2026 liquidation amendments**, a liquidation-stage moratorium is separately provided on the specified terms. It is misleading to say that the original CIRP moratorium simply continues forever into liquidation unchanged.

Moratorium hypothetical

Facts: Sunrise Components enters CIRP on 1 July. A secured bank schedules asset enforcement on 5 July. A landlord seeks possession of occupied premises. The managing director faces an independent personal fraud allegation. An essential utility demands payment for current July supply.

Analysis: The bank's security enforcement and recovery of occupied property engage section 14's prohibitions. The director cannot assume a personal moratorium merely from the company's admission. Current supply obligations must be examined under the essential/critical-supply rules, not treated as automatically forgiven. Claims predating CIRP go into the process; the moratorium is not a finding that the bank or landlord never had rights.

From information to plan

The RP prepares an **information memorandum** under section 29 and invites eligible applicants under the regulatory procedure. Confidentiality undertakings protect commercially sensitive data. Applicants develop plans for funding, restructuring, business operation and stakeholder treatment. Plans may change ownership, debt, capital or business structure; they are not limited to immediate cash repayment of all claims.

Under section **29A**, eligibility is screened against specified disqualifications—undischarged insolvency, wilful-defaulter status, the relevant NPA category and cure, convictions, director disqualification, SEBI prohibition, implicated transactions/guarantees and connected-person categories, subject to their precise conditions and exceptions. It is unsafe to replace the section with "all promoters are barred." Section **240A** provides the relevant MSME relaxation for specified clauses, not wholesale suspension of eligibility law.

Plan scrutiny, vote and approval

The RP examines the plan against **section 30(2)**: insolvency-process costs, statutory creditor-payment protections, management, implementation/supervision, compliance with law and other prescribed requirements. The CoC assesses feasibility/viability and approves with **66% voting share**. The plan is then submitted for **section 31** approval. NCLT approval makes it binding on the statutory stakeholder classes, including the relevant Government/local-authority dues, guarantors and others within the provision.

A resolution plan is not approved merely because the highest bidder offered the most money. Compliance, ability to implement and the lawfully exercised commercial judgment matter. A "haircut" is a reduction compared with claimed/admitted debt under the relevant comparison; it is not proof by itself of fraud or proof that the process succeeded.

Section 32A: conditional separation from earlier wrongdoing

Where statutory conditions concerning plan approval, change of control and the new controller's independence from specified wrongdoing are met, section 32A provides the stated protection for the corporate debtor and property against prior-offence consequences. **Former responsible individuals remain liable**, and cooperation with investigating authorities remains important. Do not use "clean slate" to claim that every promoter, guarantor or accused person receives a personal amnesty.

16 · Resolution, liquidation and verified 2026 changes

Liquidation and Avoidance Transactions under the IBC

The statutory framework treats liquidation as an organised process of realisation, claims and distribution, not the physical demolition of every asset. A business/asset sale can preserve productive value even when the corporate shell ultimately dissolves. But the **statutory framework original liquidation procedure is historical** where replaced by the 2026 amendments.

Module 6 discusses **avoidance transactions and offences**. Distressed management may prefer insiders, transfer assets cheaply, obtain extortionate credit or carry on business fraudulently/wrongfully. The law can reverse or compensate for specified transactions, restore value and impose relevant responsibility. Avoidance is not identical to criminal conviction: each cause of action has its own conditions, look-back period, defences and remedy.

Avoidance concepts at introduction level

Category	Core concern	Common mistake
Preference	Specified creditor/surety/guarantor placed in a better position through the challenged transaction	Assuming every ordinary-course payment is automatically avoidable
Undervalued transaction	Gift or transfer for significantly inadequate consideration in the statutory setting	Treating all disappointing sale prices as fraud without valuation/context
Transaction defrauding creditors	Deliberate removal/prejudice to creditors in the relevant conditions	Ignoring the intent element where required
Extortionate credit	Exorbitant/unconscionable credit terms within the provision	Assuming every high interest rate satisfies the test
Fraudulent/wrongful trading	Specified culpable conduct in carrying on business and failure of required care	Equating honest commercial failure with intentional fraud

The 2026 substituted **section 26** expressly addresses continuation of relevant transaction/trading proceedings without holding the core process hostage. Actual applications must use the current sections/regulations; the syllabus asks for conceptual understanding rather than a complete avoidance-litigation manual.

Liquidation and the waterfall

Liquidation can follow failure to obtain an approved plan, the CoC's qualifying decision, or the statutory consequences of plan contravention. The liquidator forms/administers the liquidation estate, realises assets and distributes under **section 53**, subject to secured-creditor choices under **section 52** and the current moratorium/approval framework.

The broad waterfall remains a crucial concept: **process/liquidation costs first; then the specified workmen's dues and relinquishing secured creditors; then employee dues; unsecured financial debt; the specified Government dues and residual secured shortfall; remaining debts; preference shareholders; equity shareholders/partners**. Statutory look-back periods and equal-ranking rules matter. The **2026 text further addresses priority and contractual arrangements**, so an actual distribution must be calculated against the amended section rather than a mnemonic alone.

Section 52 choice: A secured creditor may relinquish security and enter the relevant waterfall tier or realise security in accordance with the statutory framework. It cannot simultaneously recover the full claim twice. Costs, workmen-related contributions and shortfall treatment require the applicable legal calculation.

The 2026 amendment: commencement is not assent

The **Insolvency and Bankruptcy Code (Amendment) Act, 2026, Act 6 of 2026**, received assent on **6 April 2026**. **S.O. 2625(E), dated 22 May 2026**, appointed **26 May 2026** for specified provisions. It did not commence every part of the Act simply because assent had occurred.

The updates below concern **commenced amending provisions** relevant to this module. They are a selected study update, not a claim to reproduce every new process, regulation or transitional direction. Official amendment Act · Commencement notification reproduction.

Update A — Admission under substituted section 7(5)

The adjudicating authority must, within **14 days of receipt**, admit where default has occurred, the application is complete and no disciplinary proceeding is pending against the proposed RP; otherwise it rejects on the statutory basis, with a **seven-day defect-cure opportunity** before rejection for incompleteness. Delay requires written reasons. It **shall not reject on any other ground**. The specified financial-institution default record with an IU is sufficient for ascertainment under the amended formulation.

Exam effect: Do not rely on an older open-ended admission-discretion summary without mentioning the substituted mandatory text. Evidence, completeness, limitation and applicable statutory bars still need proper analysis; "mandatory" is not "admit every unsupported demand."

Update B — Substituted section 12A: narrower withdrawal window

An application for withdrawal is made by the **RP**, with **90% CoC voting approval**. It is **not permitted before constitution of the CoC or after the first invitation for submission of a resolution plan**. The adjudicating authority should decide within **30 days**, recording reasons for delay.

This is materially different from earlier case law discussions of pre-CoC withdrawal and flexibility after invitation. It does not mean parties are prohibited from settling an ordinary dispute before any CIRP is admitted; it governs withdrawal of the admitted process under the substituted provision. **Jagatramka's 2021 discussion must be dated accordingly.**

Update C — Continuing CoC supervision in liquidation

New **section 21(11)** provides that the CoC constituted under section 21 also supervises liquidation, with sections 21/24 applying as context requires. Specified other creditor classes may attend without voting. The explanatory transition covers newly initiated liquidation and **ongoing liquidation where no section 54 dissolution application has been made**, with the committee continuing for the remaining process.

Amended **section 35(2)** expressly assigns CoC supervision. The committee is not merely an optional historical stakeholder consultation committee under older regulations. Operational execution remains with the liquidator.

Update D — Different liquidator and replacement

Under amended **section 34**, the NCLT seeks IBBI's recommendation and appoints an eligible IP. The CIRP **RP cannot be appointed/replaced as the liquidator of that debtor**. IBBI proposes an eligible different professional with consent within the stated **ten-day reference period**. The RP must hand over records.

New **section 34A** allows CoC replacement of the liquidator by **66% voting share**, with written consent of the proposed replacement, an application to the NCLT and the no-pending-disciplinary-proceeding condition. An older sentence that "the RP automatically becomes liquidator unless replaced" is no longer a safe current statement.

Update E — Plan protection and approval mechanics

The amended **section 30(2)(ba)** protects financial creditors not voting in favour by a minimum based on the **lower** of the specified liquidation-waterfall amount and the amount obtained by distributing the plan value under section 53 priority. **Do not apply this lower-of formula to operational creditors**, whose separate section 30(2)(b) protection remains a distinct test. The amendment includes express **transitional exclusions** where the specified plan/liquidation milestones had already occurred on/before commencement.

Section 30 also provides for an **implementation/supervision committee** consisting of the relevant professional, creditor representatives and resolution applicant under specified conditions, and requires CoC reasons for approval.

Amended **section 31** introduces the stated **30-day decision period**, written reasons for delay, an opportunity to notify the CoC to rectify defects before rejection, and a conditional mechanism to approve implementation first and distribution thereafter within the prescribed thirty-day framework on the requisite **66% CoC-backed RP application**. It also moves the specified CCI-approval timing to before submission of the plan to the adjudicating authority.

Update F — Grants, extinguishment and persons not released

New **section 31(5)** protects the specified public/regulatory grants/rights during their remaining subsistence after plan approval, subject to compliance with obligations for that remaining period.

New **section 31(6)** expressly addresses extinguishment of prior claims against the corporate debtor/assets unless otherwise provided in the plan, and bars proceedings based on those claims including assessment. Its explanations preserve claims/proceedings against **promoters/management/control**

persons, guarantors and persons with joint or joint-and-several liability, and address extinguishment of a paying co-obligor's indemnity against the debtor. The stated retrospective deeming is subject to matters attaining finality.

Crucial distinction: A debtor's approved-plan protection is not automatic release of the personal guarantor. Nor does this monetary-claim rule substitute for every criminal-liability condition in section 32A.

Update G — Restoration before liquidation and new liquidation moratorium

Amended **section 33** permits the adjudicating authority, before ordering liquidation on the specified grounds, to consider a **66%-CoC application** to restore CIRP, with a period **not exceeding 120 days** and the stated stage/conditions. Restoration under that mechanism is available **only once**. The transition covers eligible existing CIRPs where liquidation has not yet been ordered, not every already-liquidated debtor.

The liquidation order now declares the specified moratorium applying **section 14(1)(a) and (c), read with section 14(3), mutatis mutandis**, **subject to section 52** and the notification exception. The old section 33(5) is omitted; substituted subsection (6) requires leave for the liquidator to commence/continue the relevant suits/proceedings **on behalf of** the debtor. These are not identical to saying all four CIRP prohibitions simply survive unchanged.

Update H — Claims and the 180-day liquidation period

Amended section 35 maintains an **updated claims list**; sections **38–42** are omitted in the new framework, with express preservation for liquidation/voluntary liquidation initiated **on or before commencement** as specified. Do not apply the omission retroactively to erase every pending legacy claims process.

Substituted **section 54(1)** requires completion of liquidation and a dissolution application within **180 days from liquidation commencement**, extendable by the adjudicating authority for sufficient reasons by **not more than 90 days**. Provisions address continuing avoidance/proceeds litigation and appropriate distribution arrangements without needlessly holding dissolution hostage. This is a separate liquidation clock from the 180–day CIRP clock.

17 · ESG: meaning, materiality and sustainability in business

ESG is a framework, not one statute or one score

ESG means **Environmental, Social and Governance** factors used to evaluate and manage an enterprise's conduct, impacts, risks and opportunities. It appears in board strategy, investor analysis, lender decisions, supply-chain requirements, reporting and regulation. Different users may define materiality and weight factors differently; there is no single universal ESG score which conclusively proves legal compliance or sustainability.

Sustainability concerns maintaining the ecological and social conditions for present and future well-being while conducting economically viable activity. ESG can operationalise parts of that ambition through governance, metrics and accountability. But a favourable rating does not necessarily show that a company's absolute environmental footprint has fallen or that all affected people are protected.

Environmental pillar

Environmental matters include climate emissions, energy use and transition, water withdrawal/consumption/discharge, waste and circularity, pollution, biodiversity, land use and resource efficiency.

- **Physical climate risks:** heat, floods, drought and extreme weather can damage facilities, disrupt workers and suppliers and reduce productivity.
- **Transition risks:** policy, technology, litigation and consumer shifts associated with decarbonisation can change costs and strand assets.
- **Opportunities:** cleaner processes, efficiency, resilient products and reduced resource dependence can create value.

Emissions vocabulary: Scope 1 concerns direct emissions from owned/controlled sources; Scope 2 purchased-energy indirect emissions; Scope 3 other indirect value-chain emissions. Boundaries, methods and assurance matter. Reporting only factory electricity while ignoring a material supply-chain footprint can produce an incomplete picture.

Intensity versus absolute performance: Emissions per unit of product can fall while total emissions rise because output expands. Both indicators may be relevant; one should not be used to conceal the other.

Social pillar

Social factors include working conditions, wages, occupational health/safety, diversity and equal opportunity, human rights, child/forced labour, supply-chain labour practices, customer health/privacy, community impacts and access/inclusion.

A company may have excellent employee policies but procure from suppliers with serious labour abuses. The value-chain perspective asks how procurement incentives, contracts, monitoring and remediation affect those outcomes. A charitable school cannot offset forced labour in production as a legal or ethical defence.

Just transition: Environmental changes can impose costs on workers and communities dependent on older industries. Sustainable strategy should consider retraining, consultation, alternative livelihoods and distribution of burdens rather than treating affected people as an afterthought.

Governance pillar

Governance concerns board competence/independence, accountability, conflicts, remuneration, risk controls, audit, anti-corruption, shareholder rights, responsible tax conduct, whistleblowing and the reliability of disclosure.

It is the **decision-making infrastructure** of E and S. A carbon target without Board ownership, budget and verification may be little more than advertising. A governance structure that suppresses complaints or rewards only short-term output can undermine otherwise impressive policies.

Three useful materiality perspectives

Perspective	Main question	Example
Financial materiality	How does an ESG issue affect enterprise value/risk/return?	Water scarcity increases manufacturing costs
Impact materiality	How does the enterprise affect people and environment?	The plant depletes water available to nearby communities
Double materiality	Consider both directions, recognising connections	Community water harm triggers regulation, conflict and operating risk

These are conceptual tools; the exact reporting obligation depends on the applicable standard/jurisdiction. Do not assert that every Indian disclosure rule automatically adopts every feature of an overseas double-materiality regime.

How ESG is applied in modern business

1. **Governance:** identify Board/committee and executive responsibility.
2. **Stakeholder mapping:** identify affected workers, communities, customers, suppliers, investors and regulators.
3. **Risk/impact assessment:** determine material issues across operations and value chain.
4. **Baseline:** establish reliable data boundaries and measurement methods.
5. **Strategy and capital allocation:** fund operational improvements rather than merely publish intentions.
6. **Targets:** use time-bound, measurable, credible milestones with both leading and outcome indicators.
7. **Due diligence and controls:** identify, prevent/mitigate, monitor and account for adverse impacts; provide appropriate remediation.
8. **Incentives:** align remuneration and procurement with sustainable conduct while controlling gaming.
9. **Reporting and external assessment:** explain methods, limitations, progress and setbacks.
10. **Review:** revise strategy in light of evidence, stakeholder input and changing law.

A textile-company example across all three pillars

Environmental: meter water, reduce hazardous discharge, verify wastewater performance and assess absolute/production-adjusted emissions.

Social: ensure safe conditions, lawful wages, credible grievance channels, freedom from forced labour and realistic delivery schedules for suppliers.

Governance: assign responsibility, verify data, link incentives carefully and investigate complaints independently.

CSR connection: A separate community education project may count under section 135 if eligible. Pollution-law compliance and required worker protections do not become CSR merely because they support ESG. **IBC connection:** if the company later enters CIRP, environmental obligations, permit continuity and business viability must be analysed under their actual laws; a rescue plan cannot casually assume regulatory risk disappears.

Greenwashing and measurement weaknesses

Greenwashing includes vague "eco-friendly" assertions without evidence, selective presentation, hiding poor absolute performance behind intensity gains, presenting legal compliance as exceptional philanthropy, overstating offsets, or treating a narrow assurance opinion as validation of every sustainability claim.

Ratings can diverge because providers select different indicators, boundaries, weights and treatment of controversies. Aggregation may allow strong governance scores to compensate numerically for serious environmental harm. The correct response is not to reject all measurement, but to examine methodology, comparability, evidence, conflicts and real-world results.

19 · Indian ESG application: company duties, BRSR and CSR distinctions

Existing company-law connection: section 166(2)

A director must act in good faith to promote the company's objects for members as a whole and in the best interests of the company, its employees, shareholders and community, and for environmental protection under section 166(2)'s formulation. This gives Indian company law an express stakeholder/environmental reference. It does not automatically create the precise stakeholder-committee/due-diligence regime proposed by MacNeil-Esser or grant every stakeholder the same enforcement route.

Board risk management, audit, related-party controls and truthful reporting also support ESG governance. Companies Act duties, securities disclosures, environmental licences, labour protections and consumer/data laws remain distinct but connected obligations.

BRSR: reporting architecture

SEBI's **Business Responsibility and Sustainability Reporting (BRSR)** replaced the earlier BRR framework, becoming mandatory for the **top 1,000 listed entities by market capitalisation from FY 2022–23** under the applicable listing framework, with the earlier voluntary transition. This is not a statement that every Indian company must file BRSR solely because it satisfies the CSR threshold.

BRSR contains:

- **Section A:** general disclosures about the entity, products/operations, employees and related profile information;
- **Section B:** management and process disclosures—policies, governance and implementation;
- **Section C:** principle-wise performance disclosures aligned with the nine **National Guidelines on Responsible Business Conduct** principles, using essential and leadership indicators.

The nine principles cover ethical/transparency/accountability conduct; safe/sustainable goods/services; employee and value-chain worker well-being; stakeholder interests; human rights; environment; responsible public-policy engagement; inclusive growth/equitable development; and responsible consumer engagement.

BRSR Core: focused assessment/assurance

BRSR Core is a specified subset of key indicators within the wider BRSR framework, not a substitute for all reporting. It covers key areas such as emissions, water, energy, circularity, employee well-being, gender diversity, inclusive development, fairness with customers/suppliers and openness of business under the prescribed indicator structure.

The **28 March 2025 SEBI circular, SEBI/HO/CFD/CFD-PoD-1/P/CIR/2025/42**, permits **assessment or assurance** for the relevant Core framework and retains the phased entity coverage:

Financial year	Listed-entity coverage for BRSR Core assessment/assurance
2023–24	Top 150
2024–25	Top 250
2025–26	Top 500
2026–27	Top 1,000

The provider must have necessary expertise and independence, subject to conflict restrictions. "Assessment or assurance" does not mean self-certification of unsupported claims is always sufficient; use the applicable framework and scope.

Corrected value-chain position: voluntary, not the old compulsory glide path

Under the same **2025 circular**, **top 250 listed entities** may make **value-chain ESG disclosures voluntarily from FY 2025–26**. Assessment/assurance of those value-chain disclosures is **voluntary from FY 2026–27**.

The value-chain identification framework considers upstream/downstream partners individually accounting for **2% or more** of purchases/sales by value, with the option to limit coverage to **75%** of the respective purchases/sales and disclose coverage. First-year comparative reporting is voluntary under the circular's stated approach.

Do not reproduce the superseded mandatory value-chain schedule from an older summary. Also distinguish the voluntary value-chain disclosure from the entity's own mandatory BRSR and applicable Core coverage; optionality in one layer is not blanket optionality in all layers.

Voluntary green-credit disclosure

The 2025 circular introduces **voluntary green-credit disclosures** under Principle 6 leadership indicators from FY 2024–25, addressing the entity and the top-ten value-chain-partner context in the stated formulation. A green credit is not automatically a carbon offset, an ESG rating, or eligible CSR expenditure. Its legal nature and any CSR treatment require separate analysis.

Read the 28 March 2025 SEBI circular, exchange-hosted copy.

Comparison: CSR, ESG, BRSR and sustainability

Feature	Statutory CSR	ESG	BRSR	Sustainability
Nature	Spending/governance legal framework	Analytical and governance lens with multiple legal connections	Specified securities reporting framework	Wider long-term ecological/social/economic objective
Primary question	Is the company deploying required funds lawfully?	How are impacts, risks and governance managed?	What must this covered listed entity disclose?	Can activity support present/future well-being?
Coverage	Section 135 financial triggers	Broad business/investment application	Applicable listed-entity thresholds	Not confined to one legal entity category
Metric	2% obligation plus lawful activity/use/transfers	Diverse impact/risk/performance measures	Prescribed indicators and explanations	Real-world outcomes over time

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Feature	Statutory CSR	ESG	BRSR	Sustainability
Committee	CSR Committee or applicable Board substitute	Governance depends on law/ design	Reporting responsibility under listing/governance framework	No universal single statutory committee
Main trap	"Any donation counts"	"A high score proves no harm"	"Disclosure equals performance"	"Good intentions prove sustainability"

Integrated hypothetical: the impressive report and the polluted river

Facts: A listed manufacturer exceeds its CSR obligation through an eligible health programme. Its BRSR reports improved water intensity, yet total polluted discharge rises, supplier workers complain of unsafe conditions, and executive bonuses depend only on output growth.

Analysis: CSR compliance must be assessed independently on activity, utilisation and transfer/reporting rules. It does not answer environmental-law breach or supplier labour risk. Water intensity should be read with absolute discharge and quality. Governance incentives may be inconsistent with the sustainability claim. BRSR accuracy and applicable assessment/assurance must be tested. MacNeil–Esser would ask for Board-led operational changes, stakeholder input and due diligence, not merely more polished disclosure.

Conclusion: The four topic parts converge on **substance over labels**: responsibility requires lawful action; a scheme cannot circumvent insolvency eligibility; corporate criminal attribution requires proof; ESG requires credible operational governance.

Prescribed & Landmark Case Law Dossiers — Detailed Analysis

CASES #63 – #67

CASE #63 — CORPORATE CRIMINAL LIABILITY AUTHORITY

Standard Chartered Bank v. Directorate of Enforcement (2005)

Supreme Court of India · Corporate Criminal Liability

Identity: Supreme Court Constitution Bench, **5 May 2005**, reported **(2005) 4 SCC 530**. This is not the UK Pakistan National Shipping deceit case.

Material facts and procedural setting: The connected litigation concerned prosecution of corporate bodies, including the bank, under economic-offence statutes. The central example was **section 56 of FERA, 1973**, whose serious-offence branch prescribed imprisonment **and fine**. The corporate appellants argued that a company could not be prosecuted where a mandatory prison sentence could not physically be served. The earlier majority in **Velliappa Textiles** had accepted that obstacle in the tax-offence context; doubt about that ruling led to the Constitution Bench reference.

Issue: Does impossibility of imprisoning a company bar prosecution where the statute prescribes mandatory imprisonment together with fine?

Argument against prosecution: Strict construction of penal law requires the court to impose the sentence Parliament prescribed. If imprisonment and fine are mandatory, imposing only fine would rewrite the statute. Parliament knew companies cannot be imprisoned; the court should not fill a legislative gap by changing the punishment. Some counsel relied on the earlier Velliappa majority and unimplemented Law Commission recommendations.

Argument supporting prosecution: Corporate persons are covered by the statutory prohibition; the inability to execute one form of punishment cannot create immunity for serious economic crimes. The court should impose the legally executable fine on the company. Otherwise the absurd result would be prosecution for a minor offence punishable with fine but immunity for a graver offence whose punishment adds compulsory imprisonment. The judgment records that **Ram Jethmalani, appearing for an appellant in a connected matter, supported prosecutability**, so the arguments cannot accurately be divided into "all appellants versus all respondents." The Additional Solicitor General opposed the immunity argument.

Decision and reasoning: By majority, the Court rejected the corporate-immunity argument and displaced the contrary Velliappa position. A company may be prosecuted and, if convicted in the imprisonment-plus-fine setting, subjected to the fine which can operate against it. The law does not compel physical impossibility, but that does not require defeating the legislature's prohibition.

What was not decided: The leading opinion expressly left the broad **mens rea attribution question** outside the issue being decided. It is therefore wrong to cite this case alone as though it supplied the complete later Iridium analysis. Nor did the reference itself prove the bank guilty of all underlying allegations. Do not generalise the precise fine solution into a court's unrestricted power to invent a fine for every offence whose statute prescribes imprisonment alone.

Principle: Distinguish **amenability to prosecution** from the practical form of punishment. Corporate personality is not a safe harbour against serious statutory offences merely because the company has no body to imprison.

Hypothetical: Atlas Finance Ltd. is accused under an applicable economic statute prescribing imprisonment and fine. Its plea "we cannot be jailed, therefore no prosecution is possible" fails under this principle. The prosecution must still prove the offence; responsible individuals do not inherit the company's inability to serve imprisonment.

CASE #64 — CORPORATE CRIMINAL LIABILITY AUTHORITY

Iridium India Telecom Ltd. v. Motorola Incorporated

Supreme Court of India · Corporate Criminal Liability

Identity: Supreme Court, **20 October 2010**, reported **(2011) 1 SCC 74**; B. Sudershan Reddy and Surinder Singh Nijjar JJ. The judgment year and report year explain why both 2010 and 2011 appear in accounts.

Facts: The dispute arose from investment in the **Iridium satellite communications project**. Motorola was alleged to have promoted, controlled and supplied the venture and to have induced investment through representations about its technical/commercial capabilities. The complainant alleged misleading statements and concealment of material limitations in a project involving a constellation of satellites and worldwide communications. A criminal complaint alleged **cheating and conspiracy under IPC sections 420 and 120B**. The Bombay High Court quashed the proceedings; the complainant appealed.

Issues: Could the corporate accused be prosecuted for a mens-rea offence? Had the High Court exceeded the proper limits of quashing by deciding disputed facts and evaluating the defence at the threshold?

Complainant's arguments: Ram Jethmalani emphasised that quashing at the cognizance stage is exceptional; the complaint should be read as a whole. A complaint need not mechanically recite every legal ingredient if it contains the necessary factual foundation. Allegations of knowing deception and material concealment could not be converted into a mere failed investment by evaluating contested defence documents as though trial had already occurred.

Motorola's arguments: Ashok Desai argued that Motorola had not made the representations alleged in the required sense; the project involved distinct corporate entities and strategic investors. Statements were forward-looking projections concerning uncertain technology and feasibility, accompanied by risk warnings. Commercial failure and an investor's disappointment did not establish dishonest intention at inception; the dispute was not a proper basis for criminal proceedings. These were defences, not judicial findings that all warnings were necessarily sufficient.

Decision: The Supreme Court **allowed the appeal and set aside the High Court's quashing judgment**. It rejected the proposition that a company is incapable of mens rea. The relevant guilty mind of those who are its directing mind and will can be attributed to the company. Corporate criminal liability is not confined to offences dispensing with mental elements.

Reasoning on procedure: The High Court had stated the restraint applicable at the quashing stage but then effectively evaluated disputed merits. The Court distinguished whether a complaint discloses a prosecutable allegation from whether the prosecution ultimately proves it. Risk disclosures and documents may matter at the proper stage; they are not a universal threshold immunity from an adequately alleged fraudulent inducement.

Principles and limits: (1) Corporate mens rea can be established through attribution; (2) a factual commercial context does not automatically exclude a criminal offence; (3) business failure alone is not fraud; and (4) restoration of proceedings is **not conviction**. The judgment does not attribute every employee's mental state to the company indiscriminately.

Hypothetical: A technology company's controlling officers knowingly conceal a product's serious limitations while inducing investment. The company cannot answer that artificial persons have no intention. But the claimant must ultimately prove the required deceptive conduct and mental element; an honest forecast which later fails is different.

CASE #65 CORPORATE CRIMINAL LIABILITY AUTHORITY

Sunil Bharti Mittal v. CBI (2015)

Supreme Court of India · Corporate Criminal Liability

Identity: Supreme Court, **9 January 2015**, reported **(2015) 4 SCC 609**. The case concerns summoning individuals, not a blanket immunity for company directors.

Facts: In proceedings concerning allocation of additional telecom spectrum, the charge-sheet named corporate accused and a public official. The Special Judge additionally summoned senior corporate individuals, including **Sunil Bharti Mittal and Ravi Ruia**, although they were not named as accused in that charge-sheet. The stated reasoning treated senior controlling officers as the companies' **alter ego** and attributed company acts to them. Two summoned individuals challenged the order.

Issues: Can the identification doctrine be reversed to impose criminal responsibility on senior directors simply because their companies are accused? What must support a summons to an individual not named in the charge-sheet?

Appellants' arguments: Their counsel contended that identification ordinarily attributes the relevant individual's acts/mind **to the company**, not company guilt automatically **to the individual**. High office and control are not substitutes for specific involvement, requisite intent or a statute imposing vicarious liability. The summoning reasoning did not identify an adequate individual basis merely by using the phrase "alter ego."

CBI's arguments: The CBI relied on the charge-sheet, surrounding circumstances and alleged meetings/decision-making links, arguing that companies act through human agencies and the trial court was entitled to summon persons beyond the investigating agency's named accused if material justified it. It resisted reading the order's references to material as unrelated to the summoned individuals. Thus the prosecution did not simply argue that every director in every case is guilty; it attempted to connect control and surrounding evidence to the case.

Decision and reasoning: The Supreme Court set aside the impugned summoning order insofar as it concerned the appellants. The identification principle had been applied in the wrong direction. An individual may be prosecuted where there is sufficient evidence of an **active role with criminal intent**, or where the applicable statute creates **vicarious liability** and its conditions are met. Mere corporate status is insufficient. The Court did not rule that a trial court can never summon someone omitted from a charge-sheet; the legal power must be supported by the required material and reasoned application.

Principle: Company liability and director liability are separate inquiries. Attribution to an artificial person is not automatic reverse attribution to every person controlling it. Setting aside this summons does not grant lifelong immunity from proceedings founded on legally sufficient material.

Hypothetical: A company is accused of intentional deception. Its non-executive director is summoned only because "a company must act through directors." Ask for the individual's role, knowledge, intent or the precise statutory vicarious-liability clause. Without the necessary basis, status alone does not justify that conclusion.

CASE #66 DU SUGGESTED BRIDGE AUTHORITY (S. 230 & IBC S. 29A)

Arun Kumar Jagatramka v. Jindal Steel and Power Ltd. & Anr. (2021) 7 SCC 474

DU-suggested authority • Supreme Court • 15 March 2021 • (2021) 7 SCC 474 / 2021 SCC OnLine SC 220

The dossier below is based on the **full judgment**, not a nonexistent reproduced DU extract.

1. Lead case: material and procedural facts

Gujarat NRE Coke Ltd. (GNCL) entered insolvency proceedings. The CIRP did not produce an approved resolution plan within the relevant **270-day period** then in play; liquidation was ordered on **11 January 2018**. Arun Kumar Jagatramka was a promoter and was **ineligible under section 29A** to submit a resolution plan.

He sought a compromise/arrangement under **section 230** during liquidation. The NCLT's order of **15 May 2018** permitted the scheme-meeting process. **Jindal Steel and Power Ltd.**, an operational creditor, challenged that course. The NCLAT on **24 October 2019** held that a person ineligible under section 29A could not regain the company through this liquidation-stage scheme route. Jagatramka appealed to the Supreme Court.

2. Connected proceedings and regulatory challenge

The Court also considered connected **Su-Kam** proceedings involving promoter **Kunwer Sachdev**, a proposed joint resolution with Phoenix ARC, and a section **29A(h)** disqualification which was not challenged in the relevant manner. Liquidation was ordered on **3 April 2019**. A later section 230 attempt met the same eligibility objection, and the NCLAT ruled on **19 December 2019**.

A connected challenge attacked the **proviso to Regulation 2B(1)** of the IBBI Liquidation Process Regulations, inserted in January 2020, which excluded persons ineligible to submit a resolution plan from participating in the compromise/arrangement process. Its validity and the scope of IBBI's regulation-making power were therefore directly implicated.

3. Legal issues

1. Can someone disqualified under **IBC section 29A** propose a **section 230 scheme in IBC liquidation**?
2. Does section **35(1)(f)**, prohibiting sale to an ineligible person in liquidation, inform that answer?
3. Is Regulation 2B's ineligibility proviso **ultra vires** the parent statutes or unconstitutional?
4. Is a liquidation-stage scheme equivalent to a **section 12A withdrawal/settlement**, so that the latter's rationale permits the former?
5. How should two statutes governing one insolvency-related transaction be read together?

4. Appellants' case: strongest version

Textual autonomy: Section 230 itself did not expressly incorporate section 29A. The Companies Act provides a distinct route; an IBC disqualification should not be judicially inserted into another Act.

Different consequences: A successful resolution applicant can acquire the enterprise through a binding plan with reduced liabilities/clean-slate consequences. A scheme proponent argued that it takes the company subject to the negotiated scheme and existing obligations, not necessarily free of encumbrances. Therefore treating the two routes identically allegedly ignored material differences.

Revival: Allowing the promoter's scheme could preserve jobs and business rather than force piecemeal liquidation. The Tribunal's sanction requirement itself supplied safeguards against unfairness.

Section 12A analogy: Withdrawal after settlement returns the company to its former management; a consensual section 230 arrangement should not be barred merely because that result includes promoter return.

Delegated legislation: IBBI could not use a regulation to amend the Companies Act or enlarge section 29A beyond the statutory policy. Constitutional objections included arbitrariness and rights-based challenges under Articles **14, 19 and 21** as raised in the connected challenge.

Insertion argument: The need to insert an express regulatory proviso in 2020 was said to indicate that the earlier law contained no such prohibition.

5. Respondents' case: strongest version

Unified insolvency policy: The relevant transaction occurs because the company is **in liquidation under IBC**. Section 230 cannot be isolated from that context. Parliament introduced section 29A and the corresponding section 35(1)(f) prohibition to prevent prohibited persons from retaking the enterprise through resolution or liquidation asset purchase.

No backdoor: Permitting the same person to obtain control through a scheme would defeat the bar through a third route. Form cannot neutralise the substance of the insolvency policy.

Not all promoters, and not merely this company's misconduct: Section 29A contains diverse disqualifications, not a universal ban on promoters. Some concern a person's relation to other companies or disqualifying circumstances. The relevant question is statutory ineligibility, not a general hostility to entrepreneurship.

Dual role of NCLT: In this setting the NCLT is both the IBC adjudicating authority and the Companies Act scheme Tribunal. It can insist that a liquidation-stage scheme genuinely revive the company and comply with the insolvency eligibility standard. Earlier scheme jurisprudence in liquidation required more than private settlement of one isolated class.

Regulation gives effect to the Code: The proviso implemented the parent framework rather than creating an unrelated policy. A section 230 scheme is not necessarily comprehensive merely because it uses that label; it can bind a class and must be evaluated in context.

6. Decision

The Supreme Court dismissed the appeals/writ challenge. **Paragraph 91** records the central conclusion: a person ineligible under **section 29A** is also barred from proposing a compromise/arrangement under **section 230 in the context of IBC liquidation**. The section **35(1)(f)** prohibition supports that reading. The **Regulation 2B proviso was upheld** as constitutionally valid and within the regulatory framework.

7. Reasoning, step by step

First: identify the statutory objective. IBC seeks timely resolution, value maximisation and a disciplined process, not a mechanism by which ineligible persons benefit from the company's distress.

Second: connect resolution and liquidation. The statutory disqualification operates at resolution through section 29A and at liquidation sale through section 35(1)(f). Liquidation is not a legal vacuum in which the policy reverses.

Third: locate the scheme within that process. The section 230 application is being used for a company undergoing IBC liquidation. Although the procedural source is another Act, the commercial/legal result must remain consistent with the surrounding insolvency regime.

Fourth: reject circumvention. It would be incoherent to prohibit direct resolution and direct liquidation purchase but permit the same prohibited acquisition via a scheme.

Fifth: distinguish withdrawal. The judgment examined the then-existing section 12A route as withdrawal of the collective proceeding, contrasted with a scheme embedded in continuing liquidation. Their legal character and statutory architecture differ. A superficial similarity—old management might resume control—does not make their conditions interchangeable.

Sixth: sustain the regulation. The proviso concretised a disability flowing from the integrated scheme of the legislation; it did not independently invent an alien Companies Act restriction.

8. Ratio and boundaries

> *Ratio: A person barred under section 29A cannot evade that disqualification by proposing a section 230 compromise/arrangement for the corporate debtor during liquidation under IBC.*

Do not overstate it: The Court did not ban **all promoters**, all schemes, or every solvent-company arrangement under section 230. Section 29A has specific categories, qualifications and exceptions, including the relevant MSME context. Nor did the Court hold that creditor commercial preference cures statutory ineligibility.

Policy observations: Paragraph 90's discussion of policy suggestions is expressly not a decision on their merits. Do not turn recommendations discussed by the Court into enacted rules.

9. Hypothetical visual and application

Problem: Rohan is an ineligible promoter of Delta Steel Ltd., now in IBC liquidation. He cannot submit a resolution plan or purchase assets in the prohibited manner. He proposes an 80%-creditor-supported section 230 scheme through which he will regain control.

Answer: First verify the actual section 29A disqualification and any applicable exception—promoter status alone is insufficient. If the disability exists, **Jagatramka** bars the liquidation-scheme workaround. An apparently attractive price or creditor majority cannot override eligibility. Also do not mistake "80% creditors" for section 230's separate class/headcount/value requirements.

10. Historical holding versus 2026 law

The case's explanation of section 12A concerns **2021 law**. The **2026 substituted section 12A** changes the withdrawal window and is set out in Chapter 16. Do not lift the older procedural description into a present-day answer unqualified.

The 2026 Act also changes CoC involvement, liquidator appointment and liquidation timelines. This guide does **not** claim, without a verified applicable regulatory text, that the section 230 liquidation route has been generally abolished. For an actual post-amendment transaction, check the current Liquidation Regulations and transitional directions separately. The prescribed judgment remains essential for the anti-circumvention principle; contemporary procedure must be independently verified.

11. Examination paragraph to remember

"Jagatramka requires the Companies Act scheme mechanism to be read in the insolvency setting in which it is invoked. A person disabled by section 29A cannot achieve indirectly through a liquidation-stage section 230 arrangement what sections 29A and 35(1)(f) prohibit directly. The Court upheld Regulation 2B's proviso as implementing that policy. The rule targets statutory ineligibility in IBC liquidation, not all promoters or all solvent-company schemes."

CASE #67 DU PRESCRIBED SYLLABUS READING (ESG)

From a Financial to an Entity Model of ESG — Iain MacNeil & Irene-marié Esser (2022)

Iain MacNeil & Irene-marié Esser • European Business Organization Law Review 23 (2022), 9-45 • DOI 10.1007/s40804-021-00234-y

Nature of the reading

"From a Financial to an Entity Model of ESG" is an academic article developing a normative corporate-governance argument. It has no litigating parties, pleadings or judicial decree. To honour the user's request for depth without fabricating case features, this dossier explains its **problem, thesis, opposing model, mechanisms, critique and implications**. Its references to anticipated European developments around 2021 belong to its historical writing context, not verified September 2026 European law.

The central problem

The authors argue that the dominant **financial model of ESG** places too much reliance on the investment chain to produce sustainable corporate behaviour. Institutional investors, asset managers, ratings, benchmarks and disclosure translate ESG into portfolio decisions. This can help integrate risk, but may subordinate operational corporate accountability to investor preferences and imperfect market signals.

The crucial distinction is between **managing exposure to an externality** and **changing the activity that produces it**. A fund can reduce its portfolio's reported carbon exposure by selling shares in a polluter. The factory may still emit the same amount under another owner. Financial-market adjustment is not automatically real-world environmental improvement.

From CSR to the financial model of ESG

Traditional CSR often emphasised a company's voluntary responsibility and social contribution. ESG developed a more investment-oriented language: non-financial factors could affect risk, return and long-term financial performance. That language attracted mainstream finance, but also shaped the objective: sustainability could be pursued primarily where financially material to investors rather than because of its effects on stakeholders.

The authors do not simply say "CSR was good, ESG is bad." Their analysis traces a shift in **focus, channel, implementation, metrics and reporting**, then proposes another shift locating responsibility more firmly within the enterprise.

The financial model: how it works

Focus: portfolio risk and return, mediated by indicators, benchmarks and indices.

Channel: institutional investors and the investment chain—asset owners, managers, advisers, ratings and stewardship.

Implementation: portfolio selection, exclusions, tilting, engagement and voting.

Metrics: multiple methodologies, custodians and legal effects; limited verification and another layer of complexity from ratings.

Reporting: company disclosures and financial-channel disclosures help transmit information and investment preferences.

This model can price risks and exert pressure. Yet the chain contains **principal–agent problems**: the ultimate saver's preferences may be imperfectly transmitted through managers and products. Short horizons, fees, mandates, benchmark tracking and divergent ratings can interfere with sustainability aims.

Why market-based ESG may underperform

1. **Financial materiality is narrower than social harm.** A serious externality may remain profitable if its cost is borne by others.
2. **Portfolio change is not operational change.** Selling an asset can alter investor exposure without reducing the underlying harmful activity.
3. **Data is not action.** A company can improve disclosure faster than it improves environmental/social performance.
4. **Fragmented metrics weaken accountability.** Different ratings may support inconsistent claims of leadership.
5. **Investment-chain incentives can dilute the mandate.** The actor bearing the long-term harm may be far from the intermediary making short-term decisions.
6. **Boards may become reactive.** They respond to investor signals rather than own a coherent sustainability strategy integrated with operations.
7. **Coverage is limited.** Public capital-market channels may not adequately govern private or otherwise less market-visible enterprises and systemic externalities.

The proposed entity model

The **entity model** places primary accountability within the **corporate entity, particularly board decision-making**, with stakeholder integration and mechanisms to internalise externalities. The board should own operational sustainability alongside strategy, remuneration and resource allocation.

Internalising externalities means bringing costs/impacts otherwise imposed on outsiders into corporate decision-making and responsibility. It does not mean the company must literally pay every imaginable social cost regardless of causal connection; the proposed governance and due-diligence mechanisms organise how relevant impacts are identified and addressed.

Table 2's five dimensions, explained

Dimension	Financial model	Entity model proposed by the authors
Focus	Portfolio risk/return through metrics and benchmarks	Stakeholder integration, externality internalisation, sustainability strategy and incentives
Channel	Institutional investors and investment chain	Corporate entities through board decisions; due-diligence duties, stakeholder committee, governance codes and possible voluntary purpose arrangements
Implementation	Portfolio selection and engagement	Operational action linked to real-world effects, broader reach beyond capital markets, residual stewardship role
Metrics	Multiple systems and verification gaps	Metrics integrated with non-financial reporting, due diligence and operational decisions
Reporting	Corporate and financial channels carry the main transmission burden	Less dependence on disclosure alone; reporting aligned to entity responsibility and narrower investment-chain agency issues

Mechanism 1 — A duty of due diligence

The authors discuss due diligence as **a business process/procedural requirement**, **a standard of conduct**, or a combination. A serious duty would require identifying, preventing/mitigating and accounting for adverse impacts, rather than only checking whether a report contains a paragraph about risk.

Process alone: A company performs a supplier questionnaire and files it. If the questionnaire ignores obvious abuses or no action follows, formal procedure may fail to protect people.

Conduct plus process: The company uses evidence, investigates credible risks, changes procurement where necessary, monitors outcomes and provides appropriate remediation. The precise legal liability standard would depend on the enacted regime; the article's proposal is not itself a binding Indian cause of action.

The authors see this as a more focused mechanism than merely adding broad sustainability words to directors' duties while established shareholder-primacy pressures remain unchanged.

Mechanism 2 — Stakeholder board committee

A stakeholder committee can give relevant interests an institutional channel into governance and support due diligence. Its value depends on representation, information, authority and connection to actual Board decisions. A ceremonial committee meeting once a year without access to operational evidence would not achieve the proposed shift.

This is **not** the same as India's statutory **CSR Committee**. The CSR Committee recommends/monitors a defined CSR policy and expenditure framework. The article's stakeholder committee is a proposed mechanism for wider ESG governance and externality internalisation. Do not claim section 135 already enacts the whole entity model.

Mechanism 3 — Strategy, remuneration and operational metrics

Boards should connect sustainability with investment, operations and remuneration. If executives are rewarded only for short-term production while costs of safety or pollution are deferred, a separate ESG statement may be ineffective.

ESG-linked remuneration also needs scrutiny: easily met targets, selective baselines or opaque discretion can reward superficial improvement. Relevant metrics should reflect operational impact, not merely publication of a policy or inclusion in an index.

Mechanism 4 — Reporting is supporting infrastructure

The entity model does not abolish reporting. It **reduces reliance on disclosure as the primary transmission mechanism** and aligns reporting with due diligence, strategy and actual decisions. Investors still need information and stewardship retains a **residual role**. The proposal is therefore not "ban ESG funds" or "ignore all financial materiality." It changes the centre of accountability.

Critical evaluation

Strengths: clearer Board responsibility; closer connection to actual impacts; broader reach than capital-market screening; more structured stakeholder voice; integration with incentives; less faith that perfect disclosure alone changes behaviour.

Difficulties: selecting legitimate stakeholder representatives; resolving conflicts among workers, communities, consumers and investors; avoiding box-ticking due diligence; measuring causal impact across long supply chains; enforcement cost; managerial discretion and accountability; risks of overburdening smaller businesses; interaction with public regulation such as carbon pricing.

Balanced conclusion: The article offers a persuasive governance correction, not a claim that company boards should replace democratically accountable regulators. Entity-level responsibility and market discipline may complement legal standards, public policy and stakeholder remedies.

An exam-ready application

A fund sells shares in a coal-intensive company and reports a lower portfolio carbon footprint. That is a **financial-model action**; it may change finance costs, but does not itself prove lower emissions. An entity-model response asks whether the company's board changes investment and production, protects affected workers, conducts due diligence, measures absolute impacts and is accountable for progress. The strongest answer recognises that investor pressure can support this change, but should not be mistaken for the change itself.

PYQ ARCHIVE // CH.10 Previous Year Questions (DU LL.B. Examinations)

Q.1 `DU LL.B. 2017 · Q.8(a) / 2015 · Q.8(b)` Explain the concept, statutory thresholds, CSR Committee mandate, and mandatory treatment of unspent CSR amounts under Section 135 of the Companies Act, 2013 read with Schedule VII and the CSR Policy Rules.

▸ **Refer website for detailed notes — makelaweasy.in · WhatsApp: +91 7021726891**

Q.2 `DU LL.B. Corporate Criminal Liability` "A company has neither a physical body to be imprisoned nor a natural mind, and therefore cannot commit an offence requiring mens rea or mandatory imprisonment." Critically evaluate this proposition with reference to Standard Chartered Bank v. Directorate of Enforcement, Iridium India Telecom v. Motorola Inc., and Sunil Bharti Mittal v. CBI.

Q.3 `DU LL.B. Mergers & IBC Bridge` Examine the statutory procedure for compromises, arrangements, and amalgamations under Sections 230–232 of the Companies Act, 2013. Can a promoter disqualified under Section 29A of the Insolvency and Bankruptcy Code, 2016 propose a Section 230 scheme during liquidation? Discuss with reference to Arun Kumar Jagatramka v. Jindal Steel and Power Ltd.

Q.4 `DU LL.B. Insolvency & CIRP` Distinguish between Winding Up under the Companies Act, 2013 and the Corporate Insolvency Resolution Process (CIRP) under the Insolvency and Bankruptcy Code, 2016, highlighting the roles of the Interim Resolution Professional, Resolution Professional, Moratorium (S. 14), and Committee of Creditors.

Q.5 `DU LL.B. ESG & Sustainability` Distinguish between the 'Financial Model' and the 'Entity Model' of Environmental, Social and Governance (ESG) responsibility, and compare ESG/BRSR obligations with statutory CSR under Section 135 and directors' stakeholder duties under Section 166(2) of the Companies Act, 2013.

by Ankur R. Upadhyay